

The European Union (EU) VAT Directive (2006/112/EC) is implemented in Finland through the Value Added Tax Law, in Finnish “*Arvonlisäverolaki*” (30.12.1993/1501, hereafter referred to as the “VAT Law”). In Finland, VAT is referred to as “*Arvonlisävero*” or “ALV”. Before the current VAT system was implemented, Finland applied a system called turnover tax (sales tax) which was replaced by the VAT system in 1994 due to Finland’s EU membership.

1. Taxable persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

Until 31 December 2024, the VAT registration threshold was EUR 15,000. The supplier of goods and/or services is not considered to be liable for VAT if its turnover during a calendar year does not amount to more than EUR 15,000, unless they have been registered as a person liable to VAT at their own request. When this threshold for VAT liability is exceeded, the supplier receives a relief which gradually decreases with the increase of the turnover. When the annual turnover exceeds EUR 30,000, the full amount of VAT is levied. This VAT relief regime is terminated as of 1 January 2025.

As of 1 January 2025, the VAT registration threshold is EUR 20,000. The supplier of goods and/or services is not considered to be liable for VAT if their turnover during the current and preceding calendar year does not amount to more than EUR 20,000 per calendar year, unless they have been registered as a person liable to VAT at their own request.

Finland has not implemented a threshold under which exceeding the Small and Medium sized enterprises (SME) limit of EUR 20,000 has no consequences. From the time of exceeding the limit, the SME scheme can no longer be applied.

If, as a result of exceeding the SME threshold, the SME regime can no longer be applied, taxpayers cannot re-apply for using the SME scheme for a period of 1 year.

Finnish governmental bodies as well as municipalities are liable to VAT in the same way as private companies, however, not with respect to activities in which they are engaged as public authorities.

A taxable person starting a taxable activity as defined in the VAT Law must notify the Finnish Tax Administration before starting the activity. Finnish taxable persons use the same start-up notification form for registering with the Trade Register, the Tax Administration’s VAT register, prepayment register and register of employers.

If a taxable person does not register for VAT purposes in connection with the start-up but waits until their business ID is obtained, it must use an amendment notification to register for VAT purposes.

Registration forms can be found using the following link: <https://www.yty.fi/en/index/notifications.html>

1.2 Registration threshold & SME Scheme for foreign taxable persons

Until 31 December 2024, there was no VAT registration threshold or exemption for taxable persons not established in Finland.

As of 1 January 2025, the exemption threshold for SME’s of EUR 20,000 applies to taxable persons with domicile in other EU countries than Finland, provided that the turnover of the taxable person in the EU during the current and preceding calendar year does not exceed EUR 100,000 per calendar year and the person has not been registered for VAT at their own request. Foreign taxable persons who cannot apply the exemption based on the threshold rule must register if they perform taxable transactions for VAT purposes in Finland.

A company may only belong to one VAT group at a time. The VAT group must appoint from its members a company to be responsible for the VAT group's VAT reporting. However, the members of the VAT group are jointly and severally liable for the payment of VAT.

above-mentioned criteria.

In addition, pure holding companies can also be included in the VAT group provided that they meet the

- have close financial, economic and organisational links with each other.
- be established in Finland;
- operate in the financial and/or insurance sector, or be under the direct or indirect control of such a company/companies, or be a holding company of a credit institution or investment service firm or a parent entity of an insurance group, or a company under the (joint) control of these kinds of entities; and

In order to create a VAT group, the members must:

VAT grouping is optional, meaning that a taxable person may choose whether to register or join a VAT group when all the conditions are met. There is no minimum period for how long a taxable person must remain in a VAT group.

Finnish VAT legislation allows VAT grouping.

1.3 VAT Grouping

Registration forms can be found at: <https://www.vlf.fi/en/index/notifications.html>

process normally takes from 3 weeks up to 2 months.

After the notification form has been sent to the National Board of Patents and Registration, the registration

- a document indicating the relevant company details of the representative.
- a Finnish or Swedish translation of the power of attorney; and
- a power of attorney authorizing the fiscal representative;
- a letter of commitment by the fiscal representative;
- in the event a fiscal representative is appointed, the following additional information is required:
 - translation of the relevant parts of the document); and
 - non-established person or other equivalent document (and, if needed, a Finnish, Swedish or English
- a trade register extract or a certificate of registration with the commercial register in the country of the
- form VEROH 6204e or 6206e;
- start-up notification;

The following documents are to be submitted for the VAT registration:

National Board of Patents and Registration – Tax Administration
Business Information System
P.O. Box 2000
00231 Helsinki
Finland

The National Board of Patents and Registration and the Finnish Tax Administration share a joint declaration procedure for business information, the Business Information System, BIS (in Finnish *YTJ*), where all company information can be reported with one single form. Completed forms, with appendices, must be sent to:

There are three different kinds of general VAT registration types available. "Mandatory VAT registration" is the registration type available for taxable persons who are liable to register for Finnish VAT purposes except for situations where registering for "notification duty" is required. "Notification duty" is available in case registration liability is to arise due to intra-Community transactions only. Taxable persons not established in Finland and making other supplies of goods or services than those resulting in VAT registration liability are upon application entitled to register for VAT purposes in Finland ("voluntary VAT registration"). The VAT ID is automatically entered into the VIES system as a result of the VAT registration.

The VAT group members are treated as one single taxable person for VAT purposes. Consequently, VAT is not accounted for supplies of goods and services within the VAT group.

1.4 Fiscal representative

Taxable persons not established in Finland and making supplies of goods or services other than those resulting in VAT registration liability in Finland, are upon application entitled to register for VAT purposes in Finland ("voluntary VAT registration"). In case of a voluntary VAT registration, a fiscal representative is needed if the taxable person is established outside the EU in a state with which Finland has not concluded an agreement on mutual assistance with the competent authorities as regards indirect taxes. An agreement on mutual assistance is currently in place only with Norway.

Fiscal representatives for VAT purposes are not required in any other cases.

The fiscal representative should be domiciled in Finland, be approved by the Finnish Tax Administration, and have the knowledge and skills required for fulfilling the administrative obligations related to VAT. The fiscal representative is responsible for all of the foreign taxable person's administrative duties connected to VAT liability. However, the fiscal representative is not jointly and severally liable for the payment of VAT and penalties. The tax authorities may require a security from the non-established taxable person.

2. Taxable transactions

2.1 Transfer of business

Section 19c of the Finnish VAT Law implements Articles 19 and 29 of the VAT Directive.

Under the following conditions, a transfer of business is not considered a sale in the scope of the VAT (and, thus, the assets transferred are not subject to VAT either):

- assets constitute a business, or a part of it, where all of the elements transferred are sufficient to allow an independent economic activity to be carried on as defined in case law;
- assets are sold to be used in the transferee's taxable business activities entitling to VAT deductions;
- transferee continues to conduct such business activities immediately after the transfer; and
- transferee is registered for VAT at the time of the transfer.

2.2 Supplies free of charge

VAT is payable for the goods that are taken for private consumption, are given free of charge or are transferred or taken to a use which does not entitle for VAT deduction. VAT is payable only if the VAT was deducted for the goods or if the goods were produced in connection with VAT taxable business.

The provision of samples or customary, small value promotional gifts is not subject to VAT. There is no set value for qualifying gifts as being of 'small value' in the Finnish VAT rules.

VAT is payable for the services that are carried out free of charge by a taxable person for their private use or for that of their staff or, more generally, for purposes other than those of their business. VAT is payable only if the VAT was deducted for the acquired service, or in case of self-performed services, the service was rendered in connection with the taxable business and the taxable person supplies similar services to external parties.

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

Importation of goods is exempt from VAT if the transport of the imported goods ends in another EU Member State and if the sale of goods is exempt from VAT as an intra-Community supply. This requires that the

The supplier must register for VAT in all Member States where they sell goods as distance sales. Alternatively, the seller can register as a user of a special VAT scheme (hereinafter the Union scheme) in one EU Member State. The Union scheme allows for centralized reporting and payment obligations through this single EU country, thus facilitating the management of VAT-related obligations.

Distance sales refer to the sale of goods transported to private individuals or buyers comparable to them (e.g., online shopping). In the EU, distance sales of goods are taxed in the country of the consumer if the annual turnover of distance sales of goods, as well as sale of radio and television broadcasting services, electronically supplied services, and telecommunications services, for a business established within the EU area exceeds 10,000 euros in total.

3.3 Distance sales

The normal rules on the reverse charge and VAT registration of a non-established supplier apply. The applicability of the reverse charge is fairly broad in Finland (see paragraph 8.1) and may therefore be applied to several situations where a foreign taxable person is supplying goods with installation in Finland. It should, however, be noted that according to guidance given by the Finnish tax authorities an installation or construction project, or several consecutive projects, are considered to result in a fixed establishment for the supplier if they last for more than 9 months.

The shipment of goods from another EU Member State to be installed in Finland is not deemed an intra-Community acquisition in Finland. Instead, a supply of goods with installation in Finland is subject to Finnish VAT.

Supplies of goods with installation/assembly are treated as supplied in Finland when they are installed or assembled in Finland, and the same supplier sells both the goods and their installation/assembly. There is no formal definition for the terms "installation" and "assembly", but in general, the definition is regarded as rather easily fulfilled when any installation/assembly work is required.

3.2 Installation supplies

Using the simplification is optional. The supplier may also choose to VAT register in Finland.

As a general rule, a transfer of goods to Finland from another EU Member State is regarded as an intra-Community acquisition in Finland creating a liability to register for VAT (see also paragraph 1.2). However, in order to avoid non-established taxable persons having to register for VAT to make taxable acquisitions of commitment or of call-off stock, simplified procedures can be applied for allowing the consignee to account for the VAT on the acquisition, provided that certain conditions are met. The VAT Law is in line with the Articles of the EU VAT Directive concerning call-off stock arrangements.

3.1 Consignment and call-off stock

3. Place of supply

The possibility to defer the reporting and payment of import VAT is available for taxable persons registered for VAT in Finland. These taxpayers declare the import VAT in their VAT returns. The deductible import VAT can be reported in the same VAT return, which results in a situation where the import VAT does not have to be paid as it can be deducted at the same time when it is declared. The taxpayers are also liable to calculate the tax base and the import VAT themselves. The import VAT should be reported in the period that coincides with the customs clearance date. Other than above mentioned taxpayers pay the import VAT to the Finnish Customs at the time of the importation.

2.3.2 Postponed accounting on importation

Importer is a taxable person. In addition, the tax exemption requires that the importer has received the customer's VAT number issued by another EU Member State and that the transport of goods to another EU Member State can be proven.

For certain distance sales from outside the EU (imported goods), a centralized iOSS scheme is available for reporting consignments not exceeding the value of EUR 150.

3.4 Simplified triangulation

Under the VAT Law, the simplified triangulation rules have been implemented in line with the EU VAT Directive. In triangular transactions, VAT is not chargeable in Finland in respect of an intra-Community acquisition in the following circumstances:

- acquisition is made by a middleman (taxable person) not established in Finland providing a VAT identification number from another EU Member State than Finland and the country of dispatch;
- intra-Community acquisition is made by the middleman for the purpose of a subsequent supply of the goods in Finland;
- goods acquired by the middleman are directly dispatched or transported from an EU Member State to the person to whom the middleman makes the subsequent supply;
- the person to whom the subsequent supply is made is another taxable person or a non-taxable legal person identified for VAT purposes in Finland; and
- the person to whom the subsequent supply is made has been designated as the person liable for the tax due on the subsequent supply by the middleman not established in Finland.

The simplified triangulation rules cannot be applied if the middleman in a triangular transaction is established in Finland. Where Finland is the country of arrival, the wording of the Finnish legislation does not preclude the application of the simplified triangulation rules if the middleman is VAT registered in Finland or in the country of dispatch.

3.5 Acquisition threshold

The threshold for the acquisition of goods by non-taxable legal persons and taxable persons engaged in exempt activities from suppliers established in another EU Member State is EUR 10,000.

3.6 Effective use and enjoyment

Currently Finland has not implemented any rules on use and enjoyment based on Article 59a of the EU VAT Directive.

4. Chargeable event & Chargeability of VAT

4.1 Principles

In the case of supply of goods, the VAT becomes, in principle, chargeable at the time the goods are delivered. The VAT due on services, in principle, becomes chargeable at the time the services are performed. Alternatively, a taxpayer can also charge and report the VAT according to the date of the invoice or, if no invoice was issued, according to the date the payment was received. Precondition for such an allocation is that the invoice was issued or the payment was received during the same financial year as the delivery of the goods or the performance of the services took place. At the end of the fiscal year, the taxpayer is liable to report and pay VAT for the supplies that took place during the fiscal year in question, but for which the taxpayer has not yet issued an invoice or received a payment.

4.2 Advance payments

If the payment is received before the goods are delivered or the service is performed, the VAT for the supply becomes chargeable according to the date the payment or part of the payment was received.

4.3 Continuous supplies

Continuous supplies of goods are considered being delivered and services performed at the end of each accounting period and the VAT becomes chargeable at the end of each accounting period. For example,

in case of a lease subject to VAT for which monthly instalments are paid, the service is considered being performed on a monthly basis.

Continuous supplies of goods over a period of more than one calendar month which are dispatched or transported from Finland to another EU Member State and which are supplied or transferred VAT exempt, shall be regarded as being delivered on expiry of each calendar month until such time as the supply comes to an end. Also, the continuous acquisition of goods over a period of more than one calendar month, which are dispatched or transported from another EU Member State to Finland and for which the acquirer is liable to account the VAT, shall be regarded as being delivered on expiry of each calendar month until such time as the supply comes to an end.

Services ongoing over a period of more than one year, that do not give rise to settlements or payments in that period and for which the customer is liable to account for the VAT on the basis of Article 196 of the EU VAT Directive, are regarded as being supplied on the expiry of each calendar year up to the time the provision of the services ceases.

4.4 Cash accounting

In some cases, VAT is paid over to the Finnish state on the basis of cash received during the respective VAT period as opposed to making payment on the basis of supplied goods and services during the period. The cash accounting regime is available to taxable persons whose annual turnover does not exceed EUR 500,000 and to taxable persons who do not have a legal obligation to keep books. When applying cash accounting, the VAT should however be paid after 12 months have passed since the delivery of the goods or performance of the services.

5. Taxable amount

5.1 Bad Debt Relief

A bad debt relief is available to taxable persons who can prove that the amount of VAT they did not receive from the customer became a bad debt in the relevant period.

When claiming a bad debt relief, the taxable person deducts the amount of VAT it is reclaiming from the output VAT on the supplies for the period in which the loss is considered to have arisen in accordance with good bookkeeping practice. The supplier must be able to show that a bad debt exists, and it must have information showing that the customer lacks the financial means to pay the debt (e.g. bankruptcy or unsuccessful execution attempt).

If the taxable person later receives the payment of the VAT, it will have to account for the VAT to the tax authorities.

5.2 Cash Discounts

Assume that the supplier sends the following invoice:

"Supply of goods	EUR 1,000
25.5% VAT	EUR 255
Total to be paid	EUR 1,255

If payment is received by us within the next 14 days, you can subtract 2% of the invoice as a cash discount."

In the described scenario, input and output VAT should be adjusted by the cash discount used. The Finnish Tax Administration considers that suppliers and customers may adjust their input and output VAT without an obligation for the suppliers to issue separate credit notes for these frequent commercial cash discounts. However, either the discounted total payable amount including VAT or the amount of the discount including the VAT should be included in the invoice. The end result is that both parties pay/deduct the VAT based on the amount actually received/paid.

5.3 Open Market Value

In regard to Article 80 of the EU VAT Directive and possibilities to implement the open market value in transactions between related parties, Finland has only implemented Article 80(1)(a). This rule allows the Finnish Tax Administration to implement the open market value only when the consideration paid for a sale or intra-Community acquisition is lower than the open market value, and the recipient of the supply does not have a full right of deduction. The open market value rule is not applied if the supplier is not liable to pay VAT based on the rules for free of charge supplies.

5.4 Returnable Packaging

The VAT base can be adjusted based on the consideration received for the sale of returned packaging. The supplier must provide the buyer with a credit invoice for the returned packages if the consideration for the packaging was included in the taxable amount. Reference to the original invoice is required on the credit invoice only if this is feasible.

6. VAT rates

6.1 Standard rate

The standard VAT rate is 25.5%.

6.2 Reduced rate

There are two reduced VAT rates in use in Finland. As of 1 January 2025, most of the goods and services previously subject to the reduced rate of 10% were transferred to the scope of the reduced rate of 14%. At the same time, menstrual products, incontinence products and diapers were transferred from the standard rate to the reduced rate of 14%.

The reduced rate of 14% is applied to the following goods and services:

- food;
- restaurant and catering services;
- animal food;
- books (both physical and digital);
- domestic passenger transport;
- transfer of the right to use premises for accommodation or harbour facilities;
- services for physical exercise including use of facilities used for physical exercise;
- admission fees to theatres, circuses, musical and dancing performances, cinemas, exhibitions, sports events, zoos, museums and other corresponding cultural and recreational events and institutions including the streaming of such events;
- medicines;
- menstrual products, incontinence products, and diapers;
- certain works of art;
- performance fees charged by performing artists, other performers and athletes who have opted for VAT liability; and
- compensation related to copyright when paid to an organisation representing copyright holders.

The reduced rate of 14% is not applicable to alcoholic beverages and tobacco products.

The reduced rate of 10% is applied to sales of physical and digital newspapers and periodicals and, until 31 December 2025, to the amounts received by the Finnish Broadcasting Company from the State Television and Radio Fund and the compensations received by Ålands Radio och TV Ab from the media fees collected in the Åland region. As of 1 January 2026, the amounts received by the previously mentioned broadcasting entities will be transferred to the reduced rate of 14%.

6.3 Super-reduced and zero rates

There is no super-reduced rate in Finland.

- Finland has a zero rate for:
 - sales of an edition of a newspaper or periodical by the printer, published at least 4 times a year, to a non-profit organisation which publishes the newspaper or periodical mainly for its members;
 - sales of gold to the Central Bank; and
 - sale of vessels over 10 metres long (excluding those used for sports and leisure).

7. Exemptions

7.1 Exemptions with the right of deduction

The exemption from VAT with a right of deduction applies to the following supplies of goods and services related to international trade and trade under special regimes (warehouses):

- intra-Community supplies and exports;
- sales of certain services in connection with third countries;
- international passenger transport;
- transport of goods to and from Madeira and the Azores;
- intermediation with regard to certain VAT exempt goods and services;
- services of travel agents when they relate to the goods or services provided to the immediate needs of the customers by businesses outside of the EU;
- sales of goods and services for the needs of vessels used for navigation on the high seas and carrying passengers for reward or used for the purpose of commercial, industrial or fishing activities, or to aircraft used by airlines operating for reward chiefly on international routes, including sales and rental of aircraft;
- sales of goods under VAT warehousing procedure or customs control;
- sales of certain services performed on goods under VAT warehousing procedure or customs control;
- goods supplied to travellers resident outside the EU under retail export schemes or through tax-free shops under certain conditions;
- sales of goods and services to those travelling abroad on vessels or aircraft;
- sales to certain diplomatic bodies and similar; and
- sales of financial and insurance services to businesses established outside of the EU.

7.1.1 Intra-Community supplies

A precondition for the zero rating in case of an intra-Community supply is that the customer is registered as a taxable person in another EU Member State and the goods are transported to another EU Member State. The supplier must prove that the transport to another EU Member State has taken place by means of a bill of lading, transport invoice or some other corresponding document regarding the transport. These rules can still be used in order to prove the transport besides the presumptions as set out in Article 45a of the Council Implementing Regulation 282/2011.

7.1.2 Export supplies

In order to prove zero rating in case of exports, the supplier must have evidence that the goods have left the EU and, in certain cases, prove the status of the customer. The evidence required depends on the type of export.

7.1.3 Warehousing

7.1.3.1 VAT warehouse

In Finland, the VAT warehouse regime can be applied to the raw materials listed in Annex V of the VAT Directive, such as mineral oils, grain, cocoa beans, coffee, certain metals etc, and pulp (CN codes 4701 – 4706). The warehouse keeper is required to obtain a Finnish tax authorities' licence for keeping a VAT warehouse.

- sales of construction services;
- sales of the right to take soil or stone substance, or sales of logging rights, hunting or fishing rights;
- transfer of rights to use rooms, camping sites, cabins or other similar premises in connection with hotel

Even though sales and letting of real estate and supply of easement or similar rights relating to immovable property are exempt from VAT, the following services are taxable at the standard rate:

- sales of goods which have been subjected to restriction of input VAT deduction.
 - items; and
 - transactions concerning bank notes and coins used as a legal tender, with the exception of collector's
 - universal postal service;
 - certain sales made by blind persons;
 - interpretation services for the deaf;
 - self-picked wild berries and mushrooms, sold by the person who picked them;
 - certain cemetery services;
 - fees for using certain copyrights of an author;
 - certain fees to performing artists;
 - lotteries and betting;
 - sales of investment gold;
 - general, vocational and higher education;
 - financial services;
 - insurance services;
 - mentioned below);
 - sale and letting of real estate and rights relating to immovable property (with some exceptions which are
 - social welfare;
 - health and medical care;
- The following exempt supplies do not give the right to deduct or obtain a refund of input VAT:

7.2 Exemptions without right to deduction

The supply of goods within a bonded warehouse is exempt. The possible supplies of services related to goods placed in a warehouse are also exempt, provided that they are supplied within the warehouse. Processing of the goods is however not allowed.

If the goods coming from a non-EU country, which are not declared for release into free circulation, are placed under a bonded warehouse regime, no customs duties and VAT are due. When the goods are released from the warehouse for free circulation, duties and VAT become due.

It is possible to place goods in a bonded warehouse in Finland. A licence obtained by a warehouse keeper from the customs authorities is required for a bonded warehouse in Finland.

7.1.3.3 Bonded warehouse

Excise goods under suspension of excise duties can be stored in an excise warehouse. Supply and transfer of goods, that are meant for certain purposes of equipping an aircraft used in international traffic, to be sold on an aircraft or on a vessel used in international traffic or to travellers travelling to outside the EU, is VAT exempt when the goods are placed in an excise warehouse. Certain mineral oils placed in an excise warehouse are also exempted from VAT.

7.1.3.2 Excise warehouse

VAT becomes due when the goods are released from the VAT warehouse regime. The customer releasing the goods from the VAT warehouse becomes liable for the payment of the VAT. At the same time the warehouse keeper is jointly liable for the VAT except in cases where the warehouse keeper acts in good faith or where no fault or negligence can be imputed to him.

The supplies, intra-Community acquisitions and imports of goods which are placed in the VAT warehouse are exempt from VAT. Also, services performed on the goods in the VAT warehouse are VAT exempt. Processing of the goods is not allowed.

8. Liability

8.1 Reverse charge

In Finland, the reverse charge mechanism is – besides the reverse charge of Articles 44 and 196 of the EU VAT Directive services – applicable to various types of transactions. In addition, there is also the reverse charge for the supply of natural gas and electricity supplied by non-resident suppliers to taxable dealers in Finland.

8.1.1 General reverse charge mechanism - non-resident suppliers (Article 194 Directive)

Reverse charge applies to most services and the supply of goods taxable in Finland made by a foreign taxable person not having a fixed establishment in Finland and to a Finnish established and VAT registered taxable person. This means that the customer is liable to account for the VAT on the supply. The domestic reverse charge cannot, however, be applied in case of the following supplies:

- the customer is a foreign taxable person who does not have a fixed establishment and who is not VAT registered in Finland;
- passenger transport services; and
- admissions to cultural, artistic, sporting, scientific, educational, entertainment or similar events, such as fairs and exhibitions, or of ancillary services related to the admission.

The reverse charge applies to the supply of goods by a foreign established taxable person even if he is VAT registered in Finland, provided that he does not have a fixed establishment in Finland. When the conditions for the applicability as described above are fulfilled, the application of the reverse charge is mandatory. However, the reverse charge cannot be applied if the foreign taxable person has VAT registered through a voluntary VAT registration.

The invoice must show the customer's Finnish VAT number and indicate that the customer is liable for VAT (e.g. the phrase "reverse charge" on the invoice).

8.1.2 Specific domestic reverse charge (Article 199 Directive)

and camping activities and comparable accommodation activities;

- occasional transfers of the right to use conference, exhibition or sports premises or other similar premises;
- rental of parking space for vehicles;
- supply of harbour or airfield facilities for use by vessels or aircraft;
- rental of equipment or a machine permanently installed in a building or construction;
- transfer of rights to use safe-deposit boxes;
- supply of publicity or advertising space, places for amusement machines or soft drink dispensers, or for other similar devices, or for games, or immovable property; and
- supply to the State of comprehensive maintenance services regarding a public road or railroad.

7.3 Option for taxation

Lessor can opt for VAT for letting immovable property if the leased premises are used for activities which give a right to VAT deduction or the end-user is the state, university, university of applied sciences or a provider of private vocational education. VAT-taxable letting of immovable property requires a specific VAT registration. Retrospective VAT registration for letting immovable property is not possible, except in case of letting a new property, in which case the VAT registration can be applied within six months after the new property has been taken into use.

Under certain circumstances it is also possible to opt for VAT for the supply of investment gold. Also performing artists can opt for VAT. It is not possible to opt for VAT on financial services.

8.1.2.1 Construction sector

In Finland, the reverse charge is applied to certain construction services. When the reverse charge applies, the customer is liable to account for the VAT on the supplies of construction services. Construction sector targeted reverse charge is applied when both conditions are met:

- the supply is considered either a construction service or renting of staff for construction services for VAT purposes;
- a service is regarded as a construction service when construction or repair is performed to an immovable property, including the supply of goods relating to such service.
- the scope of the services to which the reverse charge for the construction sector applies is not clearly defined. General guidelines do exist, but there is some room for interpretation. A full case-specific assessment needs to be done. Under the Finnish case law, the scope of the construction sector has been considered to be rather wide;
- the customer is a company supplying construction services or renting staff for construction services more often than occasionally. These rules are also applied if the customer does not carry out construction activities itself but resells construction services to companies supplying construction services more often than occasionally.

These rules apply both to resident and non-resident customers and suppliers. The application of the reverse charge is mandatory when these conditions are fulfilled.

The reverse charge mechanism applies to e.g. the following services connected with immovable property:

- excavation and foundation work;
- construction work;
- construction installation;
- finishing of constructions;
- rental contracts covering both equipment and operator for the construction work;
- on-site cleaning of constructions; and
- supply of staff to a site.

The reverse charge mechanism does not generally apply to e.g. the following services:

- installation of equipment used for production;
- architectural services, planning and design work, other engineering and technical services;
- rental contracts covering only the equipment;
- outdoor cleaning services (including roads, driveways, parks, airports);
- transport; and
- building maintenance.

The invoice must show the customer's Finnish VAT number and include a reference to the reverse charge (e.g. the text "reverse charge – section 8 c of the Finnish VAT Act").

8.1.2.2 Emission rights

The reverse charge applies to supplies of emission rights provided that the customer is VAT registered.

8.1.2.3 Sales of scrap metal and metal waste

The reverse charge applies to supplies of scrap metal and metal waste provided that the customer is VAT registered. The scope of the goods subject to this mandatory reverse charge is determined based on the goods' CN codes.

8.2 Joint and Several Liability

The partners of a general partnership and the general partners of a limited partnership are jointly and severally liable for the partnership's tax. Similarly, the members of a consortium or a ship-owning company are liable for the tax of the consortium or company.

The members of the VAT group are jointly and severally liable for the group's VAT liabilities.

The joint and several liability of a partner, a consortium member and a member of a VAT group begins at the start of the month during which they join the partnership, consortium or VAT group and ends by the end of the month in which they leave the partnership, consortium or VAT group.

9. Recovery of input VAT

9.1 Non-recoverable input VAT

Taxable persons cannot recover VAT on the following:

- goods and services not used for taxable business;
- premises in private or recreational use by a taxable person or its staff, including goods and services connected with it or its use;
- goods and services related to commuting to a regular working place by a taxable person or his staff;
- goods and services used for business entertainment purposes;
- passenger cars, motorcycles, and caravans, as well as goods and services related to their use including but not limited to lease, repairs and fuel; and
- vessels and aircraft which by their structure are mainly intended for recreational or sports purposes, as well as goods and services related to their use.

The restriction on the right to recover VAT on vehicles and vessels does not apply to a vehicle or vessel that has been acquired for sale, rental, or use in professional passenger transport or driving instruction, nor to a passenger car that has been acquired exclusively for use that entitles to a deduction.

9.2 Excess input VAT

Excess input VAT is immediately recoverable and refunded by the tax authorities, potentially after a request for additional verification from the tax authorities.

9.3 Adjustment periods

In Finland, special treatment for capital goods is restricted to construction and renovation services including certain equipment when they become a part of the immovable property as a result of their installation. The adjustment period for construction and renovation services related to immovable property is 10 years. The first year of adjustment is the year in which the construction or renovation work is completed, or the immovable property is taken into use.

9.4 VAT refund to EU taxable persons

The refund application must be submitted electronically through the portal of the tax authorities of the EU Member State in which the taxable person is established.

A taxable person can apply for VAT refund through the portal provided that he does not have a fixed establishment in Finland and he does not perform any taxable activities in Finland other than the following supplies:

- sales subject to the reverse charge mechanism;
- sales to the Finnish state; and
- sale of certain zero-rated transport and related services.

If the taxpayer performs intra-Community supplies, exports or other zero-rated activities in Finland (besides the ones mentioned above), he cannot apply for VAT refund through the refund application. Instead, he is required to register for VAT to refund the VAT.

The annual minimum limit (for applications that are made for a calendar year or the remainder of a calendar year) is EUR 50. The interim minimum limit (for applications that are made for less than a calendar year but at least 3 months) is EUR 400.

The minimum period for an application is 3 consecutive calendar months in one calendar year, unless it is the remainder of the calendar year. The maximum period for an application is a calendar year.

The deadline for the application is 30 September of the year following the year for which the application is made.

Supporting documents (e.g. the original invoices / copies of invoices) are generally not required. However, the tax authorities may request for additional information.

The tax authorities must issue a decision on the refund application within 4 months after receiving the application. The period in which the authorities must make their decision is extended to 6 months or 8 months if the authorities have requested additional information.

If a refund is granted, it will be processed within 10 business days and paid to the bank account number provided to the tax authorities.

If the processing time of the application exceeds what is prescribed, and payment is delayed, interest will be paid on the refund. However, no interest will be payable if the applicant has failed to provide information or additional information requested. The interest rate corresponds to the interest paid on VAT refund payments to Finnish taxable persons.

The restrictions stipulated by the Finnish VAT Law on a taxable person's right to deduct also apply to VAT refunds paid to foreign taxable persons (see paragraph 9.1).

Refund decisions may be appealed by lodging a written appeal. The appeal should be addressed to the Board of Adjustment and sent to the Tax Administration either in Finnish or Swedish. Letters of appeal cannot be submitted electronically.

Appeals should be submitted within 3 years after the end of the calendar year to which the refund period relates. However, the appeal period is always at least 60 days after the date when the decision was communicated to the applicant (excluding the notification day).

9.5 VAT refund to non-EU taxable persons

The right to a VAT refund is not reciprocal, i.e. it also applies to taxable persons from countries without a corresponding refund system.

The taxable person can apply for a VAT refund with the application provided that he does not have a fixed establishment in Finland, and he does not perform any taxable activities in Finland other than the following supplies:

- sales subject to the reverse charge mechanism;
- sales to the Finnish state; and
- sale of certain zero-rated transport and related services.

If the taxpayer performs intra-Community supplies, exports or other zero-rated activities in Finland (besides the ones mentioned above), he cannot apply for VAT refund through the refund application. Instead, he is required to register for VAT to refund the VAT.

The application is made by filling out and submitting an application form in Finnish, Swedish or English.

An original certificate issued by the tax authorities in the applicant's home country stating the nature of the applicant's business operations, issued not more than one year before the application, must be enclosed. The tax authorities may also request additional information such as invoices or import documents.

The annual minimum limit (for applications that are made for a calendar year or the remainder of a calendar year) is EUR 50. The interim minimum limit (for applications that are made for less than a calendar year but at least 3 months) is EUR 400.

The minimum period for making the application is 3 consecutive calendar months in one calendar year, unless it is the remainder of the calendar year. The maximum period for making the application is one calendar year.

The deadline for making the application is 30 June of the year following the year for which the application is made.

It should be noted that a refund can only be made to a bank account in a financial institution located in an EU Member State.

There are no prescribed processing times, but they are usually between 2 to 8 months as of the filing date of the application.

Refund decisions may be appealed by lodging a written complaint addressed to the Board of Adjustment and sent to the Tax Administration either in Finnish or Swedish. Letters of appeal cannot be submitted electronically. Appeals should be submitted within 3 years after the end of the calendar year to which the refund period relates. However, the appeal period is always at least 60 days after the date when the decision was communicated to the applicant (excluding the notification day).

The restrictions in the Finnish VAT Law regarding the right to deduction also apply to VAT refunds for foreign taxable persons (see paragraph 9.1).

10. Administrative obligations

10.1 Invoices

10.1.1 Invoice content

Invoices must contain the following information for VAT purposes:

- date of issue;
- sequential number, based on one or more series, which uniquely identifies the invoice;
- VAT number of the taxable person who supplied the goods or services to which the invoice relates;
- customer's VAT number in case of the reverse charge and intra-Community supplies;
- full names and addresses of the supplier and customer;
- quantity and nature of the goods supplied or the extent and nature of the services rendered;
- date on which the goods or services were supplied or the date on which a prepayment on account was made;
- price exclusive of VAT per VAT rate, displaying the unit price and any rebates, discounts and credits (if not included in the unit price);
- VAT rate applied;
- amount of VAT payable;
- in case of an exemption, a reference to the applicable provision of the VAT Directive, or to the corresponding national provision, or any other reference indicating that the supply of goods or services is exempt;
- where the customer is liable for payment of VAT, the following reference to the reverse charge: "reverse charge" ("käänteisesti verovelvollisuus" in Finnish);
- if the customer has prepared the invoice, the invoice must include a reference to self-billing: "self-billing" (or "itselaskutus" in Finnish);
- in case of a sale of a new means of transport to another EU Member State, the invoice needs to contain

In Finland, electronic invoicing is allowed provided that the invoicing and archiving method meets the requirements set out in VAT and bookkeeping legislation. Taxable persons may choose any form of electronic

10.1.8 Electronic invoicing

Records for supplies under the special scheme for distance sales should be kept for a period of 10 years from the end of the year during which the transactions were carried out.

Invoices may be stored abroad, but they must be accessible from Finland to auditors and authorities without delay. The authenticity of the origin, the integrity of the content and the legibility of the invoices must be ensured from the moment of issue until the end of the period for their storage.

Invoices must be stored for at least 6 years after the end of the year in which the accounting period, to which the invoice relates, ended. Regarding real estate investments, the storage period is 13 years after the end of the calendar year, in which the accounting period to which the invoices relate, ended.

10.1.7 Storage of invoices

In Finland, self-billing is allowed if the supplier and customer have agreed on it and if an approval procedure has been put in place allowing the supplier to approve the invoices. The supplier remains responsible for the correctness of the invoices. Invoices must include a reference to self-billing.

10.1.6 Self-billing

- Simplified invoices may be used in the following situations:
- when the total amount is not higher than EUR 400;
- in retail trade that sell almost exclusively to consumers;
- for restaurant and catering services or passenger transport not meant for resale; and
- receipts issued by parking meters and similar automatic vending machines.

- A simplified invoice must contain the following information:
- date of issue;
- name and VAT number of the supplier;
- quantity and nature of the goods supplied or the extent and nature of the services rendered; and
- amount of VAT payable per VAT rate or taxable amount per VAT rate.

10.1.5 Simplified invoice

Foreign currencies are converted into EUR by using the latest selling price published by a commercial bank or the European Central Bank for the date the VAT becomes due in accordance with the rules on tax point.

10.1.4 Conversion and exchange rate

It is allowed to issue invoices in a foreign currency. The amount of the VAT payable must be in EUR.

10.1.3 Currency

The Finnish VAT Law only sets time limits for invoices for intra-Community supplies and supplies of services for which the reverse charge applies under Articles 44 and 196 of the Directive. For these supplies, invoices must be issued by the 15th day of the month following the month in which the goods were delivered, or services supplied.

10.1.2 Time limits

- the details necessary to identify such goods;
- in case of applying the VAT margin scheme when second-hand goods, works of art, antiques and collector's items or services of travel agents are supplied, the applicable reference:
- margin scheme, second-hand goods ("voittomarginaalijärjestelmä – käytyt tavara" in Finnish);
- margin scheme, works of art ("voittomarginaalijärjestelmä – taide-esineet" in Finnish);
- margin scheme, collector's items and antiques ("voittomarginaalijärjestelmä – keräily- ja antikkiesineet" in Finnish); and
- margin scheme, travel agents ("voittomarginaalijärjestelmä – matkatoimisto" in Finnish);
- in case of taxable supplies of investment gold, an indication concerning this; and
- if an invoice is amended, a reference to the original invoice.

invoicing as long as the authenticity of origin, integrity of content and readability are guaranteed. Customers are allowed to refuse electronic invoices.

10.2 Compliance

10.2.1 VAT return period

In general, taxable persons are required to file VAT returns on a monthly basis. However, taxable persons with an annual turnover of not more than EUR 100,000 may report VAT on a quarterly basis. Furthermore, taxable persons with an annual turnover of not more than EUR 30,000 may report VAT on an annual basis. These longer reporting periods are only available upon application or the tax authorities' decision.

Electronic filing of VAT returns is mandatory. Submission of paper returns is only allowed in exceptional situations.

10.2.2 Filing of a VAT return and payment

The VAT return is due on the 12th day of the second month following the tax period to which it relates. If an annual reporting period is used, the VAT return is due on the last day of February in the following year.

Even if there are no transactions to report, a nil return must be submitted.

The VAT payable is due on the 12th day of the second month following the tax period to which it relates.

A copy of the VAT return can be found at:

<https://tinyurl.com/549pk9mf>

10.2.3 European sales listing

Suppliers selling goods or services to taxable persons in other EU Member States must file a European sales listing (a recapitulative statement). No threshold applies. The due date for filing the European sales listing is the 20th of the calendar month following the month of the supply.

The monthly European sales listing must be submitted electronically. Submission of paper returns is only allowed in exceptional situations.

A copy of the electronic form for European sales list can be downloaded from: <https://tinyurl.com/44xp86az>

10.2.4 National recapitulative statement

When applying the call-off stock simplification, the transfers of goods to the call-off stock in another EU Member State need to be reported in a call-off stock report. This is an enclosure to the European sales listing. The due date for filing the call-off stock report is the 20th of the calendar month following the month of the transfer. The return must be submitted for the month in which the transfer to the call-off stock began.

A copy of the electronic form for call-off stock report can be downloaded from:

<https://tinyurl.com/bdd7dfzw>

10.2.5 Tax assessment period

The tax assessment period is 3 years from the end of the relevant tax period. This means that in the year 2025, the last year open for assessment (payable or reclaimable VAT) is the year 2022.

Under certain circumstances, the tax authorities may extend the period by deciding on an extension before the normal tax assessment period has been reached. This is an exceptional procedure meant for material cases under certain specific circumstances. In addition, in case of tax frauds the tax authorities may impose VAT until the end of the calendar year following the year in which such a crime was prosecuted.

10.3 Penalties

10.3.1 Default penalties for late registration

In Finland an administrative penalty of up to EUR 5,000 may be imposed for late VAT registration.

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

If a VAT return is submitted after the due date, the Tax Administration will impose a late filing penalty of EUR 3 per day for the first 45 days after the due date until the VAT return is submitted (i.e. up to EUR 135). If the return is submitted later than 45 days after the due date, the late filing penalty is EUR 135 plus 2% of the amount of the VAT payable. In case VAT is reported late on a revised VAT return submitted more than 45 days after the due date, the amount of late filing penalty is 2% of the VAT payable not reported earlier. When imposing a late filing penalty, the excess amount of refundable VAT reported is equated with the VAT payable reported late. In any case, the maximum amount of the late filing penalty imposed on the basis of VAT payable is EUR 15,000 per tax period (typically a calendar month).

If a European sales listing is submitted after the due date or if it is incomplete or incorrect, the Tax Administration may impose a penalty amounting to EUR 200. Penalties are usually imposed for continuous failures only, or after failing to meet the tax authorities' specific request to submit or correct a report.

10.3.3 Default penalties for not paying VAT on time to the tax authorities

If VAT has not been paid on time, late payment interest must be paid. Late payment interest is 11.5% in 2025. The rate can be adjusted once a year. Interest will start to accrue on the next day following the due date and it will stop accruing on the date of payment, both days included.

10.3.4 Default penalties on VAT assessment when VAT is not reported correctly

Penalties (so-called 'tax increase') are raised if persons liable for tax have paid less tax than what was due, have submitted incorrect information or have neglected entirely their obligation to submit tax returns.

The amount of the penalty depends on the severity and frequency of the failure as follows:

- typically 10% of the VAT payable;
- in the range of 15 to 50% of the VAT payable when one's obligations are neglected frequently or one's actions evidence disregard for one's tax liabilities;
- 25% for VAT the amount of which is estimated by the tax authorities in the absence of information from the taxable person; and
- fixed amount of up to EUR 200 in cases where there was no VAT payable.

10.3.5 Offence penalties

Please see paragraph 10.3.4 for administrative sanctions in case of gross negligence. If actions are evaluated from a criminal law point of view, criminal sanctions governed by the Finnish Criminal Code may be imposed.

10.4 Intrastat

The monthly Intrastat return must be filed to the Finnish Customs by the 10th working day of the month following the reporting month.

10.4.1 Intrastat threshold

In 2025 the threshold triggering the obligation to provide information is EUR 800,000 for arrivals and EUR 800,000 for dispatches.

10.4.2 Intrastat data to be reported

The following information must be reported:

- statistical period;
- commodity code;
- country of consignment (arrivals)/country of destination (dispatches);
- country of origin;

- nature of transactions;
 - mode of transport;
 - net weight in kilograms;
 - supplementary unit (e.g. litres, items, pairs etc.);
 - invoice value;
 - statistical value (voluntary information); and
 - invoice value/statistical value in another currency and currency conversion;
 - the VAT ID of the trading partner; and
 - the country of origin for departures.
- It is also obligatory to file Intrastat reports for distance sales if the threshold is exceeded.

10.5 Additional compliance requirements

There are no additional requirements.

Information received from:

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France

The European Union (EU) VAT Directive is implemented in France through various legal and regulatory acts aggregated in the “Code Général des Impôts”, i.e. the French Tax Code (hereafter referred to as the “CGI” or “VAT Code”). VAT is referred to in France as “taxe sur la valeur ajoutée” or “TVA”.

1. Taxable persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

As from 1 March 2025, the finance bill for 2025 has introduced a unique yearly threshold of EUR 25,000, for all the transactions carried out, permitting a taxable person to benefit from a VAT exemption and a simplified tax system. If in the year N-1, the taxable person is below the threshold, it can benefit in the year N from the VAT exemption up to EUR 27,500.

All types of transactions (goods and services)	Thresholds (as from 2025)	
	N-1	N
	EUR 25,000	EUR 27,500

However, this threshold is being discussed and is suspended until 1 June 2025. In the meantime, the former thresholds still apply:

Transactions		Thresholds (turnover 2024)	Thresholds (turnover 2025)
Supplies of goods, sales for consumption on the premises and accommodation services (exemption)	EUR 91,900 and EUR 101,000	EUR 85,000 and EUR 93,500	
Other supplies of services (exemption)	EUR 36,800 and EUR 39,100	EUR 37,500 and EUR 41,250	
Specific activities of lawyers, attorneys, authors and artists-performers (specific exemption)	EUR 47,700 and EUR 58,600	EUR 50,000 and EUR 55,000	
Other activities of lawyers, attorneys, authors and artists-performers (specific exemption)	EUR 19,600 and EUR 23,700	EUR 35,000 and EUR 38,500	

Small French established taxable persons are entitled to benefit from the VAT exemption scheme in the other EU countries provided that the transactions remain under the below thresholds:

- The thresholds conditions in France that will be in force from 2025;
- The turnover threshold covering the entire EU of EUR 100,000.

The registration application must be submitted on the Electronic Business Formalities Counter (“Guichet unique”) (<https://formalites.entreprises.gouv.fr/>), which is operated by the National Institute of Industrial Property (INPI).

Further information can be downloaded at the following link: <https://tinyurl.com/2pzdxxv9>

1.2 Registration threshold & SME Scheme for foreign taxable persons

There is no registration threshold for foreign legal entities which need to register for VAT purposes in France except when they benefit from SME Scheme.

The following operations trigger a VAT registration: domestic sale of goods to customers not VAT registered in France, intra-Community supply of goods from France, intra-Community acquisition of goods in France, export of goods from France, supply of services with a place of supply in France to customers not VAT registered in France, importation of goods in France, subcontracting on construction work.

EU taxable persons can register directly or through an agent. Depending on their country of establishment, non-EU taxable persons may have to register directly or possibly through an agent or may have to appoint a fiscal representative (see paragraph 1.4).

1. EU companies and non-EU companies established in a country having a legal instrument on mutual assistance with France should register directly or through a tax agent via the Electronic Business Formalities Counter (Guichet unique) (<https://formalites.entreprises.gouv.fr/>) and enclose the following documents online:
 - power of attorney designating the tax agent, if any, and signed by a person who is duly entitled to represent the non-resident taxable person (a copy of the power of attorney is sufficient);
 - proof of identity (front/back) of the representative of the agent with handwritten mention of attestation on honor of conformity to the original, dated and signed;
 - a copy of the articles of association or by-laws of the taxable person in its original language;
 - unofficial translation into French of main items (legal form, partners, manager, registered capital, corporate purpose). If the articles of association are written in a language of a non-EU country, the tax authorities can request a sworn translation;
 - a copy of the passport or identity card of the person(s) who sign(s) the registration form for sole proprietorships only (unless the registration is made through a VAT agent);
 - certificate of VAT liability, if applicable, in the country in which the company has its registered office or principal place of business; and
 - an excerpt from the Trade Register of the taxable person or equivalent in its country of establishment (recommended).

In some cases, the foreign taxable person must also provide a contract, estimate, invoice or any other document proving existence of his business in France.

2. Non-EU taxable persons established in a country having no legal instrument of mutual assistance with France should register through the appointment of a tax representative.

Before applying for a VAT registration, the appointed fiscal representative must be first accredited by its local tax office (see also paragraph 1.4).

The VAT registration application is then submitted via the Electronic Business Formalities Counter (Guichet unique) (<https://formalites.entreprises.gouv.fr/>). The same documents as listed in above section for EU companies and non-EU companies established in a country having a legal instrument on mutual assistance with France are required.

The French Tax Authorities usually take from several days up to 2 months to issue a French VAT identification number. A retroactive VAT registration is only possible in France in certain cases and upon acceptance by the authorities.

1.3 VAT grouping

1.3.1 VAT Group

The optional VAT grouping regime ("assujéti unique" in French) based on Article 256 C of the VAT code (transposing Article 11 of the EU VAT directive) is only reserved to members established in France (fixed establishments located abroad are excluded) or fixed establishments in France of foreign companies, which are linked from a financial, economic or organisational standpoint.

Option must be made by 31 October of the preceding year and will last at least 3 years with the same perimeter. Then additions and the exit must be declared by 31 October of the preceding year. The list of members must be notified by 31 January each year.

Members will lose their independent status of taxpayer as the group is the unique taxable person with a specific VAT number. Members are defined as sectors of activity (notably for options for taxation in the financial sector) and remain jointly liable for the payment of the tax.

There is no specific rule regarding the supplies among group members. The rules applying to operations between totally distinct taxable persons also apply to supplies among group members. Pure holding companies cannot make part of the VAT group.

1.3.2 VAT consolidation

France implemented an optional VAT consolidation regime. It only allows pooling the debit/credit VAT positions of the companies belonging to the group in order to provide a cash advantage.

The application of such regime is subject to the following cumulative conditions:

- each member of the group, including the head taxable person, must file electronic corporate tax returns to the "Direction des Grandes Entreprises" (DGE) which are the relevant authorities for large companies (with a turnover exceeding EUR 400,000,000). Non-established taxable persons carrying out taxable operations and having appointed a fiscal representative in France cannot be affiliated to the DGE even if the fiscal representative is affiliated to the DGE;
- the VAT consolidation regime in France is an option whereby each member must elect to participate in the VAT consolidation group. The option is applied by the head taxable person after having received the express agreement of the members to participate in the VAT consolidation group. The option takes effect as of the first day of the first following accounting period and must be made prior to the beginning of this accounting period;
- the head taxable person must hold at least 50% of the capital or voting rights of each member. This holding must be continuous over the period covered by the option;
- the accounting periods of the members must start and end on the same dates; and
- the members must be registered under the same VAT regime ("régime réel normal") and file monthly VAT returns.

If one of the above-mentioned conditions is not met, the VAT consolidation regime ceases to apply. Under the VAT consolidation regime, the following rules apply:

- each member of the group, including the head taxable person, has its own VAT registration number and must file its own periodical VAT return. The members are, however, relieved from the payment of VAT, if any. Also, a VAT credit incurred by a member during the period of application of the VAT consolidation regime cannot be carried over on the next VAT return of the said member. The VAT credit can only be used by the head taxable person as stated below; and
- the head taxable person of the VAT consolidation group aggregates the VAT debits and VAT credits incurred by each member of the group, i.e. the head taxable person files, in addition to its own VAT return, a single VAT return on a monthly basis stating the balance between all tax due and all tax credits generated by the members of the group. If the balance is positive, the head taxable person must pay the VAT due. If the balance is negative, the head taxable person can either carry forward this VAT credit to the next single VAT return or ask for its refund.

Although the liable entity of the VAT consolidation group towards the French authorities is the head taxable person, each member remains jointly liable for payment of VAT and corresponding penalties, if any.

There is no specific rule regarding the supplies among group members. The rules applying to operations between totally distinct taxable persons also apply to supplies among group members.

1.4 Fiscal representative

Non-EU established taxable persons must VAT register by appointing a tax representative duly accredited by the French tax administration. The representative is personally liable for the payment of VAT to the French tax administration. The accreditation process takes into consideration the fiscal morality, the technical capacity and the financial solvency of the tax representative.

This obligation to appoint a tax representative in France is waived for non-EU taxable persons which are established in countries with which France has a legal instrument of mutual assistance similar in scope to that laid down by EU law (Directive 2010/24/EU dated 16 March 2010 and Council Regulation Nr. 904/2010 of 7 October 2010).

The list of those countries is stated in a Ministerial Order dated 16 February 2021 (entry into force on 27 February 2021):

- Antigua and Barbuda
- Armenia
- Aruba
- Australia
- Azerbaijan
- Bosnia and Herzegovina
- Cape Verde
- Cook Islands
- Curaçao
- Dominica
- Ecuador
- Faroe Islands
- French Polynesia
- Georgia
- Ghana
- Grenada
- Greenland
- India
- Iceland
- Jamaica
- Japan
- Kenya
- Kuwait
- Mauritius
- Mexico
- Moldova
- Nauru
- New Zealand
- Niue
- North Macedonia
- Norway
- Pakistan
- Republic of Korea
- Saint Barthélemy
- Saint Martin
- Sint Maarten
- South Africa
- Tunisia
- Turkey
- Ukraine
- United Kingdom of Great Britain and Northern Ireland
- Vanuatu

Non-EU taxable persons established in a country mentioned in this list must VAT register under the same procedure as EU taxable persons.

The appointment of a fiscal representative is also required in the frame of the 13th Directive VAT refund procedure for all non-EU companies.

As of 1 January 2019, non-EU taxable persons (except those established in the countries listed in above-mentioned Ministerial Order dated 16 February 2021) are compelled to designate a single and unique fiscal representative for the reporting and obligations of all taxes referred to in Article 302 decies of the VAT Code (VAT, WHT etc.).

1.5 Limited fiscal representative/ Agent

The limited fiscal representative ceased to exist as of 31/12/2024.

The limited fiscal agent regime for foreign companies with no obligation to appoint a fiscal representative is maintained.

A limited fiscal representative ("Mandatataire fiscal ponctuel") can be appointed by EU taxable persons (and those established in the countries listed in above-mentioned Ministerial Order dated 16 February 2021) performing exclusively the following operations for which no VAT is due:

- the release of goods from a customs or VAT warehouse, when the goods are immediately followed by an export or an exempt intra-Community supply (Article 277-A- II-4 of the VAT Code); and
- imports of goods which are immediately followed by an exempt intra-Community supply after customs clearance (Article 29 I-III-4° of the VAT Code; customs regime 4200).

The limited fiscal agent must be established and VAT registered in France. It must be accredited by the tax office for foreign residents (DINR).

A non-EU taxable person can appoint different limited tax representatives for each of the above-mentioned transactions (e.g. when they are performed in different places).

The limited fiscal representative is granted a specific VAT number dedicated to the above-mentioned operations performed by all non-EU taxable persons he may represent. He must file a quarterly return to the tax office for foreign residents (DINR) including all the operations performed by the EU taxable persons he represents, as well as monthly Intrastat returns and European sales listings.

1.6 New Mandatataire regime for imports

This regime is implemented as from 1 January 2025.

This regime is implemented in France since 01/01/2025 (Art. 289 A bis of the French tax code).

A company which is not established nor VAT identified in France can appoint one or more Mandatataires ('agents') who will take care of its import VAT obligations (filing returns, payments, VAT recovery or refund, keeping ledgers). This regime applies when the sole operations carried out by this business are:

- imports for which VAT is fully deductible;
- transactions on goods with third countries on which VAT does not apply (zero-rated, exempt from payment or suspended), referred to in new Article 95 ter of annex III to the French tax code.

The Mandatataire must meet all the conditions below:

- He must be established in and VAT identified in France since at least 1 year and be accredited as Mandatataire by its tax office.
- He must not have committed, himself or his manager(s) in the case of a legal entity, serious or repeated breaches of tax provisions, nor have been sanctioned for a management error that contributed to a shortfall in assets or for personal bankruptcy, nor have been prohibited from managing the company

The French official documentation states that the notion of a transfer of a going concern should be interpreted in the light of the ECJ Case Law. This notion represents "the transfer of a business or an independent part of a business, including tangible elements and, if necessary, intangible elements which, together, constitute a business or part of it capable of carrying on an autonomous economic activity." The transfer of going concern does not cover the transfer of goods and services made in favour of a taxable person who does not want to operate the business and who will immediately liquidate the business concerned. This is the case when there is a simple transfer of assets without any transfer of business or restructuring.

Also regarded as transfer of a totality of assets or part thereof, is the transfer of part of the assets, for example, during the restructuring of a group (provision of a complete industry, including complete industry composed of all the elements invested in a division of the company which is technically an independent business, that is to say an entity capable of functioning by its own means under conditions qualified as normal in the sector concerned).

When the transfer takes place between two taxable persons, this transfer is outside the scope of VAT (Article 257 bis of the VAT Code). In this situation, the transferee is regarded as the successor of the transferor regarding the adjustments of input VAT on capital goods which may be necessary in the future. As a consequence, this condition of being the successor in case of future regularizations implies that the transferee is a taxable person VAT identified in France.

The transferor and transferee must declare this transaction in their French VAT return on line E2 "Autres opérations non imposables" ("Other non-taxable operations").

According to the second paragraph of Article 257 bis of the VAT Code, the transfers, for VAT purposes, implied by the membership or withdrawal of a taxable person as a member of a VAT group in accordance with Article 256 C of the VAT Code, also benefit from the provisions of this article.

2. Taxable transactions

2.1 Transfer of business

The Mandataire will have 2 separate VAT filing obligations, one under its standard French VAT registration for its own operations, the other one under its global VAT number as Mandataire for the operations performed by the foreign company.

Under this regime, the foreign company operates in France under the specific global VAT number that is assigned to its Mandataire. The foreign business does not need to get its own French VAT number.

The Mandataire bears all the obligations (filing, payment, ledgers) on the transactions declared for the foreign company. He is personally liable for any tax or penalties due. He must keep a registry of the operations performed by the foreign company.

The Mandataire must have filed for at least 1 year periodical VAT returns.

- He has a written mandate from the foreign company, specifying the period of application and the conditions under which the principal entrusts goods in France to the Mandataire.
- The goods must be consigned to the Mandataire in the frame of an agreement for a consignment-stock, work on goods, assembly, processing, renting, storage, or transit to another territory than France.

The Mandataire bears all the obligations (filing, payment, ledgers) on the transactions declared for the foreign company. He is personally liable for any tax or penalties due. He must keep a registry of the operations performed by the foreign company.

2.2 Supplies free of charge

- Gifts of small value

The supply of goods as gifts for which VAT was deducted upon acquisition or manufacture does not give rise to a taxable operation/self-supply when the following two conditions are simultaneously met:

- the value of the goods offered must not exceed the amount set by Article 23 N of Annex IV to the VAT Code per object and per year for the same beneficiary (in 2025, the amount is EUR 73 tax included, the amount will be updated from January 2026);
- the application of goods is done for business purposes. If this is not the case, the self-supply is taxable regardless of the value of the good provided as a gift (for example, withdrawal for the private needs of a manager).

When these conditions are met, the right of deduction initially exercised, remains.

- Samples

Samples or specimens taken for business purposes do not give rise to taxation for self-supplies, nor to the challenge of the deduction of the tax charged on these goods, whatever their value.

The French administration provides a stricter definition of the goods concerned compared to the ECJ.

According to the French tax administration guidance, samples are small quantities of goods intended to give an idea of the products available on the market, which are given free of charge to potential customers in a packaging different from that of the products marketed, which makes them unfit for sale. Thus, in the field of perfumery and cosmetics, a good constitutes a sample if its capacity is small (for example, between 2 ml and 10 ml) and if it bears the notice "not for sale". The provision of a good free of charge which does not correspond to this definition triggers a self-supply, subject to the rules applicable to gifts (see above), and the tax payable is not deductible.

The French administration applies the same rules to "specimen" products, i.e. goods identical to the goods marketed, distributed in limited numbers to certain people who are able, because of their professional activity, to make them known to the public. Provided that the word "specimen" is clearly and indelibly affixed to the product, it is mentioned "not for sale" and that the number of similar specimens given free of charge by a company to the same person is justified (with regard to specimen discs and cassettes, professionals can thus distribute to the same radio station or television channel up to five copies of the same recording per year, and a single copy for other categories of beneficiaries: music critics, specialized magazines, discoteques), the distribution of specimens does not trigger a self-supply. Distributing companies must keep a list of recipients of the specimen which mentions the commercial quality of the latter.

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

It is possible to apply an exemption for the VAT on importation when the importation is followed by immediate intra-Community supplies or transfers which can be qualified as deemed intra-Community supplies. The customs regime "4200" should be used.

In order to apply the regime 4200, the taxable person must be VAT registered in France.

EU taxable persons and non-EU taxable persons exempt from tax representation can appoint a limited fiscal agent.

2.3.2 Postponed accounting on importation

This regime is compulsory.
As from 1 January 2022, the import VAT is deferred to the VAT return and is declared and paid to the tax authorities instead of to Customs.

It applies to any business importing goods into France.

For foreign companies, obtaining a VAT number prior to carrying out imports is an obligation.

The postponed accounting takes the form of a deferment on the VAT return called "reverse charge on import" in France. The VAT return is in principle pre-filled with the elements declared to Customs on the import documentation (VAT number of the importer for VAT purposes).

3. Place of supply

3.1 Consignment and call-off stock

A call-off stock transaction refers to the situation whereby a supplier sends goods to a stock in another EU Member State for an already known intended acquirer, the transfer of ownership of these goods to that acquirer being postponed to a further event in the destination state when the acquirer takes out the goods from the call-off stock.

If certain conditions are met, the supplier does not perform a transfer of own goods followed by a domestic supply, but an intra-Community supply to his customer.

This simplification must be used if all the conditions are fulfilled. The former VAT simplification arrangement implemented by the French tax authorities, which was applicable as an option, is therefore no longer in force since 1 January 2020.

The French VAT legislation is generally in line with the articles introduced in the EU VAT Directive.

3.2 Installation supplies

Certain construction and installation supplies are treated as supplied where they are constructed or installed.

Article 258 1 b of the VAT Code states:

"The place of supply of movable goods is located in France when the good is in France during assembly or installation by the vendor or on his behalf".

When the goods are assembled or installed in France before the delivery takes place, the operation qualifies as a supply of goods taxable in France and not as a supply of services. The reverse charge applies if the customer is registered for VAT purposes in France (whether he is established or not) and the supplier is not established in France, even if he is registered for VAT in France (see also paragraph 8.1.1).

3.3 Distance sales threshold

From 2021, the rules and thresholds for distance sales (both intra-Community distance sales and distance sales of imported goods) have been harmonized across the EU.

The yearly distance selling threshold for sales to customers in other EU Member States without a VAT registration number (e.g. private individuals or PBRD) is now EUR 10,000 for intra-Community distance sales. Turnover generated from the supply of "electronically supplied services", telecommunications services and broadcasting services are included in the EUR 10,000 threshold. A threshold of EUR 150 per consignment applies for the application of the special scheme for distance sales of imported goods.

3.4 Simplified triangulation rules

Under the French VAT legislation, the simplified triangulation rules apply when the following conditions are met:

- (a) if France is EU Member State of arrival of the goods;
- the middleman must neither be established in France nor registered for VAT purposes in France;

- (b) if France is the Member State of middleman B (B is using its French VAT number);

- the middleman must be established or VAT identified in France. He must not be established in the EU Member State of arrival.

The French tax administration guidance has been amended further to the ECJ decision C-580/16, Firma Hans Buhler mentioning that the simplification cannot be applied when B, established in the EU, is identified for VAT in several EU Member States and uses for the acquisition in question the VAT identification number issued by the EU Member State of dispatch or arrival of goods.

However, the paragraph in the French tax administration guidance which concerns France as the country of arrival of the goods, still mentions that the middleman must not be established or identified in France and must not have appointed a representative there in application of I of Article 289 A of the VAT Code. Article 258 D of the VAT code still mentions this condition and it has not been amended.

3.5 Acquisition threshold

The threshold for the intra-Community acquisitions of goods by non-taxable legal persons, taxable persons engaged only in activities not giving rise to VAT deduction and flat-rate farmers is EUR 10,000 per year. Below this threshold, the intra-Community acquisitions are not subject to VAT.

However, the following transactions are subject to VAT in any case: intra-Community acquisitions of new means of transport and intra-Community acquisitions of products subject to excise duties (tobacco, alcohol and mineral oils).

All intra-Community acquisitions made by these persons must be taken into consideration for the calculation of the threshold. The threshold can only apply when it has not been exceeded during the previous year.

3.6 Effective use and enjoyment

France has implemented the use and enjoyment rule of Article 59a of the EU VAT Directive under Article 259 C of the VAT Code but only in respect of certain type of B2C services. There are also certain B2B services falling under the Use and Enjoyment rules. However, they have not been implemented in the VAT Code. Article 259 C 1° of the VAT Code provides that for services other than those referred to in Articles 259 A (except those considered at 259 A-1°-c) and 259 D of the VAT Code, the place of supply of services is deemed to be located in France when the services:

- are supplied to non-taxable persons established, domiciled or habitually resident in an EU Member State;
- are supplied by a supplier who has established his business or has a fixed establishment from which the services are provided outside the EU or, in the absence of such place of establishment or fixed establishment, is domiciled or habitually resident outside the EU; and
- are effectively used and enjoyed in France.

The use and enjoyment rule of Article 259 C 1° of the VAT Code does not apply to the following services:

- transport of goods, including intra-Community transports and accessories for these transport services;
- transport of passengers;
- expertise or work on movable property;
- services provided by intermediaries acting in the name of and for the account of others;
- rentals of means of transport, with the exception of long-term rentals of pleasure boats;

- services connected with immovable property;
 - cultural services, artistic, sporting, scientific, educational, entertainment or similar activities such as fairs and exhibitions, including the services of the organizers of such activities, as well as services incidental to these activities;
 - sales for consumption on the premises;
 - the single supplies of travel agencies;
 - services provided by electronic means;
 - telecommunications services; and
 - radio and television broadcasting services.
- In addition, Article 259 C 2° of the VAT Code provides that rental of means of transport other than short-term rental supplied to non-taxable persons established or domiciled or habitually resident outside the EU, is taxable in France when the means of transport is effectively used in France, regardless of the place of establishment of the supplier.
- Article 259 C 2° of the VAT Code is not applicable to rental other than short term of pleasure boats if the boat is actually made available to the customer in another EU Member State where the supplier has established his business or has a permanent establishment from which the services are provided, even if the boat is used in France.
- Finally, 3° of Article 259 C of the VAT Code provides that the rental of movable property, other than means of transport, to a non-taxable person established or having his domicile or habitual residence outside the EU, is taxable in France if the rented movable property is actually used in France.
- The criteria of use and enjoyment take into account the nature of each service referred to in Article 259 C of the VAT Code.
- In the French tax administration guidance, for example, the following B2C services are regarded as located in France if effectively enjoyed and used in France:
- advertisements when the location from which the advertising messages are transmitted to the target audience is located in France, that is to say, in particular as part of a billboard advertising campaign, if the advertising panels are located in France, or as part of a press campaign if the written media is distributed primarily in France, or as part of an audiovisual campaign, if the media broadcasts to the French public;
 - long-term hiring out of means of transport for the distance covered in France; and
 - leased movable property when made available to the lessee in France.
- The services supplied by a supplier established in France to non-taxable local public entities established outside the EU should normally be taxable in France under the general B2C rule. However, the French tax administration guidance mentions that these services must be considered as being located outside the EU, since the use of the services is located on the territory of these entities.
- Long-term hiring out of means of transport other than pleasure boats is taxable in France when:
- the customer is established in France, no matter the place of establishment of the supplier and the place of use of the service; or
 - the customer is established outside the EU and the service is used in France, no matter the place of establishment of the supplier.
- The use and enjoyment rule of Article 59(a) is also implemented for certain B2B services, not by the VAT Code but by the French tax administration guidance. The following B2B services supplied to a taxable person established in France are not subject to French VAT if effectively used or enjoyed outside the EU:
- transport of goods and related commissions;
 - conveying of means of transport for the purposes of transport of goods;
 - leasing of vehicles and materials for the purposes of transport of goods;
 - storage, handling, loading and unloading of goods; and
 - repair, transformation, adaptation or processing services when such services concern goods which were subject to VAT at the time of importation or re-importation by application of the paragraph 1 of Article 292 or of Article 293 of the VAT Law (in case of outward processing performed outside the EU).

4. Chargable event & chargeability of VAT

4.1 Principles

In the case of a supply of goods, the chargeable event occurs when the power to dispose of the goods as an owner is transferred. As soon as the transfer of the power to dispose of the goods as an owner takes place, in other words, as soon as the tangible personal property enters into the power and possession of the purchaser, VAT becomes due, regardless of when the transaction is paid. In general, the rules of private law must be applied. The transfer of the power to dispose of property as an owner generally occurs when consent is exchanged, even if the property has not been delivered or the price has not been paid.

However, the parties may delay the formation of the contract and thus the transfer of ownership by including a condition precedent in the contract. In this case, the transfer of ownership only takes place when the condition is fulfilled. This type of clause must be distinguished from a resolutive condition in which the transfer of ownership occurs at the time of the conclusion of the contract, which can be terminated retroactively if the condition is fulfilled. The tax consequences are as follows:

- in the case of a sale under suspensive condition, the taxable and chargeable event occurs only when the condition is fulfilled;
- in the case of a sale subject to a resolutive condition, the taxable and chargeable event occurs as soon as the consents are exchanged.

In the case of intra-Community transactions, VAT becomes due at the latest on the 15th of the month following the one during which the chargeable event occurred, i.e. the supply took place. VAT is however due on the date of issue of the invoice provided that this date precedes the chargeability rule supra (i.e. 15th of the month following the one during which the chargeable event occurred) and that it is not an advanced payment invoice.

In the case of a supply of a service which falls under the main rule of Article 44 of the EU VAT Directive, VAT is due at the time the chargeable event occurs. The chargeable event occurs at the time the service is rendered.

In the case of a supply of a domestic service which does not fall under the main rule of Article 44 of the EU VAT Directive, VAT is due at the time of collection date. In practice, the collection date is the date on which the payment for the services is made by the purchaser to the supplier.

For any type of services rendered, the tax is payable, as a rule, upon the receipt of advance payments, price, remuneration.

4.2 Advance payments

There used to be a distinction between advance payments received for goods and for services.

In the case of advance payments received for the supply of goods, prior to 1 January 2023, there was no chargeable nor taxable event, unless it was contractually agreed that a transfer of title occurred as and when an advance payment invoice was issued or received. From 1 January 2023, VAT is due at the time of receipt of these advance payments up to the amount received. This rule applies automatically to advance payments collected from 1 January 2023 on all contracts in progress on this date.

1. The supplier can add a specific item on the invoice explaining that the VAT corresponding to the price actually paid can be deducted by the customer:

The financial rebates in case of early payment (conditional discount) stated on invoices may be treated according to different procedures:

5.2 Cash Discounts

The VAT is declared on line 21 of the French VAT return.

The VAT paid on these invoices must be deducted before 31 December of the second year following the year during which the debt became irrecoverable.

The taxable person must send to the customer a copy of the invoice disclosing a specific wording: "facture demeurée impayée pour la somme de EUR... (prix net) et pour la somme de EUR... (TVA correspondante), qui ne peut faire l'objet d'une déduction (Article 272 du Code Général des Impôts)" ("Unpaid invoice for the amount of EUR... (price net of VAT) and for the amount of EUR... (VAT amount), for which the VAT deduction is not allowed (Article 272 of the VAT Code)").

In practice, a debt is regarded as definitively bad debt at the moment the taxable person, having used legal actions, enters the debt in a final charge account.

In France, bad debt relief is available to taxable persons, provided that they prove by any means that the amount not yet paid by the customer is definitively irrecoverable.

5.1 Bad Debt Relief

5. Taxable amount

As mentioned above, in the case of a supply of a domestic service which does not fall under the main rule of Article 44 of the EU VAT Directive, VAT is due at the time of collection date. Suppliers can however choose to opt for the payment of VAT upon debits. The debit option allows that persons who provide services for which the tax is in principle due at the time of payment, may be authorized to pay the tax according to their debits (that is to say at the time of the registration of the corresponding amounts to the debit of the accounts receivable). In practice, this corresponds to the invoice date, provided that the invoice date is not later than the collection date. If the invoice date is later than the collection date, the collection date should be used. In case advance-payments are received from the purchaser, the tax point remains the payment date, even if the option upon debits has been exercised.

4.4 Cash accounting

Services ongoing over a period of more than 1 year, that do not give rise to settlements or payments in Directive, are regarded as being supplied on the expiry of each calendar year up to the time the provision of the services ceases.

In the case of continuous supplies of goods giving rise to successive statements or payments, up to the value covered by these statements, VAT is due on the last day of each period to which the statements or payments relate, or at the time of the invoice if the supplier opts for the payment of VAT upon debits.

4.3 Continuous supplies

In the case of advance payments before services are supplied, VAT is due at the time of receipt of these advance payments.

The standard rate in France is 20%.	
6.1 Standard rate	
6. VAT rates	
With regard to returnable packaging, the French tax administration guidance allows businesses to not include the consideration received for the supply of returnable packaging in the taxable amount of the total supply, provided that the VAT relating to the amount of the returnable packaging has not been invoiced and that the packaging delivered to customers is returned within the time limit customary in the profession in question. This period may vary according to the nature of the marketed products and the capacity of the packaging. Once this period has elapsed, the returnable packaging must be included in the taxable amount. When returnable packaging is not returned and cannot be considered as ancillary to the good, it is considered as sold at the consignment price and taxed according to its own regime.	
5.4 Returnable Packaging	
5.3 Open Market Value	
France has not implemented the option for Member States to use the 'open market value' as the taxable amount for specific transactions. The above rules are applicable to suppliers of goods and suppliers of services who opted to pay the VAT upon debits (i.e. on the basis of the invoice date in practice). When the supplier of services pays the VAT according to the common local rule, i.e. when the payments are received (tax point for domestic services in France, other than those referred to in Art. 44 of the VAT Directive and for which the customer established in another EU Member State has to reverse-charge VAT there), he should normally only pay the VAT on the payment received. He would then apply one of the procedures described in points 1 or 3 above to regularize the invoice issued.	
3. No specific item added by the supplier: In this case, the supplier must pay the VAT on the total amount of the invoice when the VAT is due. The customer can deduct the VAT on the total amount mentioned on the invoice. If the customer met the requirement in order to benefit from the financial rebate, the supplier must issue a credit note for the amount of the rebate. Accordingly, the supplier will be entitled to recover from the State the amount of VAT mentioned on the credit note and correspondingly, the customer will have to repay the VAT mentioned on the credit note to the State.	
2. The supplier can add a specific item explaining that he renounces offsetting VAT relating to the discount offered: In this case, the supplier must add on his invoice that the discount is net of tax, "escompte net de taxe". The supplier will pay the VAT on the price mentioned on the invoice and the customer will be entitled to deduct the VAT mentioned on the invoice.	
In this case, the customer would be entitled to deduct only the VAT relating to the price paid. The supplier will pay the VAT on the price paid by the customer after discount. The additional statement can be for example: "En cas d'escompte pour paiement sous 14 jours, celui-ci sera déduit de notre chiffre d'affaires taxable. Le montant de la TVA déductible doit être diminué de la TVA sur l'escompte" (If discount for payment within 14 days, it will be deducted from our taxable turnover. The amount of deductible VAT must be reduced with the VAT on the discount). This specific mention allows the supplier to pay the VAT only on the price effectively paid without issuing a corrective document.	

6.2	Reduced rate	The reduced rate in France is 5.5% and applies for instance to: • foodstuffs intended for human consumption, products normally intended to be used in the preparation of these foodstuffs and products normally used to supplement or replace these foodstuffs, except certain products (some chocolates, sweets, alcoholic beverages etc.); • gas and electricity subscriptions under specific conditions; • certain live shows, except those where one usually consumes food and beverages; • access rights to video-games competition; • supply of heat produced by at least 50% from renewable energy; • certain operations (supplies of housing and land) made under a social policy; • goods and services for disabled persons; • catering in school canteens; • transactions, including the rental of books on any kind of physical media, including downloaded books; deliveries of works of art, collectors' items or antiques under specific conditions; • access rights to movie theaters and certain assignments of copyrights on cinematographic works, zoos; works improving energy efficiency of housing as well as construction and renovation of social housing; • provided that the buildings are at least two years old (fuel and gas heaters excluded); • supply of accommodation and food in certain types of establishments (social residences and services etc.); • admission fees to sporting events; • feminine hygienic protection products; • male and female condoms; • certain live shows given in places where one usually consumes beverages (establishments affiliated to Centre national de la musique) and to certain original musical performances in establishments where beverages are optionally served; • self-tests for detection of human immunodeficiency virus and diabetes; • collection and sorting of household wastes; • certain installation and maintenance services for charging infrastructure for electric vehicles; and the teaching and practice of horse riding, entertainment and demonstration activities for the purpose of discovering the equestrian environment.
6.3	Intermediate rate	The 10% rate applies for instance on: • restaurants (except alcoholic beverages) and company restaurants; • certain takeaway or delivery of food prepared for immediate consumption; • hotel accommodation and campsites; • certain transactions and supplies related to social housing; • certain construction and renovation works on buildings; • care in thermal establishments; • passenger transport; • supplies of pharmaceutical and medical products for human consumption which are not subject to the super reduced rate; • private TV subscription; • certain shows, games and entertainments; • certain sales of intellectual rights by authors and artists; • fertilisers and limestones amendments, controls, labels and pesticides for bio products; • organic fertilizers issued from agriculture; • certain public services; and • wood related products for heating and ornamental plants.
6.4	Super-reduced and zero rates	France applies a specific rate of 2.1% for instance on: • press publications, including online; • TV license fee; • specific medication and blood products;

- some theatrical and circus performances; and
 - live animals for butchery sold to non-taxable persons.
- Other rates apply in overseas departments as well as in Corsica: applicable rates in Corsica: 0.9%, 2.1%, 5.5%, 10%, 13%, 20%; applicable rates in Overseas Departments (Martinique, Guadeloupe, La Réunion (territories of Mayotte and Guyane are not subject to VAT): 1.05%, 1.75%, 2.1%, 8.5%.
- The following supplies and services are VAT exempted with the right of deduction:
- insurance operations, reinsurance and brokerage transactions on insurance and reinsurance when they relate to the insured or reinsured domiciled or established outside the EU or to exports of goods;
 - banking and financial operations mentioned in points A to E of Article 261 C of the VAT Code when rendered to persons domiciled or established outside the EU or relating to exports of goods;
 - exports and intra-Community supplies of goods;
 - goods supplied to travellers resident outside the EU under certain conditions and services supplied by tax refund operators using the public platform;
 - the supply of services consisting in work on movable property acquired or imported to be subject to work and dispatched or transported outside the EU by the service provider or the customer established outside France or for their account;
 - deliveries, processing, repair, maintenance, chartering and hiring of:
 - commercial sea vessels used for navigation on the high seas;
 - vessels used for industrial activity on the high seas; and
 - vessels used for professional sea fishing; sea boats for rescue or assistance.
 - deliveries, hire, repair and maintenance of objects intended to be incorporated in these boats or used for their operation at sea, as well as gear and nets for sea fishing;
 - deliveries, processing, repair, maintenance, chartering and hiring of the aircraft used by airlines whose services to or from abroad (including communities and overseas departments sea, excluding metropolitan France), represent at least 80% of the services they operate;
 - deliveries, hire, repair and maintenance of the objects intended to be incorporated in these aircraft or used for their flight operations;
 - the supply of goods for provisioning of vessels and aircraft designated above, as well as warships, as defined in 89-01 subheading of the Common Customs Tariff, excluding vessels used for inshore fishing;
 - the supply of services to meet the direct needs of the vessels or aircraft designated above and their cargoes;
 - air and sea passenger transport to and from foreign destinations or communities and overseas departments;
 - rail passenger transport to and from foreign destinations, as well as transport of passengers by international trains and on relations including certain routes (the list is determined by joint order of the Minister for the Budget and the Minister of Transport);
 - road transport of foreign travellers coming to and from abroad, travelling in groups of at least 10 people; transport between mainland France and Corsica for the part of the journey located outside the continental territory;
 - transport of goods to and from Madeira and the Azores;
 - the supply of gold to the issuing institutions;
 - the supply of services relating to the importation of goods into France or another EU Member State whose value is included in the importation tax base;
 - supplies of goods and services carried out within the framework of diplomatic and consular relations, for the benefit of certain European organizations, including the EU, and for the armed forces;
 - the services supplied by travel agencies and tour operators for the portion relating to services performed outside the European Community;
 - supplies of goods to taxable persons referred to in Article 256-V-2°-b of the VAT Code (taxable persons

7. Exemptions

7.1 Exemptions with the right of deduction

- who facilitate, through the use of an electronic interface such as a marketplace, platform, portal or similar device, the supply of goods within the EU by a taxable person not established within the EU, to a non-taxable person);
- the services rendered by intermediaries acting in the name of and for the account of others when involved in transactions exempt under Article 262 of the VAT Code as well as in transactions outside the territory of the EU Member States (not applicable to travel agents and tour operators);
 - imports of goods previously under a suspension regime which have been subject to one or more deliveries referred to in 6° or 7° of I of Article 277 A of the VAT Code during their placement under the suspension regime;
 - in the event of a disaster affecting the territory of a Member State, imports of goods covered by an authorization granted to France by a decision of the European Commission pursuant to the first paragraph of Article 53 of Council Directive 2009/132/EC of October 19, 2009;
 - in the event of a disaster affecting the territory of a Member State, the supply of goods and related services, where the importation of such goods by the recipient would have been exempt pursuant to 2° bis of II of Article 291 of the VAT Code;
 - supplies of services directly linked to the placement of a good under specific customs arrangements;
 - supplies made by a taxable person which are not taxable in France, to the extent they would trigger the right to deduct input VAT if their place of taxation was in France;
 - operations carried out by fishermen and shipowners, with the exception of freshwater fishermen, concerning the sale of their fishery products (fish, crustaceans, shellfish, fresh or preserved fresh by a refrigeration process); and
 - zero-rated supply of goods delivered to exporters who apply a VAT free purchase regime 'Régime des achats en franchise' (see paragraph 7.4 below).
- ### 7.1.1 Intra-Community supplies
- In order to prove the VAT exemption in case of intra-Community supplies, the following is required:
- the supplier must obtain the EU VAT number of the customer. The supplier must check the validity of this VAT number on the VIES website (http://ec.europa.eu/taxation_customs/vies/);
 - the EU VAT number must be stated on the invoice;
 - the invoice must state the article referring to the VAT exemption of the intra-Community supply, i.e. Article 262 ter I of the VAT Code or Article 138 of the EU VAT Directive;
 - the supplier must file the recapitulative statement (European sales listing) referred to in Article 289 B-I of the VAT Code; and the supplier must justify the reality of the dispatch or transport of goods outside France. This can be done by any means:
 - means of evidence may be direct or indirect;
 - all indications resulting from usual commercial documents that allow the supplier to prove for each delivery, the existence of the dispatch or transport. The following documents may be provided as proof: transport documents (CMR, AWB, sea bill of lading etc), carrier invoices, insurance for the transport of the goods, contract with the customer, business correspondence, written order from the customer, removal order, written confirmation from the customer about the receipt of the goods in another EU Member State (tax entry certificate), duplicate of the supplier invoice stamped by the customer, notice of settlement from a foreign bank, etc.
- This list is not exhaustive and the overall value of justification submitted is assessed on a case-by-case basis.
- In most cases, the French tax authorities will ask as main evidence for the transport, a document on which the supplier is mentioned as sender and the signature of the customer for receipt of the goods in another EU Member State is shown.
- If the supplier estimates that it does not possess sufficient justifying documents enabling him to prove the existence of the dispatch or the transport, VAT must be charged.
- The above rules can still be used in order to prove the transport besides the presumptions of transport as mentioned in Article 45a Implementing Regulation.

7.1.2 Export supplies

In order to prove the VAT exemption in case of exports, the following is required:

- the customs document issued by the customs authorities. The supplier, when established in the EU, must appear on the export document as the exporter of record (box 2 “exportateur”) with his EORI number. When established outside the EU, the supplier must appear in box 44 with his French VAT number (rule in force in France since 01 October 2020); and
- there must be a confirmation of exit of the European Union.

The export may also be proved by alternative means such as the authenticated customs declaration in the country of import of the goods or the documents relating to the transport when this transport is outside the EU. However, these other means of proof are generally not so easily accepted by the tax authorities.

7.1.3 Warehousing

7.1.3.1 VAT warehouse

France has introduced VAT warehouses for importation, exportation and processing, upon authorization. Besides the products listed in Annex V of the EU VAT Directive, all non-Community goods or Community goods coming from outside the fiscal territory of the Community, if they are allowed into a warehouse by the EU customs legislation, can be placed in a VAT warehouse.

By tolerance, a non-established trader is not required to register for VAT when placing (except further to intracommunity acquisitions) or selling goods in a VAT warehouse, or to another fiscal warehouse, but must register for VAT when releasing goods from a VAT warehouse (if responsible for the release of the goods). For a non-EU established trader who would have the obligation to appoint a fiscal representative, it is tolerated that the warehouse keeper (owner of the license) provides its own VAT number to the foreign seller. It is possible to make use of a limited fiscal representative (see also paragraph 1.5).

An EU established trader must have a French VAT number to make an intra-Community acquisition of goods destined to enter the fiscal warehouse.

If the goods are placed in a VAT warehouse, importation is provisionally exempt for VAT purposes. The sale within the VAT warehouse is exempt from VAT. The VAT applies on the release from the VAT warehouse unless a further exemption applies (e.g. in case of an intra-Community supply, exportation). In addition, the reverse charge may apply if a non-established taxable person releases the goods and sells the goods to a French taxable person.

The warehouse keeper must take responsibility for compliance (including recording movements of the goods, keeping an overview of the storage and discharging documents). Special invoicing requirements apply.

The warehouse keeper, the transporter of the goods where goods are shipped out of the VAT warehouse and his principal are jointly and severally liable for any VAT due, together with the supplier and the customer.

7.1.3.2 Excise warehouse

Excise goods under suspension of excise duties can be stored in an excise warehouse. When a trader wishes to receive goods under suspension of both VAT and excise duty, he must meet the conditions laid down in the relevant legislation to benefit from both suspension arrangements.

7.1.3.3 Bonded warehouse

It is possible to store goods coming from outside the EU in a bonded warehouse before the importation occurs.

This is subject to a prior authorization from the customs authorities which can be only granted to companies established in the EU. The applicant must justify the economic need for using such a regime. The goods subject to absolute prohibitions on importation under all types of customs regimes cannot be placed in a bonded warehouse.

The sale of goods while still in bond is not subject to French VAT.

- financial and banking;
 - the granting and the negotiation of credit, the management of credit by the person granting it, the securities loans carried out in the conditions fixed under Articles L. 211-22 to L. 211-26 of the monetary and financial code and the pensions carried out in the conditions fixed under Articles L.211-27 to L.211-34 of the same code;
 - the negotiation of, or any dealings in, credit guarantees or any other security for money and the management of credit guarantees by the person who is granting the credit;
 - transactions, including negotiation, concerning deposit and current accounts, payments, transfers, debts, cheques and other negotiable instruments, but excluding debt collection;
 - transactions, including negotiation, concerning currency, bank notes and coins used as legal tender, with the exception of collectors' items;
 - transactions other than safekeeping or management, in shares, interests in companies or associations, debentures and other securities, but excluding documents establishing title to goods and interests equivalent to shares giving the holder thereof de jure or de facto rights of ownership or possession over immovable property or part thereof;
 - the management of collective investment funds in transferable securities and debt investment funds of 1, 2 and 6 subsection 2, or of subsubsection 1 of subsubsection 3 or of subsubsection 4 of section 2 chapter IV Title I Book II of the monetary and financial code and of a special purpose vehicle (SPV);
 - transactions relating to gold, other than gold for industrial purposes, when they are carried out by financial institutions, suppliers of investment services, moneychangers, discounters and brokers or by any other person who makes it his main activity;
 - insurance and reinsurance transactions, including related services performed by insurance brokers and insurance agents; and
 - the supply at official value of fiscal stamps and postage stamps which are current or have a postage value in France.
- immovable property:
 - rentals of land and buildings for agricultural use;
 - property rental under a lease conferring a right in rem;
 - rentals of undeveloped land and bare premises, with the exception of sites for parking vehicles, but these provisions are not applicable when the rental is a way for the landlord to continue in another form the conduct of a business or extension/increase of its business/market asset or when the landlord participates in the tenant company results;

7.2.2 Other exemptions

under conditions, etc.
 Code, supplies of buildings which have been built more than 5 years ago, supplies by public utility bodies
 social nature, supplies of land which is not building land and within the meaning of Article 257 I-2-1° of the VAT
 services, medical and paramedical care, ambulance services, educational services, services of a cultural or
 Certain operations subject to other specific taxes, operations on used goods under conditions, hospital

7.2.1 Exemptions in the public interest

7.2 Exemptions without the right to deduction

Certain services relating to bonded goods are also zero rated.

For goods having been subject to a sale while in bond, VAT is paid on the release by the customer of the last sale performed while the goods were bonded.
 When goods have not been subject to sale and they are still in bond, VAT is paid on the release either by the recipient for supplies of goods or by the acquirer for intra-Community acquisitions.

In order for the supply of goods to be not subject to French VAT, the goods must be maintained under the bonded regime under which they were originally placed. Taxable persons are required to indicate on their invoices, issued in accordance with Article 289 of the VAT Code, the authorization number of the opening of the customs regime as well as the name of the bonded warehouse licensee holder and of the warehouse keeper when this is a distinct person.

- rentals or concessions rights to the property referred to in the 2 first points to the extent that they fall within the management of property assets; and
- occasional rentals, permanent or seasonal furnished accommodation or fitted for residential use.
- others:
- the organization of games of chance or gambling subject to a progressive levy referred to in Article L 2333-56 of the General Code of Territorial Collectivities or the organization of games of chance or gambling subject to tax on shows, games and entertainment; and
- the product of the operation of the national lottery, national lotto, horse mutual bets, bets on sports competitions and circle games online, with the exception of the remuneration received by the organizers and intermediaries involved in the organization of these games and bets.

7.3 Option for taxation

7.3.1 Financial and banking

The option for taxation is possible for the following transactions:

- financial and banking; and
- normally exempt transactions connected to banking, financial activities, and, generally speaking, to securities and money business, such as these activities defined by decree.

Banking or financial transactions normally exempted from VAT by option, except when they fall within the scope of one of the categories of transactions expressly excluded from the right of option for taxation according to Article 260 B of the VAT Code.

Only certain operators can opt for the taxation, namely professionals of financial and banking business and other persons usually carrying out transactions linked to banking and financial activities. The option takes the form of a written declaration printed on the letterhead of the taxable person and takes effect as of the 1st day of the month following which the filing of the declaration to the local tax office of the place of exercise of the profession has been made.

Each time a taxable person who has exercised the option, carries out a banking or financial transaction falling within its scope, he can choose whether to subject it to tax or to exempt it. In practice, this option may lead the taxpayer to decide, according to his own motivations, to apply the option not only transaction by transaction, but also by category or type of transaction, or even, in a global approach, to apply it to all banking or financial transactions falling within the scope of the option.

The option initially covers a period of 5 years, including the one during which the option is declared. It takes effect from the first day of the month following the one during which the option is declared to the local tax office.

The option may be terminated as from 1 January of the fifth year following the year in which it was exercised. The termination takes effect from the first day of the month following the month in which it is filed with the tax office.

7.3.2 Lease and sale of immovable property

Supplies of immovable property taxable upon option to tax are:

- supplies of land and which is not building land within the meaning of Article 257 I 2 1° of the VAT Code; and
- supplies of buildings built for more than 5 years.

The option can generally take the form of a written declaration printed on the letterhead of the taxable person sent to the relevant tax office. The property for which the option is made should be clearly identified in the letter; some other conditions may exist depending on the immovable property concerned.

The option generally takes effect from the 1st day of the month following the one during which it has been sent to the tax office.

- the landlord who rents unimproved premises for the purposes of the business of a licensee who is a taxable person, or if the lease is entered into on or after 31 December 1990, for the purposes of the activity of a non-taxable person;
 - the landlord who rents property under a lease conferring a right in rem; and
 - the persons who rent land and buildings operating for agricultural use.
- Regarding rentals of immovable property, the following supplies can be submitted to VAT upon option to tax are:

The duration of the option varies depending on the immovable property involved.

8. Liability

8.1 Reverse charges

In France, there are several obligatory reverse charge rules besides the reverse charge for general B2B services provided by foreign entities to taxable persons and legal entities established in France. This reverse charge applies in all EU Member States and follows from Articles 44 and 196 EU VAT Directive.

8.1.1 General reverse charge mechanism – non-resident suppliers (Article 194 Directive)

When taxable persons not established in France, invoice taxable persons registered for VAT purposes in France for the domestic supply of goods or services, the French VAT due on the domestic transaction is always shifted to the customer. The customer does not have to be established in France, but he must be VAT registered in France in order for the reverse charge to apply. The customer self-assesses this VAT in its French VAT return. The invoice issued does not show VAT.

The reverse charge mechanism is applicable when the supplier is not established in France. The reverse charge even applies if the supplier is VAT registered in France.

On the invoice, reference should be made to the application of the reverse charge. The corresponding French wording “Autoliquidation” is required on invoices subject to French invoicing rules. It is not compulsory any more to refer to the EU VAT Directive provisions but for clarity purposes, a foreign supplier could use the following text on the invoice: “Autoliquidation – Article 283-1 of CGT”.

8.1.2 Specific domestic reverse charges (Article 199 Directive)

- On the following supplies and/or services, the domestic reverse charge rules apply to:
- operations of recycling goods and the new wastes of industry when the customer has a French VAT number;
 - supply of investment gold (optional);
 - supply of CO₂ Emission Rights, certificates of origin of biogas, electricity, renewable gas and hydrogen, certificates of production of biogas and certificates on capacities (on the latter, change expected);
 - electronic communication services which are out of scope of the tax mentioned in Article L.453-1 of tax code on goods and services (CIBS) when the supplier is established in France and the customer is established and VAT registered in France;

- supply of natural gas and electricity;
- from non-resident suppliers to taxable dealers established and VAT registered in France;
- from non-resident suppliers to French VAT registered acquirers using the goods for final consumption in France;
- from French established suppliers to French VAT registered customers, when used for purposes other than consumption.
- services connected to immovable property and consisting in construction work, including repair, cleaning, maintenance, transformation and demolition services are subject to the reverse charge by the contractor, VAT registered in France, who subcontracts such services within the meaning of Article 1 of Law No. 75-1334 of 31 December 1975.

8.2 Joint and several liability

Under the French VAT rules, joint and several liability exists:

- for businesses that form part of a VAT group. The representative of the VAT group bears the responsibility regarding the amounts of VAT, late interests and penalties due resulting from reassessment procedures followed in respect of the different members of the group. However, each member of the group remains jointly liable for the payment of VAT, penalties and late interests (if required) due by the VAT group, up to the amount that each member would owe if it was not part of the group;
- for the French tax representative in case of payment failure (voluntary or not) of VAT, late interests by the represented foreign company; and
- for the acquirer of a good or service who knew or could not have ignored that he was participating in fraud involving this good or service, due to the tax not paid upstream by a defaulting supplier (notably in case of carousel fraud).

Joint and several liability also exists in other situations where, for example, there is a supply involving online platform operators, an intra-Community acquisition when the acquirer is not established in France etc.

9. Recovery of input VAT

As a general rule, input VAT must be deducted on a VAT return by 31 December of the second year following the tax point. A special statement is compulsory for late deductions.

9.1 Non-recoverable input VAT

In general, the input VAT is not recoverable in case of:

- goods or services used for more than 90% for non-business purposes;
- accommodation expenditures for managers and employees;
- vehicles for transportation of persons;
- transport of persons;
- deliveries of goods without payment or for a too low price (gifts not meeting the VAT deductibility conditions, mentioned in paragraph 2.2, etc.);
- services related to excluded goods (maintenance services on vehicles for the transport of passengers, etc.);
- prohibited adverts; and
- oil products except in the following cases:
 - in case of oil products in a gaseous form and kerosene when used as fuel by the final customer;
 - 50% of the input VAT is recoverable if used for vehicles excluded from the right to deduction (transport of passengers etc.); and
 - 100% of the input VAT is recoverable if used for vehicles not excluded from the right to deduction (public transport of passengers etc.).
- in case of petrol products (gasoline), diesel oil and super ethanol E85, when used as fuel by the final customer;
- 80% of the input VAT is recoverable if used for vehicles excluded from the right to deduction (transport of passengers etc.); and
- 100% of the input VAT is recoverable if used for vehicles not excluded from the right to deduction (public transport of passengers etc.).

(public transport of passengers etc.).

9.2 Excess input VAT

Excess input VAT on a VAT return (VAT credit) can be carried over indefinitely or voluntarily claimed back on a monthly, quarterly or annual basis. The refund can be requested on a monthly or quarterly basis if the VAT credit amount is at least EUR 760. The refund can be requested on an annual basis if the VAT credit amount is at least EUR 150.

9.3 Adjustment periods

The beginning of the adjustment period is the year during which the property has been acquired, imported, completed, used for the first time or transferred between different business sectors.

- immovable property - 20 years (19 years following the year of first use)
- movable property - 5 years (4 years following the year of first use)

The adjustment applies on asset value.

9.4 VAT refunds to EU taxable persons

EU taxable persons must file the refund request via the electronic portal of their EU Member State. The requests must be filed before 30 September of the calendar year following the refund period.

The threshold for the refund is EUR 400 for a period of 3 months to a year and EUR 50 for a period of a calendar year or the settlement of the calendar year.

An EU taxable person can file up to 4 quarterly refund claims (one for each quarter provided that the minimum amount is met) and one yearly refund claim in case invoices were not included in the other refund claims.

Copies of invoices or import documents for which the taxable amount equals or exceeds EUR 1,000 or EUR 250 for fuel costs must be submitted through the electronic portal together with the filing of the claim. If the size limit is reached, the additional invoices can be, in principle, sent by email (sr-tva.dimr@dgtfp.finances.gouv.fr).

The tax authorities have 4 months to decide if they will refund the VAT or not (6 months in case of a first request of additional information and 8 months in case of another request for additional information).

In case of a final decision of rejection, the time to appeal to the Administrative Court is 2 months from the receipt of the decision extended by 2 additional months when the taxable person is established outside France. In the meantime, the foreign taxable person can also make a claim to the tax conciliator at the following address:

Le Conciliateur fiscal de la Direction des Impôts des Non-Résidents
10 rue du Centre
TSA 70025
93465 Noisy Le Grand Cedex
France
conciliateurfiscaldimr@dgtfp.finances.gouv.fr

There is no specific time limit to make an appeal to the tax conciliator.

The same VAT deduction limitations apply as for French taxable persons (see also paragraph 9.1).

9.5 VAT refunds to non-EU taxable persons

In practice, the French authorities do not make the refunds conditional upon the granting by third States of comparable advantages regarding turnover taxes.

According to the 13th Directive procedure, non-EU taxable persons must appoint a fiscal representative who sends their refund requests to the VAT Refund Department.

The refund claim must be transmitted electronically.

A summary table showing all the invoices or import documents justifying the amount of reimbursement requested can be completed online or must be attached to the request.
The request must also be accompanied by a copy of invoices or import documents when the tax base appearing on these invoices or documents is equal to or greater than an amount of EUR 1,000, or EUR 250 if the invoice relates to fuel expenses.

The minimum threshold is EUR 400 for the quarterly requests and EUR 50 for the yearly requests. The requests can be filled in and sent during the month following the relevant period.

They must be sent before the end of the 6th month following the calendar year during which the VAT to be refunded became due, i.e. 30 June of the following year.

In principle, a non-EU taxable person can file up to 4 quarterly refund claims (one for each quarter provided that the minimum amount is met) and one yearly refund claim in case invoices were not included in the other refund claims. Non-EU companies must appoint a tax representative specifically authorized for the 13th EU Directive VAT refund procedure (see also paragraph 1.4).

The tax authorities have 6 months to decide if they will refund the VAT or not. A delay may exceptionally be increased to 9 months after additional information has been asked and received from the claimant. In case of a final decision of rejection, the time to appeal to the Administrative Court is 2 months from the receipt of the decision extended by 2 additional months since the taxable person is established outside France.

In the meantime, the foreign taxable person can also make a claim to the tax conciliator at the following address:

Le Conciliateur fiscal de la Direction des Impôts des Non-Résidents
10 rue du Centre
TSA 70025
93465 Noisy Le Grand Cedex
France
conciliateurfiscaldir@dgfip.finances.gouv.fr

There is no specific time limit to make an appeal to the tax conciliator.

The same VAT deduction limitations apply as for French taxable persons (see also paragraph 9.1).

More information on the VAT refund procedure for EU and non-EU taxable persons can be found at the following website link: <https://tinyurl.com/5n8xzbyr>

10. Administrative obligations

10.1 Invoices

10.1.1 Invoice content

French invoicing rules apply to:

- transactions carried out on the French territory or deemed so in application of Articles 258, 258B, 259, 259A, 259C and 259D of the VAT Code, excluding transactions carried out by a taxable person who has, in another EU Member State, the seat of his economic activity or a fixed establishment from which the transaction is performed, and for which the acquirer or recipient is liable for the VAT payment, except if the taxable person gave the latter a mandate to issue invoices in his name and on his behalf (self-invoicing);

- transactions for which the place of taxation is located in another EU Member State and which are carried out by a taxable person who has, in France, the seat of its economic activity or a fixed establishment from which the transaction is performed, and for which the acquirer or recipient is liable for the VAT payment in the EU Member State in which the transaction is located, except if the taxable person gave the latter a mandate to issue invoices in his name and on his behalf (self-invoicing); and
 - transactions whose place of taxation is located outside the EU and which are carried out by a taxable person who has, in France, the seat of its economic activity or a fixed establishment from which the transaction is performed.
- A VAT invoice must contain the following information:
- date at which the invoice is issued;
 - invoice number (sequential and chronological);
 - VAT identification number under which the supply of goods or services is performed
 - VAT identification number of the supplier and VAT identification number of the customer in case of an intracommunity supply;
 - VAT identification of the supplier and of the customer for supplies of goods or services subject to reverse charge except article 194 of the EU Directive;
 - name and address of the supplier or service provider;
 - name and address of the customer;
 - billing address if it is different from the official addresses of the parties (e.g. 'sold-to' different than 'bill-to');
 - purchase order number when it has been previously established by the buyer;
 - operation's date if it differs from the date of the invoice;
 - quantity and description of the goods or services;
 - unit price without VAT;
 - reduction and discount directly related to the operation;
 - applicable VAT rate or exemption;
 - the total VAT amount, and for each rate, the total amount without VAT and the relating VAT;
 - reduction and discount not related to particular operations;
 - the reference to the relevant Article of the VAT Code or of the EU VAT Directive or to other information indicating that the operation is exempted;
 - the indication for which the acquirer or recipient is liable for the payment of VAT (intra-Community or domestic operations);
 - all the above-mentioned information, except as a simplification, for invoices for which the customer established in another EU Member State must account for reverse charge VAT, the unit price without VAT, the applicable VAT rate, the VAT amount and any reduction of price or discount; and
 - the mentioning of "Autoiquidation" (reverse charge). The administration does not require any longer the mentioning of the provisions of the VAT Code or of EU VAT Directive justifying the application of such regime but does neither prohibit it. It is recommended to include "Autoiquidation" with the reference to the corresponding provisions to avoid any confusion regarding the nature of the transaction;
 - the information necessary to determine whether there is a new means of transport; and
 - a reference to the fact that a margin scheme has been applied as well as a reference as to why the margin scheme applied, e.g.:
 - margin scheme – second hand goods "Régime particulier – Biens d'occasions";
 - margin scheme – works of art "Régime particulier – Objets d'art";
 - margin scheme – collector's items and antiques "Régime particulier – Objets de collection et d'antiquités"; and
 - tour operator margin scheme "Régime particulier – Agence de voyages".
- New invoicing requirements will enter into force from 1 September 2026:
- SIREN number of the seller and the customer (if he has one);
 - delivery address if different from the billing address;
 - "VAT on debits" (if the supplier opted for the payment of VAT upon debits, i.e. in practice from the date of issuance of the invoice). This mention will become mandatory while it is currently only recommended;
 - nature of the operation: delivery of goods and/or services.

As a simplification, the following invoicing requirements are not compulsory on invoices with a net amount of up to EUR 150 and corrective invoices modifying initial invoices when they referred to:

- the VAT number of the taxable person under which he performed the supply of goods or services; and
- in case of exemption, the corresponding reference to the provision of the VAT Code or of the EU VAT Directive or any other reference that the operation benefits from a VAT exemption.

This simplification rule does not however apply to:

- distance selling;
- intra-Community supplies of goods and means of transport; and
- supplies of goods and services referred to in Article 289-0, II-1° of the VAT Code (operations for which the customer established in another EU Member State has to reverse charge VAT).

10.1.2 Time limits

In principle, the invoice must be issued each time a supply is made. However, the invoice can be issued periodically on a monthly basis for several supplies in the same calendar month (when the operations are very frequent).

Given the administrative management, it is allowed to issue the invoice a few days after the actual supply. For exempt intra-Community supplies of goods referred to in Article 262 ter 1 of the VAT Code, exempt supplies of new means of transport referred to in Article 298 sexies II of the VAT Code and supplies of services for which VAT is due by the recipient in application of Article 196 of the EU VAT Directive, the invoice is issued at the latest on the 1st day of the month following the one during which the chargeable event took place. The invoice can be issued periodically for several distinct supplies of goods or several distinct supplies of services rendered to a single recipient for which VAT is due within the same calendar month. This invoice is then issued at the latest by the end of this said month.

10.1.3 Currency

The amounts on the invoice may be mentioned in another currency, provided that the amount of VAT to be paid or regularized is stated in Euros.

10.1.4 Conversion and exchange rate

When the elements used to determine the taxable amount are expressed in a currency other than Euro, the exchange rate to be applied is the last exchange rate published by the European Central Bank, on the date on which the VAT is due.

10.1.5 Self-billing

A prior invoicing mandate should be concluded between the supplier and his customer. However, this invoicing mandate is not subject to a particular formalism, i.e. this mandate may be a tacit mandate. The parties must be able to prove the existence of this invoicing mandate. As a consequence, it is recommended to keep a proof in writing.

The factual circumstances sufficient to establish the existence of an implicit mandate may, for example, result from the fact that the invoices in question expressly state that they were physically issued by the agent on behalf and for the account of the supplier. The modalities of the invoicing mandate including its scope can be freely defined by the supplier and his agent.

Any invoice issued in the name of and for the account of the supplier shall be subject to acceptance by the latter. The parties are free to determine the modalities of acceptance. A procedure of tacit acceptance is allowed.

In order to avoid any ambiguity, it is advised to include on the invoice "invoice issued by A in the name of and for the account of B". When the material issuance of the invoices is assigned to the customer, "Autofacturation" must be mentioned on the invoice.

When the invoicing mandate is concluded with a customer or an agent established in a country with which a legal instrument relating to mutual assistance similar in scope to that laid down by Directive 2010/24/EU of 16 March 2010 and Council Regulation Nr. 904/2010 of 7 October 2010 does not exist, some specific conditions are required:

The authenticity of the origin, the integrity of the content and the readability of the invoice must be guaranteed from its issuance until the end of the storage period. Such obligations are also applicable for paper invoices.

Information, documents, data, computer processing, information systems constituting the documented and permanent controls put in place in order to establish a reliable audit trail between the invoice issued or received and the supply of goods or services as well as documentation supporting their modalities of performance, must be kept for 6 years. The administration with respect to electronic, telecom- and broadcasting services must be kept for 10 years.

10.1.1.7 Storage of invoices

Under certain conditions, simplified invoices can also be issued in case of down payment invoices or in case of amending invoices.

For invoices below or equal to EUR 150 excluding taxes, it is allowed that the customer identification elements not be mentioned by the company issuing the invoice but that they be entered by the customer himself in a reserved area. These invoices must mention the information referred to in a) above.

• restaurants

Billing arrangements for tolls paid on each pass, excluding those paid on subscriptions or through flow-through cards operated by third parties, are permitted. The receipts issued at the toll gates are deemed invoices if they mention all the information referred to in a) above and include a space reserved for the information to be provided by the user. The customer identification should be mentioned by the customer.

• motorway tolls

(b) Measures applicable to certain activities

This simplification is not applicable to distance sales and (deemed) intra-Community supplies.

- a reference to the benefit of a VAT exemption measure is provided for by a provision of the VAT Code other than 12° of I of Article 242 nonies A of Annex II to the VAT Code.
 - the mention of the French VAT number is compulsory according to 2° of I of Article 242 nonies A of Annex II to the VAT Code;
- This simplification cannot be applied to the transactions for which:

- the French VAT registration of the supplier; and
 - the VAT mention referring to the VAT Code or the EU Directive article.
- The invoices containing a total net amount lower or equal to EUR 150 may omit the following items:

(a) Invoices for low amounts

A simplified invoice may be issued in several cases:

10.1.6 Simplified invoices

- periodic invoices cannot be issued under this mandate.
- invoices issued under this mandate must be issued as soon as the taxable event occurs; and
- materially issuing the invoices and of any change in this place of establishment;
- the supplier must be informed by his customer or agent of the place of establishment of the person transactions per calendar year;
- voluntarily by the supplier when the number of transactions invoiced does not exceed the threshold of 10 the number of invoices or their periodicity. In practice, it is accepted that the notification is not filed of and for the account of the supplier. The criteria of "regular basis" are assessed in comparison to the customer or agent when this customer or agent issues the invoices in the name and address notification is done in writing (either by letter or by email), with the reference to the name and address the supplier must notify the existence of this invoicing mandate to the French Tax Authorities. This
- the supplier must issue a prior and written mandate to his customer or to his agent;

Paper invoices received or issued can be stored electronically or under paper form. When paper invoices are stored in electronic form only, the conditions guaranteeing the identical reproduction of the invoice (image and content) are the following: documented organization of the digital archiving process subject to in-house business controls, availability, readability, integrity of the scanned invoices.

The integrity of the scanned invoices is ensured if below recommendations are notably complied with:

- Picture editing programs are forbidden;
- In case the taxable person uses compression file, it should be operated without any loss;
- Each scanned invoice must be stored under PDF or PDF A/3 (ISO 19005-3) format and be associated to:
 - either a server seal based on a certificate compliant at least with the general referential of security "RGS" at the level one star;
 - or a digital impression;
 - or an electronic signature based on a certificate compliant at least with the general referential of security "RGS" at the level one star;
 - or any other equivalent secured method based on a certificate delivered by a certification authority mentioned on a French Trusted List (Trust-service status List - TSL).
- Each file is date-stamped according to an in-house date stamping source in order to date the different operations performed.

Electronic invoices must be stored in their original electronic format as the change of format does not guarantee the integrity of the content of the invoices.

However, for management purposes, the taxable person is free to change the electronic format of the invoices if he parallelly stores them in their original format (e.g. a taxable person who receives invoices under XML format must store them in this format but can convert them also into PDF format for internal management purposes).

Paper output invoices can be stored under one of the following options:

- printing two paper invoices: one is sent to the client, the other is stored by the supplier; the invoice is stored as paper version by the supplier;
- printing two paper invoices: one is sent to the client, the other is digitized by the supplier according to the process depicted above to ensure the integrity of the scanned invoices; or
- securing the files of invoices stored under PDF or PDF A/3 according to the process depicted above to guarantee the identical reproduction of the invoice. The resulting secured pdf file is printed once for transmission on paper to the client, the original pdf version is stored by the supplier.

Invoices issued by the operator or, in his name and on his behalf by his customers or by a third party, and all invoices he receives, must be stored on the French territory when the storage is not conducted by electronic means guaranteeing immediate, complete and online access to relevant information.

Scanned paper invoices and electronic invoices can be stored outside the French territory provided that:

- The invoices are stored in the EU, each Member State being bound by Council Directive No. 2010/24/EU of 16 March 2010 concerning mutual assistance for the recovery of claims relating to taxes, duties and other measures and by Council Regulation (EU) No 904/2010 of 7 October 2010 on administrative cooperation and combating fraud in the field of VAT. In such case, the accessibility of the invoices by the French tax administration must be guaranteed from the seat or principal establishment of the audited taxable person.

- If the invoices are stored outside the EU, the taxable person must ensure that either the non-EU country concluded with France a mutual assistance convention equivalent to Council Directive No. 2010/24/EU of 16 March 2010 and to Council Regulation (EU) No 904/2010 of 7 October 2010, or the non-EU country is bound with France by a convention foreseeing a right of immediate access, download and use of all data by electronic means.

Contrary to what was expected, the issue, transmission and receipt of electronic invoices will be carried out only using a registered private platform (PDP). Invoicing data issued by taxable entities using a registered private platform will be forwarded by the registered private platform directly to the tax authority.

- mid-cap companies (ETI in French) to issue electronic invoices;
 - 1 September 2026: obligation for all companies to receive electronic invoices and obligation for large and the following timetable:
- Electronic invoicing was supposed to become compulsory from 1 July 2024 for domestic B2B transactions between VAT taxable entities established in France, but its implementation has been postponed according to

10.1.8.2 Mandatory e-invoicing

The choice of the file format is left free to each taxable person, subject to the fulfilment of the conditions of the definition of the electronic invoice.

The issuer is free to choose the technical mode of transmission of electronic invoices (by email, as attachment to an email, via a secured network or use of the EDI system, directly in the IT services of trading partners or via platforms of services owned by third parties).

The recipient must accept beforehand the use of the electronic transmission procedure. This acceptance can be formally materialized or be tacit, for instance, when the acquirer or the recipient settles the invoice received or in case a reasonable delay is granted to the recipient to require a paper invoice.

The recipient of an invoice is not bound by the securing method chosen by the issuer. The same taxable person can use different securing methods depending on whether he acts as an issuer or a recipient. The same taxable person can use concomitantly different methods (e.g. for different invoices or flows of invoices directed to different customers).

The authenticity of the origin, integrity of the content and readability of an invoice sent by electronic means must be ensured by the issuer and the recipient, from its issuance until the end of its storage period, at the choice of the taxable person by using one of the above mentioned methods.

The recipient of an invoice is not bound by the securing method chosen by the issuer. The same taxable person can use different securing methods depending on whether he acts as an issuer or a recipient. The same taxable person can use concomitantly different methods (e.g. for different invoices or flows of invoices directed to different customers).

Electronic invoices can be issued under 3 technical means:

- as a structured message using agreed standards among the parties that ought to be readable by computer and capable of being automatically and unambiguously processed (electronic data interchange (EDI) procedure);
- with an advanced electronic signature;
- in any electronic format provided that documented and permanent controls are put in place in order to establish a reliable audit trail between the invoice issued or received and the supply of goods or services.

The recipient of the invoice will be considered as having received an electronic invoice and is only required to store it in a dematerialized format.

An electronic invoice is an invoice or a flow of invoices created, sent, received and stored in any electronic format. The entire invoicing process must be electronic.

10.1.8.1 General rules

10.1.8 Electronic invoicing

- The taxable person must inform the competent local tax office of the place of storage outside France (names and addresses of the persons in charge of the storage and periods of time involved) and of any change in the place of storage.

10.2 Compliance

10.2.1 VAT return period

Under the standard regime, a taxable person must file monthly VAT returns. When the annual amount of VAT due is less than EUR 4,000, the taxable person can file quarterly VAT returns.

Under the simplified regime and under specific conditions, a taxable person can file annual VAT returns.

10.2.2 Filing of VAT return and payment

Taxable persons, whether established in France or not, must file electronic VAT returns.

French taxable persons, non-EU taxable persons subject to tax representation must, in principle, file their VAT returns according to a date provided by the authorities, mostly between the 2nd and 24th day after the end of the reporting period.

The taxable persons established in other EU Member States and non-EU taxable persons exempt from tax representation must file the VAT return at the latest on the 19th day after the end of the reporting period, or on the 24th day after the end of the reporting period when they carry out imports subject to VAT deferral, called “reverse-charge on import” in France.

A nil return must be filed when no taxable operations have been made.

If the due date falls on a public holiday, Saturday or Sunday, the due date is postponed to the next business day.

The e-payment of VAT by direct debit is mandatory for all taxable persons, including foreign taxable persons holding a bank account in a bank established in the countries and territories which are part of the jurisdictional scope of the SEPA schemes, and which opted for the SEPA B2B standard.

E-payment by direct debit must be ordered by the VAT return filing due date. The actual debit by the French tax administration always takes place after this due date.

Taxable persons who do not meet the conditions of e-payment of VAT by direct debit can continue paying VAT to the French tax administration by bank transfer. In such case, the funds must be credited on the bank account of the French tax administration on the VAT return filing due date at the latest.

Transactions that do not require the filing of VAT returns in France:

French VAT registered taxable persons are not required to file VAT returns when they perform solely VAT exempt intra-Community acquisitions referred to in Article 262 ter-II-3° of the VAT Code and/or VAT exempt deemed intra-Community acquisitions in France when followed by supplies of goods or services subject to reverse-charge by the recipient.

There is also a current practice from the non-resident tax office consisting in considering that the sole performance of deemed intra-Community supplies from France to another EU country requires a VAT registration but does not imply the obligation to submit VAT returns.

In above cases, French VAT registered taxable persons are only liable for the filing of Intrastat returns (if a letter is received from the Customs authorities notifying them of their liability to file Intrastat returns—see paragraph 10.4) and EC sales listing with the French customs authority.

10.2.3 European sales listing

The European sales listing named “état récapitulatif TVA” in French must be filed online on the customs’ website, on a monthly basis, only when intra-Community supplies from France or simplified EU triangulation are performed. If no transaction is performed, there is no need to file any nil EC sales listing.

- the reporting is done in a corrective VAT return concerning the period during which the reverse-charged transaction should have been declared; or
 - two practices:
 - and spontaneous regularization occurring before any tax notice. This regularization can be performed under return can be imposed. The French administration does not, however, apply this penalty in case of voluntary
- A 5% penalty (based on the deductible VAT) for failure to reverse charge VAT in the corresponding VAT
- If the VAT is not paid on time (even if the return is filed on time), the penalty is 5% of the VAT amount due and possibly 0.2% per month (interest for late payment). The payment is only recognized when the sums are credited on the bank account of the tax office.

10.3.3 Default penalties for not paying VAT on time to the tax authorities

In case of zero-rated transactions, the French authorities can apply a penalty for failure to file VAT returns. When the VAT returns which should have been filed do not include any element for the calculation of the VAT due, i.e. when the operations which should have been reported are VAT exempted or lead to a VAT credit, the applicable penalty is EUR 150 per lacking VAT return.

- 80% if the taxpayer fails to submit the return within the receipt of the first notice;
 - 40% if the taxpayer fails to submit the return within 30 days after the receipt of the first notice; or
 - 10% if there is no notice of assessment or if the taxpayer submits the VAT return within 30 days from the receipt of the first notice;
- The following penalties apply on the VAT amount:

10.3.2 Default penalties for not filing a VAT return on time

In case of "bad faith" or occult activities, penalties may be higher.

If VAT was due to the French State on a past period, a 5% and/or 10% penalty can be applied on the VAT amount as well as interest for late payment.

Backdated VAT registrations are allowed in France in certain cases and upon acceptance by the authorities.

10.3.1 Default penalties for late registration

10.3 Penalties

The tax assessment period in France is 3 years, e.g. operations conducted in 2025 can be assessed until 31 December 2028. It is extended until the origin of the VAT credit.

10.2.5 Tax assessment period

There is none.

10.2.4 National recapitulative statement

Each omission or inaccuracy in the declaration produced results in the application of a fine of EUR 15, up to a maximal total of EUR 1,500.

A penalty of EUR 750 per return can be imposed in case the EC sales listing has not been filed within the deadline. This can amount to EUR 1,500 per month in the case of absence of filing following 30 days after the receipt of a formal notice.

The due date for filing the return is the 10th working day of the month following the end of the reference period (including Saturdays).

- the VAT identification number of the customer;
 - for each customer, the total amount (without VAT) of the supply in EUR;
 - the amount of commercial regularizations, if any;
 - the regime code.
- The following data must be filed in the EC sales listing:

- the reporting is done in an ulterior VAT return subject to a clear mention of the elements related to the reverse charged transaction.

Specific guidance applies for the regularization of certain types of transactions (e.g. importations).

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

The French administration can apply the penalties of 5% and/or 10% of the VAT amount, and possibly late payment interests, even in case of voluntary and spontaneous regularization occurring before any tax notice. Mitigation can be negotiated on a case-by-case basis.

In other cases (e.g. in case of audit by the authorities, intention or negligence), the above-mentioned penalties are applicable (see paragraphs 10.3.2 and 10.3.3).

10.4 Intrastat

This single report has been de-merged and the Intrastat called in French "Enquête Mensuelle statistique sur les Echanges de Biens Intra-Union européenne" (so-called EMEBI), i.e. statistical survey on intra-EU trade in goods, must be filed online only in the event the company has received a notice letter from the French customs authorities informing the company of the requirement to reply to the survey.

The letter informs the company about the flows of goods concerned: arrival, dispatch or both, along with the period of time covered by this obligation.

10.4.1 Intrastat threshold

There is no official threshold to reach to become liable for the Intrastat/EMEBI returns filing. The liability starts at receipt of the letter from the customs authorities (see section 10.4)

10.4.2 Intrastat data to be reported

The information which needs to be reported in the Intrastat return are:

- the nature of the movement of the goods (i.e. arrival or dispatch);
- the reference period (i.e. the reporting month);
- the partner VAT ID number;
- the commodity code of the goods;
- the invoice value of the goods or the statistical value;
- the net weight in kilograms of the goods without all their packaging;
- the supplementary units (units of measurement other than kilograms, depending on the commodity code);
- the country of destination (for dispatches) / country of consignment (for arrivals);
- the country of origin within the meaning of customs regulations on origin;
- the regime code (e.g. intra-Community acquisition, other arrival following processing etc.);
- the transaction nature code (e.g. purchase, sale, return of goods, repair etc.);
- the means of transport, for instance "by road" or "by sea"; and
- the French department (two-digit numerical code) of initial shipment of the goods for dispatches or actual destination for arrivals.

Distance sales of goods dispatched from France to another EU Member State must be included in the EMEBI return for dispatches.

Distance sales of goods dispatched from another EU Member State to France are not to be included in the EMEBI return for arrivals.

A return is filled in for each type of flow (arrival or dispatch).

The due date for filing the return is the 10th working day of the month following the end of the reference period (including Saturdays).

A penalty from EUR 75 to EUR 150 per return can be imposed in case the EMEBI has not been filed within the deadline.

A penalty of EUR 2,250 can also be applied in case of repeated refusals to comply with the deadlines or to transmit the information and documents requested or no presentation to a summons of the customs authorities.

An omission or inaccuracy in the declaration may result in a finding of non-filing and the application of above fines.

10.4.3 "Déclaration Européenne de Services" (DES)

Taxable persons established in France must, from the first euro, declare the supplies of services subject to the general principle of Article 44 of the EU VAT Directive when the customer is a taxable person established in the EU who will reverse charge the VAT on the supply in his country of establishment (Article 196 of the EU VAT Directive).

The due date for filing the return is the 10th working day of the month following the end of the reference period (including Saturdays).

The following data must be filed in the DES:

- the VAT identification number of the customer;
- for each customer, the total amount (without VAT) of the supply in EUR; and
- the amount of commercial regularizations, if any.

The penalties are the same as the penalties applied for the EC Sales listing (see paragraph 10.2.3).

10.5 Additional compliance requirements

10.5.1 Real time reporting of taxable operations

E-reporting will be compulsory for mostly non-domestic B2B transactions (known as B2B International) and B2C transactions, along with the e-invoicing reform (see paragraph 10.1.8.2 above) according to the following timetable:

- 1 September 2026: for large and mid-cap companies (ETI in French);
- 1 September 2027: for small and medium-sized companies (PME in French).

E-reporting will cover the transmission of transaction data to the tax authority, along with transmission of transaction payment data, using a registered private platform (PDP).

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The European Union (EU) VAT Directive is implemented in Germany through the "Umsatzsteuergesetz (MwSt)". Besides that, the German Federal Ministry of Finance published the Administrative VAT Guidelines (MwStV). VAT is officially referred to as "Umsatzsteuer (USt)" or in common language as "Mehrwertsteuer (MwSt)". 2005", VAT is officially referred to as "Umsatzsteuer (UStAE)" which provide the official opinion of the German tax administration and is updated regularly.

1. Taxable persons

A taxable person (Unternehmer) is defined in sec. 2 of the VAT Act as anyone who carries out a commercial or professional activity independently, regardless of whether they have legal capacity under other regulations. In other words, a taxable person is any independently operating person or entity that performs supplies for remuneration on a continuous basis (or has the intention, supported by objective evidence, to carry out a taxable activity for remuneration and independently and makes initial capital expenditure for this purpose). Neither the legal form nor the legal capacity of the supplier is relevant.

1.1 Registration threshold & SME Scheme for domestic taxable persons

In principle, all taxable persons have to register for VAT. Small businesses, however, enjoy a VAT exemption according to sec. 19 of the VAT Act and do not have to register. This concession applies to all taxable persons irrespective of their legal form. As from 2025, the exemption applies to small businesses established in Germany if the annual turnover realized in Germany did not exceed EUR 25,000 (without VAT) during the previous calendar year and as long as the turnover realized in Germany does not exceed EUR 100,000 (without VAT) in the current calendar year. Certain VAT-exempt supplies (mainly exempt supplies without the right to deduct input VAT) do not have to be considered when determining whether the thresholds were exceeded.

Where the relevant supplies are below the threshold, the taxable person is not obliged to charge VAT. On the other hand, it cannot deduct any VAT incurred on the acquisition of goods or services. However, under certain conditions the small business may be liable for VAT under the reverse charge scheme stipulated in sec. 13b of the VAT Act (without input VAT deduction). This would result in an obligation to register for VAT and to file VAT returns.

1.1.1 Voluntary registration

It is possible to register for VAT voluntarily before the relevant threshold is exceeded, even retroactively. Small businesses may irrevocably declare to the tax office by the last day of February of the second calendar year following the relevant tax period that he waives the application of the exemption. The waiver shall take effect from the beginning of the tax period to which it is to apply. The waiver shall bind the taxable person for at least five calendar years. The taxable person may revoke the waiver with effect from the beginning of the following calendar year.

1.1.2 Provision of intra-Community B2B goods and services

Where a domestic taxable person provides intra-Community supplies of goods and / or services to other taxable persons which have to be declared in the VAT Information Exchange System (VIES), it needs to apply for a VAT-ID no. (with the country prefix DE) separately with the Federal Central Tax Office. This is necessary because taxable persons only get a national tax number for VAT purposes (with a different structure and without the country prefix DE) and require an additional EU-VAT-ID no. for intra-Community transactions.

From 2025, small businesses established in Germany who do not exceed the thresholds mentioned above have the choice to apply the VAT exemption for small businesses for supplies in other EU Member States, too. The taxable person will then have to participate in a specific reporting procedure as stipulated in sec. 19a of the VAT Act. For this purpose, the taxable person will get a specific identification number for small businesses with the annex "BX" from the Federal Central Tax Office under which the supplies in other EU Member States have to be reported quarterly within one month after the end of each quarter of the year. Furthermore,

- Austria: Tax Office München
- Belarus: Tax Office Magdeburg
- Belgium: Tax Office Trier
- Bulgaria: Tax Office Neuwed
- Croatia: Tax Office Kassel
- Czech Republic: Tax Office Chemnitz-Stid
- Denmark: Tax Office Flensburg
- Estonia: Tax Office Rostock
- Finland: Tax Office Bremen

Member States and in specific third countries, the competent tax offices are:

The proper tax office is dependent on the location of the foreign business. For taxable persons established in Germany, usually the tax office of the district in which the taxable person carries out its business is competent. For foreign taxable persons, German VAT laws stipulate respective rules of competence, depending on the country where the foreign taxable person is established. In principle, the Tax Office Berlin International is responsible for foreign taxable persons. However, for taxable persons established in the EU

It normally takes 2 to 4 weeks to register for VAT purposes.

The registration form can be downloaded at the following link: <https://www.formulare-bfinv.de/ffw/content.do>

- a registration form;
- the articles of association;
- an excerpt from the commercial register; and
- a certificate of being a taxable person (i.e. VAT registration certificate from the country of establishment).

When registering, the following information must be submitted:

1.2.2 Registration procedure

It is possible to register for VAT voluntarily before the relevant threshold is exceeded, even retroactively. A small business may irrevocably declare to the competent tax office in his Member State of establishment that he waives the application of the exemption. The waiver shall take effect from the beginning of the quarter of the year following receipt of the waiver. If the waiver is received by the authority during the last month of a quarter of the year, it shall take effect as from the beginning of the second month of the following quarter. The waiver shall bind the taxable person for at least five calendar years. The taxable person may revoke the waiver with effect from the beginning of the following calendar year.

1.2.1 Voluntary registration

If the VAT exemption for small businesses applies, the taxable person is not obliged to charge VAT. On the other hand, it cannot deduct any VAT incurred on the acquisition of goods or services, not even in the VAT refund procedure according to the Directive 2006/112/EC. However, the small business may be liable for VAT under the reverse charge scheme stipulated in sec. 13b of the VAT Act (without input VAT deduction). This would result in an obligation to register for VAT and to file VAT returns.

As from 2025, small businesses established in another EU Member State (irrespective of their legal form) enjoy the same VAT exemption as domestic taxable persons according to sec. 19 of the VAT Act and do not have to register. The exemption applies if the turnover according to Art. 288 of Directive 2006/112/EU (for all supplies throughout the EU) did not exceed EUR 100,000 (without VAT) during the previous calendar year and as long as this turnover does not exceed EUR 100,000 (without VAT) in the current calendar year. Furthermore, a specific identification number for small businesses must be assigned to the taxable person in the Member State where it is established.

1.2 Registration threshold & SME Scheme for foreign taxable persons

the exemption only applies if the turnover according to Art. 288 of Directive 2006/112/EU (for all supplies throughout the EU) did not exceed EUR 100,000 (without VAT) during the previous calendar year and as long as this turnover does not exceed EUR 100,000 (without VAT) in the current calendar year. And last but not least, the conditions for the VAT exemption for small businesses of the relevant other Member State must be met as well.

When 2 or more taxable persons established or having a fixed establishment in Germany are closely bound to one another by financial, economic and organisational links, those persons are treated as a single taxable person for VAT purposes. The treatment as a VAT group is obligatory in Germany if the conditions are met (sec. 2 para. 2 no. 2 of the VAT Act).

Financial links exist if more than 50% of the shares of the members are directly or indirectly held by the same person(s). Organisational links exist if the members are under common management or where the management of one member is actually subordinate to that of another. Economic links exist where the activities of the members are mainly aimed at achieving the same economic goal or carried out for the benefit of the other members of the group.

Only taxable persons can form part of a VAT group, which excludes "pure" holding companies. VAT grouping is limited to the German entities / fixed establishments of the group.

The VAT group must file one VAT return only, i.e. a single VAT return, in the name of the head of the group. If the head of the group is not located in Germany, another taxable person must be selected as the head of the VAT group. The members of the VAT group are jointly and severally liable for payment of the VAT debts of the group. Nevertheless, each member of the group may apply for a separate VAT identification number.

1.3 VAT grouping

- France (and Monaco): Tax Office Offenbourg
- Greece: Tax Office Berlin International
- Hungary: Central Tax Office Nürnberg
- Ireland: Tax Office Hamburg-Nord
- Italy: Tax Office München
- Latvia: Tax Office Bremen
- Liechtenstein: Tax Office Konstanz
- Lithuania: Tax Office Mühlihausen
- Luxembourg: Tax Office Saarbrücken Arm Stadigraben
- North Macedonia: Tax Office Berlin International
- Netherlands: Tax Office Kleve
- Norway: Tax Office Bremen
- Poland: Tax Office Hameln-Holzwinden (entrepreneurs, whose surnames or company names begin with the letters A through to G)
- Poland: Tax Office Orlanienburg (entrepreneurs, whose surnames or company names begin with the letters H through to L)
- Poland: Tax Office Cottbus (entrepreneurs, whose surnames or company names begin with the letters M through to R)
- Poland: Tax Office Nördlingen (entrepreneurs, whose surnames or company names begin with the letters S through to Z)
- Portugal: Tax Office Kassel
- Romania: Tax Office Chemnitz-Süd
- Russia: Tax Office Magdeburg
- Sweden: Tax Office Hamburg-Nord
- Switzerland: Tax Office Konstanz
- Slovakia: Tax Office Chemnitz-Süd
- Spain: Tax Office Kassel
- Slovenia: Tax Office Orlanienburg
- Turkey: Tax Office Dortmund-Uma
- Ukraine: Tax Office Magdeburg
- United Kingdom (and Isle of Man): Tax Office Hannover-Nord
- USA: Tax Office Bonn-Innenstadt

1.4 Fiscal representative

A foreign taxable person from an EU or a non-EU country does not have to appoint a fiscal representative for registering for VAT purposes in Germany. It is possible to register directly for VAT purposes in Germany.

A foreign taxable person may appoint a fiscal representative according to sec. 22a of the VAT Act if it provides only VAT exempt supplies and is not incurring any input VAT in Germany (i.e. does not have any costs with German VAT). This avoids a VAT registration and filing of VAT returns since the exempt supplies are reported under a specific VAT-ID of the fiscal representative.

2. Taxable transactions

2.1 Transfer of business

Germany has implemented an out of the scope of VAT rule for the sale of a business or a separated part of the business in sec. 1 para 1a of the VAT Act (transfer of a going concern). It is essential that all important parts of the business are transferred and that the transferee continues the business. The transferee must be a taxable person. The transferee steps into the tax position of the transferor (i.e. takes over all transferor's rights and obligations related to VAT).

2.2 Supplies free of charge

The following supplies of goods free of charge shall be regarded as a supply for consideration and be subject to VAT (sec. 3 para. 1b of the VAT Act):

- the removal of an asset by a taxable person from his business for purposes other than those of its business;
- the contribution of goods without consideration by a taxable person to its employees for their private use, unless it is a gift for a special (personal) occasion of small value (up until EUR 60 net per gift);
- any other contribution of goods without consideration, with the exception of gifts of small value (up until EUR 50 net per year per recipient) and samples of goods made for the purpose of the business.

If it is already known at the moment of the acquisition of goods that these goods are to be used for rendering supplies free of charge, the taxable person acquiring the goods is not entitled for an input VAT deduction. On the other hand, in such a situation, the supply free of charge is not subject to VAT since the input VAT was not deducted.

The following shall be regarded as a supply of service for consideration (sec. 3 para. 9a of the VAT Act):

- the use of goods, for which input VAT was deducted, in full or partially, by a taxable person for purposes other than those of its business or for the private use of its employees, unless it is regarded as a gift for a special (personal) occasion of an employee of small value (up until EUR 60 net per gift);
- the supply of a service without consideration by a taxable person for purposes not connected with the business or for the private use of its employees, unless it is regarded as a gift for a special (personal) occasion of an employee of small value (up until EUR 60 net per gift).

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

The importation of goods which will be subject to an immediate subsequent intra-Community supply is zero-rated according to sec. 5 para. 1 no. 3 of the VAT Act (customs procedure 4200) if the importer:

- provides its German VAT-ID (or the VAT-ID of its fiscal representative);
- provides the VAT-ID of the acquirer in the other EU Member State; and
- provides proof that the imported goods are intended to be shipped to another EU Member State.

2.3.2 Postponed accounting on importation

Import VAT generally must be paid immediately, upon the importation for any goods from places outside of the EU. Germany does not provide for a postponed accounting scheme, meaning that the import VAT is declared in the VAT return. However, taxable persons enjoy an extension and have to pay the import VAT by

the 10th day after import. Furthermore, in the event that the taxable person was granted a deferment account in accordance with Art. 110 (b) or (c) of the Union Customs Code, the import VAT incurred upon importation into Germany is only due on the 26th day of the second month following the month of import (sec. 21 para. 3a of the VAT Act). In principle, the taxable person must also provide security for the amount of import duties and import VAT that are to be deferred. However, the security is not to be provided if the taxable person is fully entitled to deduct input VAT.

3. Place of supply

3.1 Consignment and call-off stock

A foreign taxable person moving stock to Germany must, in principle, register for VAT purposes in Germany. It will then have to report intra-Community acquisitions because of the transfer of own goods when replenishing the stock and domestic supplies in Germany when the goods are pulled from the stock.

According to the jurisprudence of the Federal Fiscal Court with respect to consignment stocks, however, a foreign taxable person will not have to register in Germany but rather provide direct supplies to Germany (at the moment the goods are transferred to the stock) if a binding purchase contract is in place at the beginning of the transport to the stock.

Furthermore, if certain conditions are met, the simplification scheme according to Art. 17a of the EU VAT Directive which was transposed to sec. 6b of the VAT Act applies. The German VAT legislation is in line with the relevant articles of the EU VAT Directive and stipulates that the supplier does not perform a transfer of own goods followed by a domestic supply but rather an intra-Community supply to his customer at the moment the goods are pulled from the stock.

3.2 Installation supplies

Certain supplies including installation (*Werklieferung* or *Montagelieferung*) are treated as supplied where they are installed (sec. 3 para. 7 of the VAT Act). In Germany, a supply including installation is considered a *Werklieferung* if the supplier uses his own good(s) for the supply which are not of minor importance for the supply and the customer provides certain goods which become part of the final construction (sec. 3 para. 4 of the VAT Act). A supply including installation is considered a *Montagelieferung* if the supplier only uses his own good(s) for the supply. This distinction is relevant for the application of the reverse charge scheme (sec. 11 para. 1).

If the goods are of minor importance, the supply is qualified as a service. Whether the goods used for the *Werklieferung* or *Montagelieferung* are of minor importance or not does not depend on the value of the goods. Rather, what is relevant is if the goods form a dominant part of the supply. Only for the repair of movable tangible goods where it is hard to determine the importance of the goods supplied, the Administrative VAT guidelines allow a determination based on the value of the goods. If the goods used for the repair amount to more than 50% of the total value of the supply, the repair is considered to be a supply of goods (*Werklieferung*).

3.3 Distance sales

In principle, the place of supply of goods is where the transport commences (sec. 3 para. 6 of the VAT Act). However, the place of supply shifts to where the transport ends for intra-Community distance sales once the supplier exceeds the uniform EU threshold of EUR 10,000 (sec. 3c of the VAT Act). Turnover generated from the supply of 'electronically supplied services', telecommunications services and broadcasting services are included in the EUR 10,000 threshold.

Once the threshold is exceeded and distance sales to German customers are deemed to be carried out in Germany, the supplier may either register directly in Germany or in its country of establishment via the One-Stop-Shop to account for German VAT for its distance sales to Germany.

It is possible to opt for taxation in the country of arrival (i.e. Germany) before the threshold is exceeded. It is necessary to inform the German tax authorities. The option is binding for 2 years. If Germany is the country of dispatch of the goods, it is necessary to inform the German tax authorities in writing if a taxable person opts for taxation in the country of arrival before the threshold is exceeded.

3.4 Simplified triangulation rules

Under German VAT legislation, the simplified triangulation rules have been implemented in line with the EU VAT Directive in sec. 25b of the VAT Act.

Taxable persons A, B and C in the ABC transaction must be registered for VAT in different EU countries (i.e. in countries 1, 2 and 3). The transport must be organized by either A or B. The goods must be transported directly from A in country 1 to C in country 3.

The simplified triangulation rules can be applied if (among other conditions):

- Germany is the country of arrival of the goods; and
- the middleman (B) is not resident in Germany; and
- the middleman (B) issues an invoice without VAT but referring to a simplified triangulation and the VAT liability of the last acquirer (C).

Where Germany is the EU Member State of destination of the goods, the wording of the German legislation does not preclude the application of the triangulation rules if the middleman (B) is VAT registered in Germany or in the country of dispatch. It does preclude the application of the triangulation rules if the middleman (B) is established in Germany.

In principle, the simplification is only applicable to transactions where 3 parties are involved (ABC transaction). However, according to the Administrative VAT guidelines, the simplification is also applicable to transactions where more than 3 parties are involved but only to the last 3 parties in the supply chain (the intra-Community supply takes place between B and C).

3.5 Acquisition threshold

Where a specific taxable person (non-taxable legal persons, taxable persons exclusively engaged in VAT-exempt activities, flat-rate farmers) established in Germany acquires goods from a taxable person in another EU Member State, that acquirer is liable to report intra-Community acquisitions if the threshold of EUR 12,500 was exceeded during the previous calendar year or once this threshold is exceeded during the current calendar year.

3.6 Effective use and enjoyment

3.6.1 Outbound transactions

For the following outbound services performed to a taxable person established in Germany, sec. 3a para. 8 of the VAT Act (based on Art. 59a(a) of the EU VAT Directive) stipulates that these are taxable outside the EU if the effective use and enjoyment of the services takes place outside the EU:

- transport of goods, loading / unloading and similar services connected to transport of goods;
- work on movable, tangible goods and evaluation of such goods; and
- certain services relating to fairs, exhibitions and such travel services.

Furthermore, sec. 3a para. 7 of the VAT Act stipulates that the short-term rental of a railway vehicle, a motor bus or a road vehicle intended exclusively to transport goods, the rental is deemed to be rendered outside the EU:

- if the supply is provided to a taxable person established outside the EU;
- the vehicle is intended for his business; and
- is used in the non-EU country.

3.6.2 Inbound transactions

For the following inbound services performed by a taxable person established outside the EU, where the

4. Chargeable event & chargeability of VAT

This regulation, furthermore, covers the following services if rendered by a taxable person established outside the EU to a legal person under public law established in Germany if used and enjoyed in Germany:

- transfers/assignments of copyrights, patents, licenses, trade marks and similar rights as well as the obligation to refrain from such rights;
- advertising services;
- services of consultants, engineers, lawyers, accountants and similar services;
- translation services;
- data processing;
- provision of information;
- banking, financial and insurance transactions;
- supply of staff;
- obligation to refrain from a business activity; and
- hiring out of movable property, except all means of transport.

supply would otherwise be regarded as made outside the EU, sec. 3a para. 6 of the VAT Act (based on Art. 59a(b) of the EU VAT Directive) stipulates that these are taxable in Germany if the effective use and enjoyment of the services takes place in Germany:

- short-term rental of means of transport (B2B and B2C);
- long term rental of means of transport (B2B and B2C); and
- telecommunications and radio and television broadcasting (B2B and B2C).

the EU to a legal person under public law established in Germany if used and enjoyed in Germany:

In the case of a supply of goods or services, the VAT becomes, in principle, chargeable at the time the goods or services are supplied. For goods, this is the date when they are placed at the disposal of the acquirer. A supply of goods involving their transportation is deemed to be carried out at the date the transport commences. A supply of service is deemed to be carried out at the date the service is finally executed.

For intra-Community acquisition of goods, the VAT becomes chargeable on issue of the invoice, latest on the 15th day of the month following the acquisition if no invoice has been issued by that time.

For supplies subject to the reverse charge mechanism, the VAT becomes chargeable on issue of the invoice, latest on the last day of the month following the supply if no invoice has been issued by that time. The VAT on the purchase of a service, which falls under the main rules of Articles 44 and 196 of the EU VAT Directive, is nevertheless due at the time the service is supplied.

If VAT was unduly charged, this VAT becomes chargeable on the date of issuing the invoice.

4.2 Advance payments

Where a payment is to be made on account before the goods or services are supplied, VAT becomes chargeable on receipt of the payment.

4.3 Continuous supplies

Services ongoing over a period of more than 1 year, that do not give rise to statements of account or payments in that period and for which the customer is liable to account for the VAT on the basis of Article 196 EU VAT Directive, are regarded as being supplied on the expiry of each full calendar year up to the time the provision of the services ceases.

4.4 Cash accounting

Upon request, the tax authorities may permit a taxable person to opt to apply a cash accounting scheme for the payment of the VAT, in accordance with sec. 20 of the VAT Act, if:

Germany did not implement any of the options according to Art. 92 of the EU VAT Directive in the VAT Act. However, the Administrative VAT Guidelines provide for extensive regulations on returnable packaging and differ between different kinds of packaging:

5.4 Returnable packaging

The same regulation applies to supplies of goods and services by a taxable person to its employees and their relatives on the basis of the employment relationship (sec. 10 para. 5 no. 2 of the VAT Act).

However, in such scenarios, the taxable amount shall be limited by the open market value. Then the costs are the taxable amount rather than the consideration paid (sec. 10 para. 5 no. 1 of the VAT Act). (where a service is rendered),

- the costs associated with the provision of a service, to the extent input VAT was deducted for these costs
 - the acquisition or production costs (where goods are supplied);
- person related to such and if the consideration actually paid is lower than;
- associations of persons supply goods or services to their shareholders, proprietors, members, partner or
- Where sole traders supply goods or services to their related parties and where corporate entities and

5.3 Open Market Value

If payment is received by us within the next 14 days, you can subtract 2% of the invoice as a cash discount" Payment is indeed received within 14 days. In that case the supplier must pay EUR 186 (EUR 190 less 2%) in his VAT return. The customer can deduct EUR 186 in his VAT return. The supplier does not need to send a credit invoice for the 2%.

"Supply of goods	EUR 1,000
19% VAT	EUR 190
Total to be paid	EUR 1,190

Example:

In cases where the supplier offers a discount for settlement within a specific time limit, the taxable amount shall be the amount after the discount is applied, meaning the actual payment.

5.2 Cash discounts

For this, authorities that the amount not yet paid by the customer became a bad debt in the relevant period (sec. 17 of the VAT Act). The claim is made by reducing the tax base in the VAT return in the period of the debt becoming uncollectable. The tax office may require evidence of uncollectability, but there are no guidelines

In Germany, bad debt relief is available to taxable persons, provided they prove to the satisfaction of the tax

5.1 Bad debt relief

5. Taxable amount

Where the scheme applies, output VAT is chargeable when the payment is received, and input VAT is chargeable when the payment is made. It is not foreseen in the VAT legislation to mention 'cash accounting' on the invoice.

- the total turnover in the previous calendar year did not exceed EUR 800,000;
- the taxable person is exempt from the obligation to keep an accounting pursuant to Article 148 of the General Fiscal Code; or
- to the extent the taxable person carries out supplies as a member of an independent profession within the meaning of Sec. 18 para. 1 no. 1 of the Income Tax Act.

- packaging required for the delivery of the goods, e.g. bottles: the amount to be paid for it is deemed to be part of the taxable amount of the packed goods;
 - packaging facilitating the transport, e.g. pallets, crates, containers: the amount to be paid for it is deemed to be a remuneration for a separate supply of the packaging.
- Once the packaging is returned to the supplier and the remuneration for the packaging is paid back to the customer, the taxable amount for the initial supply is deemed to be reduced and the VAT can be recovered by the supplier. If the customer is a taxable person, he must reduce the input VAT deduction accordingly. It is not required to issue a credit note or any similar document.

6. VAT rates

6.1 Standard rate

The standard rate in Germany is 19% (sec. 12 para. 1 of the VAT Act).

6.2 Reduced rate

The reduced rate in Germany is 7%. Sec. 12 para. 2 of the VAT Act stipulates to which supplies it applies, for instance:

- the supply of food and beverages (except alcoholic beverages);
- hotel accommodation;
- books, magazines and newspapers;
- passenger transport; and
- art.

6.3 Super-reduced and zero rates

Germany has not implemented a super-reduced rate or a zero rate.

7. Exemptions

7.1 Exemptions with the right to deduction

Germany zero-rates the following supplies and services (with the right to input VAT deduction) according to sec. 4 no. 1 – 7 of the VAT Act:

- exports and intra-Community supplies of goods;
- supplies relating to maritime traffic and aviation;
- cross-border transportation of goods related to import/export;
- supplies of monetary gold to central banks;
- supplies of goods under customs control or VAT warehousing arrangements;
- the transport of goods under customs bond;
- supplies to armed forces of the NATO and to armed forces of other EU Member States; and
- supplies to intergovernmental institutions and to diplomatic missions.

7.1.1 Intra-Community supplies

The intra-Community supply of goods is zero-rated according to sec. 4 no. 1 lit. b of the VAT Act under the conditions of sec. 6a of the VAT Act and if the particular Recapitulative Statement was filed correctly.

Furthermore, proof is necessary that the goods have left Germany. Acceptable proof includes certain bookkeeping records, the transport documentation and certain confirmations of the customer. If a freight forwarder is involved, a copy of the invoice and a special confirmation of the freight forwarder are required. However, the standard proof for intra-Community supplies is the so-called *Gelängensbesätigung* (confirmation of arrival – entry certificate). The above rules can still be used in order to prove the transport

Certain hospital services, medical and paramedical care, cultural activities, ambulance services, services rendered by undertakers, educational services, services of a cultural or social nature, some services connected with sports, etc. are examples of exemptions in the public interest. Some exemptions, however, are granted

7.2.1 Exemptions in the public interest

VAT Act). A few are mentioned below.

There are various exemptions without the right to input VAT deduction in Germany (sec. 4 no. 8 – 29 of the

7.2 Exemptions without the right to deduction

Bonded warehouses are possible in Germany but are covered by the Customs Code. There is, generally, no influence on VAT if goods are placed in a bonded warehouse. If the goods are placed in a customs warehouse, no import VAT applies as the goods are not released into free circulation but remain under customs control. The sale within the warehouse is subject to a zero VAT rate under the condition that the goods are finally cleared for customs. Import VAT is due when the goods are cleared for customs.

7.1.3.3 Bonded (customs) warehouse

Germany has not implemented excise warehousing.

7.1.3.2 Excise warehouse

However, Germany decided to abolish the VAT warehouse regulations as from 1st January 2026 since these were applied rarely and required extensive administrative efforts.

A non-established trader is not required to register for VAT when placing goods in the VAT warehouse but must register for VAT when selling goods in the VAT warehouse or releasing goods from a VAT warehouse. When placing non-EU goods into a VAT warehouse, the importation is exempt for VAT purposes. This exemption becomes final for the supplier of the goods if the goods are sold in the VAT warehouse and remain under the arrangement. The release from the VAT warehouse arrangement triggers VAT liability, unless an exemption (e.g. intra-Community supply, exportation) applies. In that case the non-established trader in principle must register in order to declare the intra-Community supply. But if this is his only activity, he may appoint a fiscal representative.

Germany implemented VAT warehouse regulations. A permission from the tax authorities is necessary to maintain a VAT warehouse. The warehouse can be used for the storage of specific types of predetermined goods. In addition to the goods listed in Annex V of the EU VAT Directive, the following additional products can be put into a VAT warehouse:

- gold (CN code 7108);
- pulp from wood (CN code 4703);
- iron and steel products (CN code 7207 - 7212); and
- non-ferrous metal (CN code 8101).

7.1.3.1 VAT warehouse

7.1.3 Warehousing

Furthermore, proof is necessary that the goods have left the EU. The so-called *Ausgangsvermerk* (confirmation of export) of the Automated Tariff and Local Customs Clearance System (ATLAS) is considered to be the standard documentary proof. Alternative proof, such as bills of lading, airway bills or freight forwarder certificates, is accepted only if an export has not been declared in the electronic ATLAS procedure or if, in special cases, the electronic export procedure could not be completed as required.

The export of goods is zero-rated according to sec. 4 no. 1 lit. a of the VAT Act under the conditions of sec. 6 of the VAT Act.

7.1.2 Export supplies

besides the presumptions of transport as mentioned in Art. 45a Implementing Regulation which was also transposed into national law.

- supply of goods provided as security by one taxable person to another in execution of that security outside insolvency procedure;
- supply of immovable property with an option for taxation;
- supply of construction work, particularly supplies of goods including installation and supplies of services in relation to immovable property aiming for the construction, repair, maintenance, alteration and demolition of buildings and constructions to customers providing construction work on a regular basis;
- supply of natural gas and electricity supplied by non-resident suppliers to "taxable dealers";
- supply of emission rights;
- supply of old, used materials, scrap, waste and specific services;
- cleaning of buildings;
- supply of gold;
- supply of mobiles, tablet computers, games consoles and integrated circuits if the value is not less than EUR 5,000;

On the following supplies of goods and/or services the domestic reverse charge rules apply (sec. 13b para. 2 no. 2 – 12 of the VAT Act in conjunction with sec. 13b para. 5 of the VAT Act) :

8.1.2 Reverse charge mechanism - specific domestic rules (Art. 199 EU VAT Directive)

On the invoice, reference must be made to the application of the reverse charge scheme. The supplier must use the following text on the invoice "Steuerschuldnerschaft des Leistungsempfängers". A remark in a foreign language (for example: "Reverse Charge") is possible.

There is a reverse charge for services supplied in Germany as well as for supplies of goods including installation (limited to *Werklieferungen* – not applicable to *Montageleistungen* – see 3.2) in Germany performed by a non-established taxable person (sec. 13b para. 1 and para. 2 no. 1 in conjunction with sec. 13b para. 5 of the VAT Act). A mere VAT registration does not avoid reverse charge, i.e. the reverse charge also applies if a non-established supplier is registered for VAT in Germany. On the other hand, reverse charge applies irrespective of whether or not the recipient is VAT registered or resident in Germany. The recipient may be obliged to register in order to fulfil the reverse charge obligation. The reverse charge scheme for supplies of non-established taxable persons does not apply to certain passenger transport services, to admission to conferences, exhibitions, fairs etc., to services of fair organization companies rendered to non-established persons and to restaurant services aboard ships, planes and trains.

8.1.1 General reverse charge mechanism - non-resident suppliers (Art. 194 EU VAT Directive)

In Germany there are several obligatory reverse charge rules besides the reverse charge for general B2B services provided by non-resident suppliers to taxable persons and legal entities with a German VAT-ID number established in Germany. This reverse charge applies in all EU Member States and follows from Art. 44 and Art. 196 EU VAT Directive.

8.1 Reverse Charges

8. Liability

The taxable person may (among others) opt for taxation in case of certain financial transactions, insurance transactions, sale and rental of real estate if the turnover is executed for another taxable person for the taxable activity of the latter. In case of rental of real estate, the option is only allowed if the customer is exclusively using or planning to use the real estate for turnovers allowing input VAT deduction.

7.3 Option for taxation

The other exemptions are financial and banking services, insurance services, management of collective investment funds, postal services, non-commercial activities, letting of immovable property, the supply of immovable property, services by religious, charitable organizations, etc.

7.2.2 Other exemptions

on the condition that the supplier is a non-profit institution and/or on the condition that no distortion of competition will occur as a result of the exemption.

- supply of certain precious metals (like silver, platinum etc.) if the value is not less than EUR 5,000; and
- telecommunication services to resellers.

Reverse charge always applies if the customer is a taxable person, regardless if he is established or VAT registered in Germany or not.

A supplier must refer to the reverse charge scheme. The following text is to be mentioned on the invoice "Steuerschuldnerschaft des Leistungsempfängers". A remark in a foreign language (for example: „Reverse Charge“) is possible.

8.2 Joint and several liability

Under German law, managing directors of businesses can be held jointly and severally liable for the unpaid taxes of the businesses they manage.

Joint and several liability also exists for businesses that form part of a VAT group for the VAT debts of each member of the VAT group for the entire period that the relevant entity was part of that VAT group.

Joint and several liability also exists in situations of carousel fraud.

9. Recovery of input VAT

9.1 Non-recoverable input VAT

The input VAT is not recoverable in case of:

- purchases being related to VAT exempt supplies not allowing input VAT deduction;
- gifts for non-employees if the limit of EUR 50 per year and per recipient is exceeded; and
- expenses for guest houses, hunting and fishing, yachts and excessive expenses related to private living.

9.2 Excess input VAT

Excess input VAT is immediately recoverable and refunded by the VAT authorities.

9.3 Adjustment periods

- immovable property – 10 years after first use;
- movable property – 5 years after first use.

9.4 VAT refund to EU taxable persons

The claim must be submitted electronically via a portal of the country of residence and is submitted by the local tax authorities to the Bundeszentralamt für Steuern (www.bzst.bund.de). The minimum period is 3 months (minimum amount: EUR 400), maximum period is one year (minimum amount: EUR 50). The claim must be filed within 9 months after the end of the calendar year (30 September). After that date, filing of a return is only possible in very limited circumstances (for example, in case of serious illness etc.).

Scanned invoices or import documents must be attached if the VAT amount is more than EUR 1,000 (fuel: EUR 250). The deadline for refunding the outstanding VAT amount is 4 months and 10 working days after receipt of the claim (i.e. application), otherwise the refund is interest-bearing. The deadline is postponed in case the refunding office needs additional information. After having received an assessment, the period for a possible appeal is normally one month.

The special procedure is only applicable if the foreign taxable person is not obliged to register for VAT in Germany. If the foreign taxable person is obliged to register for VAT in Germany, all input VAT incurred must be declared in the VAT return.

For non-refundable VAT please refer to 9.1.

9.5 VAT refund to non-EU taxable persons

In case of a non-EU non-resident taxable person, a refund claim must be submitted electronically using the Online-Portal of the Bundeszentralamt für Steuern (BOP). Claimants will have to register first before using the BOP. Detailed information is available at: <http://www.bzst.de>.

The minimum period is 3 months (minimum amount: EUR 1,000), maximum period is one year (minimum amount: EUR 500). The claim must be filed within 6 months after the end of the calendar year (i.e. before 30 June). A submission of the claim on paper and a signature is not required anymore due to the registration process prior to the electronic filing. After 30 June, filing of a claim is only possible in very limited circumstances (for example in case of serious illness etc.).

All original invoices, original import documents and a certificate of taxable status must be sent to the Bundeszentralamt für Steuern by postal mail. These original documents must arrive before the 6 months period elapses.

VAT refund is depending on reciprocity. Reciprocity is given for the following countries:

- Andorra
- Antigua and Barbuda
- Australia
- Bahamas
- Bahrain
- Bermuda
- Bosnia and Herzegovina
- Brunei
- Canada
- Cayman Islands
- Gibraltar
- Greenland
- Grenada
- Guernsey
- Hong Kong
- Iceland
- Iran
- Iraq
- Israel
- Jamaica
- Japan
- Jersey
- North Korea
- South Korea
- Kuwait
- Lebanon
- Liberia
- Libya
- Liechtenstein
- Macao
- Macedonia
- Maldives
- Marshall Islands
- New Zealand
- Norway
- Oman
- Pakistan
- Qatar
- Serbia
- San Marino



- Saudi Arabia
- Saint Vincent and the Grenadines
- Solomon Islands
- Swaziland
- Switzerland
- Taiwan
- Vatican
- Virgin Islands
- United Arab Emirates
- United Kingdom of Great Britain and Northern Ireland
- USA.

The special procedure is only applicable if the foreign taxable person is not obliged to VAT register in Germany. If the foreign taxable person is obliged to register for VAT in Germany, all input VAT incurred must be declared in the VAT return.

10. Administrative obligations

10.1 Invoices

10.1.1 Invoice content

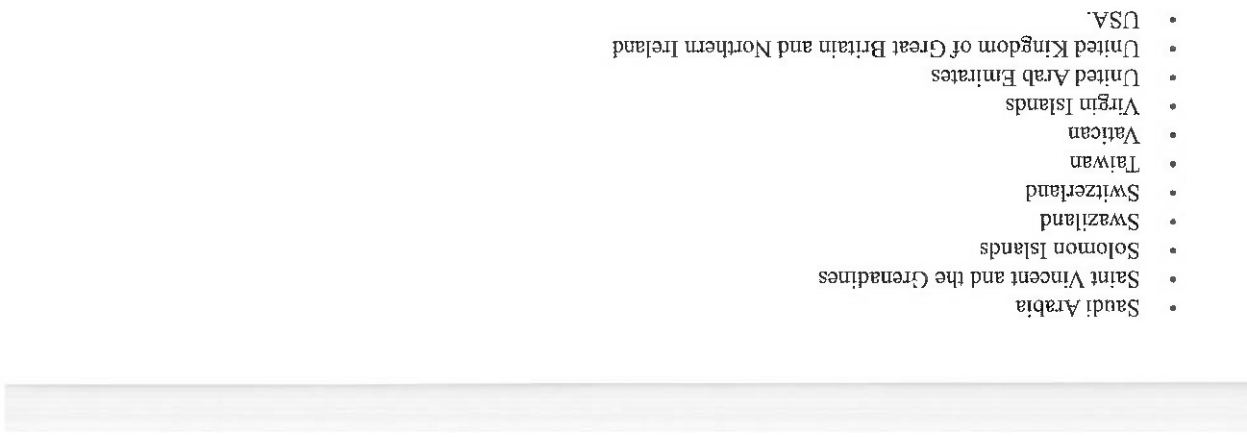
A VAT invoice must contain the following information (sec. 14 para. 4 of the VAT Act):

- date on which the invoice is issued;
- invoice number (unique and sequential);
- VAT identification number/tax number under which the supply is performed;
- full name and address of the supplier;
- full name and address of the customer and the VAT identification number of the customer in case of intra-Community supplies and cross border reverse charges;
- quantity and nature of the supplied goods or quantity and type of the supplied services;
- date of supply of goods or services; in the case where an invoice is issued before the respective supply is carried out, the date when the payment is fully or partially received, provided that this payment date is known and is not identical to the invoice date;
- taxable amount, split up according to the applicable VAT rates resp. applicable VAT exemptions, as well as any discounts or rebates agreed beforehand unless they are not already accounted for in the taxable amount;
- applied VAT rate(s);
- VAT amount;
- reason for the application of an exemption, zero rate or reverse charge. For instance: intra-Community supply: "Tax exempt intra-Community supply" resp. "steuerfreie innergemeinschaftliche Lieferung"; export supply: "Tax exempt export supply" resp. "steuerfreier Export"; reverse charge: "reverse charge" resp. "Steuerschuldnerschaft des Leistungsempfängers"; name, address and VAT identification number of the fiscal representative (if applicable); the information necessary to determine whether there is a new means of transport; in case of self-billing the remark "Gutschrift"; and
- an indication of the fact that a margin scheme has been applied.

Please note that the references are not required to be in German.

10.1.2 Time limits

For supplies of goods including installation ("*Werkleistung*") and supplies of services in connection with immovable property, an invoice has to be issued within 6 months after the supply was performed. For supplies to other taxable persons or to non-taxable legal persons an invoice has to be issued within 6 months after



the supply was performed as well. For certain transactions, such as intra-Community supplies and supplies subject to the reverse charge, the invoices must be issued within 15 days after the end of the month in which the supply was rendered.

10.1.3 Currency

The invoice may be issued in any currency. It is not necessary to mention an exchange rate or an equivalent in Euro.

10.1.4 Conversion and exchange rate

For conversion of the invoice into a foreign currency either the actual bank rate must be used or, alternatively, a monthly exchange rate published by the German Federal Ministry of Finance. The exchange rate of the ECB may also be used.

10.1.5 Self-billing

Under German VAT legislation, self-billing is allowed in cases where it was agreed upon in advance. If the recipient of the document protests it, then the document loses the character of an invoice. On the document, it must be stated that it is a self-billing invoice ("Gutschrift" resp. "self-billing").

10.1.6 Simplified invoices

It is possible to issue a simplified invoice if the total amount of the invoice is not higher than EUR 400. A simplified invoice must contain the following information:

- full name and full address of the supplier;
- date of issue;
- quantity and nature of the supplied goods or the quantity and type of the supplied services;
- total invoice amount including taxable amount and VAT amount for the supply; and
- applicable VAT rate or reason for the application of an exemption.

10.1.7 Storage of invoices

Invoices need to be kept available for 8 years. Generally, invoices must be stored in Germany. After approval by the tax authorities, invoices may be stored outside of Germany. Invoices may be stored electronically. In case of electronic invoicing, it is obligatory to store the invoices electronically.

10.1.8 Electronic invoicing

Invoices can be issued by electronic means, after acceptance by the recipient, provided that the authenticity of the origin, the integrity of the content and the legibility of the invoice is ensured.

With effect from 1st January 2025 the regulations on electronic invoicing were extensively amended.

Electronic invoices in a structured format (according to Directive 2014/53/EC and CEN standard 16931 or interoperable with it) have to be issued under the following conditions:

- supplier is a taxable person established in Germany;
- customer is a taxable person established in Germany;
- place of supply is deemed to be in Germany; and
- supply is not VAT-exempt according to sec. 4 no. 8 – 29 of the VAT Act.

The e-invoicing (in a structured format) does no longer require the consent of the parties.

The e-invoice obligation applies from 1 January 2025, with transitional provisions only for the invoice issuer, i.e. the obligation to issue invoices. Invoice recipients are obliged to accept the receipt of e-invoices, without restriction from 2025 if they receive supplies from other taxable persons established in Germany.

The following transitional provisions apply to invoice issuers:

- In 2025 and 2026, paper invoices and other electronic invoices, such as PDF (the latter still only with the consent of the invoice recipient) will continue to be permitted, in addition to e-invoices in a structured format;
- In 2027, taxable persons with a total turnover of up to EUR 800,000 in the previous calendar year may continue to issue paper invoices and other electronic invoices (the latter still only with the consent of the invoice recipient to their customers);

- In 2027, EDI invoices may also continue to be issued with the consent of the invoice recipient. EDI invoices may only be used if they are compatible with the CHN standard and both parties have agreed to their use.
- Simplified invoices are not subject to the e-invoicing regulations.

10.2 Compliance

10.2.1 VAT return period

The standard VAT return period is a calendar quarter. Monthly VAT returns must be filed if the yearly VAT liability exceeded EUR 7,500 in the previous calendar year. Additionally, a yearly (summarizing) VAT return must be filed.

No quarterly or monthly VAT returns but only annual VAT returns must be submitted if the annual amount of VAT due is less than EUR 1,000. The VAT returns, in general, have to be submitted electronically.

10.2.2 Filing of a VAT return and payment

The VAT due must be received on the bank account of the tax authorities on the 10th day of the following month. If this date falls on a weekend or a bank holiday, the VAT is due on the next business day (i.e. the VAT for October 2024 must be received by the VAT authorities by 11th November 2024). The same applies for the VAT return.

An extension of one month may be granted against prepayment (1/11 of the last year's VAT liability). Filing can be done via <https://www.elsteronline.de/portal/>.

10.2.3 European sales listing

European sales listings must be submitted on a monthly basis if the intra-Community supply of goods exceeds EUR 50,000 in the current quarter or in any of the 4 preceding quarters. The European sales listings for services can be submitted on a quarterly basis, regardless of the period for the intra-Community supply of goods. The European sales listings must be filed, as a general rule, electronically. Filing can be done via <https://www.elsteronline.de/portal/>. There is no threshold for filing the European sales listings.

10.2.4 National recapitulative statement

There are no national recapitulative statements in Germany except for the yearly summarizing VAT return.

10.2.5 Tax assessment period

In Germany the statute of limitation is 4 years (15 years in case of tax fraud). The statute of limitation starts at the end of the year in which the tax return had been filed (i.e. if the VAT return for 2021 was filed in 2022, the period ends on 31 December 2026).

In order to avoid that the deadline never ends if the taxable person fails to file a return, there is the fall-back position that the limitation period starts automatically after 3 years (i.e. if no VAT return is filed for 2021, the limitation period ends on 31 December 2028). After that date, assessments or amendments are no longer possible.

10.3 Penalties

10.3.1 Default penalties for not filing a VAT return or an EC Sales List on time

If the VAT return is not filed on time, the penalty may amount to up to 10% of the tax due, with a maximum of EUR 25,000. The penalty is at the discretion of the tax authorities.

If the EC Sales List is not filed on time, the VAT authorities can issue a penalty of 1% of the tax base to be declared in the listing with a maximum of EUR 2,500.

10.3.2 Default penalties for not paying VAT on time to the tax authorities

If the VAT is not paid on time, the VAT authorities will assess a penalty of 1% of the outstanding amount per month.

10.3.3 Default penalties on VAT assessments when VAT is not reported correctly
Interest will be assessed on outstanding amounts as well as on refunds. The rate is 0.15% per month. Interest period starts 15 months after the end of the respective calendar year (i.e. for 2024 interest will be paid starting from 1 April 2026).

10.3.4 Offence penalties

The VAT law allows penalties up to EUR 50,000. In case of tax fraud, the penalty may be up to 5 years prison or a fine. The interest rate is 0.5% per month.

10.4 Intrastat

Intrastat returns must be submitted to the Statistical Central Office (Statistisches Bundesamt). A monthly return is required which is due on the 10th working day of the following month at the latest.

All taxable persons who are registered for VAT in Germany (and were assigned a German VAT number) are generally required to file Intrastat returns if they perform intra-Community supplies or acquisitions (including transfer of own goods) unless the threshold mentioned below is not exceeded. This also applies to distance sales. Only sales to private persons in other EU Member States where the customer is responsible for the transport, do not have to be reported. If a fiscal representative was appointed, the obligation to file Intrastat returns is shifted to the fiscal representative.

10.4.1 Intrastat threshold

The Intrastat threshold is for the arrivals EUR 3,000,000 and for the dispatches EUR 1,000,000 per year.

10.4.2 Intrastat data to be reported

The information which needs to be reported (depending on arrival or dispatch) is:

- VAT number of the supplier;
- reference period (i.e. the reporting month);
- EU Member State of dispatch or destination;
- State of dispatch or destination;
- country of origin;
- nature of the transaction (e.g. purchase, sale, return of goods, repair etc.);
- means of transport, for instance "by road" or "by sea";
- HS Code (8-digit harmonized commodity code according to Combined Nomenclature (CN));
- statistical value in Euro;
- VAT ID number of the customer;
- quantity of the goods (i.e. net weight in kilograms);
- other measure for certain goods (liters, m² or number of pieces); and
- invoice value of the goods in Euro.

10.5 Additional compliance requirements

There are no additional requirements.

Information received from:

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Value Added Tax (VAT) was introduced in Greece in 1986 (and came into force as of 01 January 1987) through law 1642/1986 and is currently regulated by law 5144/2024 “Κωδίκας Φόρου Προστιθέμενης Αξίας” (“Value Added Tax Code”). Greek VAT legislation transposes into domestic law the provisions of the European Union (EU) VAT Directive. VAT is referred to in Greece as “Φόρος Προστιθέμενης Αξίας” or “Φ.Π.Α.”.

1. Taxable persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

Domestic taxable persons, engaging in economic activity, have the obligation to register with the tax authorities and acquire a tax registration number. There is no separate registration for VAT purposes or a separate VAT number, as the tax registration number acquired covers all taxation purposes. In this respect, there is no threshold for taxable persons as to their obligation to be registered with the tax authorities. If, however, a specific business falls under a special VAT scheme or engages in VAT exempt activities, or activities outside the scope of VAT, this is declared to the tax authorities upon its registration, so that its VAT obligations, if any, are observed by the tax authorities accordingly.

Greek VAT law provides for the small enterprises scheme with a threshold of EUR 10,000. Still however the persons that are eligible for the scheme are required to VAT register.

The tax registration is made with the central tax administration. The documents that need to be provided for the tax registration vary, depending on the legal type of the domestic taxable person.

Additionally, domestic taxable persons need to submit certain other forms which must be completed as well for the registration.

The forms may be downloaded at the following link: <https://tinyurl.com/3sv9whm>

1.2 Registration threshold & SME Scheme for foreign taxable persons

Foreign taxable persons that perform taxable transactions in Greece for which a VAT registration is required, have the obligation to VAT register, without any threshold or exception being applicable. The VAT registration of EU entities is made electronically, through submission by email of the required form to the designated tax office at the e-mail address doyathinon@1836.syzefxis.gov.gr

The aforementioned form can be downloaded at the following link: <https://tinyurl.com/3sv9whm>

The tax office subsequently verifies the declared information with the data recorded with the VAT Information Exchange System (VIES) and, having confirmed that this information is accurate, issues the VAT number and communicates it to the applicant by email. On average, the VAT number is issued within two weeks of the electronic submission of the required form.

In the case of non-EU taxable persons, Greek VAT registration is made through the appointment of a fiscal representative. EU taxable persons who need to VAT register in Greece have the option, but are not required, to appoint a fiscal representative. If they do not want to proceed with the above direct registration. To this end, the foreign business needs to send:

- a power of attorney to the (legal or natural) person that will be appointed as the fiscal representative;
- its articles of association; and
- a certificate of good standing.

All these documents must be notarized and apostilled. The fiscal representative submits them, together with their translation in Greek and certain tax forms filled in by the fiscal representative, to the tax office that is competent for the fiscal representative.

These tax forms can be downloaded at the following link: <https://tinyurl.com/3v9vhwrm>

On average, the VAT number is issued within two weeks of the submission of the above documents.

1.3 VAT grouping

VAT grouping is not possible under Greek VAT law.

1.4 Fiscal representative

Taxable persons established in non-EU countries that carry out taxable transactions in Greece for which they become liable for VAT (and for which the reverse charge mechanism is not applicable), are in principle required to appoint a fiscal representative in order to fulfil their Greek VAT obligations.

On the other hand, taxable persons established in EU Member States that carry out taxable transactions in Greece for which they become liable for VAT (and for which the reverse charge mechanism is not applicable) have the option to appoint a fiscal representative, or to proceed with a direct registration. In all cases where a fiscal representative is appointed, the representative is liable to the Greek State for the fulfilment of his principal's Greek VAT obligations. For the procedure of the appointment of a fiscal representative see paragraph 1.2.

By way of exception from the above, non-EU taxable persons are not required to appoint a fiscal representative in case they operate under a special license for the deferral of VAT on import (see paragraph 2.3.2.1) in which case they may proceed with a direct registration like EU taxable persons.

In the event the EU or non-EU taxable person, who has the requirement to VAT register in Greece and account for Greek VAT, does not proceed with such registration, then the Greek customer becomes liable to the Greek State to account for the VAT due that is not charged and paid by the foreign supplier, if such customer is a taxable person. However, this will not be the case, if the EU or non-EU taxable person is considered to have a fixed establishment in Greece.

2. Taxable transactions

2.1 Transfer of business

According to Greek VAT legislation, the transfer of a going concern falls outside the scope of VAT. This applies to the transfer of a business in its totality, sectors or parts of a business, with or without consideration, or in the form of contribution to existing or new legal persons, unless the transferor or the transferee is engaged exclusively in VAT exempt activities which do not allow the deduction of the input VAT. The transferee is required to continue carrying out the transferred business.

2.2 Supplies free of charge

The application by a taxable person of goods forming part of his business assets for his private use or for that of his staff, or their disposal free of charge for purposes other than those of his business, is treated as a supply of goods for consideration, where the VAT on those goods or the component parts thereof was deductible. However, the application of goods for business use as samples or as gifts of small value shall not be treated as a supply of goods for consideration. Gifts of small value are defined as goods:

- whose purchase price, or in the absence thereof, their market value, excluding VAT, does not exceed EUR 10 per person
- the goods offered do not constitute part of a successive series of offers to the same person;
- the total value of the goods offered does not exceed in one fiscal year 1% of the gross revenues of the enterprise; and

- the goods offered are not of the same kind as the goods the enterprise sells, produces or manufactures.
 - Samples are goods offered by an enterprise to its clients and to the public, without consideration, for promotional purposes, provided that:
 - they are the same with the goods sold, manufactured or produced by the enterprise
 - bear the mark "free sample"; and
 - they are offered in reasonable quantities so that they become known and their quality is assessed.
- 2.3 Importation**
- 2.3.1 Importation followed by an intra-Community supply**
- It is possible to apply an exemption on the importation of goods into Greece (with the exception of excise goods), if it is followed by an intra-Community supply (within 5 days). In such case the importer must be a taxable person registered with VIES. If the importer is established in another EU Member State or established in a non-EU country, he needs to appoint a fiscal representative in Greece or, under certain conditions, acquire a VAT number under the direct registration procedure (this latter option is only available for EU established importers).
- The exemption is applicable provided that the customer who is established in the other EU Member State is a taxable person registered with VIES. Furthermore, the respective invoices need to be submitted to the relevant customs authorities, as well as the transport contract or transport documents proving the transport of the goods to the other EU Member State. Subsequently the importer needs to submit to the customs authorities the European Sales Listing and Intrastat return where the intra-Community supply has been declared.
- 2.3.2 Postponed accounting on importation**
- 2.3.2.1 Import VAT deferral scheme**
- Foreign taxable persons with no establishment in Greece are allowed to perform imports into Greece without paying VAT upon importation at the customs office. The tax is assessed on the respective customs documents but it is accounted for by the importer through the filing of the respective periodical VAT return. To this end, a VAT registration is required. By way of exception, non-EU taxable persons which qualify for this scheme are not required to appoint a fiscal representative but they can proceed with a direct registration like EU taxable persons.
- The application of the above simplification is subject to strict conditions, among which, the realization of an annual volume of imports of at least EUR 40 million and the export or intra-Community supply of at least 90% of the statistical value of the imported items on an annual basis. In case of groups of companies, the aforementioned requirements are taken into consideration for all the companies of the group as a whole. Special licensing is provided in this respect, subject to the aforesaid conditions and other standards (e.g. creditworthiness) being met. The license may include all the group companies that will qualify for this simplification.
- 2.3.2.2 Other simplified procedures allowing postponed accounting of VAT on import**
- Greek corporate entities or natural persons that engage in transactions which fall within the competence of customs authorities and need to be declared to them, are allowed to apply for simplified procedures on import of goods from non-EU countries. Instead of paying the duties and VAT every time an import is made, the duties and VAT of the whole month can be declared cumulatively until the 5th day of the month following the month of importation. This total amount must subsequently be paid ultimately on the 16th day of that month. For deduction purposes the VAT thus paid can be included in the VAT return of the period during which it was paid. The aforementioned simplified procedures may apply following the issuance of a relevant authorization by the competent customs authorities. Such authorization is subject to a guarantee and the fulfilment of the following criteria:
- appropriate record of compliance with customs requirements of the applicant, the persons in charge of the applicant company or exercising control over its management and the person responsible in the applicant company for customs matters;

- proven financial solvency; and
- satisfactory system of managing commercial, accounting and where appropriate, transport records.

3. Place of supply

3.1 Consignment and call-off stock

Greece has implemented the call-off stock simplification in accordance with Directive 2018/1910 without any deviation.

In this respect, the movement of goods to Greece shall not be treated as an intra-Community transaction and therefore the taxable person making the transfer of the stock will not declare an intra-Community supply in the EU Member State of dispatch and the acquirer in Greece will declare an intra-Community acquisition, only at the time the acquirer withdraws goods from the stock located in Greece. Thus the obligation for the supplier to VAT register in Greece will be avoided, provided that the below conditions for the call-off stock simplification are met: both the supplier and the intended acquirer are taxable persons for VAT purposes;

- the supplier has not established his business and he does not have a fixed establishment in Greece (VAT registration of the supplier in Greece does not amount to establishment, therefore it allows the application of the call-off simplification);
- the goods are transported by the supplier or by a third party on his behalf from another EU Member State to Greece with the intention of being supplied in Greece and after arrival to an intended customer;
- the intended acquirer's identity and VAT number are known by the supplier at the time when the transport begins;
- the acquirer is entitled to take ownership of the goods in accordance with an existing agreement;
- the supplier should record the transfer of the goods in a special register, including the identity and the VAT number of the acquirer; and
- the supply to the acquirer should be made within 12 months from the arrival of the goods in Greece.

No simplification is available under Greek VAT law for consignment stock. Accordingly, non-Greek suppliers need to VAT register in Greece and account for the Greek VAT due on the intra-Community acquisition of goods in Greece and their subsequent local sale.

3.2 Installation supplies

When goods are supplied from abroad to Greece and the foreign supplier undertakes their assembly or installation in Greece, then such a transaction is treated as a single domestic supply of goods subject to Greek VAT. The foreign supplier is liable to register for VAT in Greece and charge Greek VAT on the supply, without the reverse charge mechanism being applicable. There is no formal definition in the VAT Law as to what constitutes installation or assembly. According to the guidelines of the Greek Ministry of Finance, the aforementioned treatment applies in the event the goods are supplied to the customer after their installation/assembly in Greece, and a single price is set for the goods and the installation/assembly, regardless of whether the price is paid in lump sum or partially.

3.3 Distance sales

In case non-taxable legal persons, taxable persons exclusively engaged in exempt activities and flat-rate farmers, who have in common that they are not liable for payment of VAT on their intra-Community acquisitions of goods and private individuals, all of which are established in Greece, purchase goods, other than new means of transport, or goods supplied after assembly or installation, with or without a trial run, by or on behalf of the supplier, from a supplier in another Member State, the supplier must charge Greek VAT, unless the total value, exclusive of VAT, of supplies of telecommunications, broadcasting and electronic services or supplies of distance sales of goods does not in the current calendar year exceed EUR 10,000.

or the equivalent in national currency, nor did it do so in the course of the preceding calendar year. Where, during a calendar year, the threshold of EUR 10,000 is exceeded, Greek VAT applies as of that time. Suppliers can opt anyway for the place of supply to be Greece, and in such case the option shall cover 2 calendar years.

3.4 Simplified triangulation rules

Under Greek VAT legislation, the simplified triangulation rules have been implemented in line with the EU VAT Directive. The simplified triangulation rules can be applied if (among other conditions):

- Greece is the country of arrival of the goods;
- the middleman (B) is not registered in the country of dispatch; and
- the middleman (B) is not established in Greece.

Consequently, where Greece is the EU Member State of arrival of the goods the wording of the Greek legislation precludes the application of the triangulation rules if the middleman (B) is VAT registered in the country of dispatch. The middleman (B) must mention on his invoice that this is a triangular transaction. In case Greece is the country of arrival of the goods, the simplification cannot be applied when 4 parties are involved.

3.5 Acquisition threshold

The threshold for the intra-Community acquisition of goods by non-taxable legal persons, taxable persons engaged in exempt activities with no right to deduct input VAT and flat-rate farmers from suppliers established in another EU Member State is EUR 10,000 for Greece.

3.6 Effective use and enjoyment

Greece has implemented the effective use and enjoyment rule provided in Article 59(a) of the EU VAT Directive for the following services:

- transport of goods supplied to taxable persons; when the place of supply of such services is situated exclusively outside the EU; and
- short-term hiring of professional pleasure boats to taxable or non-taxable persons; when the place of such services is situated within Greece, it will be considered as situated outside the EU when the transport services take place outside the EU;
- short-term hiring of professional pleasure boats to taxable or non-taxable persons; when the place of such services is situated within Greece, it will be considered as situated outside the EU;

Furthermore, Greece has implemented the effective use and enjoyment rule provided in Article 59(b) of the EU VAT Directive. In this respect, for the following services for which the place of supply is situated outside the EU, Greece will be considered the place of supply (and, therefore, Greek VAT will be applicable) if the effective use and enjoyment of these services takes place within Greece:

- short-term hiring of means of transport to taxable or non-taxable persons and long-term hiring of means of transport to non-taxable persons, to the extent the use of such means of transport takes place in Greece; hiring out of movable tangible property to non-taxable persons, to the extent the use of such goods takes place in Greece; and
- telecommunications services, radio and television broadcasting services and electronically supplied services to non-taxable persons, to the extent the recipient of the services is in Greece at the time such services are supplied.

4. Chargeable event and chargeability of VAT

4.1 Principles

In the case of a supply of goods or services, VAT becomes, in principle, chargeable at the time the goods or services are supplied.

When however the obligation exists to issue an invoice, VAT becomes chargeable on the date of issuing the invoice, or on the date the invoice should have been issued. The VAT on the purchase of a service, which

If payment is received by us within the next 14 days, you can subtract 2% of the invoice as a cash discount".

Total to be paid	EUR 1,240
24% VAT	EUR 240
"Supply of goods	EUR 1,000

5.2 Cash discounts Assume that the supplier sends the following invoice:

Nevertheless, in line with the aforementioned judgement of the Supreme Court, the Dispute Resolution Directorate (which reviews administrative appeals) has also ruled that VAT should be refunded when the customer has been declared bankrupt or has entered a rehabilitation procedure.

In response to the above judgement of the Supreme Court, Greek tax administration issued guidelines which only allowed bad debt relief for the rehabilitation procedure of a specific Greek retailer and its suppliers, because this specific retailer's case was examined by the Supreme Court. Although the Supreme Court ruled in a general manner that VAT should be recovered when one of the aforementioned instances occur, Greek tax administration limited the bad debt relief only to a specific case.

However, the Greek Supreme Administrative Court has ruled that this is contrary to EU VAT law and the taxable persons have the right to the refund of VAT on bad debts, in case the customer has been declared bankrupt, has entered a rehabilitation procedure or has been placed under special administration, in accordance with the Greek Insolvency Code.

No bad debt relief is available under Greek VAT law.

5.1 Bad debt relief

5. Taxable amount

VAT is due to the tax authorities, when actually received from the customer in case of suppliers with an annual turnover up to EUR 2 million. Cash accounting is optional and does not apply to exempt and zero rate transactions, imports and intra-Community acquisitions of goods, transactions to which the reverse charge is applicable, retail transactions and transactions whose place of supply is outside Greece.

4.4 Cash accounting

For supplies of services which last for more than one year and fall under the main rule of Article 44 of the VAT Directive, VAT becomes chargeable at the end of the calendar year provided that no payments have become due during the year.

For supplies of services for which the consideration has been agreed to be paid in instalments, VAT becomes chargeable when each instalment is due.

4.3 Continuous supplies

VAT does not become chargeable in case of advance payments, with the exception of advance payments that correspond to services that fall within the main rule of Article 44 of the VAT Directive for which their place of supply is Greece.

4.2 Advance payments

For intra-Community supplies of goods, VAT becomes chargeable when the invoice is issued and latest on the 15th day of the following month.

Falls under the main rules of Articles 44 and 196 of the EU VAT Directive, is nevertheless due at the time the service is supplied.

Payment is indeed received within 14 days. In that case the supplier must issue a credit invoice to the customer for the amount of the discount plus the corresponding VAT. Accordingly, the supplier will deduct the VAT charged with the credit invoice from the output VAT he will declare in the month the credit invoice is issued. The customer will deduct the VAT charged with the credit invoice from the input VAT he will declare in the month the credit invoice is issued.

5.3 Open market value

In case of supplies of goods or services between affiliated persons, the taxable amount is the open market value in the following cases:

- where the consideration is lower than the open market value and the recipient of the supply does not have a full right of deduction;
- where the consideration is lower than the open market value and the supplier does not have a full right of deduction;
- where the consideration is higher than the open market value and the supplier does not have a full right of deduction.

5.4 Returnable Packaging

In case of goods which are supplied in returnable packaging, the value of the goods and the value of the packaging should be reflected separately on the fiscal document, in case they are subject to different VAT rates. In this respect, the taxable person has the option not to impose VAT on the value of the packaging upon its supply and its return. If however, the packaging is not returned, VAT is due on the value of the packaging.

6. VAT rates

6.1 Standard rate

The standard VAT rate in Greece is currently 24%.

6.2 Reduced rate

The reduced rate is 13% and is applied to certain goods and services that are specifically stated in the VAT law. This rate is applied to, for example:

- certain food products;
- the supply of water;
- helmets for motorcycles;
- hotel accommodation; and
- restaurant services (except alcoholic beverages).

A super-reduced rate of 6% is applicable, among others, to:

- certain pharmaceutical products;
- books;
- newspapers;
- magazines;
- theatre tickets; and
- electricity and natural gas.

A second super reduced rate of 4% applies to services for adjusting public buildings or private ones serving the public interest to the needs of persons with disabilities.

The above rates are reduced by 30% (i.e. 16%, 9%, 4% and 3% respectively) when they apply to transactions occurring in the Aegean islands of Leros, Lesbos, Samos, Kos, Chios. The reduction applies for as long as there are immigration centers in these islands. The reduction does not apply to means of transport and tobacco products.

7. Exemptions

7.1 Exemptions with right to deduction (zero rate)

Greek VAT law provides for a zero rate on certain transactions while at the same time the deduction of the input VAT incurred for these transactions is allowed. These transactions include amongst others:

- exports and intra-Community supplies;
- supplies and hiring of certain categories of vessels and aircrafts, supplies of goods for the fuelling and provisioning thereof, supplies of goods incorporated or used therein, and certain related services;
- supply of goods under diplomatic and consular arrangements, supply of goods and services to international bodies and their members;
- transport of persons by sea or air from Greece to abroad and vice versa;
- services related to exports of goods;
- supplies of goods under suspending customs regimes or VAT warehousing arrangements;
- supplies of goods and services to taxable persons, European and international organizations, embassies and charitable organizations, which further donate them to specific public or non-profit entities to cover refugees' needs;
- supplies of goods and services to taxable persons, which further donate them to specific public bodies and entities to cover the needs of affected persons from extreme natural phenomena; and
- supplies of goods and services to a donor, who is using such supplies in the context of a donation agreement with a public sector body, provided the donation agreement is ratified by law or approved by the Minister of Finance and the competent Minister as the case may be, depending on the type of donation and the value of such supplies does not exceed the amount of the donation.

7.1.1 Intra-Community supplies

In relation to intra-Community supplies conducted by Greek suppliers, the latter should possess the documents prescribed in Council Implementing Regulation 2018/1912, in order to substantiate the exemption (zero rate). The Greek VAT Act does not require an invoice when goods are transferred to another EU Member State. However, in practice, taxable persons issue pro-forma invoices.

7.1.2 Export supplies

In regards to exports conducted by Greek suppliers, in order to substantiate the exemption (zero rate), the latter must have:

- the customs export declaration;
- the sales invoice;
- a printout of the electronic message of the customs office of export confirming the completion of the respective export (i.e. message with code number "IE599"); and
- bank documents verifying that the consideration has been paid.

7.1.3 Warehousing

7.1.3.1 VAT warehouse

Greek VAT law provides for the operation of VAT warehouses. In this respect, an exemption from VAT is provided for the supplies and intra-Community acquisitions of goods that are intended to be placed in VAT warehouses and the supply of related services, as well as the supplies of goods and related services when the goods remain in VAT warehouses. VAT warehouses are operated by persons who are specifically licensed for such operations. Furthermore, persons other than the above operators may be licensed to receive goods that are intended to be placed in a VAT warehouse. There are many types of goods that can be placed in a VAT warehouse (see also Annex V of the EU VAT Directive) which are specifically stated in Greek VAT law. Further types of goods may be eligible by a decision of the Greek Minister of Finance. There are various procedural and bookkeeping obligations that need to be kept for the proper placement of the goods in the VAT warehouse and the proper application of the VAT exemption.

VAT becomes payable at the time the goods are released from the VAT warehouse. The operator of the warehouse or the taxable person who has placed the goods in the warehouse is liable to pay the VAT due. If the release of the goods from the warehouse is made by another taxable person, then this person is liable for the VAT due. The operator of the warehouse is jointly liable for payment of the VAT.

7.1.3.2 Special VAT warehouses for non-EU and domestic goods

Greek law provides for a special VAT warehousing scheme allowing the suspension of VAT on non-EU and domestic goods that are intended for export, zero-rated intra-Community supply or supply to vessels and aircrafts (to the extent such supply qualifies for an exemption from Greek VAT). The application of the said scheme, which allows the suspension of VAT on imported goods that are stored in the VAT warehouse and the domestic sale of stored goods requires, among others, the issuance of a special license in the name of the warehouse keeper and the payment of an amount of EUR 600 (corresponding to administrative expenses for the audit of the VAT warehouses) on an annual basis. Furthermore, a financial guarantee of at least 30% of the amount of VAT that corresponds to the value of the stored goods is required. It is noted that the aforementioned special warehousing scheme does not apply to excise goods.

7.1.3.3 Excise warehouses

There are no special warehouses for excise goods. Excise goods may be stored in a bonded warehouse (paragraph 7.1.3.4).

7.1.3.4 Bonded (customs) warehouse

Greek VAT law provides for the operation of bonded (customs) warehouses, among others for goods subject to excise duties. There are various types of such warehouses for the operation of which a relevant license is required by the customs authorities. Such a license is granted upon provision, among other things, of a guarantee by the operator of the warehouse. For the placement of the goods in the warehouse, a customs declaration is filed with the proper customs authorities. The proper operation of the bonded (customs) warehouse is closely monitored by the customs authorities and provided that such operation is compliant with all customs requirements, the sale of goods in a bonded warehouse is zero-rated.

Furthermore, the supply of services that are closely related to goods that are placed in bonded warehouses is exempt from VAT.

7.2 Exemptions without right to deduction

Greek VAT law provides for the exemption of certain supplies which are specifically enumerated therein, without entitling the person supplying them to deduct the input VAT incurred for these supplies.

Exemptions in the public interest

More specifically, the following are such exemptions:

- the supply of hospital and medical care, and diagnostic services and the supply of goods and services closely related thereto, undertaken by State bodies. The services provided by thermal bath and spring facilities are also included. The exemption in question applies also to private entities, provided that they are non-profit and such exemption does not cause distortion of competition;
- medical care supplied in the exercise of the medical professions, as well as the supply of services of psychologists, midwives, nurses and physiotherapists, speech and occupational therapists;
- services supplied by dental technicians and the supply of dental prostheses by dentists and dental technicians;
- services supplied by unions or associations of persons to their members, whose activities are exempt from or outside the scope of VAT, to the extent these services are directly necessary for the exercise of their activity and are provided against contribution to the joint expenses;
- the supply of services and goods closely linked to welfare and social security, as well as to the protection of children and young persons by legal persons governed by public law or other organizations or institutions recognized by the State;
- the transportation of sick or injured people with vehicles especially designed or adapted for this purpose, under the condition that a relevant approval has been provided by the proper public authority;
- the provision of education in general and the supply of goods and services closely related thereto by public educational entities or by other persons that have been recognized by the proper authority; and
- the supply of services closely linked to sport or physical education by non-profit legal persons to persons taking part in sport or physical education.

- supply of postal services and the supply of goods incidental thereto;
- the activities of the national radio and television networks, other than those of a commercial nature;
- reciprocal contributions paid to Land Reclamation Works Organizations by their members in respect of the supply of irrigation water and other supplies directly linked to such activities;
- the supply of human organs, blood and milk;
- tuition given privately by teachers at all educational levels;
- the supply of services and the supply of goods closely linked thereto, to their members, in return for a contribution, by non-profit legal persons and organizations with aims of a political, trade-union, religious, philosophical, philanthropic or patriotic nature, provided that this exemption is not likely to cause distortion of competition;
- the supply of services of a cultural nature and the supply of goods closely linked thereto, by legal bodies or other organizations or institutions of a non-profit nature which have cultural purposes, provided that this exemption is not likely to cause distortion of competition. Such services include admission to museums, and archaeological sites, as well as the organization of art exhibitions and lectures;
- the supply of staff by legal bodies of a religious or philosophical character aiming at spiritual welfare and development;
- insurance and reinsurance transactions including related services performed by insurance brokers and insurance agents, including road assistance services;
- transactions, including negotiation, concerning currency, bank notes and coins, used as legal tender with the exception of coins and bank notes for collectors;
- transactions, including negotiation, except safekeeping and management, in shares of Societies Anonymes (S.A.), interests in companies, debentures and other securities, excluding documents establishing title to goods;
- management of UCITS and other organizations of collective investments which aim at collecting investment capital from the public;
- the granting and negotiation of credit and the management thereof by the person granting it;
- the undertaking of obligations, personal or financial guarantees and other securities, the negotiation for the undertaking of such transactions and the management of credit guarantees by the person granting the guarantees;
- transactions, including negotiation, concerning deposits and current accounts, payments, transfer of deposits and remittances, claims, credit titles, cheques and other negotiable instruments, but excluding debt collection and factoring;
- the lease of immovable property, including short-term leases in the context of sharing economy when the lessor is a private individual, rents up to two properties and provides no other services except for bed linen upon arrival of the guests;
- betting, lotteries and the forms of gambling specifically defined by the relevant legislation;
- the supply at face value of postage stamps currently in circulation, fiscal stamps and other stamps used for social security purposes, other than those intended for collections;
- the transfer of goods or a business as a going concern, in its totality, sectors or parts of a business, with or without consideration, or in the form of contribution to existing or new legal persons, concerning an activity wholly exempt from or falling outside the scope of VAT or by a farmer of the special flat-rate scheme, where no right of deduction has been provided or exercised in respect of the goods being transferred, as well as the supply of goods for which the VAT law does not allow the deduction of input VAT;
- the supply of immovable property that is not subject to VAT according to Greek VAT law (the supply of new buildings before first occupation and the land on which they stand is subject to VAT, as new buildings qualify those for which the respective building permit has been issued after 1 January 2006);
- the supply of new buildings for a period of 5 years i.e. from 1 January 2020 until 31 December 2024, the exemption is optional, upon filing of a relevant application of the owner who sells them; and
- the revenues of casinos from games that are allowed to be played therein.

However, in case of insurance or financial transactions, the right to deduction exists to the extent the customer is established outside the EU or these transactions relate to the export of goods.

Other exemptions

In relation to all exempt transactions above, the option for taxation exists only in relation to commercial leases of buildings. To this end, the lessor must submit a relevant application to the tax office prior to entering into the lease agreement, when it concerns a new building or at any time if the building is not new. The standard VAT rate applies to leases that are subject to VAT.

8. Liability

8.1 Reverse charge

In Greece there is the obligatory reverse charge rule for general B2B services provided by non-resident suppliers to taxable persons and legal entities with a Greek VAT ID number established in Greece. This reverse charge applies in all EU Member States and follows from Art. 44 and Art. 196 EU VAT Directive. The reverse charge applies also in Greece for the supply of natural gas and electricity supplied by non-resident suppliers to "taxable dealers".

8.1.1 General reverse charge mechanism – non-resident suppliers (Article 194 EU VAT Directive)

In case a non-resident supplier effects taxable supplies of goods or services in Greece, the reverse charge mechanism is not applicable and the non-resident supplier needs to VAT register, regardless of whether the customer is a Greek or foreign taxable or non-taxable person. However, if the non-resident supplier does not VAT register, then the customer becomes liable to account for the Greek VAT due, provided that the customer is established in Greece and he is a taxable person. Namely, although the non-resident supplier is required to VAT register in the first place, in case he does not do so, the reverse charge mechanism becomes applicable as a consequence. The application of the reverse charge mechanism in such a case is obligatory and concerns all transactions for which the non-resident supplier should have VAT registered in Greece and did not do so. In case however the non-resident supplier has not VAT registered and therefore the reverse charge becomes applicable, as per the practice of Greek tax authorities, he will not be able to recover any VAT incurred in Greece through the procedure of Directive 2008/9/EC.

In addition to the above, the reverse charge mechanism is also applicable in case of a domestic supply of goods that have been imported in Greece by a supplier which holds an import VAT deferral license (or belongs to a group that holds such license), as explained in paragraph 2.3.2.1 above. In such case, the invoice of the supplier must make the following reference: "Application of reverse charge mechanism. Decision POL 1126/2013. Import VAT deferral license No ...".

8.1.2 Reverse charge mechanism – specific domestic rules (Article 199 EU VAT Directive)

Greek VAT law provides for the application of the reverse charge mechanism to domestic transactions in the following instances:

- supply of used material, used material which cannot be re-used in the same state, scrap, industrial and non-industrial waste, recyclable waste and incompletely processed waste;
- transfer of greenhouse gas emission allowances;
- domestic supply of goods imported by persons holding an import VAT deferral license referred to in paragraph 2.3.2.1 above. See also paragraph 8.1.1;
- technical projects performed for Greek public authorities and State-governed organizations, which are taxable persons with the right to deduct input VAT, with the exception of major projects falling within the scope of article 100 of Regulation (EU) No 1303/2013 of the European Parliament and of the Council of 17 December 2013 and article 39 of Council Regulation (EC) No 1083/2006 i.e. projects funded by the European Regional Development Fund and the Cohesion Fund for which the total eligible cost exceeds EUR 50,000,000 and in the case of projects promoting sustainable transport and removing bottlenecks in key network infrastructures where the total eligible cost exceeds EUR 75,000,000;
- the supply of goods and services to taxable persons established in Greece whose activity consists of the transport of natural gas through pipelines, to the extent that such goods/services are exclusively intended for the construction of the said pipelines; and
- the supply of mobile phones, game consoles, tablets and laptops to taxable persons established in Greece who have the right to deduct input VAT.

However, in the case of immovable property which is leased and for such lease the option has been exercised to be subject to VAT, the adjustment period is 10 years from the year of first use.

Certain services consisting in the right to use patents, drawings, templates, trademarks and similar rights also qualify as capital goods according to Greek VAT law, to the extent they are used for more than one accounting period.

9.4 VAT refund to EU taxable persons

Non-resident EU taxable persons may apply for the refund of VAT incurred in Greece under the conditions and requirements of Directive 2008/9/EC. More specifically, the said taxable persons may file a relevant refund claim with the designated website of the tax authorities of their country of establishment. The latter will forward electronically the application to the Greek Independent Authority for Public Revenue, which notifies the applicant electronically of the date of receipt of the refund claim.

The VAT refund claim must be accompanied by an electronic file (of maximum size 5Mb), containing scanned copies of the relevant invoices, with a minimum value of EUR 250 for invoices concerning fuel expenses and EUR 1,000 for invoices concerning all other expenses.

The aforementioned refund claims of EU taxable persons must be filed by 30 September of the calendar year that follows the refund period (which shall not be more than one calendar year or less than 3 calendar months; it may be less than 3 months only if it concerns the remainder of a calendar year). VAT is not refunded in case of claims that are submitted after the lapse of the deadline. In case of refund claims filed for a period of one calendar year, the requested VAT cannot be lower than EUR 50. In case of refund claims filed for a period of less than one calendar year, the requested VAT cannot be lower than EUR 400.

In the event the refund claim is duly filed, the Greek Ministry of Finance must issue a decision within a deadline of 4 months, starting from the date the claim is received. The said deadline may be extended under conditions but, in any case, it cannot exceed 8 months from the date of receipt of the claim. Subsequently, in the event the refund claim is approved, the refund must take place before a deadline of 10 working days, starting from the expiration of the deadline set for the Greek Independent Authority for Public Revenue to decide on the claim.

In case the refund claim of an EU applicant is rejected, the latter may file an administrative appeal for the re-examination of its claim. The said appeal must be filed with the Dispute Resolution Directorate of the Independent Authority for Public Revenue within 60 days after the notification of the rejection, or after the deadline for the issuance of a written decision on the claim, as the case may be. The Directorate should issue a decision within 120 days after the filing of the said appeal. In case of a rejecting decision, or if no written decision is issued before the deadline, the EU taxable person is entitled to file a judicial appeal (before the administrative courts) within a 90 day period starting from the notification of the rejecting decision or from the lapse of the deadline for the issuance of a decision.

Finally, see paragraph 9.1 for the Greek VAT which is not refundable.

9.5 VAT refund to non-EU taxable persons

In the case of non-resident non-EU taxable persons, the refund of VAT incurred in Greece is also possible to the extent the reciprocity principle is fulfilled. Until now, the Greek Ministry of Finance has issued circulars explicitly providing that the VAT is refunded to taxable persons established in Switzerland, Norway and the UK. In practice VAT may be refunded to taxable persons in any other country as well, provided that the reciprocity principle is fulfilled. To this end, a relevant (hard copy) application must be filed with the Greek Ministry of Finance. The application must be accompanied by the original invoices and a certificate of the competent authorities of the applicant's country of establishment, stating that the latter is a taxable person for VAT purposes in that country.

In the event the refund claim is filed by another person, a Power of Attorney for his appointment must also be submitted together with the refund claim.

- where the invoice is issued by the recipient of the respective goods or services the reference "self-billing" should be inserted (in Greek "Αυτο-τιμολόγηση");
 - where the customer is liable to pay the VAT due (by application of the reverse charge mechanism) the reference "reverse charge" should be inserted (in Greek "Αντιστροφή επιβάρυνση");
 - where a VAT exemption is applicable, reference should be made to the relevant provision of Greek VAT law or the EU VAT Directive providing for such exemption; for instance for intra-community supplies the reference in Greek is "Απαλλοτρίωση από ΦΠΑ άρθρο 33 του Κώδικα ΦΠΑ" while for exports the reference in Greek is "Απαλλοτρίωση από ΦΠΑ άρθρο 29 του Κώδικα ΦΠΑ";
 - where a special VAT scheme is applicable, reference should be made on the invoice that this scheme is applicable; for instance, the reference in Greek for travel agents scheme is "Καθεστώς περιθώριου-Ταξιδιωτικού πρακτορείου" and for second hand goods is "Καθεστώς περιθώριου-Μεταχειρισμένων αγαθών";
 - the VAT amount payable, unless a special VAT scheme is applicable, according to which such reference is not required;
 - the applicable VAT rate;
 - discounts or rebates granted;
 - the price of the goods or the service remuneration per VAT rate or per VAT exemption;
 - date does not coincide with the date of issue of the invoice;
 - the date when the supply of the respective goods or services was realized or completed, to the extent such the measurement unit as well as the price per unit;
 - the type and quantity of the goods sold or the description of the services rendered;
 - the full details of the supplier and the customer (name or trade name, address, tax registration (VAT) number);
 - the sequential number of the invoice;
 - the date of issuance of the invoice;
- Greek tax law does not provide for the issuance of separate commercial and VAT invoices but requires the issuance of a single invoice. Invoices issued in Greece must mention the following details:

10.1.1 Invoice content

10.1 Invoicing

10. Administrative obligations

Finally, see paragraph 9.1 for the Greek VAT which is not refundable.

In case the refund claim of a non-EU applicant is rejected, the latter may file an administrative appeal for the re-examination of its claim. The said appeal must be filed with the Dispute Resolution Directorate of the Ministry of Finance within 60 days after the notification of the relevant rejection, or after the lapse of the deadline for the issuance of a written decision on the claim. The Directorate should issue a decision within 120 days after the filing of said appeal. In case of a rejecting decision, or if no written decision is issued before the deadline, the non-EU applicant is entitled to file a judicial appeal (before the administrative courts) within a 90-day period starting from the notification of the rejecting decision or from the lapse of the deadline for the issuance of a decision.

In the event the refund claim is duly filed, the Greek Ministry of Finance must issue a relevant decision within a deadline of 4 months, starting from the date the claim was received. The said deadline may be extended under conditions but, in any case, it cannot exceed 8 months from the date of receipt of the claim. Subsequently, in the event the refund claim is approved, the refund must take place within a period of 10 working days, starting from the expiration of the deadline set for the Greek Ministry of Finance to decide on the claim.

The refund claims of non-resident non-EU taxable persons, must be filed by 30 September of the calendar year that follows the refund period (which shall not be more than one calendar year or less than 3 calendar months). It may be less than 3 months only if it concerns the remainder of a calendar year. VAT is not refunded in case of claims that are submitted after the lapse of the deadline.

- in case of intra-Community supply of a new means of transport, reference should be made to the characteristics according to which the means of transport qualifies as new; for instance, in case of a vessel, the date of such vessel's entry into service and the hours it has sailed;
- in the event the invoice is issued by a foreign entity in respect of taxable transactions in Greece for which it is liable for Greek VAT, a reference must be made to the VAT number that has been acquired in Greece; and
- when a fiscal representative is liable for VAT, the invoice must mention the full details and tax registration number of the representative.

The invoices can be issued in any language, but the tax authorities have the right to ask for a translation. Therefore, an invoice issued by a Greek company could be in English and, therefore contain (e.g.) the reference "reverse charge" in English.

10.1.2 Time limits

The time limits for the issuance of invoices depend on the type of transactions that are being invoiced. Indicatively:

- in the event of a supply of goods or services, the relevant invoice must be issued by the 15th day of the month that follows the supply, the dispatch of the goods or the completion of the services, as the case may be; and
- in the event of a supply of goods or services that is continuous, the invoice is issued by the 15th day of the month that follows the date when part of the consideration becomes due.

10.1.3 Currency

Invoices may be issued in any currency, however the amount of VAT due must be expressed in EUR.

10.1.4 Conversion and exchange rate

Greek tax law refers to Article 91 of the EU VAT Directive, as regards the conversion to EUR of the amount of VAT expressed on an invoice in a different currency. In this respect, the exchange rate used is that published by the Central European Bank and no notification needs to be made to this end by the taxable person.

10.1.5 Self-billing

Under Greek tax legislation, self-billing is allowed, provided that a relevant agreement is in place between the 2 parties, which may be proved by any suitable means. In the event of self-billing, the relevant invoices to be issued must fulfil all the conditions that apply to regular invoices according to Greek legislation.

10.1.6 Simplified invoice

A simplified invoice must contain the following information:

- the date of the issuance of the invoice;
- the full details of the supplier;
- description of the goods or services supplied; and
- the amount of VAT due or the information necessary for its calculation.

The simplified invoice is allowed to be issued when the amount invoiced does not exceed EUR 100.

10.1.7 Storage of invoices

Accounting books and fiscal documents, including invoices, must be retained for a period of at least 6 years from the year of reference. However, in cases specifically provided in the law, the period may be extended e.g. when information has been requested from another country or if the taxable person files an amending tax return in the last year of the retention period.

If tax litigation is pending before the administrative courts, the accounting books and fiscal documents must be maintained throughout the period during which the tax litigation is pending and one year after the issuance of the irrevocable court decision.

Invoices should be stored in paper or in electronic form. Invoices may be stored in Greece or abroad. In any case, the taxable person has the requirement to give access to the stored invoices to the tax authorities, within the deadlines set by the tax authorities and without unreasonable delay.

10.1.8 Electronic invoicing

Electronic invoicing is allowed under Greek tax law, provided that the authenticity of the origin, integrity of the content and the readability of the invoices are guaranteed by any suitable means. The use of electronic invoices is subject to the acceptance of the customer.

10.2 VAT compliance

10.2.1 VAT return period

Greek established taxable persons that maintain double entry accounting books are required to file VAT returns monthly. Greek established taxable persons that maintain single entry (revenues-expenses) accounting books, are required to file VAT returns quarterly. Foreign taxable persons that are VAT registered in Greece are also required to file VAT returns quarterly. VAT returns may only be filed electronically and should be filed regardless of whether there is VAT payable, credit VAT balance, or the returns are nil.

10.2.2 Filing of a VAT return and payment

VAT returns should be filed by the last working day of the month that follows the respective VAT return period, as defined in paragraph 10.2.1 above.

VAT due can be paid in lump sum by the last working day of the month when the VAT return should be filed. Alternatively, to the extent the amount of VAT due exceeds EUR 100, it can be paid in 2 equal instalments. The first one must be paid by the last working day of the month of filing of the VAT return and the second one by the last working day of the following month. The website through which VAT returns are filed is: <https://tinyurl.com/4294tndd>

10.2.3 European sales listing

The European sales listing must be submitted on a monthly basis, by the 26th day of the following month, only however, for those months in which intra-Community transactions have taken place and regardless of the value of the intra-Community transactions. More specifically, the European sales listing is filed to declare the realization of:

- intra-Community supplies of goods;
- intra-Community acquisitions of goods;
- supply of (reverse charge) services to taxable persons established in different EU Member States to the extent that the services provided are subject to VAT in the EU Member State of the recipient; and
- receipt of (reverse charge) services from taxable persons established in different EU Member States to the extent that such services are subject to VAT in Greece.

The website for the filing of the European sales listing is: <https://tinyurl.com/4294tndd>

10.2.4 National recapitulative statement

Taxable persons are not required to file annual lists of their suppliers and customers.

10.2.5 Tax assessment period

For VAT purposes, the tax assessment period is in principle 6 years (starting from the end of the year of reference). By way of exception from the above rule, the said period may be extended up to 11 years, as the case may be, when special conditions apply.

10.3 Penalties

10.3.1 Default penalties for late registration

Late registration triggers a penalty of EUR 100.

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

The late filing of VAT returns, when no VAT is payable, triggers a fixed penalty of EUR 100. This fixed penalty is also applicable in case of late filing of the European sales listing.

- the EU Member State of departure/destination;
- the nature of the transaction;
- the mode of transport;
- the 8-digit combined nomenclature (CN) code of reported goods;
- net weight of reported goods;

Intrastat returns should include the following information in relation to the arrivals and dispatches:

10.4.2 Intrastat data to be reported

The Intrastat threshold for 2025 is EUR 200,000 for arrivals and EUR 90,000 for dispatches.

10.4.1 Intrastat threshold

Intrastat returns are filed on a monthly basis, by the 26th day of the following month, however only for the months in which intra-Community supplies or acquisitions have taken place (including distance sales) and to the extent that the value of such transactions exceeds the thresholds mentioned below in paragraph 10.4.1, either in the previous year or within the year of reference. Such returns are filed electronically with the Hellenic Statistical Authority (ELSTAT).

10.4 Intrastat

In case of failure to issue fiscal documents or issuance/receipt of inaccurate fiscal documents with respect to transactions that are subject to VAT, a penalty is imposed equal to 50% of the corresponding VAT or of the respective difference. This penalty cannot be lower, per tax audit, than EUR 250 or EUR 500 (depending on the type of accounting books maintained).

In case of non-filing of a VAT return, where the VAT return that was not filed would give rise to the obligation for payment of an amount of VAT (i) a penalty equal to 50% of such amount or (ii) a fixed penalty of EUR 250 or EUR 500 (depending on the type of accounting books maintained) is applicable, whichever of the two is higher. Also the interest mentioned in paragraph 10.3.3 is applicable.

10.3.5 Offence penalties

In case the taxpayer accepts the VAT assessment after the final audit report has been issued and before the deadline expires for the filing of an administrative appeal, the penalty is reduced by 40%. In case the taxpayer accepts the VAT assessment after the expiration of the deadline for filing a judicial appeal, the penalty is reduced by 30%, whereas if the acceptance is made after the filing of the judicial appeal and before the first hearing set, the penalty is reduced by 25%.

In case an audit has been initiated, until the 10th day from the issuance of the preliminary audit report, the taxable person has the right to file VAT returns (for the first time or amending to previously filed ones). In such case the above penalty is reduced by 50 % thereof, while the interest mentioned in paragraph 10.3.3 is also applicable.

Furthermore, the interest mentioned in paragraph 10.3.3 is also applicable.

In case an assessment is made by the tax authorities in the context of an audit, and the taxable person is found to have filed inaccurate VAT returns and as a result he has paid less VAT than the VAT actually due or he has deducted or received a refund for a higher amount of VAT, a penalty of 50% of the difference is imposed.

10.3.4 Default penalties for VAT assessments when VAT is not reported correctly

If the VAT is not paid on time to the tax authorities, then interest is calculated on the amount of the VAT due from the next day following the deadline for the payment of the VAT. The interest rate is 8.76% annually (0.73% monthly).

10.3.3 Default penalties for not paying VAT on time to the tax authorities

In case VAT is payable and the VAT return is filed with delay, then a fixed penalty of EUR 250 or EUR 500 is imposed, depending on the type of accounting books maintained.

Alex Karopoulos (a.karopoulos@zeyra.com),
Zepos & Yannopoulos / www.zeyra.com

Information received from:

Taxable persons who are subject to local accounting requirements have to provide VAT and accounting information to the myDATA public portal. The myDATA system is an e-accounting system which also includes reporting obligations to be fulfilled either periodically or on a real-time basis. It requires taxable persons to provide a set of data to a public platform, which are then used to maintain online tax ledgers. This system covers all transactions (B2B, B2C and B2G) and both domestic and international transactions. Taxable persons with a turnover lower than EUR 30,000 or issuing less than 50 invoices per year are able to manually upload invoice data on the myDATA portal.

10.5 Additional compliance requirements

- invoiced value of the goods;
- statistical value of the goods;
- the VAT number of the customer; and
- the country of origin.

The European Union (EU) VAT Directive is implemented through the "2007. évi CXCVII. törvény az általános forgalmi adóról", VAT is referred to in Hungary as "általános forgalmiadó" or "ÁFA".

1. Taxable Persons

1.1 Registration threshold & SME scheme for domestic taxable persons

Taxable persons carrying out business activities must register for taxes in Hungary. There is no threshold for registration. The general tax number is used as a VAT number except in intra-Community transactions, where an additional EU VAT identification number must be shown.

Once a company, i.e. taxable person, is registered at the Court of Registry, it receives its tax number automatically. Nevertheless, a registration form detailing its tax status must be filed with the tax office local to the domicile of the company. The EU VAT identification number must be requested on this form.

The possibility for a VAT exemption exists for small businesses if their supplies are under the threshold of HUF 18 million (approximately EUR 45,375)¹; however, they still must register for VAT purposes.

The registration forms can be downloaded at: <https://tinyurl.com/yhkvj2z>

1.2 Registration threshold & SME scheme for foreign taxable persons

Foreign taxable persons must register for 'all taxes' in Hungary. It is not possible to register for VAT only. However, it is possible to indicate on the registration form if the taxable person is not liable for corporate income tax or it is not liable for VAT. There is no registration threshold for foreign taxable persons that need to register for VAT purposes in Hungary.

When registering, the following information must be provided:

- a registration form;
- a company registration document not older than 30 days issued by the competent foreign authority, for example company house (original or copy, no need to notarize);
- evidence of registration as a taxpayer issued by the competent foreign authority: the original foreign tax registration confirmation;
- specimen signature or notarized copy of the passport (if it includes the signature) of the signatory officer;
- Specimen signature must be 1) original, 2) notarized and 3) of the foreign company's signatory officer who is authorized to represent the Company as per the company's registration document.

Only EU-based taxable persons or those that have a fixed establishment in the EU, can request direct registration in Hungary. Non-EU taxable persons are required to appoint a fiscal representative when registering for taxes (see also paragraph 1.4).

Foreign taxable persons should submit their registration form at a special tax office: NAV Kiemelt Adózik Igazgatósága. The tax office has to complete the tax registration (if the documents are accepted) within 30 days.

NEMZETI ADÓ- ÉS VÁMHIVATAL KIEMELT ADÓ- ÉS VÁMGAZGATÓSÁGA
Address: 1077 Budapest, Dob utca 75-81.
Postal address: 1410 Budapest, P.f.: 138.Hungary
Phone number: +36 (1) 461-3300
email: kavig@nav.gov.hu
Fax: +36 (1) 461-3311

¹ Exchange rates were calculated on 2 August 2024.

From 1 January 2025, the so-called SME scheme (Special Scheme for Small Enterprises) was introduced, which allows taxable persons established in the EU to opt for an exemption in a Member State where they are not established. The application of the scheme is subject to certain conditions, by registering only in the Member State of establishment. A taxable person who has established its business in another EU member state but is not established in Hungary may choose to apply the SME scheme.

For information about the rules on cross-border exemption, please visit the NAV website (nav.gov.hu) at <https://tinyurl.com/bdxx85uz>

Accordingly, the foreign taxable person may opt for the exemption (known as individual exemption) in Hungary if, both in the current and the preceding calendar year, his consolidated turnover does not exceed the EU threshold of EUR 100 000 and his domestic turnover does not exceed the domestic threshold of HUF 18 000 000.

A taxable person who opts for the individual exemption (SME scheme) has an obligation to declare and pay tax in cases where he cannot act as an exempt person. This is the case, for example, where:

- he sells goods used as capital goods in his business;
- he permanently transfers intangible assets or rights used in his business;
- he supplies new means of transport to another EU Member State;
- he sells new immovable property under construction or new immovable property, or building plot, even if not considered as capital assets;
- certain free of charge supplies, provided that the input tax relating thereto is wholly or partly deductible;
- for certain cross-border transactions subject to the reverse charge;
- he charges VAT on the invoice despite being tax exempt;
- he is liable as a guarantor for the payment of the tax in the event of non-payment of the consideration;
- for intra-Community acquisitions of goods with a value exceeding EUR 10,000 (or you may opt to pay below this threshold), and for intra-Community acquisitions of excise goods and new means of transport irrespective of the threshold; or
- he imports goods.

In addition to the above-mentioned supplies, certain VAT exempt and transactions that fall under a special agricultural scheme do not count for the individual exemption threshold.

1.3 VAT grouping

Taxable persons:

- who (that) have established their business inside the domestic territory or, in the absence of such a place of business, have their permanent address or they usually reside inside the domestic territory; and
- who (that) are considered affiliated,

may together enter into a group taxation arrangement.

A group taxation arrangement may be established subject to the state tax authority's permission, granted upon an application submitted in writing and containing the express and unanimous understanding of all members concerned. The group taxation arrangement is not available to any taxable person who holds membership in another group taxation arrangement or has submitted an application to establish another group taxation arrangement, where this application is pending the definitive decision.

"Affiliated company" is defined in the Corporate Income tax law. The Corporate Income law defines affiliated company as follows:

- the taxpayer and the person in which the taxpayer has a majority control - whether directly or indirectly - according to the provisions of the Civil Code;
- the taxpayer and the person that has majority control in the taxpayer - whether directly or indirectly - according to the provisions of the Civil Code;
- the taxpayer and another person if a third party has majority control in both the taxpayer and such other person - whether directly or indirectly - according to the provisions of the Civil Code, where any close

relative holding a majority control in the taxpayer and the other person shall be recognized as third parties;

- a non-resident taxable person and his domestic business establishments, furthermore, the domestic place of business of a non-resident taxable person and the person who maintains the relationship defined under Paragraphs a)-(c) with the non-resident taxable person;
- the taxpayer and its foreign business establishment, and the taxpayer's foreign business establishment and the person who maintains the relationship defined under Paragraphs a)-(c) with the taxpayer;
- the taxpayer and another person if between them dominating influence is exercised relating to business and financial policy having regard to the equivalence of management.

For the purposes of the VAT grouping, taxable persons shall not be treated collectively as affiliated companies if the sole reason for their being recognized as affiliated is that the Hungarian State or a municipal government has majority control in them, whether directly or indirectly, as a third party in accordance with the Act on the Civil Code (hereinafter referred to as Civil Code). Municipal governments and any company in which a municipal government has majority control, whether directly or indirectly, in accordance with the Civil Code shall not be collectively recognized as affiliated.

The members of a VAT group keep their own tax numbers. However, they will receive one common separate VAT number for the group. The members of a VAT group do not charge VAT on their supplies to other members of the same VAT group. A VAT group files one VAT return monthly. The members are jointly and severally liable for payment of the VAT debts of the group.

1.4 Fiscal representative

Taxable persons from EU Member States do not have to appoint a fiscal representative but they can do it voluntarily. Taxable persons from non-EU countries are obliged to appoint a fiscal representative in order to register and carry out business in Hungary. A fiscal representative should have a share capital of HUF 150 million (approximately EUR 384,000) and must have no fiscal debt. The fiscal representative must perform every tax obligation on behalf of the foreign taxable person. He is jointly and severally liable for these liabilities.

2. Taxable transaction

2.1 Transfer of business

The transfer of a line of business (transfer of a going concern) is considered to be out of the scope of VAT, provided that the acquirer purchases the line of business for the purpose of carrying on the business and both the transferor and transferee are VAT registered in Hungary and parties do not have a status that can jeopardise the right of VAT deduction (for example they are subject to the SME scheme). The transferee should undertake joint and several liability within the period of limitation. 'Line of business' shall mean an existing unit of a company that is capable to function independently and to carry out economic activities on a long term using its own assets.

2.2 Supplies free of charge

Supply of goods for consideration also means where a taxable person permanently disposes of goods forming part of his business assets - without any compensation - for his own or his employees' private use, more generally, for purposes other than those of his business, or if supplied to others free of charge, where the VAT on such goods or on its component was wholly or partly deductible by the taxable person.

Some other transactions are also considered to be taxable supplies even if made without consideration, if the related input VAT was deductible, for example:

- the application by a taxable person for the purposes of his business of goods produced, constructed, extracted, processed, purchased or imported in the course of such business, where the VAT on such goods, had they been acquired from another taxable person, would not be wholly deductible;

- the application of goods by a taxable person for the purposes of a non-taxable area of activity, where the VAT on such goods became wholly or partly deductible upon their acquisition or upon their application in accordance with point.
 - The supply of goods for consideration shall not cover:
 - charitable donations; and
 - the supply of samples of goods and goods of small value free of charge by the taxable person for his business purposes.
 - “Samples of goods” shall mean any component part or small quantity of a product that carries specific characteristics of that product, whose sole purpose is to demonstrate the product in question, and that is not suitable for long-term use or for other objectives due to its physical substance or value.
 - “Small value” shall mean anything of value worth less than HUF 5,000, where the value is to be determined relying on the open market value of the goods provided - inclusive of VAT - prevailing at the time when provided.
 - “Charitable donation” shall mean goods and services made available to public-benefit organizations for supporting their activities performed in the public interest provided for in the relevant legislation, or to educational establishments supporting their activities specified in the charter document, and, furthermore, to the ecclesiastical legal entities that satisfy the requirements to support the activities described therein, provided that:
 - the true contents of the documents pertaining to the transaction in question and the actual circumstances of such transaction confers sufficient proof that such action does not serve or only seemingly serves the public purpose or public interest, the activities of educational establishments specified in the charter document, or the objective defined in the relevant legislation in the case of ecclesiastical legal entities;
 - such donation does not result in any financial advantage for the donor, its members (shareholders), its executive officers, any member of its board of directors or board of supervisors, its auditor, or close relatives of such persons or private individual members (shareholders), whereby any reference to the name or to the activities of the donor shall not be regarded as financial advantage; and
 - the donor has a certificate made out by the public-benefit organization, educational establishment or the ecclesiastical legal entity that contains the name of the donor and the recipient, their registered address or home address, tax number, or in the absence of a tax number their unique identifier and the objective supported.
 - Supply of services for consideration also means where a taxable person temporarily disposes of goods forming part of his business assets - without any compensation - for his own or his employees' private use, more generally, for purposes other than those of his business, or if transferred to others free of charge, where the VAT on such goods, or on its component, was wholly or partly deductible by the taxable person. Supply of services for consideration shall also mean the supply of services carried out free of charge by a taxable person for his private use or for that of his staff or, more generally, for purposes other than those of his business, where the VAT on such services was wholly or partly deductible by the taxable person.
 - Supply of services for consideration shall not cover the provision of charitable donations. Charitable donations are out of scope of VAT. However, the definition of such donations is very restricted.
- ## 2.3 Importation
- ### 2.3.1 Importation followed by an intra-Community supply
- It is possible to apply an exemption on the importation of goods into Hungary if it is followed by an intra-Community supply. Certain conditions must be met in order to apply the exemption (so-called “Procedure 42”):
- the goods must be transported out of the country within 30 days (this deadline can be extended by 30 days);
 - a security must be provided;

- the intended acquirer's identity and VAT identification number are known by the supplier at the time when dispatch begins;
 - the intended acquirer is identified for VAT purposes in the EU Member State to which the goods are transferred;
 - the intended acquirer in his European sales listing;
 - the supplier records the dispatch of the goods in its register and indicates the VAT identification number of State to which the goods are dispatched;
 - the supplier has not established his business nor does he have a fixed establishment in the EU Member State and after arrival to an intended acquirer;
 - the goods are transported from one EU Member State to another with a view to being supplied there at a later stage and the intended acquirer are taxable persons;
 - both the supplier and the intended acquirer are taxable persons;
- Hungary:
- The following joint conditions must be fulfilled in order to avoid the VAT registration of a foreign supplier in

3.1 Consignment and call-off stock

3. Place of supply

- HTA grants businesses "reliable taxpayer status" after three years of tax compliant operation in Hungary. Certain non-compliant activity may result in the "risky taxpayer" status.
- Subject to further conditions, the importer can also assign the right to deduct import VAT to the indirect customs representative. In this case the indirect customs representative with the deferred license can pay and recover import VAT in his own VAT return even if the importer does not have the import VAT deferment license. From 1 March 2025 the conditions for the indirect customs representative being able to self-assess and deduct import VAT became stricter and include the requirement of reliable taxpayer status for the indirect customs representative and reliable or non-risky taxpayer status for the importer. If the importer is not considered risky, but also not considered a reliable taxpayer, the indirect customs representative must perform additional checks on the importer as prescribed by the HTA.
- Import through an indirect customs representative. If the importer appoints an indirect customs representative, the latter will become liable to pay import VAT. If the indirect customs representative has an import VAT deferment license, he pays import VAT in his own VAT return (deferred import VAT payment). Subject to further conditions, the importer can also assign the right to deduct import VAT to the indirect customs representative. In this case the indirect customs representative with the deferred license can pay and recover import VAT in his own VAT return even if the importer does not have the import VAT deferment license. From 1 March 2025 the conditions for the indirect customs representative being able to self-assess and deduct import VAT became stricter and include the requirement of reliable taxpayer status for the indirect customs representative and reliable or non-risky taxpayer status for the importer. If the importer is not considered risky, but also not considered a reliable taxpayer, the indirect customs representative must perform additional checks on the importer as prescribed by the HTA.
- The conditions for applying the deferment of VAT upon importation are as follows:
- the applicant is registered for tax (VAT) in Hungary;
 - the applicant has a clean record with the customs authorities; and
 - the volume of the exempt sale of goods with the right to recover VAT (for instance in case of exports or intra-Community supplies) is at least 67% of the total supplies in the year but with a minimum of HUF 10 billion (approximately EUR 25,200,000); or
 - the volume of the tax exempt sale of goods in the current year is at least HUF 20 billion (approximately EUR 50,400,000); or
 - the applicant has obtained an authorized economic operator (AEO) license or is authorized to apply the simplified procedure.
- Import VAT deferment license.** Under special circumstances taxable persons can apply for a license to avoid payment of VAT at the time of importation but pay and reclaim import VAT in the Hungarian VAT return.
- The conditions for applying the deferment of VAT upon importation are as follows:

2.3.2 Postponed accounting on importation

- Generally, import VAT is levied by HTA in Hungary. Under the general rules import VAT is due at the time of the import. This import VAT is deductible in the VAT period of the import.
- the goods may not be used in Hungary; and
 - the importer or its representative has a VAT registration number.

Although it is rare, triangulation simplification also applies to chain transactions with four or more parties, provided that the supply with intra-Community transport is the one before the last supply, i.e. in case of ABCD, the B-C supply must be the supply with transport.

- The intended acquirer is required to keep regularly updated quantitative records on the goods intended to be sold to him from the call-off stock and indicate the VAT identification number of the supplier in his European sales listing; and
 - as a time limit, the goods can remain no longer than 12 months under the call-off stock arrangements.
- By applying the simplification, the supply of the foreign taxable person should be treated as an intra-Community supply (without being followed by a domestic sale in Hungary that would otherwise trigger the need for VAT registration), while the purchase by the Hungarian customer is to be considered as an intra-Community acquisition.
- 3.2 Installation supplies**
- The supply of goods with installation is treated as supplied where the goods are assembled or installed. In Hungary, there is no formal definition of the notion 'supply with installation or assembly'.
- On the supply of goods with installation or assembly, the reverse charge may apply if the supplier is not established and the customer is registered for VAT purposes in Hungary (see also paragraph 8.1.1).

3.3 Distance sales threshold

Distance selling refers to the sale of goods to private individuals in another EU Member State, where the goods are transported from one Member State to another by or on behalf of the supplier. Hungary has a EUR 10,000 annual threshold for distance sales.

To simplify VAT compliance, businesses can use the One-Stop Shop (OSS) scheme. By registering for OSS in one EU Member State, businesses can report and pay VAT on all their EU distance sales through a single return, avoiding the need to register in multiple Member States. Once the threshold is exceeded or if the business opts into the OSS scheme, the VAT rate applied is the rate of the Member State where the goods are delivered. If distance sales to a Member State do not exceed the threshold, the supplier charges VAT at their own country's rate, unless they choose to opt into the OSS scheme.

OSS returns must be submitted on a quarterly basis. OSS filing should be done in Hungarian Forints (HUF). The ECB exchange rate valid on the last day of the quarter should be used. Payments must be made in HUF too.

Under the special arrangement for postal and courier services, the postal operator will declare and pay the amount of VAT collected monthly. Postal operators making use of the special arrangements will be subject to record-keeping obligations. The records to be held by them will contain all the taxable transactions, including cases where the consignment was rejected by the customer. Under this simplified import VAT payment scheme, a flat rate of 27% is applied to all cases, regardless of the actual VAT rate applicable to the imported goods.

3.4 Simplified triangulation rules

The triangulation simplification allows for the party participating in the intra-Community chain supply of goods to be exempted from the obligation to register for VAT in Hungary and charge Hungarian VAT. The simplification usually involves three parties, party A (supplier who dispatches the goods), party B (intermediary party) and party C (party buying goods from B).

- The transaction must involve parties VAT registered in different EU member states;
- The goods must be transported directly from A to C either by A or by B (in which case B must not make use of its VAT number of country A if they have one there too);
- B must not have an establishment in the country where transport ends;
- B purchases goods for the purposes of reselling them to C; and
- C must use the VAT ID of the country where transport ends.

3.5 Acquisition threshold

The threshold for the acquisition of goods by non-taxable legal persons, taxable persons engaged in exempt activities and flat-rate farmers from suppliers established in another EU Member State is EUR 10,000.

3.6 Effective use and enjoyment

Hungary has implemented the following effective use and enjoyment rule.

The place of supply of short- and long-term B2B and B2C rental of means of transport (including railway coaches) by a non-EU service provider to a person in Hungary, or by a Hungarian service provider to a non-EU person, is where the effective use and enjoyment takes place.

4. Chargeable event and chargeability

4.1 Principles

In the case of a supply of goods or services, the VAT becomes, in principle, chargeable at the time the goods or services are supplied.

4.2 Partial fulfilment and advance payments

If the supply of goods or services is divisible and the supply is delivered partially, the date of the partial fulfilment becomes the date of supply.

VAT can be chargeable before the time the goods are put at the disposal of the acquirer or the service is completed, provided that the payer has the legal obligation to pay the money before the delivery and pays an amount which is or will become part of the consideration. This is the case when the price has been totally or partially received, before the goods are put at the disposal of the acquirer or the services are supplied. To the extent that any such payment is received in advance, an 'actual' tax point arises.

4.3 Continuous supplies

If the parties agreed in a periodical settlement or payment or the consideration of the transaction is assessed for a certain period (together 'periodic supply of goods and services'), the VAT shall be assessed (paid and declared) based on the specific rules of periodical settlement. Examples of periodic supplies include situations where the fee is determined over the period of time, e.g. monthly, quarterly, annual subscription or other fees, rents, etc. and situations where the settlement is done with respect of supplies made in a specific period, for example, "all bread rolls baked by the bakery for the supermarket in March".

In this case, the tax point date shall be determined based on the following special rules:

- the last day of the period, if none of the special rules described in the next points applies;
- the invoice date, if the invoice date as well as the due date is before the last day of the invoicing period;
- the due date, if the due date is later than the last day of the invoicing period, if the due date is not later than the 60th day following the last day of the invoicing period, or
- the 60th day following the last day of the period, if the due date is later than the 60th day following the last day of the invoicing period.

4.4 Cash accounting

A taxable person may opt for the cash accounting scheme provided that the below conditions are fully met. This means that VAT becomes payable by the supplier only when the respective payment was effected by the customer. This also means that the recipient of the goods/services may only deduct the VAT charged in the invoice if the financial settlement has been completed.

Small-sized businesses according to the terms of the respective act, may only opt for the cash accounting if they fulfil the following conditions:

- the place of establishment is in Hungary (for lack of such, the domicile or habitation);
- do not fall under liquidation or voluntary dissolution procedures;
- did not opt for the tax exemption; and
- the net value of sales revenue on the supply of services and goods did not exceed HUF 125 million in the previous year nor is likely to exceed this threshold in the given year. When calculating this threshold, not only domestic but all transactions must be considered.

5. Taxable amount

5.1 Bad debt relief

Bad debt relief is available in Hungary for VAT purposes under certain strict conditions.

The taxable amount may be reduced subsequently by the amount of consideration in whole or in part, exclusive of VAT, shown under bad debts, under the following cumulative conditions:

- the taxable person and the person to whom the goods or services are supplied are acting as independent parties;
- the taxable person notifies the (taxable person to whom the goods and/or services are supplied in writing in advance, except if the person to whom the goods and/or services are supplied dissolved without succession;
- the taxable person is not adjudicated in bankruptcy, liquidation or involuntary de-registration proceedings at the time the tax return affected by the bad debt is submitted;
- at least one year has lapsed since the due date of the payment of consideration for the supply of good and/or services underlying the accounts claimed as bad debts, except where the term of limitation for civil claims relating to supplies of goods and/or services underlying the accounts claimed as bad debts is less than one year; and
- the consideration payable for the supply of good or services underlying the accounts claimed as bad debts was not and cannot be recovered otherwise.

The advance written notice to be sent to the supplier shall include at least the following information:

- the reason for accounting the consideration charged as bad debt;
- the serial number of the invoice where the consideration is unpaid;
- amount of the bad debt (showing separately the amount of consideration or part of the consideration and the amount of VAT charged); and
- a statement that the taxable person will subsequently deduct the amount of consideration referred to in Paragraph c), exclusive of VAT, from the taxable amount.

Enclosed with the tax return, the taxable person shall disclose the reason for accounting the amount as bad debt to the tax authority using the form prescribed for that purpose. The form must include the number of the invoice for the supply of goods or services on which the taxable amount is reduced, the amount of deduction, the name and tax number of the taxable person to whom the goods or services are supplied, and an explanation why the consideration payable for the supply of the goods or services claimed as bad debt was not and cannot be recovered otherwise.

If the supplier of goods or services recovers the consideration accounted as bad debt in whole or in part after it was deducted from the taxable amount, the taxable amount may not be reduced subsequently by up to the amount of consideration or part consideration recovered, exclusive of VAT. Enclosed with the tax return the taxable person shall disclose the amount of the consideration or part of the consideration recovered to the tax authority using the form prescribed for that purpose, exclusive of VAT, including the name and tax number of the taxable person to whom the goods or services were supplied.

Where the consideration for the supply of goods and/or services is written off as bad debt, and the person to whom the goods and/or services are supplied is not a taxable person, unless otherwise provided for, VAT amount reduction shall be applicable where the taxable amount is reduced.

5.2 Cash discounts

Assume that the supplier sends the following invoice:

"Supply of goods	EUR 1,000
27% VAT	EUR 270
Total to be paid	EUR 1,270

If payment is received by us within the next 14 days, you can subtract 2% of the invoice as a cash discount".

Payment is indeed received within 14 days. In that case the supplier must pay EUR 264,60 in its VAT return. The customer can deduct EUR 264,60 in its VAT return. Therefore, the supplier has to issue a 'modified invoice'.

5.3 Open Market Value

In lieu of the consideration, the open market value shall be applied as the taxable amount if the supply of goods or services takes place between non-independent parties:

- where the consideration charged is unreasonably higher than the open market value of the goods or services in question and the supplier does not have a full right of deduction;
- where the consideration charged is unreasonably lower than the open market value of the goods or services in question and the recipient of the supply does not have a full right of deduction; or
- where the consideration charged is unreasonably lower than the open market value of the goods or services in question when the supplier does not have a full right of deduction and the supply is subject to an exemption.

This rule shall not apply where the consideration is determined by a binding statutory provision, or if the consideration is to be determined on the basis of the relevant legal regulations.

5.4 Returnable packaging

As regards the costs of returnable packaging material, Hungary includes them in the taxable amount and take the measures necessary to ensure that this amount is adjusted if the packaging material is in fact returned (VAT base reduced).
Special rules apply to certain packing materials such as plastic bottles, where there is a prefixed packaging fee.

6. VAT rates

6.1 Standard rate

The standard rate in Hungary is 27%.

6.2 Reduced rate

The reduced rates in Hungary are 5% and 18%.

The 5% rate applies for instance to:

- supplies of new residential property, subject to further conditions;
- certain human medicines and other medical products;
- certain breeding: live pig, bovine, sheep, goat;
- consumer products: whole or half pig, bovine, sheep, goat, pork - fresh, chilled or frozen;
- certain products for blind persons;
- books, magazines, newspapers;
- distance supply of heat;
- milk and certain dairy products;

(within 90 days).

To qualify as VAT exempt, exports supplies must be accompanied by proof that the goods have left Hungary

7.1.2 Export supplies

following the supply.

The customer shall furnish the vendor with the written statement referred above by the tenth day of the month

- at least two items of non-contradictory evidence referred to above
- individual accepting the goods on behalf of the acquirer; and
- of means of transport, the identification number of the means of transport; and the identification of the quantity and nature of the goods; the date and place of the arrival of the goods; in the case of the supply the goods; that written statement shall state: the date of issue; the name and address of the acquirer; the customer; or by a third party on behalf of the customer, and identifying the Member State of destination of the goods; a written statement from the customer, stating that the goods have been dispatched or transported by the following:

If the customer picks up the goods, the supplier may apply the exemption if he is in possession of the

- or receipt by operator of receiving warehouse in country of arrival.
 - List B: Insurance policy for the transport of the goods; official documentary proof of arrival of the goods;
 - List A: Signed CMR road transport document; Bill of Lading; Airfreight invoice; courier invoice.
- available. Suppliers must retain: 2 documents from list A; or 1 from list A plus 1 from list B:
- documents, customer declarations) or documents described in the EU VAT Implementing Regulation must be left Hungary. For the exemption to apply, a transport document or other credible proof (e.g. warehouse To qualify as VAT exempt, intra-Community supplies must be accompanied by proof that the goods have

7.1.1 Intra-Community supplies

- services provided in a VAT warehouse.
 - services to goods under customs control; and
 - provisioning with foodstuffs of seagoing vessels, with the exception of vessels for inshore fishing;
 - international passenger transport by seagoing vessel or airplane;
 - goods under customs control or VAT warehousing arrangements;
 - islands;
 - transport of goods to and from Madeira and the Azores as well as the transport of goods between those
 - supplies of monetary gold to central banks;
 - supplies made to customers with (diplomatic) tax immunity;
 - sea vessels and aircraft and related goods and services;
 - services of intermediaries relating to transactions carried out outside the EU;
 - services in the framework of inward processing on behalf of principals resident outside the EU;
 - goods supplied to travelers resident outside the EU under retail export schemes or through tax-free shops;
 - exports and intra-Community supplies of goods;
- Hungary applies an exemption with the recovery of input VAT for the following supplies and services:

7.1 Exemptions with the right to deduct VAT

7. Exemptions

times a week).

Hungary has introduced a local 0% VAT rate on daily newspapers and magazines (daily meaning at least four

- products prepared from grain, flour or starch.
 - certain milk and dairy products; and
- The 18% rate applies for instance on:

- live music in certain circumstances.
- hotel and accommodation services; and

Regarding the supply and letting of certain immovable property (defined by the VAT law), the supplier may opt for taxation for VAT purposes. This requires notification to the tax authorities. Opting for VAT taxation may, depending on the taxpayer's decision, pertain to all types of immovable properties that are being let or only to a restricted scope of such properties: immovable properties other than residential buildings. If

7.3 Option for taxation

Some of these exemptions are granted on certain conditions.

Other exemptions are financial and banking services, insurance services, management of collective investment funds, certain games of chance, postal and telecommunication services, non-commercial activities of public radio and television broadcasting organizations, letting of immovable property, the supply of immovable property, services by employers or employees' organizations, or by political, religious, charitable organizations, etc.

7.2.2 Other exemptions

Most of these exemptions, however, are granted on detailed conditions relating to the legal status or license of the supplier, the purpose of the activity of the supplier, and many other conditions.

Postal services, certain hospital services, medical and paramedical care, cultural activities, ambulance services, services rendered by undertakers, educational services, services of a cultural or social nature, some radio and audio-visual services, services of non-profit organizations, some services connected with sports, etc. are exempt of VAT.

7.2.1 Exemptions in the public interest

7.2 Exemptions without right to deduction

Goods which have not been cleared for free circulation can be stored in bonded (customs) warehouses. Sales with respect to goods located within a bonded warehouse are exempt. Also, services performed on the goods are exempt from VAT. Import VAT is payable upon taking the goods out of the bonded warehouse, the owner of those goods is liable for the VAT.

7.1.3.2 Bonded (customs) warehouse

The supplier does not have to be registered in Hungary for the purpose of a supply of the goods stored in a VAT warehouse to an EU Member State. The condition is that the supplier enters into an agreement with the warehouse keeper whereby the EU VAT identification number of the latter is used for the intra-Community supply.

A guarantee or a deposit must be provided for the operation of a VAT warehouse. Export of goods from the warehouse must be proven by customs documents. The supply of goods to other EU Member States must be proven by transport documents. If there is lack of sufficient proof, the tax office will withdraw the VAT amount from the guarantee or deposit.

Goods cannot enter the VAT warehouse. The sale of goods is VAT exempt if the goods are transported to a VAT warehouse or are located in a VAT warehouse. The intra-Community acquisition of goods in a VAT warehouse is also exempt.

7.1.3.1 VAT warehouse

7.1.3 Warehousing

If the goods do not leave the customs border within 90 days but all other conditions of an export are fulfilled, the exporter can reduce the VAT paid on the sale, if the product leaves the customs territory within 360 days.

For export supplies, in order to apply the tax exemption, a certificate from the authority that exited the territory of the Community is required, which authentically certifies the fact of the exit of the product from the territory of the Community ("Confirmation of Exit").

In case of the supply of goods with installation or assembly, the reverse charge is applicable if the supplier is not established in Hungary but the customer is registered for VAT purposes in Hungary. On the invoice, reference must be made to the application of the reverse charge. The supplier must use the following text on the invoice: "fordított adózás" (translation: reverse charge).

The following supplies of goods fall under the reverse charge mechanism in Hungary if the place of the supply is deemed to be in Hungary and the supplier is not established in the Hungary, but the recipient is registered for VAT purposes in Hungary:

- supply of a newly built immovable property subject to registration in the land registry;
- supply of goods with installation or assembly;
- supply of gas through a natural gas system situated within the territory of the Community or any network connected to such a system, the supply of heat or cooling energy through heating or cooling networks, and the supply of electricity.

If neither the supplier nor the recipient is VAT registered, the reverse charge is not applicable, and the supplier should register for VAT.

For the reverse charge to apply

- the supplier should not be established in Hungary (they could be VAT registered); and
- the recipient must be VAT registered in Hungary (it is sufficient to be registered, no need to be established).

If neither the supplier nor the recipient is VAT registered, the reverse charge is not applicable, and the supplier should register for VAT.

8.1.1 General reverse charge - non-resident suppliers (Article 194 EU VAT Directive)

Domestic reverse charge applies in the case of a supply of goods with installation or assembly and services of which the place of supply is Hungary by a non-established supplier. Hungary did not introduce a reverse charge for the supply of goods other than the supply of goods with installation or assembly and the supplies mentioned in chapter 8.3.

For the reverse charge to apply

- the supplier should not be established in Hungary (they could be VAT registered);
- the recipient must be VAT registered in Hungary (it is sufficient to be registered, no need to be established).

If neither the supplier nor the recipient is VAT registered, the reverse charge is not applicable, and the supplier should register for VAT.

8.1 Reverse charge

In Hungary there is the reverse charge for general B2B services provided by non-established taxable to Hungarian VAT registered taxable persons in Hungary. This reverse charge applies in all EU Member States and follows from Articles 44 and 196 EU VAT Directive.

8. Liability

It is not possible to opt for financial services.

The supplier may limit the option of taxation regarding the sale of all of his immovable properties or all lettings of them. The option is not available regarding single transactions. However, it is possible to decide differently regarding residential properties and other properties.

A taxable person chooses either of these options, it remains binding until the end of the 5th calendar year following the year when the choice is made.

The following services fall under the reverse charge rule in Hungary if the place of the supply is deemed to be in Hungary and the supplier is not established in Hungary, but the recipient is registered for VAT purposes in Hungary:

- services relating to immovable property;
- transport of passengers;
- admission to cultural, artistic, scientific and similar events;
- short-term hiring of vehicles; and
- services of restaurants.

The supplier must use the following text on the invoice: "fordított adózás" (translation: reverse charge).

8.1.2 Reverse charge mechanism - specific domestic rules (Article 199 EU VAT Directive)

On the following supplies and/or services reverse charge rules apply if both the supplier and the customer are VAT registered in Hungary:

- supply of a building;
- certain supply of construction services, including repair, cleaning, maintenance, alteration and demolition services in relation to immovable property;
- supply of staff engaged in certain construction related supplies;
- supply of immovable property with an option for taxation;
- supply of old used materials, scrap, waste;
- supply of goods provided as security by one taxable person to another in execution of that security;
- supply of an asset with a market value exceeding HUF 100,000 (approximately EUR 250) under an insolvency or similar procedure;
- sale of greenhouse gases (CO₂ Emission Rights);
- sale of certain agricultural products by a taxable person not falling under the special rules of the flat-rate scheme for farmers; and
- certain iron and steel products which are listed in Annex 6/A of the VAT Law.

The supplier must use the following text on the invoice: "fordított adózás" (translation: reverse charge).

8.2 Joint and several liability

Joint and several liability applies in the following cases:

- VAT warehouse operator for the inventory loss and for unresolved tax obligations; and
- onward supply of goods or services (including recharges) between VAT registered affiliated parties.

9. Recovery of input VAT

9.1 Non-recoverable input VAT

The input VAT is not recoverable on:

- passenger cars, petrol, other fuel for passenger cars, products for passenger cars;
- services necessary to operate passenger cars (up to 50%);
- motorcycles exceeding 125 cc, yachts and similar sports or entertainment vehicles;
- restaurants and catering - food and drinks, entertainment;
- construction/building or purchase of housing real estate;
- taxi, parking, tolls;
- telecommunication services (up to 30%); and
- services related to the maintenance and the operation of passenger cars (50%).

VAT is generally recoverable on the above-listed products and services if they are purchased for the purpose of reselling or recharging.

9.2 Excess input VAT

Excess input VAT is generally recoverable and refunded by the VAT authorities. However, if the refund does not exceed certain amounts, the refund is carried forward. This amount differs depending on the actual frequency of VAT reporting:

- HUF 1 million (approximately EUR 2,500); for monthly VAT filers;
- HUF 250,000 (approximately EUR 640); for quarterly VAT filers; and
- HUF 50,000 (approximately EUR 130); for yearly VAT filers.

Excess input VAT is refunded by the tax office within 20 to 75 days depending on the status of the taxpayer (reliable, risky or general), the amount of the refundable VAT and whether the purchase invoice has been settled.

9.3 Capital goods - adjustment periods

- immovable property - 20 years following the month of first use, and
- movable property - 5 years following the month of first use.

9.4 VAT refund for foreigners

9.4.1 VAT refund to EU taxable persons

The refund application must be submitted electronically through the portal of the tax authority of the country in which the claimant is established. The claim can be submitted in Hungarian, English, French or German.

Annual minimum limit (for claims that are made for a calendar year or the remainder of a calendar year) is EUR 50. Interim minimum limit (for claims that are made for less than a calendar year but at least 3 months) is EUR 400.

Minimum period for making a claim is 3 consecutive calendar months in one calendar year, unless it is the remainder of the year. Maximum period for making a claim is 1 calendar year. Deadline for making the claim is 30 September of the year following the year over which the claim is made. No application is accepted after the deadline.

Supporting documents (e.g. copies of invoices) are required in the following cases:

- the taxable base regarding fuel exceeds the equivalent of EUR 250; and
- the taxable base regarding other supplies exceeds the equivalent of EUR 1,000.

The tax authorities must issue a decision on the refund claim within 4 months of receipt of the claim. The period in which the authorities must make a decision will be extended to 6 months or maximally to 8 months if the authorities request additional information. The tax authorities usually ask for a proof of payment from the bank that the supplies were paid by the claimant, the contracts or agreements/orders and a description of what the business purpose of the purchase was.

If a refund is granted, it will be processed within 10 business days and paid to the bank account number provided to the tax authorities. Time limit for appeals is 15 days following the decision. If this appeal is unsuccessful, the claimant can initiate proceedings before the national court (within 30 days after a receipt of the decision on appeal).

The input VAT is not recoverable in case of:

- supplies of goods and services that are not used for business purposes;
- supplies and services acquired or imported in connection with an exempt business activity;
- supplies of goods and services where the VAT law regulates the non-recoverable VAT (see paragraph 9.1);
- VAT charged erroneously or incorrectly; and

9.4.2 VAT refund to non-EU taxable persons

VAT is refunded to non-EU taxable persons if the reciprocity condition is fulfilled in this matter. Switzerland, Liechtenstein, Norway, Serbia, Turkey (with some limitations) and the UK fulfill the criteria of such reciprocity with Hungary.

The application can be filed electronically or with a form. The application form can be downloaded at: <https://tinyurl.com/yhkvf2z>

Annual minimum limit (for claims that are made for a calendar year or the remainder of a calendar year) is EUR 50. Interim minimum limit (for claims that are made for less than a calendar year but at least 3 months) is EUR 400.

Minimum period for making a claim is 3 consecutive calendar months in one calendar year, unless it is the remainder of the year. Maximum period for making a claim is 1 calendar year.

The claim must be submitted on time to be received by the tax authority by 30 June of the year following the year over which the claim is made. No application is accepted if it is received after the deadline. The claim must be sent to the following address:

Postbox:

NAV Kiemeli Adó- és Igazgatóság
Külföldiek Adó-visszatérítései Intéze Főosztály H-1410 Budapest
PF. 138
Hungary

Address:

NAV Kiemeli Adó- és Igazgatóság
Külföldiek Adó-visszatérítései Intéze Főosztály H-1077 Budapest
Dob utca 75-81
Hungary

The following documents must be sent together with a claim:

- declaration of entrepreneurship from the tax administration in the country where the foreign taxable person is established;
- original invoices and import documents; and
- a proof of payment from the bank that the invoiced amount has been paid.

The tax authorities must issue a decision regarding the refund claim within 6 months of receipt of the

claim (application and all supporting documents). If the tax authorities request additional information, the 6-month period will be suspended until the claimant has complied with its obligation to provide the necessary

information.

If a refund is granted, it will be made in the currency indicated by the claimant directly to the claimant or its appointed agent before the end of the above period and paid to the bank account indicated by the claimant.

The time limit for appeal is 15 days following the decision. If this appeal is unsuccessful, the claimant can initiate proceedings before the national court (within 30 days after receipt of the decision on appeal).

The input VAT is not recoverable in case of:

- supplies of goods and services that are not used for business purposes;
- supplies and services acquired or imported in connection with an exempt business activity;
- supplies of goods and services where the VAT law regulates the non-recoverable VAT (see paragraph 14.1);
- VAT charged erroneously or incorrectly; and
- VAT relating to the purchase of immovable property.

10. Administrative obligations

10.1 Invoicing

10.1.1 Invoice content

Invoices shall contain the following information:

- the date of issue;
- a sequential number, which uniquely identifies the invoice;
- the tax number under which the taxable person supplied the goods or services;
- the customer's following information:
 - tax number, under which the customer received a supply of goods or services in respect of which he is liable for payment of value added tax, or
 - tax number, under which the customer received a supply of goods as referred to in Section 89, or
 - the first eight digits of the tax number - or group identification number in connection with a group taxation arrangement - under which the taxable person registered in the domestic territory received a supply of goods or services, provided that the supplier of the goods and/or services has established his business in the domestic territory, or in the absence of such a place of business, has his permanent address or usually resides in the domestic territory;

- the full name and address of the taxable person and of the customer;
- description of the goods supplied, and - at the discretion of the taxable person required to issue the invoice - the relevant tariff heading used in this Act, furthermore, the quantity of the goods or the description of the services rendered, and - at the discretion of the taxable person required to issue the invoice - the relevant TESZOR 15 code, used in this Act, furthermore, the extent and nature of the services rendered, if it can be expressed in some unit of measurement;
- the date referred to in Paragraphs a) and b) of Subsection (1) of Section 163, if other than the date of issue of the invoice;
- the words "pénzforgalmi elszámolás" ("cash accounting") when using the special taxation scheme defined under Chapter XIII/A;

- the taxable amount, the unit price of goods exclusive of VAT or the unit price of services exclusive of VAT, if it can be expressed in some unit of measurement, and any discounts or rebates if they are not included in the unit price;
- the VAT rate applied;
- the VAT amount payable, except where, in accordance with this Act, such a detail is excluded;
- the words "önkéntes elszámolás" ("self-billing") where the customer receiving a supply of goods or services issues the invoice;
- in the case of an exemption, reference to the applicable provision of law or to the VAT Directive, or any other reference indicating that the supply of goods or services is exempt;
- the words "fordított adózás" ("reverse charge procedure") where the customer is liable for payment of VAT;

- in the case of the supply of a new means of transport made in accordance with the conditions specified in Section 89, the characteristics as identified in Point 25 of Section 259 pertaining to the new means of transport;
- in connection with the activities of tour operators governed under the special provisions of Chapter XV, the words "közlekedési szolgáltatás" ("transportation service") ("margin scheme - travel agents");
- where one of the special arrangements applicable to second-hand goods, works of art, collectors' items and antiques is applied under the special provisions of Chapter XVI, the words "közlekedési szolgáltatás" ("transportation service") ("margin scheme - second-hand goods");

- where a financial representative is involved, the name, address and tax number of the financial representative;
- where a financial representative is involved, the name, address and tax number of the financial representative;

Hungary has introduced the real-time reporting obligation as of 1 July 2018. The invoices must be issued by qualified invoicing software that is capable of communicating with the HTA by electronic means in a pre-defined way. This means that businesses are required to register their invoicing software and the

communication termination point and all data communication between the company and the HTA is done via this electronic communication protocol. The taxable persons issuing such invoices will be obliged to report them immediately (within 5 minutes from the moment the invoice is generated in the invoicing software), without human intervention electronically to the HTA in a predefined way in xml format.

Affected transactions: all supplies of goods and services, either B2B or B2C, including advance payments related to these supplies, except distant sales reportable in OSS subject to VAT in another EU member state. This includes supplies of goods or services subject to reverse charge, exempt supplies such as intra-Community or exports.

Affected suppliers: VAT registered businesses (this includes non-established VAT registered foreign businesses as well as taxable persons subject to the exemption for SMEs).

Failure to comply with this obligation may result in a significant penalty of up to HUF 500,000 (approximately EUR 1,300) per each undeclared invoice.

10.1.2 Time limits

An invoice must be issued not later than on the 8th day after the day on which the goods were supplied or services were rendered.

10.1.3 Currency

The invoice can be issued in any currency. However, the VAT amount in Hungarian Forint (HUF) must be shown on the invoice.

10.1.4 Conversion and exchange rate

The VAT base and VAT amount should be converted to Hungarian Forint on the day when the VAT becomes due or on the day of the supply. The conversion can be made according to the daily exchange rate of one of the banks established in Hungary, or, if the taxable person opts for it, the Hungarian National Bank (HNB) or the European Central Bank (ECB). The taxable person must report to the tax authority if it opted for using the exchange rates of the HNB or the ECB. The same exchange rate source must be used for calculating the taxable base of all transactions. The taxable person may not change its decision before the end of the second calendar year following the year of the change.

10.1.5 Self-billing

Under Hungarian VAT legislation, self-billing is allowed if there is an agreement between the two parties (for instance a contract or a written agreement).

10.1.6 Simplified invoice

A simplified invoice must contain the same information as a normal invoice with the exception of the following:

consideration should include the total amount payable without breaking it down to net amount and VAT amount, for example "the total amount payable HUF 100"

VAT rate embedded in the total payable amount, i.e. calculated from the top, in case of the 27 % rate, is 21,26 %, but the VAT amount may be omitted on the simplified invoice.

Simplified invoicing is applicable only in certain cases listed in the VAT Act. The gross amount should not exceed EUR 100.

The taxable person can opt to issue receipts instead of invoices if its customer pays the consideration, inclusive of VAT, by the time of supply at latest in full, without requesting an invoice from the taxable person.

Receipts must contain the following details:

- the date of issue;
- a sequential number, which uniquely identifies the receipt;
- name, address and VAT number of the taxable person issuing the receipt; and
- the total sum payable for the supply of goods or services, inclusive of VAT.

10.1.7 Storage of invoices

Invoices need to be kept available for the period until the right to claim the VAT elapses. It is usually 5+1 years. However, in the case of self-corrections the deadline starts from the day of the correction.

The invoices must be kept in original or as certified copies. Electronic invoices must be kept electronically. Paper invoices may also be kept electronically.

The place of storage of the invoices is not restricted, but it must be reported to the tax office if the place of storage is not the seat of the company. The documents must be made available within 3 days if requested by the tax authorities.

10.1.8 Electronic invoicing

The authenticity, the integrity of data content and the readability of the electronic invoices must be ensured. All business procedures that provide a reliable audit trail between the invoice and the supply are sufficient for this purpose. Advanced electronic signature and electronic data interchange (EDI) are mentioned in the law as examples. The recipient of the invoice must consent to the electronic invoicing. The supplier and the recipient of the invoice issued with EDI must conclude an agreement about the method of applying and using the EDI. It is not required for the electronic invoice to be structured, i.e. pdf invoice is acceptable if it fulfills the requirements mentioned above. Electronic invoices must be issued from the software capable of real time reporting to the HTA.

10.2 VAT compliance

10.2.1 VAT return period

The standard VAT return is to be filed every quarter. The VAT return must be submitted monthly if the net payable VAT exceeded HUF 1 million (approximately EUR 2,500) in the second year preceding the year in question. Also, if during the current year, the net payable VAT in a quarter exceeds HUF 1 million (approximately EUR 2,500), the taxpayer must change to monthly filing. A yearly VAT return must be filed if the net payable VAT did not exceed HUF 250,000 (approximately EUR 640) in the second year before the year in question, except if the taxpayer has an EU VAT identification number. The yearly filing taxable person must change to more frequent filing periods whenever it exceeds any of the above-mentioned thresholds during the year.

Monthly VAT returns must be submitted in the year of VAT registration and in the subsequent year.

In principle, a domestic business is required to submit electronic VAT returns. A foreign company which is registered only for VAT purposes can submit paper VAT returns if it does not have an EU VAT identification number.

10.2.2 Filing of VAT return and payment

The VAT due must be received on the bank account of the VAT authorities on or before the 20th day of the month following the VAT return period (i.e. the VAT due over January 2025 must have been received by the VAT authorities on 20 February 2025). The same deadline applies to the VAT return.

The Hungarian VAT return (form XX65 where the first two digits represent the last two digits of the current year) is very complicated and changes every year.

VAT returns can be submitted in the following ways:

- "Classic" VAT return submission electronically by applying ANYK reporting software to compile and submit the 65 VAT return form and A60 IC Sales and Purchase Listing;
- e-VAT system, web based — on the HU Tax Authority's e-VAT system user interface. One can approve or modify the draft of the VAT return prepared by the HU Tax Authority; and
- e-VAT system, the so called Machine to Machine (M2M) interface.

The VAT return can be downloaded here:

<https://tinyurl.com/yhkvj2z>

Access to the e-VAT system is here:
<https://efga.nav.gov.hu>

If the taxable base or the VAT amount changes after the VAT return has been submitted (for example certain invoices were not reported or modification invoices were issued) according to the main rule, the respective VAT return shall be self-revised. This means that the respective VAT return shall be re-submitted with the correct figures. If self-revision results in additional payable VAT, self-revision interest is payable.

If the reporting period has been closed by the tax audit, re-opening of such period may be requested from the HTA, if new facts or circumstances have emerged since the tax audit.

In certain cases self-revision is not necessary. There is no need for self-revision, for example, if the amount of the deductible input VAT changes (e.g. the taxpayer received a modification invoice from its supplier with amended input VAT).

10.2.3 European sales listing

Form XXA60 (where the first two digits represent the last two digits of the current year) must be submitted if the taxable person has performed an intra-Community supply of goods, an intra-Community acquisition of goods, or if it has supplied or received general B2B services to/from a taxable person established in another EU Member State (see also paragraph 8.1).

Generally, the form must be submitted with the same frequency as the VAT return. However, even if the VAT return is submitted quarterly, the form must be filed monthly if the intra-Community supply of products exceeds EUR 100,000 in a given quarter or in any of the preceding quarters.

Form XXA60 includes separate pages for intra-Community sales, intra-Community acquisitions, incoming services and supplied services. No threshold exists for the reporting: all transactions must be reported.

The European sales/acquisition/service listing can be downloaded at: <https://tinyurl.com/yhkvj2z>

10.2.4 National recapitulative statement

The national recapitulative statement (also known as itemized report) was introduced on 1 January 2013 in Hungary. The form is an addition to the VAT return. Its number is XX65A, followed by "M" pages per customer or supplier.

From 1 July 2020, the previous threshold of HUF 100,000 was eliminated, thus the data of all approved incoming supplier invoices for which the company intends to exercise the right to deduct VAT must be provided to NAV on the M-sheet in the domestic recapitulative statement.

On the M-sheet all incoming invoices issued by domestic taxable persons, if the taxpayer exercises the right to deduct tax in connection with the invoices. It is very important to emphasize that according to the new rules, the supplier invoices for which the customer of the invoice is required to pay VAT are also included in the scope of the M-sheet, as he still exercises the right to deduct tax (reverse charge taxation).

Thus, from 1 July 2020, the NAV online invoice report covers all domestic supplies of goods and services (except for intra-Community supplies), independently on whether there was output VAT or these transactions were subject to VAT or exempt from VAT. This will enable NAV to prepare draft VAT returns for taxable persons. The recapitulative statements extend to all supplier invoices of the company so that NAV can ensure that the companies do exercise the right to deduct VAT based on the invoice issued by another domestic taxable person and certified to NAV.

The customer is required to include the invoice in the period when the VAT charged on the invoice is reclaimed by giving the following information:

- the VAT identification number of the supplier/customer;
- basis and amount of VAT;
- invoice number; and
- date of the supply.

- 400 million HUF for arrivals; and
- 160 million HUF for dispatches.

From 2025 the data reporting thresholds are as follows:

10.4.1 Intrastat threshold

Statisztikai Hivatal (KSH).

In Hungary, separate Intrastat returns must be submitted to the Central Bureau of Statistics, Központi

10.4 Intrastat

The penalty can be 200% of the unpaid tax if it is due to gross negligence. If the act was intentional, the case can incur criminal penalties as well.

10.3.5 Offence penalties

When an error is detected by the taxable person in any of its earlier VAT returns (back to 5 years), the correction must be made by the re-filing of that particular VAT return. The interest penalty is payable from the due date of that VAT return until the actual payment of the difference.

When a self-correction is made by the taxable person, no penalty but a self-correction interest is payable, which is equal to the "prime rate" established by the National Bank of Hungary.

If, before a VAT audit is started by the tax authority, the taxable person self-corrects its VAT liability and pays the tax and the self-correction interest (if applicable), the tax authority is not entitled to levy tax penalties or interest fines.

If the VAT is not reported and not paid correctly, or reclaimed incorrectly, the tax authority is entitled to levy a penalty up to 50% of the underpaid tax. Penalty interest (see paragraph 10.3.3) up to 3 years is also due in this case.

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

If the VAT is not paid on time, the VAT authorities calculate an interest penalty from the day it should have been paid until the day it is paid. The interest rate is twice the "prime rate" which is established by the National Bank of Hungary. The late payment penalty can be calculated here: <https://inyurl.com/8fmlkm3jw>

10.3.3 Default penalties for not paying VAT on time to the VAT authorities

If the VAT return or the European sales listing is not filed on time, the maximum penalty is HUF 500,000 (approximately EUR 1,300). Usually, it is HUF 100,000 (approximately EUR 260) for the first offence.

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

There is no penalty for a late registration, however late payment interest may be charged on the delayed VAT payment.

10.3.1 Default penalties for late registration

10.3 Penalties

31 December 2030.

The tax assessment period in Hungary is 5 calendar years after the year of filing the VAT return. For example, Q4 2024 is to be filed in January 2025. This means that the assessment period is 31 December 2025 + 5 years =

10.2.5 Tax assessment period

statements.

Taxpayers filing their VAT return through the e-VAT system are not required to file the domestic recapitulative

The form can be downloaded together with the VAT return form.

A special regulation applies to businesses reporting movement of goods for certain toll manufacturing transactions. If the business is obliged to report data in one direction, it must also report its turnover in the other direction – regardless of the threshold.

Businesses whose total value of their inbound reported in Intrastat or – in the absence of an Intrastat report – of intra-Community purchases or sales in their VAT returns for a maximum of 12 months exceeds the applicable special threshold, are also required to complete the “statistical value” section of the questionnaire.

The special thresholds for 2025 are:

- 6 billion HUF for arrivals; and
- 15 billion HUF for dispatches.

Starting from 2025, the following companies are exempted from Intrastat arrival reporting obligation:

- if the intra-Community arrivals do not exceed 3.5 billion HUF; and
- achieved excellent data quality (certification from the Statistical Office) based on the comparison of the Intrastat arrival report they provided in the previous year and the data received from other Member States

within the framework of the MDE (microdata exchange)

10.4.2 Intrastat data to be reported

Intrastat data should be reported in the KSH-Elektra system via web filing, or xml / csv data format share. Detailed information on the format, the reportable data and its format is available at the website of the Statistical Office

<https://tinyurl.com/bdmwvr3v>

10.5 Additional compliance requirements

There are no additional requirements.

Information received from:

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The European Union (EU) VAT Directive is implemented through the VAT Consolidation Act 2010 and related VAT Regulations. VAT is referred to in Ireland as "Value Added Tax" or "VAT".

1. Taxable persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

A taxable person is required to register for Irish VAT purposes where its annual turnover exceeds, or is likely to exceed, the following thresholds:

- EUR 42,500 for supplies of services;
- EUR 42,500 in any continuous 12-month period for persons supplying goods liable at the reduced or standard rates which they have manufactured or produced from zero rated materials;
- EUR 85,000 for supplies of goods;
- EUR 85,000 for persons supplying both goods and services where 90% or more of the turnover is derived from supplies of goods (other than of the kind referred to at (b) above); and
- EUR 41,000 in any continuous 12-month period for persons making intra-Community acquisitions of goods into Ireland.

In addition, the following taxable persons are required to register for Irish VAT purposes:

- persons disposing of interests in immovable goods, where the disposal is not exempt from VAT;
- landowners that allow non-established mobile traders or non-established promoters of events onto their property for periods of less than 28 days have obligations to report certain information to the Irish Revenue Commissioners ("Irish Revenue"). Failure to do so can make them accountable persons and liable for the VAT due by the mobile trader; and
- persons in receipt of taxable services from suppliers established outside of Ireland;
- farmers and fishermen who elect to be accountable persons or who have taxable turnover in excess of the registration thresholds from other activities.

Taxable persons established for VAT purposes in Ireland are not required to register for Irish VAT if their level of turnover does not exceed the appropriate threshold. However, they may elect to register for Irish VAT. Voluntary VAT registration is effected in the same manner as the mandatory VAT registration process.

Please note that in Irish VAT legislation, a taxable person is defined as a person who independently carries on a business within the EU or elsewhere. An accountable person is a taxable person who engages in the supply within Ireland of taxable goods or taxable services and is accountable for and liable to pay the tax charged in respect of such a supply. Legislation deems others to be accountable persons (those engaged in intra-Community acquisitions, VAT groups, electing to register, etc.). Effectively, an accountable person is someone who is entitled or required to register for VAT in Ireland.

For information regarding the completion of a registration application and details on what documentation needs to be provided for VAT registration see also paragraph 1.2.

Irish VAT registration forms can be downloaded at: <https://tinyurl.com/ykzay3vr>

Different forms apply to individuals and partnerships and to companies. There are separate forms for non-established persons and entities – see paragraph 1.2.1.

1.2 Registration threshold & SME Scheme for foreign taxable persons

Non-established persons supplying taxable goods or services in Ireland are obliged to register and account for Irish VAT regardless of their level of turnover (i.e. no threshold applies).

The EU VAT changes as regards special schemes for small enterprises have not been implemented into Irish law. However, Irish Revenue guidance confirms that Irish established traders may make a formal application to them in Ireland if they wish to avail of the scheme in other EU Member States.

To register for VAT, taxable persons must complete a form TR1 for private individuals, partnerships and co-ownerships or a form TR2 for incorporated entities. It should be filed with the local Irish Revenue district of the taxable person. Different forms are used for non-established persons and these are the TR1 (FT) and TR2 (FT). However, please see further details below in relation to e-Registration. Non-established building contractors and persons making distance sales into Ireland to non-registered customers and other non-established persons should apply to the following office:

*Business Registrations
Office of the Revenue Commissioners
PO Box 1
Wexford
Republic of Ireland*

Contact details for all Irish Revenue offices are available on the website for Irish Revenue at:
<https://tinyurl.com/bddnd2wp>

If a taxable person is registering in respect of any property-related transaction or construction activity they will be required to file more detailed documentation in relation to their activities in Ireland. The taxable person may be required to provide details of planning permission applications/grants in the relevant tax registration form. The taxable person will also be required to provide additional documents such as a copy of the minutes from a Board of Directors meeting (for a company) or a signed letter from an individual/partnership to evidence their intention to make taxable supplies of the property.

Where a taxable person is registering on the basis of being in receipt of reverse charge services from abroad, an invoice or customer contract is required to accompany the submission of the Form TR2 in order to evidence such supply. Non-established traders are generally required to provide evidence of a contract with an Irish customer to demonstrate the requirement to register.

No other documents are required to be filed with the registration application, unless specifically requested by the Irish Revenue. Examples of such information would be a certificate of VAT registration in another Member State and an extract from the trade register to include details of directors and shareholders.

Intending traders are entitled to register for VAT purposes prior to making any taxable supplies. Evidence of intention to make taxable supplies will be required. Irish VAT registration forms can be downloaded at:
<https://tinyurl.com/57whyzn2z>.

eRegistration is the online facility via ROS which must be used to register for VAT electronically in most cases. Detailed information on how to register can be found at <https://tinyurl.com/2zrc6ywp>. There are certain circumstances where the eRegistration process cannot be used, such as where a company director is non-resident, or a trader is not established in Ireland or a VAT re-registration is required, for example. In such circumstances, the paper-based system must be used. A full list of the exclusions can be found at the above link.

Irish Revenue introduced a two-tier VAT registration system in June 2019. Traders applying for an Irish VAT number must specify whether a domestic only VAT number is required or an intra-EU VAT number. A domestic only VAT number will generally issue in real-time. Additional information is required (ie,

due diligence measures, transport arrangements for supplies of goods outside of the State and supporting documentation verifying that such goods have departed the State) when applying for an intra-EU VAT number and the trader will also be automatically registered for VIES purposes.

1.3 VAT grouping

VAT grouping is possible in Ireland.

Taxable persons may apply to be VAT grouped where they are closely bound by economic, organisational and financial links and where it is necessary or appropriate for the effective and efficient administration and collection of VAT. It is a condition of VAT grouping that all members be established in Ireland for VAT purposes.

VAT grouping is optional and a taxable person may choose whether to apply for VAT grouping, where the conditions are fulfilled. However, it should be noted that Irish Revenue are entitled to put a VAT group in place between entities that satisfy grouping requirements, although in practice this is relatively rare.

VAT grouping is applied for by submitting completed Form VAT 52 for the remitter and Form VAT 53 for the other group members (non-remitters) to the remitter's local Irish Revenue district and an application for granting of a VAT group is ultimately at the discretion of Irish Revenue. The VAT grouping registration is made in the name of a representative member known as a 'VAT group remitter' who is responsible for filing the single group VAT return and for making and receiving payments to / from Irish Revenue for the VAT group. At least one member of the VAT group is required to be an accountable person for Irish VAT purposes.

Members of the VAT group will file one single VAT return in the name of and under the VAT number of the VAT group remitter. However, invoices for taxable supplies of goods or services supplied by each member of the VAT group to third party customers should be issued in the name of and under the VAT registration number of the entity making that supply. Supplies among members of an Irish VAT group are disregarded for VAT purposes and, therefore, VAT invoices do not need to be issued. The exception to this is the supply of immovable goods among VAT group members and the supply of non-deductible items, which would include food, drink, accommodation, employee personal services, petrol, car hire etc.

VAT group members are held jointly and severally liable for the VAT liabilities of the group for the period during which they are VAT grouped. This liability for the period of VAT grouping remains even after members have exited the VAT group. Applications for the amendment or disbandment of a VAT group must be submitted to Irish Revenue by the VAT group remitter in writing within 30 days of the end of the tax year in which any of the below listed changes occur:

- a member of the VAT group ceases to be established in Ireland;
- there is no longer at least one accountable person present in the VAT group; or
- there has been a significant change to the financial, economic and organisational links between the VAT group members.

Irish Revenue may cancel a VAT group registration by issuing notice in writing to each member of the VAT group with effect from the date specified on such notification.

The Irish VAT grouping provisions allow the inclusion of non-taxable persons in a VAT group. This position was challenged by the European Commission in the ECJ case of C-85/11 (Ireland v the European Commission). The Irish provisions were confirmed as being in line with the EU VAT Directive.

1.4 Fiscal representative

The concept of fiscal representation has not been transposed into Irish law. Therefore, non-established taxable persons are neither required nor allowed to appoint a fiscal representative in Ireland. However, an EU established intermediary must be appointed when seeking to avail of the import one stop shop regime (IOSS).

2. Taxable transactions

2.1 Transfer of business

VAT relieving transfer of business provisions have been implemented in Irish VAT legislation. The relief applies where there is a transfer of ownership of goods to an accountable person of a totality of assets of a business, or part thereof, which constitute an undertaking capable of being operated on an independent basis. The relief applies whether the business is trading or has ceased to trade. The transfer of goodwill or other intangible assets of a business in connection with the transfer of a business, or part thereof, by an accountable person to a taxable person that carries on a business in Ireland or by a person that is not an accountable person to another person also qualifies for relief.

2.2 Supplies, free of charge

A supply free of charge shall be deemed to have been effected for consideration in the course or furtherance of business for Irish VAT purposes except in the following circumstances:

- a gift of goods made in the course or furtherance of business (otherwise than as one gift forming part of a series of gifts made to the same person) and the cost to the donor does not exceed EUR 20;
- the gift in reasonable quantity to the actual or potential customer consists of industrial samples which are not ordinarily available for sale to the public;
- advertising goods such as mirrors, glasses, beer mats bearing the donor's name supplied to a hotel or pub etc; or
- replacement goods supplied in accordance with warranties or guarantees on original goods.

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

The zero-rate of VAT may apply where goods are imported from outside the EU into Ireland and at the time of importation those goods are already consigned to another EU Member State. On arrival in the other EU Member State, the arrival of the goods must be treated as an intra-Community acquisition. There are a number of conditions to be fulfilled:

- Irish Revenue must be satisfied as to the authenticity of any particular case;
- the importer must be VAT registered in Ireland;
- the customer must be VAT registered in the other EU Member State;
- the importer/agent has certain obligations regarding the onward supply; and
- the goods must be dispatched within one month of clearance.

2.3.2 Postponed accounting on importation

Postponed accounting for VAT on imports applies in Ireland with effect from 1 January 2021. Although this was introduced as a consequence of Brexit, it applies to all imports from third countries. VAT is to be accounted for in the VAT3 return (in the T1 and T2 boxes) of the trader and applies where the trader is VAT registered in Ireland. A simultaneous input VAT deduction can be taken where so entitled. A new box has also been added to the VAT3 return – A1 – which will include the net value of the imports (net value plus carriage, insurance and freight). Traders who do not qualify for postponed accounting or who no longer qualify will be notified accordingly by Irish Revenue. If a trader does not wish to use postponed accounting, import VAT will be payable in the normal manner.

There is a VAT deferment scheme for the importation of goods which allows accountable persons to defer payment of import VAT to the 15th day of the month following import. The trader should already be approved for a comprehensive guarantee. An authorisation number is required before the trader can apply for a deferred payment authorisation. The application for a customs deferred payment authorisation is made using the Customs Decisions System (CDS). A Direct Debit for "Customs Duty, Excise and VRT" form should also be completed.

Furthermore, goods that are imported into the Shannon Free Zone and Ringaskiddy Free Port may be zero rated at import when certain conditions are satisfied.

3. Place of Supply

With effect from 1 January 2020, new rules were introduced in relation to call-off stock and consignment stock arrangements.

3.1 Consignment and call-off stock

Irish VAT legislation provides for a simplification measure for call-off stock arrangements.

The relief applies only to EU VAT registered taxable persons. Where the non-established taxable person makes an intra-Community acquisition of goods in Ireland (i.e. the goods are dispatched from one Member State to Ireland under a pre-existing agreement between the supplier and the intended purchaser) and subsequently supplies those goods to an accountable person in Ireland (providing the conditions are met), the intra-Community acquisition and the following supply by the EU taxable person must be disregarded and the customer must account for the intra-Community acquisition.

The accountable person in Ireland accounts for VAT on the goods at the time that ownership of the goods transfers.

The legislative conditions require that:

- the supplier must not be established in Ireland nor have a fixed establishment in Ireland;
- the purchaser is VAT registered in Ireland (the identity and VAT number of the purchaser is known to the supplier at the time of dispatch);
- the goods are dispatched under a pre-existing agreement between the supplier and the purchaser; and
- the supplier must keep a record in relation to all transactions covered by the simplification measure.

The supplier should hold the stock in an independent warehouse to avoid any risk of being viewed as having an establishment in Ireland for VAT purposes.

The above simplification measure applies where ownership of the goods only transfers to the purchaser at a time after arrival of the goods in Ireland but within 12 months of that arrival. The measure is only applicable to intra-Community acquisitions, not imports.

Simplification measures apply to consignment stock which describes the movement of stock by a supplier in one Member State to Ireland and to be held as stock in Ireland and is provided to purchasers when stock is required. The consignment stock must remain under the control of the supplier and must not be intended for any one known purchaser at the time of transport.

The legislative conditions require that:

- the EU supplier must not be established in Ireland;
- the EU supplier has not exercised an option to register for VAT in Ireland;
- the EU supplier is not otherwise required to be VAT registered in Ireland; and
- the purchaser is VAT registered in Ireland.

- hiring of movable goods that are supplied outside the EU but where the services are used and enjoyed in Ireland - place of supply is Ireland (applies to supplies made to taxable and non-taxable persons);

Directive;

Irish VAT legislation contains a number of use and enjoyment provisions on the basis of Article 59a(b)

3.6 Effective use and enjoyment

New means of transport and excisable products are excluded from this threshold and are always taxed in the State of destination (i.e. no threshold applies).

VAT must be accounted for in respect of such acquisitions.

acquisitions of goods will exceed, or are likely to exceed, this threshold in any continuous 12-month period, activities and flat-rate farmers from suppliers established in another EU Member State is EUR 41,000. Where the threshold for the acquisition of goods by non-taxable legal persons, taxable persons engaged in exempt

3.5 Acquisition threshold

There are no simplification measures applicable to chain supplies. The circumstances of each transaction should be examined to ascertain if some of the transactions within a chain supply fall within the triangulation simplification measures.

The simplified triangulation rules have been implemented in Ireland in line with the EU VAT Directive. Where Ireland is the final State of destination of the goods, the wording of the Irish legislation does not preclude the application of the triangulation rules if the middleman is VAT registered in Ireland or in the country of dispatch.

3.4 Simplified triangulation rules

The distance sales threshold is currently EUR 10,000. A non-established taxable person may elect to VAT register in Ireland at any time prior to its exceeding the threshold. No additional administrative requirements apply. Once registered, the non-established taxable person is treated in the same way as any other VAT registered person.

3.3 Distance sales threshold

If the non-established supplier is supplying services related to fixtures, it would be obliged to register for Irish VAT and account for VAT on the service supplied. The exception to this rule would be if the services fall within the scope of a reverse charge that applies for services performed under a "relevant contract" for Relevant Contracts Tax. If these services fall within the scope of Relevant Contracts Tax, they must be separately considered because a reverse charge may apply. This is a complex area of tax law.

A reverse charge provision applies to supplies of goods that are installed in Ireland, with or without a trial run, by a non-established supplier where the customer is a taxable person who carries on a business in Ireland, or a public body. In any other case the non-established supplier would be obliged to register for and charge Irish VAT on the supply, such as where the customer is a private individual.

Goods that are installed or assembled in Ireland, with or without a trial run, by or on behalf of the supplier are supplied in Ireland for VAT purposes. There is no formal definition of what constitutes installation or assembly, although Tax Briefing 58 provides guidance on the Irish Revenue interpretation of "install" and "assemble" which follows the VAT Committee guidelines. "Install" is normally taken to mean the placing in position of equipment or machinery. "Assemble" is taken to mean the fitting or gathering together of parts of equipment or of a machine. Generally, the terms are often referred to by whether the good constitutes a "fixture" or a "fitting". A fixture is an item that cannot be easily removed without causing damage to the good or its surroundings and is taxed as a supply of goods. A "fitting" may be easily removed and is generally taxed as a supply of a service.

3.2 Installation supplies

Ireland has provisions for bad debt relief for accountable persons that operate the "invoice basis" of accounting for VAT and that meet the conditions set out in legislation (the relief is not applicable to taxable persons that operate the "cash receipts" basis of VAT accounting).

5.1 Bad Debt Relief

5. Taxable amount

Traders can account for VAT on the cash receipts basis provided certain conditions are met; the total turnover from supplies is less than EUR 2 million or less than 90% of turnover relates to supplies to unregistered persons or persons who are not entitled to claim a full VAT deduction. The cash receipts basis does not apply in the case of supplies between connected persons, in respect of imports or in respect of intra-Community acquisitions.

4.4 Cash accounting

The VAT Directive provides that continuous supplies of goods and services over a period of time are regarded as being completed at least at intervals of one year and under Irish VAT law, this rule applies in relation to supplies of telecommunications services, gas and electricity (where such supplies are made to unregistered customers, the VAT becomes due when a bill is issued provided it is issued at least once every 3 months). The normal rules apply in all other cases.

4.3 Continuous supplies

In situations where a payment is received in advance of the supply being made, then the time of supply for VAT purposes is the time the payment is received. An invoice must be issued in respect of the advance payment by the 15th of the month following the month in which the payment was received.

4.2 Advance payments

However, where an invoice is required to be issued, then the VAT is due on the date that the invoice is issued, or if not issued on time, the latest date by which it should have issued. The latest date for issuing an invoice is the 15th of the month following the month in which the supply occurred.

The general principle is that in the case of a supply of goods, the time of supply is when the actual transfer of ownership of the goods by agreement occurs (when the goods are supplied). In the case of a supply of services, the time of supply is when the services are supplied.

4.1 Principles

4. Chargeable event & Chargeability to VAT

- Ireland introduced the following use & enjoyment provision on the basis of Article 59a(a) VAT Directive:
 - hiring of a means of transport that is supplied in Ireland but where the services are used and enjoyed outside the EU - place of supply is outside the EU (applies to supplies made to taxable and non-taxable persons).
 - where money transfer services that are provided to a person in Ireland are used and enjoyed in Ireland, the place of supply of related intermediary services to a principal outside the EU will be treated as supplied in Ireland.
 - supply to a non-taxable person of telecommunications, radio, broadcasting services or telephone cards that are supplied outside the EU but which are used and enjoyed in Ireland - place of supply is Ireland; (including reinsurance) which are supplied outside the EU but are used and enjoyed in Ireland - place of supply is Ireland; and
 - supply to a non-taxable person of financial services (excluding safe deposit facilities) and insurance

Irish Revenue may impose market value if they are satisfied that the actual consideration in relation to the supply between the connected parties is either higher or lower than open market value.

In order to be 'connected' for the application of the open market value rule, the supplier and the recipient of the goods and services must be connected by financial or legal ties, being party to any agreement, undertaking, promise or understanding (whether express or implied and whether legally enforceable or not) or either the supplier or the recipient (or the supply of goods or services) must exercise control over the other. 'Control' for these purposes means the power to control the affairs of the other party.

Open market value can be imposed by Irish Revenue on supplies of goods and services between connected parties in order to ensure the correct collection of VAT.

5.3 Open Market Value

If payment is received by us within the next 14 days, you can subtract 2% of the invoice as a cash discount."

Payment is indeed received within 14 days. In that case the supplier has to pay EUR 230 in its VAT return. The customer can deduct EUR 230 in its VAT return. Therefore, the supplier has paid too much VAT and the customer has deducted too much. If the supplier is accounting for VAT on the money received basis, the supplier must issue a credit note showing VAT where the discount is allowed following the issue of the invoice. A credit note must also be issued in the case of a supplier who accounts for VAT on the invoice basis. However, where the supplier operates the invoice basis and both parties agree in writing not to make any change to the VAT shown on the original invoice, there is no need to issue a credit note in respect of the VAT.

"Supply of goods	EUR 1,000
23% VAT	EUR 230
Total to be paid	EUR 1,230

Assume that the supplier sends the following invoice:

5.2 Cash discounts

Objective evidence of steps taken to recover the bad debt must be retained.

- name and address of the debtor;
- nature of the goods and services;
- date debt incurred;
- date debt written off;
- copy VAT invoice; and
- record of VAT accounted for.

The claim is made through the VAT3 return by increasing the input VAT figure in the T2 box of the return. An adjustment is made if payment is subsequently received & this is also done through the VAT3 return by reducing the figure in the T2 box of the return. There is no specific time limit for making a claim for bad debt relief but the 4-year rule applicable to refunds must be taken into account.

There is an obligation to keep relevant records which could be examined in the event of an Irish Revenue audit. The records must contain the following information:

- they have taken all reasonable steps to recover the bad debt;
- the debt is allowable as a deduction for Corporation Tax or Income Tax purposes;
- the bad debt has been written off in the financial accounts (it cannot be a "doubtful debt");
- the person from whom the debt is due is unconnected to the accountable person;
- if partial payment has been received the relief must be pro-rated; and
- if the debt is written off and (partial) payment is received, the relief claimed must be repaid.

The obligations to be satisfied by the accountable person seeking to claim the relief include that:

6. VAT rates and exemptions

6.1 Standard rate

The standard rate of VAT in Ireland is currently 23%. A temporary rate of 21% applied in the period 1 September 2020 to 28 February 2021.

6.2 Reduced rate

Reduced rates in Ireland are as follows.

A reduced rate of 13.5% applies to the following types of goods and services in Ireland:

- certain agricultural goods and services;
- waste collection and recycling services;
- VATable supplies of immovable property;
- supplies of coal, peat and other solid fuels, electricity and gas;
- supplies of certain photographic and related supplies;
- short-term hiring of cars, pleasure boats, caravans and mobile homes;
- repair and maintenance of movable goods;
- services consisting of the care of the human body, including services supplied in the course of a health studio business or similar business;
- veterinary services;
- non-oral contraceptive products;
- children's car safety seats;
- hot drinks and hot takeaway food;
- vending machine sales;
- meals in cafes and restaurants;
- hotel rooms, guesthouses, caravan parks, campsites;

5.4 Returnable packaging

- If the actual consideration is lower than open market value, market value can be imposed in instances where:
 - the recipient of the supply must have less than 100% VAT recovery entitlement on the supply or must be a flat-rate farmer; or
 - the supplier is making a VAT exempt supply and the supplier is engaged in any non-deductible business activities or is a "flat-rate" farmer.
- If the actual consideration is higher than open market value, for market value to be applied, the supplier must be a flat-rate farmer or must be engaged in non-deductible business activities.

The Irish Deposit Return Scheme (the "DRS") came into operation in Ireland on 1 February 2024. The DRS requires that a deposit (of 15c or 25c) is charged when drink products are supplied in certain single-use containers (cans and plastic bottles), and the deposit is later refunded to a person who returns the empty container for recycling/reuse. The refundable deposit is charged by relevant suppliers at each stage of the supply chain in the State: manufacturer or importer, wholesalers, retailers, etc. Under the DRS, the deposit is added to the price of the goods by the person who first supplies the drink product in the State (i.e., the manufacturer or the importer), and by any subsequent supplier (e.g., a wholesaler, distributor, retailer). Once the drink has been consumed, if the empty container is returned under the Scheme, then the deposit will be refunded.

Businesses supplying DRS products have no VAT liability relating to the deposit. A VAT liability arises on the deposits relating to containers that are not returned to the DRS. Under VAT law, only the Scheme Operator must account for and pay VAT relating to deposits on unreturned containers. This liability does not affect the consumer or any of the businesses in the supply chain for the product.

- admission to cinemas, theatres, certain musical performances, exhibitions, museums, cultural, artistic or scientific events, amusement park services;
- certain printed matter, including newspapers, brochures, leaflets, catalogues, programs, maps (but excluding books or advertising material);
- membership or admission to commercial sports facilities;
- commercial golf club membership, green fees, driving range fees and incidental equipment hire; and
- hairdressing and beautician services.

The second reduced rate of 9% now applies to the following types of goods and services in Ireland:

- periodicals;
- e-periodicals (excluding those wholly or predominantly devoted to advertising or consisting of audio or video content); and
- the provision by a person of facilities for sporting purposes (other than for a profit making organisation).

There is a further reduced rate of 4.8% that applies to supplies of livestock and a flat rate compensation percentage for farmers of 5.1% (with effect from 1 January 2025).

7. Exemptions

7.1 Exemptions with right to deduction (zero rate)

The zero rate of Irish VAT may be applied to supplies of goods and services including:

- exports and intra-Community supplies of goods;
- imports of goods that are consigned to another EU Member State;
- services relating to vessels and aircraft including the supply, modification, repair, maintenance, chartering and hiring of seagoing vessels, related equipment and supplies for the fuelling and provisioning of certain vessels and aircraft;
- certain intermediary services;
- certain supplies of food and drink;
- certain supplies of printed matter;
- children's clothing and footwear;
- supplies of oral medicine for humans and certain animals, and the supply of certain medical equipment;
- supply of audiobooks and e-books;
- supply and installation of solar panels on school buildings;
- supplies of fertilisers, feeding stuff and certain seeds;
- personal protection equipment (PPE);
- thermometers;
- hand sanitiser; medical ventilators and specialist respiratory equipment such as respirators for intensive and sub-intensive care and other oxygen therapy apparatus including oxygen tents and oxygen in certain specified circumstances.

In relation to the zero rating of goods that are to be exported or dispatched out of Ireland, the supplier should retain proof of transport of the goods out of the State. For intra-Community dispatches, the supplier is obliged to confirm that the customer has a valid VAT number and retain proof that the goods left Ireland.

7.1.1 Warehousing

7.1.1.1 VAT warehouse

Ireland does not currently operate a dedicated VAT warehouse regime.

The supply of alcohol products within an approved excise tax warehouse is disregarded for Irish VAT purposes. The importation or intra-Community acquisition of alcohol goods into an excise tax warehouse is similarly disregarded for VAT purposes.

7.1.1.2 Bonded (customs) warehouse

Ireland operates a customs warehousing regime under which imports into an approved warehouse delays

the import VAT and customs liability until the goods are released out of the warehouse for the EU market. Warehouses can be public, where they are used to store goods on behalf of any accountable person, or private warehouses, which are reserved for use by authorised accountable persons. Within the public/private categories there are six different types of warehouses in Ireland, A to F. There is no limit on the time that goods may be stored in these warehouses.

Goods that are bought and sold within an Irish customs warehouse are subject to VAT.

7.2 Exemptions without right to deduction

Schedule 1 of the VAT Consolidation Act 2010 sets out the activities which are exempt from VAT. Examples of such exempt activities are:

- public postal services;
- certain medical and related services;
- professional dental or optical services;
- the provision by a recognised body (as specifically defined) of children's or young people's education, school or university education, or vocational training or retaining (including the supply of goods and services incidental to that provision, other than the supply of research services);
- catering services supplied to patients of a hospital or nursing home in the hospital or nursing home, or to students at their school;
- the provision of national broadcasting and television services, excluding advertising;
- certain financial and insurance services;
- the provision of services by a funeral undertaking;
- transporting passengers and their accompanying baggage; and
- certain property transactions.

7.3 Options for taxation

An option to tax applies only to the following exempt activities:

- supplies of investment gold (a waiver of exemption can be applied for);
- letting of immovable property (which does not constitute a freehold equivalent interest); and
- sale of exempt immovable property (this must be done by way of a joint option to tax in writing by both parties. It is usually evidenced in the contract for sale). Both parties exercising the joint option to tax are required to be taxable persons and carrying on a business in the State.

8. Liability

8.1 Reverse charge

There are certain instances where the customer of the supply of goods or services is required to account for VAT on the reverse charge basis rather than the supplier charging VAT to the customer.

Under Irish legislation, cross-border services supplied to a person that is engaged in an economic activity (i.e. is a taxable person) will be subject to a reverse charge (unless the exceptions to this general rule apply). If the recipient is not engaged in an economic activity, the service will be supplied where the supplier is established. A clear reference to the application of the reverse charge should be noted on the invoice issued. This reverse charge applies in all EU Member States and follows from Articles 44 and 196 EU VAT Directive. In addition there is also the reverse charge for the supply of natural gas and electricity supplied by non-resident suppliers to "taxable dealers" in Ireland.

For services which are connected with immovable property supplied by non-established suppliers, a reverse charge obligation arises for established taxable persons or public bodies except where the services are (i) a provision of accommodation in a hotel or guesthouse or in an establishment having a similar function, or in a holiday camp or a site developed for use as a camping site, (ii) the supply of telecommunications services,

- food, drink, accommodation (other than for a qualifying conference) or any other personal services for the accountable person, his agents or employees, except to the extent, if any, that such provision constitutes a supply of services in respect of which the accountable person is accountable for VAT;
- expenditure on the acquisition or development of immovable goods for any purpose other than the accountable person's business;
- expenditure incurred by an accountable person on food or drink, or accommodation or other entertainment

In Ireland, input VAT is not deductible on the following items:

9.1 Non-recoverable input VAT

9. Recovery of input VAT

There is also an anti-avoidance provision in Irish law which provides that where VAT has been fraudulently evaded, an accountable person who knowingly or recklessly participated in transactions connected to that fraudulent evasion is jointly and severally liable for the VAT that has not been accounted for. In other words, a recipient of a supply may be jointly and severally liable with the supplier for VAT liabilities where they knew or were reckless as to whether the supplier was engaged in evasion. Where particular goods or services pass through a chain of transactions involving a number of persons, any or all of those persons who knew or were reckless as to whether or not there was fraudulent evasion of VAT in relation to the supply of those goods and/or services, may be assessed by Irish Revenue for the VAT arising on the basis that they are jointly and severally liable for the unpaid VAT.

In the context of VAT groups, each member of an Irish VAT group is jointly and severally liable for the VAT liabilities of the group under Irish VAT law.

8.2 Joint and several liability

The law in relation to these reverse charges, in particular any related to property, are complex and the legislation should be reviewed in detail.

- The application of these reverse charges is mandatory where the conditions are satisfied.
- supplies of construction services and engineering works between connected persons.
- supplies of scrap metal between taxable persons that conduct businesses in Ireland; and an Irish or an overseas subcontractor;
- register for Irish VAT in order to operate the reverse charge on the services received, whether supplied by If the overseas supplier is the principal in receipt of the construction services then it will be obliged to register for Irish VAT.
- Contracts Tax. The subcontractor can be established outside of Ireland for the reverse charge to apply.
- supplies of construction services by a subcontractor to a principal which are within the scope of Relevant
- supplies of greenhouse gas emissions between taxable persons that conduct businesses in Ireland;
- certain supplies of immovable goods to the National Asset Management Agency;

Ireland also has local reverse charges for certain types of supplies including the following:

8.1.2 Reverse charge mechanism - specific domestic rules (Article 199 EU VAT Directive)

Ireland did not implement a reverse charge for the domestic supply of goods by non-resident suppliers, other than for installation supplies. There is a reverse charge for non-resident suppliers that supply goods which require installation provided the customer in Ireland is a taxable person or a public body established in Ireland.

8.1.1 General reverse charge mechanism - non-resident suppliers (Article 194 EU VAT Directive)

radio or television broadcasting services or electronically supplied services, together with the provision of accommodation of the kind specified in (i), where the supply is by the provider of that accommodation acting in his or her own name, and (iii) a supply of services involving the preparation and co-ordination of construction work (including a supply of services of architects and of persons who provide on-site supervision).

months is EUR 400.

The annual minimum limit for claims that are made for a calendar year or the remainder of a calendar year is EUR 50. The interim minimum limit for claims that are made for less than a calendar year but at least 3

or 8 months in cases where Irish Revenue requests additional information. decision on the refund claim within 4 months of receipt of the claim. This period can be extended to 6 months directly via the contact details provided in its application i.e. e-mail or telephone. Irish Revenue must issue a also request additional information before a final decision is made on an application. The applicant is notified in the application as a scanned attachment. These attachments must not exceed 5MB in size. Irish Revenue may in the application. Invoices and importation documents are generally not required but can be forwarded with applicant's ROS inbox. Payment will then be made (by electronic fund transfer) to the bank account provided EU Member State for refund. If an application is successful, a decision message will be forwarded to the that their application has been received by Irish Revenue and that it has been forwarded to the relevant When an application is submitted online, a message is forwarded to the applicant's ROS inbox stating

System) and the relevant section is called EVR (Electronic VAT Refund). who incur VAT in another EU Member State, the claim must be submitted online via ROS (Revenue-On-Line online portal of the tax authority in which the taxable person is established. For Irish accountable persons Since 1 January 2010 VAT refund claims by non-resident taxable persons must be submitted through the

9.4 VAT refund to EU taxable persons

The capital goods scheme in Ireland does not extend to movable property or services.

creating another separate capital good which is referred to as a refurbishment capital good. A previously completed capital good is one which has reached a point of "completion" (per the definition of "completion" in Irish VAT legislation) and further development work has been undertaken, such further work

good. interval. A refurbishment capital good is created when there is development on a previously completed capital of a capital goods owner in the adjustment period applicable to that capital good, which follows the second accounting year during which the second interval begins. Subsequent intervals mean each accounting year on the day following the end of the initial interval for that capital good and ends on the final day of the is a period of 12 months from the date the capital good is completed or acquired. A second interval begins An "interval" means either an initial interval, a second interval or a "subsequent interval". An initial interval

- capital goods - 20 intervals from the date of completion; and
- refurbishment capital goods - 10 intervals from the date of completion of the refurbishment.

The adjustment period for immovable goods that are subject to the capital goods scheme are as follows:

9.3 Capital goods - adjustment periods

claim.

Excess input VAT is refunded by Irish Revenue. The excess input VAT will be refunded following the submission of each VAT return, but the tax authorities may seek to review supporting documentation for any

9.2 Excess input VAT

- services, where such expenditure forms all or part of the cost of providing an advertising service in respect of which tax is due and payable by the accountable person;
- entertainment expenses incurred by the accountable person, their agents or their employees;
- purchase, hiring, intra-Community acquisition or importation of motor vehicles, other than as stock-in-trade, a car hire business or use in a driving school business (although a 20% deduction may be claimed for "qualifying vehicles" where strict conditions are satisfied);
- purchase, intra-Community acquisition or importation of petrol, other than as stock-in-trade; goods purchased by an accountable person which are subject to a VAT margin scheme; and
- contract work involving the handling over of goods when such goods are themselves not deductible.

The minimum period for making a claim is 3 months within a calendar year (or less if it starts after 1 October) and the maximum claim period is one year. The deadline for submitting the claim is 30 September of the year following the calendar year in which the VAT was incurred. This is a strict deadline.

ROS allows for the submission of a maximum of 5 applications to each EU Member State in a calendar year. In the event that the claimant is not successful, where Irish Revenue either refuse the claim in full or in part, the decision by Irish Revenue can be appealed. The time limit for submitting an appeal is within 30 days after the notification.

The same rules which apply to domestic taxable persons as regards the non-deductible items, equally apply to non-established taxable persons reclaiming Irish VAT. The non-deductible items are listed above at 9.1.

For additional information please refer to:
<https://tinyurl.com/yck8yndw>

9.5 VAT refund to non-EU taxable persons

The electronic refund system which applies to EU taxable persons does not apply in the case of non-EU taxable persons. A paper application form must be completed which is called a VAT600EC and is available on the Irish Revenue website (see link below). The rules apply to claimants conducting business outside the EU. Ireland provides reciprocity where the country of the claimant has a similar scheme for refunding to claimants in Ireland. The application must be accompanied by original invoices showing the amount of VAT paid. If the non-EU taxable person wants the original invoices returned to him, a set of photocopies should be included with the application. Invoices should contain the following particulars:

- the supplier's name, address and VAT registration number;
- the name and address of the person to whom the goods or services were supplied;
- the date of issue of the invoice;
- a sequential number which uniquely identifies the invoice;
- a detailed description of the goods and services supplied; and
- the total cost, the rate of VAT and the VAT charged.

The application must be accompanied by a certificate issued by the relevant authority of the country in which the claimant is established stating the economic activity in which the claimant is engaged and providing the following information:

- the name, address and official stamp of the authority which issued same;
- the name and address of the claimant; and
- the claimant's VAT registration number and a statement as to the nature of the business conducted by the claimant.

However, if the claimant has already forwarded such a certificate to Irish Revenue, it is not necessary to produce a new certificate for a period of one year from the date of issue.

The application should refer to purchases of goods or services invoiced, during a period of not less than 3 months or not more than 1 calendar year. However, it may relate to a period of less than 3 months where this period represents the remainder of a calendar year. It may also relate to invoices not covered by previous applications and concerning transactions made during the calendar year in question. Applications must be submitted within 6 months after the end of the calendar year in which the tax became chargeable.

The total amount of VAT claimed must not be less than EUR 400 if the claim is for a period of at least 3 months but not more than a calendar year and not less than EUR 50 if the claim is for a period of less than 3 months, being all that remains of the calendar year.

The same rules which apply to domestic taxable persons as regards the non-deductible items equally apply to foreign taxable persons reclaiming Irish VAT. The non-deductible items are listed above at 9.1.

The relevant form VAT60 OEC can be downloaded at:
<http://www.revenue.ie/en/tax/vat/forms/index.html>

The completed claim should be sent to:

Office of the Revenue Commissioners
 Collector General's Division
 Sarsfield House
 Francis Street
 Limerick
 V94 R972
 Republic of Ireland

10. Administrative obligations

10.1 Invoices

An Irish VAT invoice should include the following in order to constitute a valid VAT invoice:

- name and address of the supplier;
- VAT registration number of the supplier;
- name and address of the person to whom the goods or services were supplied;
- sequential number that uniquely identifies the invoice;
- date of issue of the invoice;
- date of supply of the goods or services (or the date of prepayment/payment on account) if different than the date of the invoice;
- a description of the goods or services supplied;
- quantity or volume of the goods supplied;
- VAT exclusive price;
- VAT rate(s) applicable;
- VAT amount charged at each rate (except reverse charge supplies);
- VAT number of customer in other EU Member State if invoice relates to reverse charge supply of goods or services in relation to which the customer is liable to pay VAT;
- VAT number of supplier and the customer in other EU Member in order to validly zero rate an invoice for intra-Community supply purposes; and
- indication that the invoice relates to an intra-Community supply of goods or reverse charge services (if applicable).

10.1.1 Time limits

Invoices are generally issued at the time of supply of goods, but it is more difficult to identify a tax point for ongoing supplies of services. Notwithstanding this, an invoice must be issued by the latest the 15th day of the month following the month in which a tax point is triggered.

10.1.2 Currency

Invoices are to be issued in the currency of Ireland, which is EUR. But if an invoice is issued in a non-Euro denominated currency, the invoice must contain the corresponding figures in EUR.

10.1.3 Conversion and exchange rate

There are rules to be adhered to for converting foreign currency amounts. The selling rate recorded by the Central Bank of Ireland or the European Central Bank (ECB) at the time the VAT becomes due should be used. It is possible to use other methods but this must be agreed in advance with Irish Revenue.

10.1.4 Simplified invoice

The Irish VAT legislation permits the issue of a simplified invoice, credit note, settlement voucher or debit note provided certain conditions are met, namely, the amount of the invoice is less than EUR 100, or there are certain practices (commercial, technical or administrative) in a particular business sector that make it difficult to comply with the legislative invoicing requirements. A simplified invoice must however include certain items at a minimum:

- the date of issue of the invoice;
- the sequential number of the invoice;
- the name, address and VAT registration number of the supplier;
- the description of the supplies made; and
- the VAT payable or the VAT exclusive consideration for the supply.

10.1.5 Self-billing

Self-billing may be used in Ireland. The conditions to enable self-billing include:

- prior written agreement between the supplier and the customer;
- the customer is VAT registered;
- the details required to be on the invoice are satisfied by the customer;
- agreed procedures are in place for the acceptance by the supplier of the validity of the invoice; and
- the invoice must state that the invoice has been "self-billed".

The invoice is deemed to be issued by the supplier once the invoice is accepted by the supplier in accordance with the agreed procedures.

10.1.6 Storage of invoices

Invoices and other books and records must be kept for a period of 6 years from the date of the latest transaction to which the records, invoices or any other documents relate.

In relation to records for the acquisition or development of immovable goods, a taxable person must retain records for the duration of its interest in the immovable goods plus a further period of 6 years.

For taxable persons that have exercised a waiver of exemption from VAT in respect of short-term lettings, records must be retained for the duration of the waiver plus a further period of 6 years.

The requirement to keep records also applies to the following:

- a record relating to the exercising and terminating of a landlord's option to tax;
- a capital good record;
- a record relating to a joint option to tax;
- a document issued in respect of a VATable surrender or assignment;
- records in relation to a "qualifying conference" for the purposes of claiming an input VAT credit; and
- records in relation to transactions in investment gold.

However, these obligations do not apply if Irish Revenue have notified the person that retention is not required.

Paper invoices must be stored in the original form, i.e. the invoices that have been issued in paper form must be stored in paper form. Electronic invoices can be stored in paper form or in electronic form. Copies of original paper invoices produced by microfilming or other copying processes are not acceptable.

Legislation does not require records to be stored at a particular location or jurisdiction. However, when Irish Revenue wish to inspect records, the taxable person is obliged to make records available for inspection. Irish Revenue personnel may travel abroad to inspect records that are stored overseas, although this would only arise in exceptional circumstances.

- Box T1: VAT on sales = total VAT charged on sales in the period;
- Box T2: VAT on purchases = total deductible VAT incurred.

VAT returns in Ireland require completion of the following information:

The filing deadline is the 19th day of the month following the end of the taxable period, but electronic returns must be filed on ROS by the 23rd day of the month following the end of the taxable period. E.g., an electronic return for the January / February taxable period must be filed by 23 March. Electronic filing of VAT returns is mandatory. Where interest is applied for late payment, it applies from the 19th day, not the 23rd day.

established taxable persons.

The VAT filing and payment deadlines in Ireland are the same for domestic accountable persons and non-

10.2.2 Filing of a VAT return and payment

Revenue-On-Line system (ROS).

Electronic filing of VAT returns is now mandatory for most accountable persons. This is done through the

The same taxable periods apply for domestic and foreign registered taxable persons.

VAT returns may be filed on a 4-monthly basis where the annual VAT liability for the taxable person is less than EUR 3,000 and EUR 14,400. Bi-annual / 6-monthly VAT returns may be filed if VAT payments are less than EUR 3,000 annually.

middle of the year.

Irish Revenue may offer accountable persons the option to file annual VAT returns. If accepted, accountable persons must make a monthly instalment of their annual VAT liability via direct debit. An accountable person must ensure that the amount of the direct debit is sufficient so as not to result in a shortfall of VAT owing at year end. If the shortfall is more than 20% of the overall VAT, then liability interest is payable from the

approval is subject to review by the Office of the Collector General.

Accountable persons in a permanent VAT recoverable position may apply to file monthly VAT returns, but

Taxable periods in Ireland are generally bi-monthly - January / February, March / April, May / June, July / August, September / October, November / December. However, alternative taxable periods may apply.

10.2.1 VAT return period

10.2 VAT compliance

Batch invoicing is also possible, whereby an accountable person issues a batch of invoices electronically to a customer where the invoices record details that are common to all the invoices only once per transmission.

trail must exist between the parties.

Parties to the invoice must be able to verify the authenticity of origin, integrity of content and a reliable audit

message.

- who issues or receives the message or the date of the message or the unique identification number of the message.
- maintain electronic records in a manner that allows their retrieval by reference to the name of the person retained or stored; and
- reproduce in paper or electronic format any electronic record or message required to be produced, are required for VAT purposes, and make them available to Irish Revenue on request;
- produce, retain and store electronic records and messages in such form and containing such particulars as

electronic system used must meet certain specifications. The system must be able to:

Electronic invoicing can only be used where there is prior agreement between the issuer and recipient. The

10.1.7 Electronic invoicing

In addition to the above penalties, the Irish Revenue can impose "tax-gear" penalties where an accountable person has deliberately or carelessly filed incorrect VAT returns. The penalties may be mitigated where different levels of disclosure are made by the accountable person and the level of cooperation received by Irish Revenue. Disclosures may be prompted or unprompted, qualifying or non-qualifying. While penalties may be mitigated, interest is not as it is statutorily imposed. A disclosure is treated as prompted when it is made following receipt of notification of an Irish Revenue audit. A disclosure is unprompted if it is made prior to receipt of an audit or investigation notification.

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

The late payment of VAT will be liable to interest of 0.0274% per day (approx. 10% per annum) that the VAT liability remains unpaid in addition to a potential penalty of EUR 4,000 for failing to file the return on time.

10.3.3 Default penalties for not paying VAT on time to the VAT authorities

The statutory penalty for failure to file a European sales listing (a VIES return) is EUR 4,000 per return.

The statutory penalty for failure to file a VAT return is EUR 4,000 per return.

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

The statutory penalty which applies for failure to register for VAT within the required time period is EUR 4,000.

10.3.1 Default penalties for late registration

10.3 Penalties

The assessment period in Ireland is 4 years from the end of a taxable period.

10.2.5 Tax assessment period

There are no national recapitulative statements in Ireland. However, there is an annual statistical VAT return to be filed which is referred to as the annual Return of Trading Details. This return is filed annually and contains the net purchases and sales broken down by VAT rate.

10.2.4 National recapitulative statement

VIES returns for intra-Community supplies of services are generally filed quarterly, but accountable persons may also file monthly VIES returns, if preferred. Annual returns may also be filed in certain circumstances. VIES must be filed by the 23rd day of the month following the end of the reporting period and must be filed online. Agents may file VIES returns for customers.

In general, VIES returns for supplies of goods should be filed monthly, but accountable persons whose intra-Community supplies of goods do not exceed the threshold of EUR 50,000 in any of the previous 4 quarters may file VIES returns either on a quarterly basis, or annually in certain circumstances.

European sales listings are referred to as VAT Information Exchange System (VIES) returns in Ireland.

10.2.3 European sales listing

- Box T3: VAT payable = excess of VAT on sales over purchases (may be 'nil');
- Box T4: VAT repayable = excess of VAT on purchases over sales (may be 'nil');
- Box E1: Intra-Community supplies of goods = the net total of goods sold to customers in other EU Member States;
- Box E2: Intra-Community acquisitions of goods = the net total of goods purchased from suppliers in other EU Member States;
- Box E3: Intra-Community supply of services = the net total of services supplied to customers in other EU Member States;
- Box E5: Intra-Community acquisition of services = the net total of services received from suppliers in other EU Member States;
- Box PA1: Imports = the net value (plus carriage, freight and insurance) of imports from third countries.

Under these provisions an accountable person can also be liable to penalties of EUR 3,000 where it has acted carelessly or EUR 5,000 where it has acted deliberately in the production, sending or otherwise making use of any incorrect invoices, registration number, credit note, debit note, receipt, account, voucher, bank statement, estimate, book, document or record.

10.4 Intrastat

Intrastat returns are required to be filed on ROS on a monthly basis by accountable persons that exceed the relevant thresholds.

10.4.1 Intrastat threshold

The arrivals threshold is EUR 750,000 per calendar year. The dispatch threshold is EUR 750,000 per calendar year. A more detailed Intrastat return is required where arrivals exceed EUR 5 million per annum or dispatches exceed EUR 35 million per annum.

10.4.2 Intrastat data to be reported

Accountable persons must show the value of goods received from and dispatched to other EU Member States in Boxes E1 and E2 in their VAT return. However, if the above thresholds are exceeded, accountable persons must file detailed monthly Intrastat returns. It is possible that accountable persons are only required to file a detailed Intrastat return for arrivals or dispatches only, not both.

Information generally required:

- EU Member State of origin/destination;
- VAT number of the Intrastat trader and the declarant (if different to the Intrastat trader);
- VAT number of the customer;
- nature of the transaction;
- mode of transport;
- 8-digit commodity code of the goods;
- customs regime code;
- net weight of the goods; and
- invoice value of the goods in EUR.

Returns must be filed by the 23rd working day immediately following the end of the month to which the return relates. A trader may appoint one or more agents to file Intrastat returns. VAT group remitters may submit detailed monthly returns for the VAT group, although prior approval is required.

A trader who is registered for VAT in Ireland and registered in another Member State because of distance sales to that Member State, must include the value of distance sales in the Intrastat Box E1 of the VAT3 return. Where a trader who is registered for VAT in Ireland makes distance sales to other Member States but does not exceed the registration threshold in that Member State, Irish VAT must be accounted for on the supply of goods. The VAT on the distance sales should be input in Box T1 (not in Box E1). A trader, registered in another Member State who is also registered in Ireland because of distance sales to Ireland, should include the value of distance sales in the Intrastat Box E2 of the VAT3 return.

A detailed Guide to VIES and Intrastat in Ireland can be found at <https://tinyurl.com/48pfjxkax>

10.5 Additional Compliance Requirements

There are no additional requirements.

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The European Union (EU) VAT Directive has been implemented in Italy through the DPR 26 October 1972, no. 633 (hereafter referred to as "DPR 633/72" or "the VAT Law"). VAT is referred to in Italy as "imposta sul Valore Aggiunto" or "IVA".

1. Taxable persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

There is no registration threshold for established taxable persons. With respect to legal entities, VAT registration is usually made through the registration of the entity with the Chamber of Commerce. The following information must be provided for VAT registration to be performed directly by the Public Notary:

- a registration form;
- the by-laws; and
- any authorizations required in connection with the business activities.

The same requirements apply to Italian branches of foreign companies.

With respect to individuals, a registration form must be filed electronically, by registered letter or directly with the tax authorities. In case of individuals who also need to be registered at the Chamber of Commerce, the VAT registration must be filed electronically.

Any change to the data reported in the form filed to register for VAT purposes must be communicated within 30 days from the date of the change.

1.2 Registration threshold & SME Scheme for foreign taxable persons

There is no registration threshold for non-established taxable persons. However, Italy introduced an exemption for small and medium sized business per 1 January 2025.

In case of small enterprises established in another EU Member State, the SME scheme can be adopted exclusively by a taxable natural person.

In particular, a taxable natural person established in another Member State of the European Union may apply the relief regime in the territory of the Italian State if the below conditions are met:

- in the preceding calendar year (N-1), the annual turnover achieved in the European Union did not exceed EUR 100,000;
- in the preceding calendar year (N-1), the annual turnover achieved in the territory of the Italian State did not exceed EUR 85,000 (there are no sectoral thresholds in Italy);
- in the current calendar year (N), up to the date of notification, the turnover in the European Union does not exceed EUR 100,000;
- it has submitted the prior notification to its Member State of establishment;
- it is identified, for the purposes of applying the relief arrangements, by the identification number 'EX' exclusively in the Member State of establishment.

If the exemption cannot be applied, non-established taxable persons must apply for the VAT registration when they perform taxable business transactions in Italy (i.e., the application form should be filed no later than 30 days before the starting date of the activity).

Non-established taxable persons may opt for:

- the appointment of a VAT representative, which is mandatory for non-EU taxable persons; or
- the direct identification, which is allowed only for taxable persons established in an EU Member State and

non-EU persons who are established in countries with which the mutual assistance agreement has been signed.

In the case of a VAT representative, a mandate for the appointment of an Italian VAT representative must be granted with a proxy. The date of the appointment must be certified. In order to do so, the signature on the proxy must be legalized either by the Italian Consulate or by a local public notary. If the proxy is signed before a public notary, the notary's signature should be certified by an 'apostille' (according to The Hague Convention) of the local competent authority.

If the proxy is not written in Italian, it must be translated and the translation must be sworn before an Italian Consulate or an Italian Court. The VAT representative will then file the VAT registration form.

New fulfilments and requirements have been introduced for tax representatives and for non-resident entities in the EU and the European Economic Area if they are already registered or intend to register for VIES in order to carry out IC transactions.

Guarantee and requirements for VAT representatives

According to the ministerial decree dated 9 December 2024 published in the *Official Gazette* on 19 December 2024 (implementing the provisions provided for by Legislative Decree 12 February 2024, no. 13), VAT representatives are required:

- to certify to the tax Authority the presence of specific subjective requirements (such as no convictions for financial crimes etc.); and
- to provide a guarantee in favor of tax Authority.

The operational aspects to apply the provisions of the decree shall be provided by a measure not yet issued as at 11 March 2025 (deadline for its issuance is 120 days from 19 December 2024).

Registration for VIES - Guarantee for non-resident entities in the EU and the European Economic Area through VAT representative

The ministerial decree dated 4 December 2024 published in the *Official Gazette* on 13 December 2024 (implementing the provisions provided for by Legislative Decree 12 February 2024, no. 13) provides for the rules regarding the guarantee to be filed by subjects not resident in the EU or in one of the States adhering to the European Economic Area who intend to carry out intra-Community transactions and operate through a tax representative.

The operational aspects to apply the provisions of the decree shall be provided by a measure not yet issued as at 11 March 2025 (deadline for its issuance is 120 days as from 13 December 2024).

In case of direct registration, the following documentation must be provided:

- a registration form;
- an updated certificate issued by the foreign tax authorities stating that the taxable person is registered for VAT purposes;
- if a legal entity, an updated certificate issued by the foreign Chamber of Commerce (or similar competent authority) reporting the data of the entity and those relating to the legal representative(s) duly authorized to sign and act on behalf of the company;
- both certificates must be translated into Italian and signed by the translator;
- a copy of the identity document of the translator;
- a statement signed by the legal representative, whereby the reasons for the request of VAT registration are explained, including a description of any transactions eventually carried out before the VAT registration, as well as the request of inclusion of the VAT registration number in the VIES system, should intra-Community transactions be performed, with an indication of the expected amount of intra-Community transactions. This statement must also be translated into Italian and signed by the translator.

In case of direct registration, the documentation must be filed exclusively with the Centro Operativo di Pescara. The contact details are as follows:

The registration form and instructions can be downloaded at the following website: <https://tinyurl.com/4v4vdbvr>
The time period for the attribution of the VAT registration number is usually between 2 weeks and 1 month, depending on the number of requests received by the Centro Operativo di Pescara at the time of filing the VAT registration form.
If a fiscal representative is appointed, then the competent office is determined by the place of establishment of the fiscal representative.
Any change to the data reported in the form filed to register for VAT purposes must be communicated within 30 days from the date of the change.

1.3 VAT grouping

Art. 11 of the EU VAT Directive 2006/112 has been implemented in Italy.

As an alternative to VAT grouping, the VAT Law provides for the possibility offered to the companies belonging to the same group, to compensate VAT liabilities with VAT credits among the companies included in the VAT group (Italian VAT group settlement).

1.3.1 VAT grouping

VAT group members must be taxable persons established in the territory of the Italian State.

The possibility to join the VAT group is not allowed for:

- seats and fixed establishments located abroad;
- entities subject to voluntary liquidation, seizure by order of the court; and
- entities subject to bankruptcy, arrangement before bankruptcy, compulsory administrative liquidation, extraordinary administration.

In order to join the VAT group, two or more taxable persons established in Italy must be bound to one another by financial, economic and organizational links. The said conditions must occur jointly.
The financial link is determined by the existence, already since the 1st July of the year preceding the one in which the option is carried out, of shared control, defined as more than 50% of the shares of the members being directly or indirectly held by the same person(s).

The economic link is based on the activity carried out and occurs by reason of the same core business, or activities complementary or interdependent or activities carried out for the benefit of one or more of the other members.
The organizational link is represented by the legal coordination according to the civil law or by the coordination between the management.

In principle, if a financial link is present, the other links are presumed to be present unless a tax ruling is filed with the Tax Authority in order to demonstrate that they do not exist.

The option for the VAT grouping is filed electronically by the representative of the VAT group (i.e. the controlling company):

- from 1 January to 30 September with application of the regime starting with the year following the one in which the option is filed; or

A fiscal representative is mandatory for non-EU taxable persons when registering for VAT purposes. A fiscal representative is jointly and severally liable with a client for payment of the VAT and penalties and in general for any obligation arising from the Italian VAT law.

1.4 Fiscal representative

All the companies belonging to an Italian VAT group are fully, jointly and severally liable for the VAT payments. The election must be made by the controlling company through the annual VAT return to be filed in the tax period in which the VAT group settlement applies. The Italian tax authorities approved that an EU company registered for VAT purposes in Italy can be part of a VAT group.

'Pure' holding companies, not being taxable persons, cannot be a member of the VAT group. 'Pure' holding companies are not considered to be taxable persons, unless the purpose of the possession of shareholdings is to perform financial activities, to influence the activity of the controlled companies or to coordinate or intervene in the management of the said companies.

A VAT group is formed by the parent company, although there is no requirement to include all eligible subsidiaries.

The members of a VAT group are not considered a single taxable person. Each member retains its own VAT registration number and carries out all the fulfilments provided for by the law (such as filing its own VAT return, issuance of invoices with respect to intra-group transactions as well as with respect to transactions to non-group members).

In other words, in each period, the amount of VAT due will be the net sum of debits and credits of the companies that are elected to be part of the group. VAT credit carried forward and accrued before joining the VAT group cannot be used.

The 'Italian VAT group settlement' is an option (not a requirement) that *can* be put in place by companies belonging to the same group, if the relevant conditions are met. Specifically, a controlling company and one or more of its controlled subsidiaries (whereby the holding company must hold more than 50% of the voting rights of the subsidiary from 1 July of the taxable year prior to the one in which the grouping takes place) can elect to compute the amount of VAT due by 'consolidating' the monthly VAT amounts of the individual companies.

1.3.2 Italian VAT group settlement

The members of the VAT group are jointly and severally liable for payment of the VAT debts of the group, penalties and interest.

Intra-group transactions are not considered as supplies of goods or services for VAT purposes, while transactions carried out with third parties by the members are deemed to be carried out by the VAT group.

The option is valid for 3 years and automatically renewed unless it is revoked.

New members, originally excluded due to the lack of conformance to the conditions, join the VAT group as from the year following the one in which the conditions are met. In this case, the option must be filed within 90 days from the date in which the conditions came into existence.

Failure to conform by the group or by one or more of its members results in the disbanding of the group.

The option requires that the group and its members conform to the above-mentioned conditions in all 3 of the areas specified.

- from 1 October to 31 December with application of the regime starting with the second year following the one in which the option is filed.

In case of a fiscal representative appointed by a taxable person who is not resident in the EU or in one of the States adhering to the European Economic Area, the inclusion in the VIES archive is subject to the issuance of an appropriate guarantee.

2. Taxable transactions

2.1 Transfer of business

The transfer of a business (or part thereof) is not considered to be a supply of goods subject to VAT.

2.2 Supplies free of charge

The VAT Law provides for both free supplies of goods and destination of goods for private use or for purposes other than business purposes.

- In particular, the following operations are deemed to be supplies of goods:
- the free supplies of goods except those whose production or trade is not within the scope of the enterprise activity if their unit cost is not higher than € 50 and those for which no tax deduction, as provided for by Art. 19, has been effected at the time of purchase or import, even if according to the option provided for by Art. 36-bis; and
 - the use of goods for either private purposes or for other purposes than business purposes by the taxable person. This also applies if this use is the result of cessation of the activity except for those goods for which tax has not been deducted at the time of their purchase.

The VAT Law provides for free supply of services too.

In particular, the free supply of services with a value higher than € 50, even if effected for the private use of the taxable person or free of charge for purposes other than those of his business, is subject to VAT if input VAT was deducted on the goods and services used for this service free of charge.

The above rule does not apply to the supply of food in canteens and transport, teaching, educational and recreational services, sanitary and social assistance in favour of the staff, and advertising in favour of institutional activities of non-profit bodies and for messages spreading, representations, images or public interest communications requested by the State or by Public Bodies.

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

The VAT Law provides that the payment of VAT due on importation of goods released for free circulation in Italy is suspended when the goods are transferred to another EU Member State. In order to qualify for the suspension, the importer must provide to Customs the following:

- VAT identification number;
- VAT identification number of the customer established in another EU Member State; and
- upon request from the Customs, suitable evidence proving the effective delivery of the same goods to another EU Member State.

2.3.2 Postponed accounting on importation

Italy has not implemented an import VAT postponed accounting scheme. The VAT must be paid at the time of importation.

3. Place of supply

3.1 Consignment and call-off stock

Italy has implemented the simplifications provided for call-off stock both for intra-Community acquisitions and intra-Community supplies of goods as from 1 December 2021.

If the relevant conditions are met, no intra-Community acquisition of goods occurs in case of transfer of goods by a VAT registered taxable person from one EU Member State to Italy in order to be therein supplied, at a later stage and after arrival, to another taxable person who is entitled to take ownership of those goods in accordance with an existing agreement between both taxable persons.

3.2 Installation supplies

The supply of goods delivered from another EU Member State to be assembled or installed in the territory of the State by the supplier or on his behalf is considered a local supply of goods. Italian legislation does not provide for a formal definition of the notion of 'supply with installation or assembly'.

In case the customer is a taxable person established in Italy, VAT is due by the latter also in case the non-resident supplier has an Italian VAT number. For the application of the reverse charge mechanism, see also chapter 8.

3.3 Distance sales

The new e-commerce VAT rules in force as from 1 July 2021 have been implemented in Italy.

The distance selling threshold for sales to private consumers is equal to EUR 10,000.

Distance sales of goods as well as electronically supplied services, telecommunication and broadcasting services have to be included in the said threshold.

Once the threshold is exceeded the supplier may either register directly in Italy or in his country of establishment via OSS to account for Italian VAT for their distance sales to Italy.

A threshold of EUR 150 per consignment is provided for the application of the special scheme regarding distance sales of imported goods.

3.4 Simplified triangulation rules

The simplified EU triangulation rules implemented under Italian VAT legislation comply with the EU VAT Directive.

Taxable persons A, B and C in the ABC transaction must be registered for VAT in different EU countries (i.e. in Countries 1, 2 and 3). The goods must be transported directly from A in Country 1 to C in Country 3.

The simplified triangulation rules can be applied if (among other conditions):

- Italy is the country of arrival of the goods;
- the middleman (B) is not established in Italy; and
- the middleman (B) issues an invoice without VAT but referring to a simplified triangulation and the VAT liability of the last acquirer (C).

Where Italy is the EU Member State of arrival of the goods, the wording of the Italian legislation does not preclude the application of the triangulation rules if the middleman (B) is VAT registered in Italy or in the country of dispatch. In principle, the simplification is only applicable to transactions where 3 parties are involved.

3.5 Acquisition threshold

The threshold for the acquisition of goods by non-taxable legal persons, taxable persons engaged in exempt activities and flat-rate farmers from suppliers established in another EU Member State is EUR 10,000.

3.6 Effective use and enjoyment

The effective use and enjoyment rules of Article 59a EU VAT Directive, have been implemented under the Italian VAT Law with respect to the hiring of a means of transport.

In particular, in case of short-term hiring, the place of supply will be Italy if the means of transport is put at the disposal of:

- a customer in Italy and the means of transport is used within the EU; or
- a customer outside the EU and the means of transport is used in Italy.

The above rule is applicable in the case of any customer (both taxable and non-taxable persons).

In the case of long-term rental of means of transport, the place of supply is Italy for B2C long-term rental of means of transport other than pleasure boats when rendered to:

- customers who reside in Italy and use the means of transport in the EU; or
- customers who reside outside the EU and use the means of transport in Italy.

In case of long-term rental of pleasure boats, the place of supply is Italy for B2C long-term rental of pleasure boats when the boat is put at the disposal of:

- a customer in Italy where the service is actually provided by a supplier established in Italy and the boat is used in the EU;
- a customer in a non-EU country by a non-EU supplier established in the same non-EU country and the boat is used in Italy;
- a customer who is an Italian resident in a country other than the country where the supplier is established, and the boat is used in the EU; or
- a non-EU customer in a country other than the country where the supplier is established, and the boat is used in Italy.

Use and enjoyment rules are also applicable to B2C telecommunications and broadcasting services. Telecommunications and broadcasting services provided to an Italian customer are subject to Italian VAT if the service is used and enjoyed in the EU.

4. Chargeable event & chargeability of VAT

4.1 Principles

Supplies of immovable properties shall be deemed to be effected at the date on which the agreement concerning the transfer is signed.

Supplies of goods shall be deemed to be effected at the time of delivery or forwarding.

Supplies of services shall be deemed to be effected when payment is received wholly or in part in respect of the amount paid.

In case of Article 44 services, the services are deemed to be carried out when the services are completed. In case the same services are supplied continuously, they are deemed to be carried out at the date of accrual of the consideration.

If before the above events take place, the payment is made wholly or in part, the transaction shall be deemed to have been carried out at the date of payment, but only in respect of the amount paid. The same services, which are supplied continuously over a period of more than 1 year and which do not give rise to statements of

- bankruptcy (so-called 'fallimento');
- compulsory administrative liquidation (so-called 'liquidazione coatta amministrativa');

The *bankruptcy* proceedings that are considered relevant in order to recover VAT are the following:

- Register of Enterprises;
 - the date in which the recovery plans referred to in Art. 67 of R.D. no. 267 of 142 is published in the 142; or
 - the date of the decree approving the restructuring agreement referred to in Art. 182-bis of R.D. no. 267 of 142;
 - the date in which the purchaser is subject to one of the *bankruptcy* proceedings; or
- Under the relevant rules, the VAT (relating to unpaid receivables) can be recovered as from:
- invoices, some of which are unpaid, (whether totally or partially) if specific conditions are met.
- According to the VAT Law, the supplier of goods or services is allowed to recover the output VAT on sales

5.1 Bad debt relief

5. Taxable amount

The option to use the cash accounting scheme must be communicated to the tax authorities in the annual VAT return for the tax period in which the scheme has first been applied. The option for the cash accounting scheme is then compulsory for at least 3 years unless the threshold of EUR 2,000,000 is exceeded.

- supplies to private consumers;
 - transactions subject to another special regime (such as the margin scheme);
 - transactions subject to the reverse charge;
 - intra-Community transactions, exports and other zero-rated transactions; and
 - imports and the release of goods from a VAT warehouse.
- According to the cash accounting scheme, output VAT becomes due when the taxable person (the supplier of goods or services) receives payment for his supply of goods or services (in any case, after 1 year from the year the transaction is deemed to be carried out). On the other hand, VAT deduction is postponed until the VAT on the goods or services supplied to the taxable person has been paid to its supplier. The cash accounting scheme is not applicable to:
- supplies to private consumers;
 - transactions subject to another special regime (such as the margin scheme);
 - transactions subject to the reverse charge;
 - intra-Community transactions, exports and other zero-rated transactions; and
 - imports and the release of goods from a VAT warehouse.
- The cash accounting scheme is applicable to taxable persons with a VAT turnover in the previous year lower than EUR 2,000,000 with respect to supplies of goods and services to taxable persons acting as such.

4.4 Cash accounting

Continuous supplies (e.g. supplies of electricity for a certain period of time) of goods shall be deemed to be effected at the date of payment.

4.3 Continuous supplies

Regarding the services, if the invoice is issued before the payment is carried out, the transaction shall be deemed to have been carried out at the date of issuance of the invoice.

If before the delivery of goods takes place, an invoice is issued or payment is made wholly or in part, the transaction shall be deemed to have been carried out at the date of issuance of the invoice or of payment, but only in respect of the amount invoiced or paid.

4.2 Advance payments

account or payments during that period, shall be regarded as being completed on expiry of each calendar year until such time as the supply of services comes to an end.

- adjustment of creditors' claims (so-called 'concordato fallimentare');
 - arrangement before bankruptcy (so-called 'concordato preventivo'); and
 - bankruptcy in the course of the arrangement (so-called 'fallimento nel corso del concordato preventivo').
- In presence of proceedings for *insolvency*, a receivable shall be considered as definitively unpaid in the following cases:
- in case of garnishment, when the minutes drawn up by the bailiff states the lack of goods or credits to be attached;
 - in case of attachment on movable goods, when the minutes drawn up by the bailiff states the lack of goods to be attached or the impossibility of access to the domicile or impossibility of finding; and
 - in case the auction for the sale of the foreclosed property has failed three times, it is decided to interrupt the proceedings being too onerous.
- When the above conditions occur, the credit note can be issued within the deadline for filing the Annual VAT return relating to the year in which the condition occurred. The relating VAT can be deducted within the deadline to file the annual VAT return relating to the year in which the credit note has been issued.
- For example, if the judgment declaring the debtor's bankruptcy is dated 10 March 2025, the supplier can proceed as follows: the credit note is issued during 2025 and VAT can be deducted at the latest in the annual VAT return to be filed for 2025 (i.e. within 30 April 2026, deadline for filing the VAT return);
 - the credit note is issued during the first four months of 2026 (i.e. within 30 April 2026, deadline for filing the VAT return relating to 2025) and VAT can be deducted during 2026 or at the latest in the annual VAT return to be filed for 2026 (i.e. within 30 April 2027, deadline for filing the VAT return).

5.2 Cash discounts Assume that the supplier sends the following invoice:

Supply of goods	EUR 1,000
22% VAT	EUR 220
Total to be paid	EUR 1,220

According to the conditions agreed between parties, if payment is received within the next month, a 5% discount is applied.

The Italian law provides that the issuance of a credit invoice relevant for VAT purposes and the consequent reduction of the taxable base represents an option of the supplier. In this example, if the condition agreed by the parties is met (i.e. the payment is received within the next month), the supplier *can* reduce the taxable base of the original supply by issuing a credit invoice (so-called '*nota di credito*') of EUR 50 plus VAT.

5.3 Open Market Value

The open market value applies to the following:

- exchanges of goods and services;
- transactions between related parties if certain circumstances occur;
- in the case of a separation of activities; and
- putting company cars and mobile phones at the disposal of employees in case the consideration agreed is lower than the open market value under certain circumstances.

In case of supplies of goods by way of a discount or a premium, the open market value must be indicated in the invoice.

5.4 Returnable packaging

Packaging and recipients for which the return is expressly provided for, are not included in the taxable amount.

In any case, their amount must be separately reported in the invoice.

Packaging for which there is only the possibility of return but not an obligation, as well as packaging that is not returned within the agreed time limit, shall be subject to VAT.

6. VAT rates and exemptions

6.1 Standard rate

The standard VAT rate is 22%.

6.2 Reduced rate

The reduced VAT rate is 10% and applies to, among others:

- supplies of certain food and non-alcoholic drinks;
- catering;
- hotel accommodation;
- supplies of pharmaceutical products for human or veterinary medicine;
- supplies of gas and electricity for domestic use;
- some oil products;
- theatre and cinema products;
- certain substantial repair work on real estate; and
- letting of residential real estate carried out by building and renovation firms.

6.3 Super-reduced rates

The super-reduced VAT rate is 4% and primarily relates to the supply of basic foodstuff, books and other printed material and sales of new property under certain circumstances.

The reduced rate of 5% applies to educational and social and health services rendered by social co-operatives and consortia thereof to certain categories and supply of some anti-Covid goods.

7. Exemptions

7.1 Exemption with the right to deduction

The VAT Law provides for 2 different types of exempt transactions: those giving the right to recover input VAT and those limiting the right of deduction.

The first type of transaction is related to the international traffic of goods and can be summarized as follows:

- (direct, indirect or triangular) exports;
- transport of passengers carried out partly in Italy and partly outside Italy;
- transportation services relating to the export of goods;
- hiring of transport means for the purposes of the above transportation services;
- services carried out in airports and harbours;
- supply, repair, maintenance, chartering and hiring of certain seagoing vessels and aircraft;
- supply of fuelling and provisioning to the same vessels and aircraft;
- supply of intermediary services relating to goods to be imported/exported or in transit; and
- intra-Community supplies (direct or triangular transactions).

7.1.1 Intra-Community supplies

Regarding the proof of intra-Community transport, as of 2020 the rules provided for by Art. 45a of the EU Regulation 282/2011 as implemented by the EU Regulation 2018/1912 of 4 December 2018, apply.

Additionally, the operation shall be VAT exempt under the conditions that the purchaser is included in the VIES archive and the supply is correctly reported in the Intrastat form.

According to the clarifications issued by the Italian Tax Authority the indications provided by the Italian Tax Authority for proof of transport are still valid.

According to the Italian Tax Authorities, the following documentation needs to be maintained in order to apply the VAT exemption in case of Ex Works (EXW) suppliers:

- the invoice issued to the EU customer registered for VAT purposes (in a EU Member State other than Italy);
- the documentation concerning the agreements between the parties;
- the Intrastat forms reporting the invoice;
- the transport document (such as CMR) signed by the carrier and the recipient of the goods and statement from the purchaser whereby the latter states that goods have been delivered; and
- proof of payment.

With respect to Ex Works (EXW) suppliers, the tax authorities have clarified that if the transport document is missing (or it does not report the signature of the recipient), the proof of the transport can be provided by any other document suitable for proving the transport of the goods to another EU Member State.

The combination of documents made available must provide clear evidence of the transportation of the goods to another EU Member State.

An invoice needs to be issued in the case of an intra-Community transfer of own goods.

7.1.2 Export supplies

In order to apply the VAT exemption to exports, it is necessary to furnish proof of exportation. Said proof must be furnished for the following cases:

- direct exports by means of the third copy of the SAD or the invoice (or a transport document) endorsed by the customs authorities where the goods leave the EU;
- triangular exports (which is a peculiarity provided by the Italian VAT Law) by means of the third copy of the SAD, endorsed by the Customs authorities where the goods leave the EU, for the Italian customer and by means of the invoice issued by the Italian supplier endorsed by the Customs authorities for the first Italian supplier; and
- indirect exports (it means when the non-Italian resident customer is in charge of transporting the goods from Italy to the NON-EU country of destination) by means of the invoice endorsed by the Customs authorities where the goods leave the EU (since the SAD will be kept by the non-resident customer).

Furthermore, regarding the implementation of the Export Control System (ECS) in the EU, introduced by EU Regulation no. 1875/2006, as of 1 July 2007, the proof of exportation is represented by an electronic message. In particular, the proof of direct exportation is represented by the "confirmation of exit" message resulting from the customs authorities' website, to be checked by means of a Movement Reference Number (MRN).

In addition, the company must also keep in its files all the other documentation providing evidence of the exit from the EU, such as:

- the transport document signed by the recipient of the goods or a transport document with the evidence of delivery to the destination issued by the legal representative of the carrier; and
- proof of payment.

Other exempt transactions include supplies of goods and services to the diplomatic seats, to the Military headquarters of an EU Member State or to the Italian Ministry of Defence in execution of a NATO program, to the EU Commission or to the United Nations.

7.1.3 Warehousing

7.1.3.1 VAT warehouse

Subject to certain conditions, both national and EU goods can be stored in a VAT warehouse.

As long as they are stored in a VAT warehouse, goods cannot be sold to private persons, since the withdrawal from a VAT warehouse may be performed exclusively by taxable persons.

Apart from the above rule, and also on the basis of clarifications provided for by the Customs authorities, the following goods are not allowed to be admitted for storage under a VAT warehousing arrangement:

- non-EU goods (i.e., goods not put into free circulation within the EU);
- temporarily imported goods;
- goods stored in temporary custody warehouses before receiving a Customs destination; and
- compensating products obtained from equivalent goods to be exported from the EU before importation of the import goods through advance export.

It is possible to place non-EU goods in a VAT warehouse, but only when the importer provides the Customs authorities with a warranty for the amount of the import VAT. The warranty is released when the goods are removed from the warehouse and the relating VAT, if applicable, is correctly accounted for by the releasing entity.

Until the adoption of the definitive procedure, Customs authorities have clarified that in order to release the warranty, the following documentation must be filed with them:

- a copy of the self-invoice or copy of the invoice (in case of export or intra-Community supply) integrated with the references of the registration in the VAT ledgers. As an alternative to the integration, copy of the VAT ledgers can be shown; and
- a statement according to DPR no. 445/2000, reporting the declaration of conformity of the copies to the original as well as the registration in the VAT ledgers. A copy of an identity document of the legal representative is also necessary.

The warranty is not required from:

- authorized economic operators; and
- taxable persons that are known to the Customs authorities to be solvent.

The status of solvency must be ascertained by the Customs authorities after checking the following documentation to be filed with them:

- application to be exempted from the provision of the warranty;
- historical certificate issued by the Chamber of Commerce, which indicated that the taxable person has been registered at the Chamber of Commerce for (at least) 1 year;
- certificate issued by the Italian Tax Authority indicating the lack of tax debts; and
- statement according to DPR no. 445/2000 indicating the amount of the imports carried out during the last 12 months. The mentioned imports must not have been carried out irregularly and, therefore, must not have been subject to penalties.

In case of a positive check, the authorization is valid for 1 year and for an amount equal to the VAT corresponding to the imports carried out during the previous year, including the imports made during the previous year through the VAT warehouse.

The VAT warehousing regime also applies in the case of services carried out in places close to the VAT warehouse, including processing and handling transactions (that must not be longer than 60 days) carried out on goods delivered to the VAT warehouse keeper. It is not required that the goods are unloaded from the means of transport.

Considering that the function of a VAT warehouse is the storage and custody of goods (although no minimum storage period is established and no unloading from transport means is required), an 'accounting' storage is not permitted.

As of 1 April 2017, all supplies of goods introduced into the VAT warehouse shall be possible without VAT payment independently of the nature of the goods and of the 'status' (Italian, EU or non-EU) of the parties to the transactions.

Additionally as of the date of 1 April 2017, the release of goods (goods imported as well as domestic supplies of goods placed in the VAT warehouse) from a VAT warehouse which are to be used or supplied in the territory of the Italian state can only be carried out by VAT taxable persons and implies the payment of VAT by this VAT taxable person who releases the goods.

consignee.

VAT can be suspended for supplies of specific goods under excise duty suspension (gasoline or diesel fuel intended for use as motor) carried out in the fiscal warehouse or the transfer of the said goods from a fiscal warehouse to another fiscal warehouse or between a fiscal warehouse and the warehouse of a registered

7.1.3.2 Excise warehouse

The payment must be carried out through the F24 Form before the 16th of the month following the one in which the extraction has been effected. The VAT due cannot be offset against other credits.

In case of extraction of goods previously introduced through a domestic supply in order to be used or supplied in the territory of the Italian state, VAT is due by the taxable person extracting the goods and is paid, on his behalf, by the warehouse keeper, jointly responsible with the taxable person extracting the goods.

If the 'solvency conditions' are not met, VAT is due through the reverse charge mechanism and a specific warranty (the same one as is used for VAT refund purposes) must be filed. The amount to be guaranteed is equal to the VAT and the warranty is effective for 6 months as from the date of extraction. A copy of the warranty must be filed with the Tax Authority when the goods are extracted.

Compulsory warranty

In the above cases, VAT is due by the VAT taxable person extracting the goods on the basis of the reverse charge mechanism.

- the VAT taxable person extracting the goods from the VAT warehouse is: (i) an authorized economic operator; or (ii) a company that is known as solvent by the Custom authorities.
- the VAT taxable person extracting the goods from the VAT warehouse are the same; and
- the importer (who placed the goods into the VAT warehouse) and the VAT taxable person extracting the goods from the VAT warehouse are deemed to exist if 1 of the following conditions are met:

Cases of exclusion:

The presence of the above conditions is stated through a specific form (approved by the Italian Tax Authority) to be filled in by the taxable person extracting the goods and to be filed with the VAT warehouse keeper when the first extraction is carried out; the statement is valid for one year. The warehouse keeper must file the form with the Tax Authority.

- lack of formal knowledge regarding the starting of criminal proceedings or imposition of criminal fines
- current tax period or in the 3 tax periods preceding the extraction of goods; and
- the issuance and use of invoices for non-existent transactions. The said notices must be notified in the lack of definitive notices of assessment - for which the payment has not been carried out - regarding extraction of goods;
- VAT payments carried out (if due) arising from the latest 3 annual VAT returns filed at the moment of filing of the annual VAT return during the 3 tax periods preceding the extraction of the goods;
- conditions):

VAT taxable persons are exempted from the warranty if the following conditions are met ('solvency

- Compulsory Warranty.
- Cases of exclusion from the warranty; and
- VAT taxable persons exempted from the warranty;

and the following implementing measures of:

formalities are defined through the decree of the Minister of Economy and Finance dated 23 February 2017 of the goods. See above explanation). The cases in which this warranty is due, the content of it and the principle, upon filing of a warranty (which is different than the one filed at the moment of the introduction VAT warehouse, VAT is still due by the VAT taxable person through the reverse charge mechanism but, in case of extraction of goods previously imported and put into free circulation through introduction in the

- The supplier can opt for the application of VAT with reference to the following exempt operations:
 - sale of residential real estate carried out by the building company (or the one that carried out the renovation of the building) after 5 years from the completion of the building/renovation provided that the option for taxation is expressed by the supplier in the deed of transfer;
 - sale of social housing provided that the option for taxation is expressed by the supplier in the deed of transfer;
 - sale of instrumental buildings carried out by the building company (or the one that carried out the renovation of the building) after 5 years from the completion of the building/renovation provided that the option for taxation is expressed by the supplier in the deed of transfer;
 - sale of instrumental buildings where the supplier is not the building company (or the one that carried out the renovation of the building) after 5 years from the completion of the building/renovation provided that the option for taxation is expressed by the supplier in the deed of transfer;

7.3 Option for taxation

- Other exemptions concern:
 - financial-insurance activities;
 - credit transactions and related services, including the granting of warranties and similar transactions;
 - management of investment funds;
 - activities relating to foreign exchange and transactions in foreign currencies;
 - insurance and reinsurance activities;
 - transactions relating to shares, bonds and other securities not representing merchandise;
 - activities relating to authorized betting and lotteries; and
 - intermediary services relating to transactions referred to above.

7.2.2 Other exemptions

- Exemptions without the right of deduction are mainly provided for the following supplies (the list is not exhaustive but covers the main supplies):
 - postal services;
 - services supplied by hospitals, clinics and authorised health institutions;
 - ambulance services;
 - services supplied by orphanages, asylums, rest homes etc.;
 - social welfare and assistance to employees;
 - education if certain conditions are met;
 - supply of human organs, blood and human milk;
 - services supplied by libraries, museums, galleries etc; and
 - free supplies of certain assets to non-profit organisations if certain conditions are met.

7.2.1 Exemptions in the public interest

7.2 Exemptions without the right to deduction

In addition, it is possible to place the goods into VAT-free zones in Italy. The goods placed into a free zone may be transformed, processed, etc, or stored in warehouses, without payment of VAT or customs duties. When goods are released from a customs warehouse and placed into free circulation in Italy, import VAT must be immediately paid to the Customs authorities.

If goods transported from a third country are directly placed under a bonded warehouse regime, customs duties and VAT are not due. The supply of the said goods in the bonded warehouse is out of scope. However, an invoice must be issued reporting that the amount is not subject to VAT. The said fulfilment must be carried out by non-resident taxable persons too according to the clarifications issued by the tax authority.

7.1.3.3 Bonded warehouse

Goods may be stored in a bonded warehouse in Italy.

Specific rules regarding the payment of the VAT for the said goods apply in relation to the release for consumption from a fiscal warehouse or extraction from a registered consignee's warehouse.

- the renovation of the building) provided that the option for taxation is expressed by the supplier in the deed of transfer;
- renting of residential real estate if the lessor is the building company (or the one that carried out the renovation of the building) provided that the option for taxation is expressed by the lessor in the agreement;
- renting of instrumental buildings provided that the option for taxation is expressed by the lessor in the rental agreement; and
- sale of investment gold and relating intermediation services in case the option for taxation is expressed in the annual VAT return. The option can be expressed by entities producing, transforming and trading in investment gold per single supply or for all the operations but, in the latter case, it applies for at least three years. The option can be exercised only for supplies to taxable persons and the VAT is due by the latter through the reverse charge mechanism.

8. Liability

8.1 Reverse charges

Several reverse charge rules are provided for by the VAT Law.

In Italy there are several obligatory reverse charge rules besides the reverse charge for general B2B services provided by non-resident suppliers to taxable persons and legal entities with an Italian VAT ID number established in Italy.

8.1.1 General reverse charge mechanism – non-resident suppliers (Article 194 EU VAT Directive)

A general reverse charge rule applies on any supply of goods or services taxable in Italy when it is made by a non-established person to a taxable person or a non-taxable legal entity resident or established in Italy. The reverse charge rule also applies when the non-established supplier is registered for VAT purposes in Italy for having appointed a VAT representative or directly registered.

The reverse charge rule does not apply when the customer is a non-resident company. This means when both the supplier and the customer are non-Italian established operators, the standard rule applies and VAT is due by the supplier.

A reference must be made on the invoice to the application of the reverse charge as follows: "VAT due by the recipient under Article 17, Paragraph 2 of the DPR 633/72". A non-resident supplier does not have to report the invoices subject to the general reverse charge rule on the VAT return, even if the supplier is registered for VAT purposes in Italy.

According to the tax authorities, in case of purchases from EU established suppliers, also those with a VAT registration number in Italy, the invoice must be issued under the VAT registration number of the country of establishment of the EU supplier.

8.1.2 Reverse charge mechanism – specific domestic rules (Article 199 EU VAT Directive)

Domestic reverse charge rules apply to the following supplies and/or services:

- supply of investment gold and non-investment gold in case of option to apply VAT;
- services relating to the constitution of immovable property (as per the ATFCO classification) supplied by subcontractors to the main contractor or to other subcontractors (but not to services supplied by the contractor to the principal);
- supply of an immovable property with an option for taxation expressed by the supplier in the deed of transfer;
- the provision of cleaning services, of demolition, plant installation and completion services relating to buildings;
- supply of mobile phones and components of computers (valid until 31 December 2026);
- supply of video games consoles, tablets pc, and laptops (valid until 31 December 2026);
- supply of scrap, waste and scrap of ferrous metals and articles thereof, waste paper, rags and scrap of

- Input VAT incurred on certain goods and services is not recoverable (even when the purchase is made for business purposes) unless the taxable person carries out a business activity relating to the items listed below:
 - business gifts;
 - input VAT incurred when purchasing gifts is, in principle, not deductible unless their purchase cost is lower than EUR 50;
 - entertainment expenses;
 - VAT incurred on entertainment expenses, other than business gifts is, in principle, recoverable only when these expenses are also eligible for deduction for corporate tax purposes (i.e., when the above expenses are deemed to have an advertising character);
 - mobile phones;
 - VAT on the purchase, importation, hire or lease of mobile phones, and related management charges, may be recovered if the purchase is carried out in the ordinary course of business and to the extent of their use for this purpose. However, tax authorities may check the business purpose in the case of a deduction higher than 50%;
 - costs relating to cars (including fuel);
 - only 40% of the input VAT incurred on the purchase, financial leasing, hire, and similar activities of cars may be recovered. The same limit applies to input VAT on maintenance, repair services and fuel. Input VAT on trucks and vans is always recoverable if they are used in the ordinary course of business;
- 9.1 Non-recoverable input VAT

9. Recovery of input VAT

Also in case of fiscal representation, the representative is jointly and severally liable with the non-resident. Italian law provides for joint and several liability for VAT grouping and Italian VAT group settlement as above indicated.

8.2 Joint and several liability

A supplier must issue an invoice with a reference to the applicable reverse charge law provision.

- supply of services carried out through work contracts, subcontracting, entrusting to consortium entities or negotiated relationships however denominated characterized by the prevalent use of labor at the customer's places of business with the use of instrumental goods owned by the customer or traceable to the customer in any form, rendered to companies engaged in the business of transport and handling of goods and provision of logistics services. The effectiveness of the new rules is subject to the authorization from the European Union. Until the European Union authorizes the rule, as from 1 January 2025 the supplier and the customer may opt for the VAT payment to be made by the customer in the name and on behalf of the supplier (who remains jointly and severally liable for the VAT due).
 - transfer of allowances to emit greenhouse gases (valid until 31 December 2026);
 - transfer of other units that may be used by operators to comply with Directive 2003/87/EC and the transfer of certificates relating to gas and electricity (valid until 31 December 2026);
 - services rendered in the consortium, in particular services rendered to the consortium by enterprises which are members of the consortium, being the latter contractor with a public body to be invoiced according to the split – payment rules. The said reverse charge shall be applicable in case of positive authorization from the European Union; and
 - supply of services carried out through work contracts, subcontracting, entrusting to consortium entities or negotiated relationships however denominated characterized by the prevalent use of labor at the customer's places of business with the use of instrumental goods owned by the customer or traceable to the customer in any form, rendered to companies engaged in the business of transport and handling of goods and provision of logistics services. The effectiveness of the new rules is subject to the authorization from the European Union. Until the European Union authorizes the rule, as from 1 January 2025 the supplier and the customer may opt for the VAT payment to be made by the customer in the name and on behalf of the supplier (who remains jointly and severally liable for the VAT due).
- of use subsequent to the first one, including those relating to the aforesaid goods that have been cleaned, sorted, cut, compacted, ingot moulded or subjected to other treatments to facilitate their use, transport and storage without changing their nature;
- supply of natural gas (through any natural gas system situated within the territory of the EU Community or any network connected to such system), electricity, and heating or cooling energy (through heating and cooling networks) to "taxable dealers" (valid until 31 December 2026);
- transfer of allowances to emit greenhouse gases (valid until 31 December 2026);
- transfer of other units that may be used by operators to comply with Directive 2003/87/EC and the transfer of certificates relating to gas and electricity (valid until 31 December 2026);
- services rendered in the consortium, in particular services rendered to the consortium by enterprises which are members of the consortium, being the latter contractor with a public body to be invoiced according to the split – payment rules. The said reverse charge shall be applicable in case of positive authorization from the European Union; and

Regarding the second option, it is also necessary to file a statement (which must be attached to the annual/quarterly refund form) whereby the following must be stated:

- the net equity has not decreased – compared to the accounting results of the latest tax period – more than 40%;
- the amount of real estate has not decreased – compared to the accounting results of the latest tax period – more than 40% for sales not made in the normal course of the activity carried out;

of the accounting audit.

- 'endorsement of conformity' or '*visto di conformità*' in Italian) or with the signature of the body in charge to file the VAT return or the request for a refund with a certification from specific professionals (so called to file a warranty (i.e. bank or insurance guarantee); or

In case of a refund up to the amount of EUR 30,000, no warranty is due. For a refund exceeding EUR 30,000, alternatively (with the exclusions reported below), it is possible:

respected, interest accrues start from the 60th day following the date of the request.

The refund up to the amount of EUR 2,000,000 (on an yearly basis) is known as a refund through the 'fiscal account', and the taxable person's bank account must be credited by the tax collector with the amount of VAT credit claimed within 60 days from the date on which the refund request is filed. If this deadline is not

The annual VAT refund claim is included in the annual return to be filed each year from 1 February up to the deadline for filing the VAT return, i.e., 30 April of the year following the relevant one.

years.

- in any case, the refund claim can be submitted for an amount equal to the lower VAT credit of the last 3
- non-resident taxable persons (either directly registered for VAT or with a VAT representative); and
- rules;
- when the taxpayer carries out, for the most part, transactions not subject to VAT because of territoriality and services purchased for R&D purposes;
- up to the amount of input VAT incurred on the purchases and imports of depreciable goods and of goods carried out in the tax year;
- credit (i.e. exports and intra-EU supplies) must be more than 25% of the overall amount of transactions exempt transactions with credit: in order to apply this condition, the amount of exempt transactions with Purchases (and or imports) and sales of depreciable assets are excluded from the computation;
- the average rate on purchases and imports must exceed the average rate on supplies, increased by 10%.
- the average output VAT rate is lower than the average input VAT rate; in order to apply this condition, the average output VAT rate is lower than the average input VAT rate; in order to apply this condition, discontinuation of the activity;
- conditions is met;

forward to the next period or refunded, provided that the amount exceeds EUR 2,582 and 1 of the following

For VAT-registered persons, recoverable input VAT exceeding VAT on supplies can either be carried

Annual claims

Excess input VAT is recoverable and refunded by the VAT authorities in specific circumstances. In particular, the VAT Law provides for annual and quarterly claims.

9.2 Excess input VAT

- VAT on the transportation of persons.
- such properties; and
- by taxable persons whose exclusive or main business activity is the resale, building and leasing of
- input VAT incurred on the purchase, maintenance or repair of residential dwellings is recoverable only
- residential dwellings;
- goods is the purpose of the business, e.g. the VAT person carries out a transport or leasing business;
- purchase of fuel and maintenance or repair services is not recoverable unless the use/purchase of these
- input VAT incurred on the purchase, hire or leasing of aircraft and leisure yachts as well as on the
- costs relating to aircraft and leisure yachts;

- But this may only be done if at least 1 of the following conditions is satisfied:
 - average rate: the average output VAT rate is lower than the average input VAT rate; the average rate on purchases and imports exceeds the average rate on supplies; increased by 10%; purchases (and or imports) and sales of depreciable assets are excluded from the computation;
 - exempt transactions with credit must be more than 25% of the overall amount of transactions carried out in the tax year;
 - in case of purchases and imports of depreciable goods, the refund can be claimed only if the mentioned purchases and imports of depreciable goods exceed 2/3 of the total taxable amount of purchases and imports carried out in the quarter;
 - claimant is a non-resident taxable person (either directly registered for VAT or registered with a VAT representative); or
 - the taxable person carries out, for the most part, transactions not subject to VAT due to territoriality rules.

Quarterly claims

Quarterly VAT credit refund claims can be filed by electronic means for the first 3 quarters of the year:

- by 30 April for the first quarter;
- by 31 July for the second quarter; and
- by 31 October for the third quarter.

In this case, according to the rules currently in force, the refund should be granted no later than 90 days starting from the date of the request being filed by the taxable person. Interest accrues starting from the 90th day following the date the request is filed. The same conditions (guarantee or certification), as described above for a refund through the fiscal account, are required in this case.

For any amount exceeding EUR 2,000,000, the VAT credit refund must be claimed with the competent office of the tax authorities 'Agenzia delle Entrate' by filing the so called 'ordinary procedure'.

- until the expiration deadline of the statute of limitations, if this period is shorter than 3 years.
 - for a period of 3 years after the date of payment of the VAT refund; or
 - calculated:
- The warranty is to be filed by a bank or an insurance company. Please note that the amount to be guaranteed is equal to the VAT amount claimed for refund plus interest. The interest amount to be guaranteed is calculated:
- 10% of the amounts declared if they do not exceed EUR 150,000;
 - 5% of the amounts declared if they exceed EUR 150,000 but less than EUR 1,500,000;
 - 1% of the amounts declared with a minimum of EUR 150,000 if EUR 1,500,000 is exceeded;
- taxable persons lacking certification (or signature from an audit body) or without a statement as specified in art. 47 DPR 28 December 2000, n. 445; and
- taxable persons requiring the refund of the VAT credit as a result of the act of cessation of the activity.
- From the said notice of assessment, it must result, for each year, a difference between the amounts assessed and VAT due or the credit declared higher than:

- 10% of the amounts declared if they do not exceed EUR 150,000;
 - 5% of the amounts declared if they exceed EUR 150,000 but less than EUR 1,500,000;
 - 1% of the amounts declared with a minimum of EUR 150,000 if EUR 1,500,000 is exceeded;
- taxable persons lacking certification (or signature from an audit body) or without a statement as specified in art. 47 DPR 28 December 2000, n. 445; and
- taxable persons requiring the refund of the VAT credit as a result of the act of cessation of the activity.
- The warranty is mandatory (i.e. no certification is possible) when the claim is filed by:

- the activity has not ceased or been reduced as a result of the transfer (total or partial) of going concerns included in the accounting results;
- in case of a claim filed from companies (in Italian 'società di capitali') not listed on regulated markets, the shares of the claimant have not been sold for amounts exceeding 50% of the share capital during the year preceding the request for a refund; and
- the payment of social security and insurance contributions has been carried out.

In particular, in order to file the claim, the following two conditions regarding the transactions must be met:

- the taxable person renders to subjects established outside the territory of Italy for an amount higher than 50% of the total amount of all the transactions, work on movable goods, transport services of goods and ancillary services and related intermediary services or insurance and financial services to subjects established outside the EU referred to goods to be exported outside the EU; and
- the refund must be claimed from the tax authorities 'Agenzia delle Entrate', who will make the payment within 20 days from the end of the second month following the relevant quarter. Should said deadline not be respected, interest accrued from the 30th day following the due date of the taxable person.

The same rules (guarantee or certification) as described above in case of a refund through the fiscal account, are also required in case of a quarterly refund.

9.3 Capital goods – adjustment periods

- immovable property - 10 years
 - movable property - 5 years
- Italian law does not provide for an adjustment period for services other than certain services relating to depreciable assets, for which either the 5 or the 10 year adjustment period applies.

9.4 VAT refunds for foreigners

EU and non-EU taxable persons may apply for the refund of Italian VAT through the EU VAT Refund Portal on purchases and imports of movable goods and/or services provided that:

- they do not have a fixed establishment in Italy;
- they do not supply goods and services in Italy apart from zero rated international transport of goods and ancillary services or supply of goods and services taxable in Italy for which the option for OSS or IOSS has been exercised; and
- the supply of goods and services is to a person who is liable for payment of VAT through the reverse charge mechanism.

In order to be refundable, the VAT must be deductible according to the relevant rules (see 9.1 for information on the non-recoverability of VAT).

9.4.1 VAT refunds to EU taxable persons

The VAT refund application must be filed:

- by electronic means with the EU Member State in which the taxable person is established;
- with respect to a period of not less than 3 months and for an amount of not less than EUR 400.

Should the amount relating to 1 or more quarters be less than EUR 400, the refund may be claimed with reference made to the calendar year, provided that the amount of VAT is not less than EUR 50. The reference period can be less than 3 months where it represents the remainder of a calendar year. The reference period cannot be more than 1 year.

The deadlines to file the application are the following:

- if the reference period is a quarter, it should be filed as of the first day of the month following the reference period up to 30 September of the calendar year following the reference period; and
- if the reference period is a calendar year, it should be filed from 1 January up to 30 September of the year following the reference period.

The application is considered to be filed on the date on which the file, as forwarded by the EU Member State where the applicant is established, is fully received by the competent Italian Tax Authority (i.e., Centro Operativo di Pescara).

Invoices should be attached.

The Italian tax authorities will notify the applicant, by electronic means, also through the EU Member State of establishment, of the date on which it received the application.

Notification of the decision to approve or refuse the refund application will be made by the Italian Tax Authority (i.e., Centro Operativo di Pescara) within 4 months from its receipt.

The bank account will be credited within 10 working days from the date of notice that the application has been approved.

The refund is made to an Italian bank account or, upon request of the applicant, to a bank account in another EU Member State. In the latter case, the amount paid is net of transfer expenses.

Should the Italian Tax Authority need further information in order to check the application, this information will be requested of the applicant or of its EU Member State through electronic means within 4 months from the receipt of the application. The requested information must be provided within 1 month from the date on which the request has been received. In this case, the decision to approve or refuse the refund will be communicated within 2 months from the receipt of the information or, if there is no reply, within 2 months from the expiry of the term.

Additional information may be requested by the Italian Tax Authority. If that is the case, the information should be provided within 1 month from the date on which the request has been received. In this case, notification of the decision to approve or refuse the refund should be made within 8 months of receipt of the refund application.

Interest accrues at 2% per year as of the deadline to carry out the payment (i.e., 10 working days from the date of notice that the application has been approved). Should further or additional information be requested, interest accrues from the due date to submit the additional information.

Interest does not accrue if the applicant does not submit the information requested. Interest will also not apply so long as requested further documents are not received.

With respect to the content of the refund application, the list of requirements is available on the website: <https://tinyurl.com/uabus8ci>

In any case, it should be noted that the description of the goods and services should be indicated by using the codes and sub-codes set by EU Regulation 30 November 2009, n. 1174.

It is possible to correct the application already filed by filing a new one (without adding new invoices or import documents) before the normal deadline (i.e., 30 September of the following year).

Finally, the Italian Tax Authority should be informed in case of adjustment of the deductible proportion within the following calendar year.

The decision to refuse the refund can be appealed within 60 days as of the date of receipt of the decision.

9.4.2 VAT refunds to non-EU taxable persons

The refund of VAT to non-EU subjects is allowed, provided that the 'condition of reciprocity' with the other State is met.

Currently, Switzerland, Norway, Israel and the UK are the only non-EU countries for which this condition is satisfied.

In case of option for OSS or IOSS regimes, the refund is allowed also in the lack of the 'condition of reciprocity' and in presence of operations carried out in Italy for which the said regimes apply.

The deadline to file the application is 30 September of the following year and the competent Italian Tax Authority (i.e., Centro Operativo di Pescara) will carry out the refund within 6 months from the receipt of the application or within 8 months should further information be requested.

The refund can be requested with respect to a quarter or a year.

The form to be used is the "Modello IVA 79" that should be sent by courier to the Italian Tax Authority (i.e., Centro Operativo di Pescara).

(<https://tinyurl.com/394srfvd>)

The following documents must be enclosed with the above-mentioned form:

- original invoices;
- proof of payment; and
- declaration from the tax authorities of the State of establishment that the claimant is a taxable person.

Interest accrues at 2% per year as of the deadline to carry out the refund (i.e., 6 months from the receipt of the application or 8 months should further information be requested).

Interest will not accrue if the applicant does not submit the information requested. Interest will also not apply until requested further documents in support of the refund application are received.

10. Administrative obligations

10.1 Invoicing

10.1.1 Invoice content

An invoice must indicate:

- the date of issuance;
- a number with a specific and unambiguous reference;
- the VAT identification number of the supplier;
- the VAT identification number of the customer and, if the customer is established in another EU Member State, the VAT identification number issued by the EU Member State of establishment; in case the customer is not acting as a taxable person, the tax code; in case of intra-community supplies, the VAT identification number (included in the VIES archive) must be mentioned in the invoice;
- the name and address of both the supplier and the customer, and the data of the VAT representative of the supplier or of the customer, if any;
- a description of the goods and services; quality, nature and quantity;
- the applicable VAT rate;
- the amount of the VAT due and of the taxable basis, rounded to the eurocent, which must be split per applicable rate;
- the date on which the supply of goods or the provision of services is carried out, or the date in which the consideration is paid in whole or in part, where this date is different from the invoice date;
- an indication that the invoice is issued by the customer or by a third party, if this is the case (see below).

For the following transactions it is necessary to report whichever circumstance is applicable:

- supply of goods in transit or subject to special Customs regime (such as Customs warehouse regime);
- "operazione non soggetta" (i.e., transaction not subject to VAT);
- VAT-exempt transactions that give the right to recover input VAT on purchases according to Article 8, 8-bis, 9 and 38-quarter of DPR 633/72; "operazione non imponibile" (i.e., transaction not taxable);
- VAT-exempt transactions that limit the right of deduction according to Article 10 (except for betting and gambling transactions) of DPR 633/72; "operazione esente" (i.e. exempt transaction);
- transactions subject to a special margin scheme as provided for by Decree no. 41/1995; "regime del margine – beni usati" (margin scheme – used goods);

- a number with a specific and unambiguous reference;
- the date of issuance;

The simplified invoice must indicate:

A simplified invoice can be issued in cases where the amount of the invoice is not higher than EUR 100. The said amount can be increased by up to EUR 400 by a specific decree. Furthermore, on the basis of a specific decree, the simplified invoice can be applied without a threshold to specific sectors or specific taxable persons.

10.1.6 Simplified invoice

been made in the past 5 years.

- the activity of the Italian supplier must have started at least 5 years prior and no VAT violations must have
- a previous communication must be filed with the tax authorities; and

agreement exists with these countries, the following is required:

In order to allow the issuance of invoices by persons from non-EU countries if no mutual assistance

Under Italian VAT legislation, self-billing is allowed and, according to the tax authorities, authorization by the supplier is necessary. In addition, the procedure to be followed must be agreed upon by the two parties.

10.1.5 Self-billing

Bank for all the transactions carried out during the calendar year.

should be that of the nearest day. It is possible to adopt the exchange rate published by the European Central exchange rate of the date of issuance of the invoice. Lacking an exchange rate on this day, the exchange rate is carried out for VAT purposes must be used or, in the absence of a relevant indication on the invoice, the

In case of a consideration and/or expenses in a foreign currency, the exchange rate of the day of the transaction

10.1.4 Conversion and exchange rate

The taxable amount can be expressed in any currency while the VAT must be expressed in Euros.

10.1.3 Currency

issued by the 15th of the month following the month in which the transaction is deemed to be carried out.

The above rule is also applicable to the supply of services, as specified in suitable documentation, rendered to the same customer during the same month. The invoice (reporting the details of the transactions) must be

relevant transport documents.

all supplies taking place by the 15th of the month following the month of delivery, provided it mentions all

For supplies of goods whose delivery is proven by a transport document, a single invoice can be issued for

out. VAT is due regarding the month in which the chargeable event takes place.

The invoice must be issued within 12 days as from the date in which the operation is deemed to be carried

10.1.2 Time limits

- purchases of goods and services from non-EU suppliers: "autofatturazione" (i.e. self-billing).
- "operazione non soggetta" (i.e. transaction not subject to); and
- supply of goods and services by suppliers established in Italy deemed to be carried out outside the EU: the tax in another EU Member State: "inversione contabile"; (i.e. reverse charge)
- supply of goods or services by suppliers established in Italy to VAT taxable persons liable for payment of these texts is reported:

For the following transactions carried out with taxable persons not established in Italy, the applicable one of

Directive provision.

For all the above transactions, it is possible to make a reference either to the domestic provision or to the EU

- of DPR 633/72: "regime del margine -- agenzie di viaggio" (margin scheme -- travel agencies).
- transactions carried out by travel agencies subject to margin scheme as provided for by Article 74-ter objects);
- "regime del margine -- oggetti di antiquariato o da collezione" (margin scheme -- antique or collection
- "regime del margine-oggetti d'arte" (margin scheme -- work of art); or

- the VAT identification number of the supplier;
 - the name and address of the supplier and the data of the VAT representative of the supplier, if any;
 - the name and address of the customer and the data of the VAT representative of the customer, if any; as an alternative, it is possible to report exclusively;
 - the tax code or the VAT registration number if the customer is established in Italy; or
 - the VAT registration number issued by the EU Member State of establishment if the customer is established in another EU Member State;
 - a description of the goods and services;
 - the total amount due and the resultant VAT amount or the data necessary for its calculation; and
 - for the invoices issued according to Article 26 of DPR 633/72, the reference to the changed invoice and an indication of the changes made.
- The simplified invoice cannot be issued for the following transactions:
- intra-Community supply of goods; and
 - transactions as provided for by Article 21 (6bis) (a) of DPR 633/72 (supply of goods and services to a taxable person liable to pay the tax in another EU Member State or supply of goods and services to be deemed as carried out outside the EU).

10.1.7 Storage of invoices

Invoices must be kept available until 31 December of the 4th year following the year in which the annual return is filed. If the annual return is not filed, the invoices must be kept until 31 December of the 5th year following the year in which the annual return should have been filed.

Invoices must be kept available until 31 December of the 5th year following the year in which the annual return is filed. If the annual return is not filed, the invoices must be kept until 31 December of the 7th year following the year in which the annual return should have been filed.

However, according to the Italian Civil Code, invoices as well as other relevant business documents must be kept available for 10 years.

Electronic invoices must be stored in electronic form.

Similarly, paper invoices may be saved on electronic storage systems.

Invoices, ledgers and other documents provided for by DPR 633/72 may be saved electronically in another EU Member State with which a mutual assistance agreement exists.

For control purposes, the taxable person guarantees online access to the data concerned and guarantees that all the documents therein saved (including the ones granting the authenticity and integrity of electronic invoices) can be printed and saved in a storage medium.

10.1.8 Electronic invoicing

Electronic invoicing is mandatory for B2B and B2C operations carried out between subjects resident or established in Italy.

Non-resident subjects, although they are registered for VAT purposes in Italy for having appointed a VAT representative or directly registered subjects, are excluded from the electronic invoicing.

The above excluded subjects can opt for electronic invoicing.

Regarding the operations with non-resident subjects, taxable persons established in Italy could opt to issue electronic invoices to the non-resident subjects in order to avoid the fulfilment sub 10.2.4. In case of issuance of a electronic invoice, the non-resident must receive a copy of the electronic invoice issued.

The paper copy must report exactly and exclusively the data reported in the electronic invoice and it is necessary to state that the paper invoice is a certified copy of the original electronic invoice.

Electronic invoices must be issued in a specific xml format (eXtensive Markup Language) and sent to the Exchange System (SDI) by the taxable person directly or through designated intermediaries.

SDI is an electronic system managed by the Italian Tax Authority, through which electronic invoices are received, delivered to the recipient and, in presence of certain conditions, electronic invoices are stored electronically according to the law.

In order to receive the electronic invoice, the taxable person can use a Certified Electronic Mail or a recipient code.

10.2 VAT compliance

10.2.1 VAT return period

Each VAT taxable person (foreign or local) is required to fill in and file electronically an annual VAT return. The reporting period of the return is the calendar year.

10.2.2 Filing of VAT return and payment

Annual VAT return
Taxable persons (foreign and local) should electronically file the annual VAT return for the previous calendar year between 1 February and 30 April.

The annual VAT return must be drafted on the official form approved, each year, by the tax authorities 'Agenzia delle Entrate' and made available on their website (<http://www.agenziaentrate.gov.it>) at the beginning of the year of filing.

Payments

On a monthly basis, output VAT on supplies carried out in the previous month must be offset against input VAT allowed for deduction relating to purchase invoices booked in the same period.

The monthly VAT computation (so called 'VAT settlement' or 'Liquidazione IVA' in Italian language), and payment of the VAT due, must be made by the 16th day of the month following the month being reported.

If the turnover of the previous tax period does not exceed EUR 500,000 for services or EUR 800,000 for other activities (such as supplies of goods), the taxable person may opt for quarterly payments to be made by the following deadlines:

First quarter	16 May
Second quarter	20 August (deadline postponed from the normal 16 August due to the holiday season)
Third quarter	16 November
Fourth quarter/	
yearly balance	16 March

In this case, the amount due for the quarterly computation must be increased with 1% interest. Taxable persons are not required to report the monthly VAT computation on the Sales Ledger, but since the tax authorities can request how the amount of VAT was computed, evidence should be retained.

The VAT Law provides for an annual VAT advance payment. When the VAT balance of the last relevant period (month of December or Fourth Quarter) of the previous calendar year (referred to in this paragraph as "year X-1") shows a VAT liability, the following amount must be paid in advance:

- 88% of the VAT liability due for the same period (December or Fourth Quarter) of the previous calendar year (year X-1) (historic method); or
- 88% of the VAT, if any, due for the current period (year X) (forecast method); or
- 100% of the VAT, if any, due for the last relevant period (year X) on the basis of the VAT transactions that have taken place up to 20 December (effective method; i.e., 1 December - 20 December).

- No advance payment is due when:
- the last relevant period of the previous calendar year (X-1) has not shown a VAT debt; or
 - the last relevant period of the current calendar year (X) will not show a VAT debt. The advance payment is due by 27 December of each year.

10.2.3 European sales listing

The European sales listing has been merged with the Intrastat obligations (only one form to be filed, containing both the relevant data for the European sales listings and the Intrastat data). In order to simplify the completion of the monthly Intrastat forms (see also Paragraph 10.4), completion of the columns "statistical value", "delivery term" and "mode of transport" are not required if the intra-Community dispatches and acquisitions do not exceed EUR 20,000,000 per calendar year.

10.2.4 National recapitulative statement

Cross-border operations must be communicated using the same form as for the electronic invoice through the Interchange System (Sdi).

The Italian law provides for the communication of the VAT computations.

Each taxable person must communicate electronically the data of the periodical VAT computation on a quarterly basis within the end of the second month following the quarter (i.e. for Q2, the deadline is 16 September).

The deadlines are as follows:

- Q1 31 May;
- Q2 16 September;
- Q3 30 November
- Q4 end of February of the following year.

The communication must be filed even when there is a VAT credit shown by the periodical VAT computation. The quarterly communication of the periodical VAT computations must be filed by electronic means to the Italian authorities in the form of an XML file prepared according to the technical specifications published on the website of the Italian administration.

10.2.5 Tax assessment period

The tax assessment period is the 5th year following the year in which the annual return has been filed. If the annual return over 2021 is filed in April 2022, the VAT due over 2021 can be assessed until 31 December 2027. If the annual return is not filed, the invoices must be kept until 31 December of the 7th year following the year in which the annual return should have been filed.

10.3 Penalties

Administrative penalties have been reviewed by the Legislative Decree no. 87 of 2024 and the new penalties will apply to violations committed as from 1 September 2024.

As a consequence of the application of the new rules as from 1 September 2024, penalties applicable in case of violations committed before and after 1 September 2024 are indicated.

10.3.1 Default penalties for late registration

The tax authorities can apply a penalty ranging from EUR 500 to EUR 2,000 (no change as from 1 September 2024).

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

If the VAT return is not filed on time and no VAT is due, the penalty ranges from EUR 250 to EUR 2,000 (no change as from 1 September 2024).

If the annual return is filed within 90 days of the deadline, it is possible to regularise the late filing by paying a reduced penalty equal to 10% of EUR 250 (no change as from 1 September 2024).

In case of failure to submit the annual return or submission of the return more than 90 days after the deadline, if VAT is due, the penalty ranges from 120 to 240% of the total VAT owed with a minimum of EUR 250.

If the said violation is committed as from 1 September 2024, in case of failure to submit the annual return or submission of the return more than 90 days after the deadline, if VAT is due, the penalty is equal to the 120% of the total VAT owed with a minimum of EUR 250.

In case the omitted annual VAT return is filed within the deadline for filing the annual VAT return of the following tax period but before any audit from the Tax Authority of which the taxpayer has been formally informed, the penalty ranges from 60% to 120% of the VAT with a minimum amount of EUR 200.

In case the said violation is committed after 1 September 2024 and the omitted annual VAT return is filed within the expiration deadline of the statute of limitations (but before any audit from the Tax Authority of which the taxpayer has been formally informed), the penalty is equal to 75% of the VAT due. In case no VAT is due, the penalty is equal to EUR 250.

In case of omission, late or incorrect filing of the Intrastat, a penalty from EUR 500 to EUR 1,000 for each omitted (or incorrect) Intrastat is applicable. The penalty is reduced by 50% if the Intrastat is filed within 30 days of the request of the Tax Authorities (no change as from 1 September 2024).

10.3.3 Default penalties for not paying VAT on time to the tax authorities

If VAT is not paid on time or a lower amount than the amount due is paid, a penalty of 30% of the unpaid amount is applied. In case of payment within 15 days after the deadline, a pro-rata (1/15) penalty reduction amount is applied until the 15th day applies. In case the payment is carried out within 90 days after the deadline, the penalty is reduced to 15%. However, it is possible to regularize the omitted payment by paying a reduced penalty. The determination of the reduced penalty is made according to the following schedule:

- 1/10 of 30% if the payment is made within 30 days as from the deadline;
 - 1/9 of 30% if the payment is made within 90 days as from the deadline;
 - 1/8 of 30% if the payment is made after 90 days past the deadline but within the deadline for the filing of the VAT return relating to the year in which the violation has been committed;
 - 1/7 of 30% if the payment is made within the deadline for the filing of the VAT return relating to the year following the one in which the violation has been committed;
 - 1/6 of 30% if the payment is made after the deadline for the filing of the VAT return relating to the year following the one in which the violation has been committed; and
 - 1/5 of 30% if payment is made after the report drawn up by the Tax Authority further to the audit carried out.
- The rectification implies that the reduced penalty and the unpaid VAT, including interest on delayed payment are paid within the deadline provided for the rectification.

The interest for late payment of the VAT due is 2% per year as of 1 January 2025.

The rectification is no longer possible once a notice of assessment or a communication of irregular payments has been received.

In case of omitted or late payment carried out as from 1 September 2024, a penalty of 25% of the unpaid amount is applied. In case of payment within 15 days after the deadline, a pro-rata (1/15) penalty reduction for each day until the 15th day applies. In case the payment is carried out within 90 days after the deadline, the penalty is reduced to 12,5%. However, it is possible to regularize the omitted payment by paying a reduced penalty and interest.

As a consequence of the review of the regularization regime too, the determination of the reduced penalty is made according to the following schedule:

- 1/10 of 25% if the payment is made within 30 days as from the deadline;
- 1/9 of 25% if the payment is made within 90 days as from the deadline;
- 1/8 of 25% if the payment is made after 90 days past the deadline but within the deadline for the filing of the VAT return relating to the year in which the violation has been committed;

The offence penalty does not apply in case the tax debt is being paid by instalments further to the receipt of a communication issued by the Tax Authority (so called *avviso bonario*).

The failure to pay the VAT due in the VAT return, constitutes a criminal offence subject to imprisonment from 6 months up to two years if the unpaid amount is more than € 250,000 per tax period and the payment is not carried out before 31 December of the year following the one in which the annual VAT return has been filed (therefore, for example, for 2023 omitted VAT payment, the penal violation applies if the payment is not carried out before 31 December 2025).

Omitted payment

10.3.5 Offense penalties

A rectification is not possible once a notice of assessment has been received.

The penalty is equal to 50% if the violation arises from an integrative VAT return filed within the expiration deadline of the statute of limitations but before any audit from the Tax Authority of which the taxpayer has been formally performed.

The reductions mentioned in the previous paragraph (from 1/9 to 1/4) apply to the mentioned 70% penalty.

It is possible to rectify the incorrect return by filing an additional VAT return and paying a reduced penalty.

Regarding VAT returns filed as from 1 September 2024, the penalty is equal to the 70% of the difference with a minimum amount of EUR 150.

issuance of tax receipts or transport documents.

- 1/5 of the minimum if payment is made after the tax audit report is drawn up by the Tax Authority after a tax audit is carried out. The reduction is not applicable in case of specific violations such as the omitted relating to the year following the one in which the violation has been committed; and
- 1/6 of the minimum (90%) if the payment is made after the deadline for the filing of the VAT return relating to the year following the one in which the violation has been committed;
- 1/7 of the minimum (90%) if the payment is made within the deadline for the filing of the VAT return for the filing of the VAT return relating to the year in which the violation has been committed;
- 1/8 of the minimum (90%) if the payment is made after 90 days past the deadline but within the deadline fulfilment;
- 1/9 of the minimum (90%) if the payment is made within 90 days as from the deadline to carry out the

It is possible to rectify the incorrect return by filing an additional VAT return and paying a reduced penalty as follows:

difference.

and previously not documented and/or not registered, etc.), the penalty ranges from 90% to 180% of the incorrectly deducted or the VAT is related to specific taxable transactions which have not been declared the deductible or refundable amounts are higher than those claimable (e.g., this may be the case if VAT is In case the VAT return indicates an amount of VAT less than the one due, or the VAT return indicates that

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

filed.

- 1/4 of 25% if the payment is carried out after the communication of the "scheme of assessment act" relating to the violation resulting from the tax audit report without tax settlement proposal having been audit report and, in any event, before the communication of the "scheme of assessment act";
- 1/5 of 25% if the payment is carried out after the tax audit report without filing of accession to the tax preceded by the tax audit report and without tax settlement proposal having been filed;
- 1/6 of 25% if the payment is carried out after the communication of the "scheme of assessment act" not which the violation has been committed;
- 1/7 of 25% if the payment is made after the deadline for the filing of the VAT return relating to the year in

In the event of forfeiture of instalments, the offence penalty applies if the residual debt is higher than EUR 75,000. The offence is not punishable if the act depends on causes beyond the signatory's control that occurred after the collection of VAT. The court takes into account the non-transitory liquidity crisis of the signatory due to the non-recoverability of debts due to ascertained insolvency or over-indebtedness of third parties or to the non-payment of certain and collectable debts by public authorities and the non-possibility of appropriate actions to overcome the crisis. The above offence penalty is the result of the changes introduced by the Legislative Decree no. 87 of 2024 and it applies also to violations pending as from the date of entry into force of the decree (i.e. 29 June 2024). The offence shall not be punishable if, before the declaration of the opening of the trial at first instance, the tax debts, including administrative fines and interest, have been extinguished by full payment of the amounts due, also following the special conciliatory procedures and adherence to the assessment provided for by the tax laws, as well as the regularization. Fraudulent VAT return through the use of invoices or other documents for non-existent transactions The filing of a VAT return - where fictitious taxable passive elements are reported using invoices or other documents for non-existent transactions in order to evade value added tax - constitutes a criminal offence subject to from four years up to eight years imprisonment. In case the amount of fictitious taxable passive elements is lower than EUR 100,000, the imprisonment is from one and a half year to six years. Fraudulent VAT return by means of other artifices The filing of a VAT return - where positive items for an amount lower than the actual amount or fictitious taxable passive elements are indicated by carrying out objectively or subjectively fake transactions or by using false documents or other fraudulent means capable of hindering the assessment and misleading the tax authorities in order to evade value added tax - constitutes a criminal offence subject to three years up to eight years imprisonment. The above offence penalty applies should the below conditions jointly occur: - the evaded tax is higher than EUR 30,000; and - the amount of undeclared positive items, also by indicating fictitious passive elements, is higher than 5% of the total amount of positive items declared or higher than EUR 1,500,000. Unfaithful VAT return The filing of a VAT return - where declared supplies or non-existent passive elements are lower than the actual ones, with the aim of evading tax - constitutes a criminal offence subject to two and a half years imprisonment should the below conditions jointly occur: - the evaded tax is higher than EUR 100,000; and - the amount of supplies not declared also by indicating non-existent passive elements, is more than 10% of the total amount of the positive items indicated in the return, or, in any case, is higher than EUR 2,000,000. Omitted VAT return The omitted filing of the VAT return in order to evade VAT, constitutes a criminal offence subject to two to five years imprisonment provided that the evaded VAT is higher than EUR 50,000.	10.4 Intrastat Separate Intrastat forms must be filed for intra-Community supplies and acquisitions of goods and services.
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10.4.1 Intrastat threshold

The Intrastat form regarding intra-Community acquisitions of goods and services must be filed on a monthly basis:

- regarding services, by taxable persons having carried out a total amount of transactions exceeding Euros 100,000 in at least one of the 4 preceding quarters;
- regarding goods, by taxable persons having carried out a total amount of transactions exceeding Euros 350,000 in at least one of the 4 preceding quarters.

The Intrastat form regarding intra-Community supplies of goods and services must be filed monthly or quarterly according to the amount of the intra-Community transactions realized during the preceding 4 quarters. In particular, Intrastat declarations (either for goods or for services) must be filed with the following frequency:

- on a quarterly basis by taxable persons having carried out, in the 4 preceding quarters and for each kind (supply of goods or services), a total amount of transactions not exceeding EUR 50,000 per quarter; and
- on a monthly basis, by taxable persons who have exceeded the above threshold.

The filing of the data for statistical purposes is compulsory in the event that the taxable persons have realised, in the four quarters preceding the reference quarter, a quarterly total amount of intra-Community supplies of goods or services exceeding EUR 100,000.

In the case of activity which lasted less than 4 quarters, the Intrastat must be filed quarterly provided that the first condition mentioned above is fulfilled.

Should the threshold be exceeded during a quarter, the Intrastat must be filed monthly as of the month following the month in which the threshold has been exceeded.

In the above case, the Intrastat forms relating to the previous months, duly marked, must be filed.

Intrastat must be filed exclusively by electronic means within 25 days following the end of the reporting period.

The call-off stock operations are communicated too.

10.4.2 Intrastat data to be reported

The information which must be reported for both the arrival and the dispatch statistics is:

- VAT number supplier/purchaser;
- EU Member State of origin/destination;
- code of the province of origin/destination;
- supplementary unit in some cases;
- nature of the transaction;
- delivery term;
- mode of transport;
- 8-digit commodity code of the goods;
- invoice value of the goods in EUR;
- net weight of the goods; and
- statistical value.

10.5 Additional compliance requirements

There are no additional requirements.

Information received from:

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The European Union (EU) VAT Directive is implemented through the "Value Added Tax Law" (hereafter referred to as the "Latvian VAT Law" or "VAT Law"). In Latvia, the VAT is referred to as "Pievienotais vērtības nodoklis" or "PVN".

As of 1 January 2013, a completely new VAT Law came into force. The new VAT Law was implemented to make the VAT provisions more compliant with the EU VAT Directive, by following the structure and terminology of the EU VAT Directive.

Latvian value added tax law in force: <https://tinyurl.com/3347wcv> (in Latvian) <https://tinyurl.com/5cwvwdnv> (in English version all amendments not included though).

1. Taxable Persons

According to the Latvian VAT Law, any person who independently carries out any economic activity in any place, whatever the purpose or result of that activity, is considered a taxable person. Taxable persons can be either registered or not registered with the tax authorities.

1.1 Registration threshold & SME Scheme for domestic taxable persons

If the total value of taxable supplies of goods and services provided by domestic taxable person has not exceeded EUR 50,000 during the preceding 12 months, no registration is required. Taxable persons can, however, register before reaching this threshold.

The registration is with the Latvian State Revenue Service (SRS). The following documents must be provided for the registration:

- a registration form (the registration form can be downloaded on <https://tinyurl.com/3eutsnmj>);
- if an individual is registering, a copy of his/her passport or some other official identification; and
- if an authorized person performs the registration, a power of attorney.

1.2 Registration threshold & SME Scheme for foreign taxable persons

Generally there is no registration threshold for foreign legal entities unless the SME Scheme is applied. The threshold for application of the SME scheme is EUR 50,000. The foreign taxable person's total turnover in the EU must not exceed EUR 100,000.

When registering, the following documents must be submitted:

- a registration form;
- the extract from the Commercial Register; and
- if the authorized person performs the registration, a power of attorney.

The registration form can be submitted via the Electronic Declaration System (EDS), or sent via email by using a secure electronic signature to vid@vid.gov.lv.

The registration forms can be downloaded at: <https://tinyurl.com/w7kn2a2x>

According to the law the VAT registration should be done in 5 working days after the submission of all the required documents to register for VAT. In practice, however, the actual registration time is extended due to additional questions from the tax authorities in ascertaining the objectivity of planned activities. Thus, lately the procedure usually takes two to three weeks, depending on how fast additional questions can be addressed and additionally requested documents provided (if at all).

In some circumstances registration can be avoided, because of the application of the reverse charge mechanism or the appointment of a fiscal representative.

A VAT group may be established if the total value of the taxable supplies of goods and services provided by at least one participant of the VAT group during the preceding 12 calendar months up to the month when the application for the registration of the VAT group is submitted, is at least EUR 350,000.

The participants of the VAT group can only be companies registered for VAT purposes in Latvia. Also, they must be included in one group of companies (in accordance with the Group of Companies Law) or a branch of a foreign merchant (legal person), provided that the foreign merchant, in accordance with the Group of Companies Law, is a member of the same group of companies in which the other participants of the VAT group are included.

Holding companies receiving only dividend income cannot be included in the VAT group. Foreign companies cannot be included in the VAT group, even if they have a fixed establishment in Latvia. However, if the foreign company registers a branch in Latvia, this branch could be included in the VAT group provided that the above conditions stipulated in the Group of Companies Law are met.

The VAT group members must enter into an agreement. This agreement must be entered by all the members with one of them being appointed as the principal entity, the head company of the VAT group.

VAT grouping is optional. A VAT group is regarded as one taxable person for any supply to or by the VAT group. For VAT purposes, supplies of goods or services between members of a VAT group do not fall within the scope of VAT. Supplies of goods or services made by third parties to an individual member of a VAT group are deemed to have been made to the VAT group. A taxable person can withdraw from the VAT Group not earlier than 12 calendar months after it joined the VAT group, unless other conditions for the VAT group are no longer met.

The VAT group members use their own VAT registration number for transactions with taxable persons which are not members of the group. The registration number granted to the VAT group shall be used only for filing the VAT return of the VAT group and for the payment of the VAT. Group members are jointly and severally liable for payment of the group's VAT.

Latvia has introduced the concept of fiscal representation. A fiscal representative is a taxable person who, based on a written agreement, is liable for paying VAT to the tax authorities and represents a taxable person from another EU Member State or a non-EU country for tax purposes in the following transactions:

- when importing goods followed by an intra-Community supply;
- when importing goods followed by a domestic supply;
- on receipt of goods domestically, if the goods have been received for the purpose of exporting them further and placed in a customs warehouse or a tax warehouse, and in the course of those goods;
- when purchasing goods in the territory of the European Union, if these goods have been purchased for the purpose of exporting them further and placed in a customs warehouse or tax warehouse, and in the course of subsequent exportation of those goods; and
- when goods are purchased in the territory of the European Union, where they are actually received domestically for the purpose of supplying them to another Member State.

- The requirements for a fiscal representative are that he:
- should file one of the following:
- a bank certification that he has deposited enough funds to cover the potential tax debts - at least 20%

2. Taxable transactions

2.1 Transfer of business

- The transfer of business is not considered a supply of goods or services if the following criteria are met:
- the transferee takes over the rights and liabilities of the transferor of the business; and
 - the transferee continues the operations of the business and these operations are not connected to the liquidation of the business or sale of the received assets.
- The general rules for transfer of business are provided by the Latvian Commercial Law. It should be noted that according to the Latvian Commercial Law, the transferor and transferee are jointly liable for the liabilities incurred prior to the transfer of the business for 5 years.
- It should also be noted that the parties have to notify the Latvian tax authorities within 30 days as of the transfer of business in order to avoid input VAT correction for the transferor.
- ### 2.2 Supplies free of charge
- Under Article 7 of the Latvian VAT Law, the provision of samples for business purposes or certain low value gifts are not taxed while the supplier retains his right of deduction.
- Under Latvian VAT Law a low value gift refers to goods or services which are given without consideration and the value of which without the tax does not exceed EUR 15 during a calendar year per one person. However, goods or services related to advertising or representation expenses are excluded.
- ### 2.3 Importation
- #### 2.3.1 Importation followed by an intra-Community supply
- It is possible to apply an exemption on the importation of goods into Latvia if it is followed by an intra-Community supply within 30 days.
- Conditions have to be met in order to apply the exemption, for example, that the name of the taxable person in the EU to which the goods will subsequently be delivered, and its VAT registration number be shown on the delivery/import documents.
- #### 2.3.2 Postponed accounting on importation
- There is a special importation regime for the import of goods in Latvia providing for import VAT to be deferred to the VAT return. In order to apply the special importation regime for imported goods, a taxable person must submit an application to the tax authorities. With this licence, importers avoid payment of VAT at the time of importation. Instead, the importer will have to pay the VAT due in its Latvian VAT return. If the importer is entitled to deduct VAT, the VAT paid can be reclaimed in the same VAT return.

On or after 1 July 2021, registration may be simplified for distance sellers from within the EU, and for distance sellers of low-value goods from outside the EU, under the EU-wide "One Stop Shop" (OSS) regime. As such, the rules and thresholds for distance sales (both intra-Community distance sales and distance sales of imported goods) have been harmonized across the EU with no leeway for Member States. The distance selling threshold for sales to customers in other EU Member States without a VAT registration number

3.3 Distance sales

If the goods are supplied to a company or individual that is not VAT registered in Latvia, the supplier must register as a taxable person in Latvia.

The reverse charge applies if a non-established company that is not registered for VAT in Latvia supplies goods with installation in Latvia and the customer is VAT registered in Latvia.

If the goods are supplied to a company or individual that is not VAT registered in Latvia, the supplier must register as a taxable person in Latvia.

Installation supplies are treated as supplied where they are constructed or installed. In Latvia, there is no formal definition of the term "supply with installation or assembly". In determining whether the services are related to immovable property or installation services are provided, the authorities examine the works actually performed.

3.2 Installation supplies

There was a simplification in regard of call-off stock introduced in Latvia. Also, as of 2020 new rules in regard of call-off stock were introduced, in line with the EU VAT Directive.

The transfer of goods by a VAT registered taxable person from one EU Member State to Latvia to create a stock of goods from which their customer can 'call-off' (use and pay for) the goods as and when they require them, can be described as call-off stock. If certain conditions are met, the supplier does not perform a transfer of own goods followed by a local supply, but an intracommunity supply to his customer. Latvian VAT legislation is in line with the articles newly introduced in the EU VAT Directive. The tax authorities generally agree with the content of the Explanatory Notes with regard to the 2020 Quick Fixes.

3.1 Consignment and call-off stock

3. Place of supply

The licence is not issued to companies not established in Latvia.

Special importation regime is also applicable to the importation of fixed assets – no licence is required then.

The licence to apply the VAT deferment regime for imported goods will be issued to a taxable person if:

- he is registered with the Latvian Commercial Register or registered with the SRS as a performer of business activities;
- he has carried out economic activities domestically for at least previous 12 months and has been registered as Latvian VAT payer;
- he has sufficient technical and financial resources to perform the particular type of economic activity;
- he does not have tax debts on the day of submission of the application for the licence;
- during previous 12 months provided tax and informative declarations and financial statements within the time periods specified in the laws, as well as provided additional information within the time periods specified by the SRS, which is necessary for determining the amount of tax to be paid to the State budget or overpayment of tax;
- persons that have representation rights have no criminal record of fraud, falsification of documents, avoidance of taxes and the payment of taxes compared thereto or other criminal offences which may affect the determination of the amount of taxes;
- the representative of the VAT payer (if the VAT payer is a legal person) or the VAT payer himself (if the VAT payer is an individual) is not regarded a person of risk (determined in accordance with the Law On Taxes and Fee);
- it is registered as a user of EDS system of the SRS.

Special importation regime is also applicable to the importation of fixed assets – no licence is required then.

(e.g. private individuals) is now EUR 10,000 for intra-Community distance sales. Turnover generated from the supply of 'electronically supplied services', 'telecommunication services and broadcasting services' included in the EUR 10,000 threshold. A threshold of EUR 150 per consignment applies for the application of the special scheme for distance sales of imported goods.

If OSS regime is not chosen, a foreign taxable person must register for VAT in Latvia:

- within 30 days from the day when the total value of the sales in the previous or current calendar year has exceeded the threshold; or
- before the transaction, if the goods are subject to excise duties in Latvia, irrespective to the value of excise goods.

A foreign taxable person opting to register must file an application. The option is binding, implying that Latvian VAT must be applied starting from the date the person is registered for Latvian VAT. No special requirements apply.

3.4 Simplified triangulation

Under Latvian VAT legislation, the simplified triangulation rules have been implemented in line with the EU VAT Directive Article 141.

Taxable persons A, B and C in the ABC transaction must be registered for VAT in different EU countries (i.e. in Member States 1, 2 and 3). The transport must be organized by either party A or party B. If party B arranged the transport, B must have provided A with a valid VAT ID number of another country than the country of dispatch and arrival. The goods must be transported directly from A in Country 1 to C in Country 3.

If Latvia is the country of arrival, the triangulation simplification cannot be applied if B is VAT registered in Latvia. In such situation B should report an intra-Community acquisition of goods followed by a domestic supply subject to Latvian VAT.

Latvian VAT law does not provide for limitations to apply the triangulation simplification if party B happens to be VAT registered in the country of dispatch.

3.5 Acquisition threshold

The acquisition threshold for non-taxable legal persons, taxable persons engaged in exempt activities and flat-rate farmers from suppliers established in another EU Member State is EUR 10,000.

3.6 Effective Use & Employment

Use and employment provisions have been implemented in the VAT Law.

The general use and employment rule as per the Latvian legislation provides that:

- Art. 59a): where the supply of relevant services would otherwise be regarded as made in Latvia, but the effective use and employment of those services is outside the Community, the supply is deemed to be outside of the Community; and
- Art. 59a(b): where the supply of relevant services would otherwise be regarded as made outside the Community, but the effective use and employment of the services is in Latvia, the place of supply is deemed to be Latvia.

The special provisions for effective use and employment as per (a) and (b) above, apply to:

- short-term hiring of means of transport, B2B and B2C;
- hiring of movable goods, other than means of transport, B2B and B2C; and
- transport of goods services, other than intra-Community transport of goods, B2B.

4. Chargeable event & Chargeability of VAT

4.1 Principles

In the case of a supply of goods or services, the VAT becomes, in principle, chargeable at the time the goods or services are supplied and the VAT invoice is issued. If an invoice is issued or payment is received before the goods or services are supplied, VAT becomes chargeable on the date of issuing the invoice. Invoices shall be issued no later than 15 days after the chargeable event occurred.

The VAT on the purchase of a service, which falls under the main rules of Articles 44 and 196 of the EU VAT Directive, is nevertheless due at the time the service is supplied.

4.2 Advance payments

Where a payment is to be made on account before the goods or services are supplied, VAT becomes chargeable on receipt of the payment.

4.3 Continuous supplies

Generally, the time of supply and the date at which VAT is chargeable for a supply of goods, is the date the goods are supplied or transportation begins, but not later than the date the buyer receives them. In the case of a continuous supply of goods and/or services over a long period (excluding hire purchase) resulting in periodic tax invoices or payments for deliveries, the transaction is deemed to have taken place at the end of the period covered by the invoices or payments, but at least every six months.

Where the supply of goods within the territory of the EU takes place permanently over a continuous time period and exceeds one calendar month, it shall be deemed that the transaction has occurred in the end of each calendar month until the time when the supply of goods is completely finished.

4.4 Cash accounting

Upon request, the tax authorities may permit a taxable person to opt to apply a cash accounting scheme for the payment of the VAT, if:

- the total turnover in the previous calendar year did not exceed EUR 100,000; or
- when registering for VAT purposes, the amount of planned transactions is less than EUR 100,000 in the taxation year.

The cash accounting can still be used by the following VAT taxable persons:

- a registered taxable person whose total transaction value in the previous tax year has reached EUR 100,000 but has not exceeded EUR 500,000 and who is:
 - a registered taxpayer who operates in the fisheries sector - in relation to supplies of fresh, frozen or refrigerated fish and crustaceans; or
 - a producer of agricultural products or a cooperative society of agricultural services - in relation to the supply of such agricultural products: (a) live animals, (b) milk and dairy products, (c) bird eggs, (d) natural honey, (e) vegetables, root plants, tuberos plants, (f) cereal products, (g) oilseeds and fruit, miscellaneous grains, seeds and fruit
- a registered taxable person whose total transaction value in the previous tax year has reached EUR 100,000 but has not exceeded EUR 2,000,000 and who provides residential house management services, in relation to the provision of residential house management services.

The total amount of transaction value shall not include the value of fixed assets and intangible investments supplied by the taxpayer, if the taxpayer performs such supply once within a period of 12 months.

Where the scheme applies, output VAT is chargeable when the payment is received, and input VAT is deductible when the payment is made. If cash accounting is used, the remark 'cash accounting' should be indicated on the invoice.

5. Taxable amount

5.1 Bad Debt Relief

A taxpayer can reduce its VAT liability for bad debt VAT, provided that certain criteria are met:

- the goods or services supplied are invoiced;
- the debt has been incurred within the last three tax years;
- the transaction has been subject to VAT and is shown on the tax return for the tax period concerned;
- the amount of the debt has been written off from the specific provision for bad debts or directly to losses (expense) in the accounts of the taxable person in the current tax period or in a previous tax period;
- the recipient of the goods or services is not a related person within the meaning of the Law on Taxes and Duties;
- the supply of goods or services to the relevant recipient has been interrupted for at least three months and has not been resumed; and
- the registered taxable person has not transferred (assigned) his right of claim to another person.

The supplier must establish that he or she took measures to recover the lost debt, and must notify the recipient that the debt in question is considered as lost. The claim can be done in any (monthly) VAT return.

For bad debts of exceeding EUR 1,000 (excluding VAT), in addition to meeting the conditions described above, the taxpayer must also obtain a court decision for collection of the debt and a statement from a court bailiff that collection is not possible.

5.2 Cash Discounts

Assume that the supplier sends the following invoice:

"Supply of goods	EUR 1000
21% VAT	EUR 210
Total to be paid	EUR 1210

If payment is received by us within the next 14 days, you can subtract 2% of the invoice as a cash discount."

Payment is indeed received within 14 days.

If the invoice states the transaction and VAT amount with the discount, namely, the amounts taking into account the 2% cash discount, no separate credit invoice is necessary.

If however, the amounts are not shown on the invoice, the supplier must send a credit invoice for the 2% discount. Thus the overpaid VAT can be recovered and input VAT adjusted accordingly.

5.3 Open Market Value

The supply of goods or provision of services between related parties must be set at the market value if the transaction value is:

- less than market value and the recipient is not entitled to deduct input VAT in full;
- less than the market value and the supplier does not have the right to deduct input VAT in full and the supply of goods or services is exempt; or
- more than market value and the supplier is not entitled to deduct input VAT in full.

"Market value" is, generally, the price that would have to be paid to an unrelated buyer in circumstances of fair competition. Where no comparable price for goods or services can be ascertained, market value shall mean:

- in respect of goods – an amount which is not less than the purchase price of the relevant goods or of similar goods or, in the absence of a purchase price, the cost price, determined at the time of supply; or
- in respect of services – an amount that is not less than the full cost of providing the service.

In addition, the supplier must comply with the obligation to submit a duly completed EC Sales list. In the case of transfers of own stock, an internal invoice is required for reporting purposes. In Latvia it is an obligation to report each supply or acquisition as per invoice number and date.

- the transportation of the goods from Latvia to the other Member State must be confirmed by the relevant supplier; and
- the customer to whom the supply is made must provide his or her VAT identification number to the In order for an intra-Community supply to qualify for the zero rate, the following two conditions must be met:

7.1.1 Intra-community supplies

7.1 Exemptions with the right of deduction

7. Exemptions

Latvia has not introduced a 0% VAT rate on supplies of goods or services other than the zero rates mentioned below in Chapter 7.

6.3 Super-reduced and zero rates

- Second Reduced Rate of 5% applies to:
- education literature and original literature – both physical and digital;
- colouring books, sheet music, maps and other such printed and digital works; and
- newspapers, magazines and other periodicals, including annexes to such works.

First Reduced Rate of 12% applies to:

- registered medicinal products, registered medical devices and parts;
- specialised food and products for infants;
- domestic passenger and baggage transport;
- tourist accommodation;
- timber products used for domestic heating;
- other types of heating energy used for domestic purposes; and
- fresh fruit, berries and vegetables, including washed, peeled, peeled cut and prepacked but not cooked or otherwise (e.g. frozen, salted, dried) – the list of fruits and vegetables subject to the First Reduced Rate of 12% is included in the legal acts and will be applicable until 31 December 2024.

The Latvian VAT Law provides for a First Reduced Rate of 12% and a Second Reduced Rate of 5%, subject to certain conditions and requirements. The First Reduced Rate applies to certain essential supplies such as registered medications and baby food. The Second Reduced Rate generally applies to printed and electronic literature and publications.

6.2 Reduced rate

The standard rate in Latvia is 21%.

6.1 Standard rate

6. VAT rates

If the deposit fee may be reimbursed to the buyer, the Latvian VAT Law provides businesses not to include the cost of returnable packaging in the taxable amount of the total supply. In cases where the packaging is not returned, supplier must pay back the VAT at book value of the unreturned packaging when submitting the annual VAT return.

5.4 Returnable Packaging

7.1.2 Export supplies

Exports of goods are generally zero-rated for VAT purposes.

This enables the supplier to recover input VAT on exports or dispatches of goods or services with a place of supply outside Latvia.

The supply of goods from Latvia to a taxable person in another Member State is also generally zero-rated. However, when goods are supplied to a consumer in another Member State (i.e., a person not registered for VAT), Latvian VAT is generally applied in the same way as if the supply was made to a Latvian customer, subject to the distance selling rules discussed in paragraph 3.3.

7.1.3 Warehousing

7.1.3.1 VAT warehouse

There is no concept of VAT warehouses introduced in the Latvian VAT law.

7.1.3.2 Excise warehouse

An excise warehouse permits the storage and handling of goods subject to excise duties. As of 2022 it is possible in Latvia to store goods in a joint customs and excise warehouse. For more information see paragraph 7.1.3.3. below.

7.1.3.3 Bonded warehouse

It is possible to put the goods into a bonded warehouse regime if the goods are not yet imported into Latvia or if the goods will be further exported or are intended for cargo consolidation (e.g. when the goods are stored while the ship, railways or other vehicle is being loaded fully before actual export out of EU).

Supplies of goods performed in customs warehouses are subject to 0% VAT if the goods are:

- received from non-EU countries and not released for free circulation inland; or
- received from other EU countries and for which the export procedure is started in other EU countries.

The parties responsible for payment of the goods are:

- the holder of the customs warehouse;
- the owner of the goods; and
- the party providing guarantee for the tax authorities.

In case of tax debt, the authorities would approach all of these parties. Generally, the order of approaching them depends on the type of customs warehouse and the agreements between the owner of the goods and the warehouse.

7.2 Exemptions without the right to deduction

The following supplies are exempt without the right of deduction:

- insurance and re-insurance services;
- financial services;
- sale of real estate, except unused real estate and building land – option to tax applies if the supplier and customer are both taxable persons;
- rent of premises to private individuals;
- investment funds' management;
- gambling and lotteries;
- services between the members of cost-sharing associations;
- medical services supplied to a patient (a list of the exempt services is defined);
- services related to medical services (transportation of the patient with specialized vehicles, accommodation and catering in medical institutions during treatment, diagnostic services occurring in other medical institutions);
- postal services;
- supply of human organs, milk and blood;
- dental services and services of dental technicians;

- certain supplies of cereals and industrial crops (including oilseeds);
 - supplies of certain types of timber, including wood intended for use as fuel; charges, if they are sold separately;
 - domestic reverse charge does not apply to electronic accessories, e.g., batteries, connection cables and supplies of mobile phones, tablet PCs, laptop computers, electrical components and game consoles. The
 - certain supplies of scrap metal and related services;
 - construction services;
- Latvia applies the reverse charge on the following domestic supplies between VAT taxable persons:

8.1.2 Specific domestic reverse charges (Article 199 Directive)

At the same time, the VAT law also provides for an obligation for the foreign service providers to register for VAT in Latvia if they supply services related to immovable property and cultural etc. kind of services. The foreign supplier supplying these types of services, should VAT register in Latvia prior to commencing the supply of these services.

- cultural, artistic, sporting, scientific, educational, entertainment and similar services (defined in Art. 53 of the EU VAT Directive);
- services related to immovable property (defined in Art. 47 of the EU VAT Directive);

As regards the supplies of services, the Latvian VAT law provides, that the recipient of the services who is a VAT taxable person must reverse charge the VAT for the following services received from a non-resident supplier:

Art. 194 of the EU VAT Directive is not introduced in Latvia in relation to the domestic supply of goods.

8.1.1 General reverse charge – non-resident suppliers (Article 194 Directive)

In Latvia there are reverse charge rules for general B2B services provided by foreign entities to taxable persons and legal entities with a Latvian VAT ID number. This reverse charge applies in all EU Member States and follows from Articles 44 and 196 EU VAT Directive. There is also the reverse charge for the supply of natural gas and electricity supplied by non-resident suppliers to “taxable dealers” in Latvia registered for VAT purposes in Latvia (Article 195 EU VAT Directive).

8.1 Reverse charges

8. Liability

In Latvia, there is no possibility to opt to tax financial services.

Latvia provides for the possibility to opt to tax the supply of used immovable property if the seller and buyer are both Latvian VAT registered persons and the seller has registered the property with the SRS prior to the sale. It is possible to opt for all types of immovable property (including residential property) as long as it's “used”.

7.3 Option for taxation

Input VAT deduction is allowed for insurance and financial services provided to customers outside the EU.

- supply of gold and cash to the Bank of Latvia.
- cultural services supplied by theatres and circuses, museums, libraries, also concerts, events for children, foundations;
- participation fees for sports competitions and practices organised by non-profit associations and purpose of defending children's and young persons' rights;
- supplies of goods and services by public benefit organizations (special registration is required) for the and regulations governing education;
- fees for children staying in children's camps organised in accordance with the requirements of the laws
- educational services supplied by state approved educational institutions and kindergartens;
- social services;

- certain supplies of unwrought precious metals, precious metal alloys and their semi-finished products, and metal coated with precious metal; and

- certain supplies of semi-finished products of ferrous and nonferrous metals.

Only non-cash money settlements are possible in order to apply local reverse charge to the supplies mentioned.

8.2 Joint and several liability

Under Latvian law, the management of a company is not jointly and severally liable for the unpaid taxes of the businesses they manage in default. However, tax authorities can request unpaid taxes from the management of the company, if all of the criteria are fulfilled:

- the amount of arrears exceeds the total of 50 minimum monthly salaries in the Republic of Latvia;
- the decision on the recovery of arrears has been notified to the legal entity;
- it has been established that after the decision to conduct a tax audit (audit) has been taken or after the initiation of a tax audit (control), as well as after the arrears have been created, the legal entity has alienated the assets it owns and as a result of the actions or inactions of a member of the Management Board, the arrears of the legal entity have not been paid in full within the time limits established by the law;
- a deed of impossibility of recovery has been drawn up; and
- the legal person has failed to comply with the obligation under the Insolvency Law to file for insolvency proceedings.

Joint and several liability exists for businesses that form part of a VAT group for the VAT debts of each member of the VAT group for the entire period that the relevant entity was part of that VAT group.

A fiscal representative is responsible for the tax liability arising out of documents and tax returns they submit and the taxpayer and/or the bailiff is responsible if property is sold at auction and monies due to the State are not paid.

Other express abuse provisions or chain transaction provisions are not expressly addressed in the law. As a general rule, a counter-party of a third party cannot be held liable for a principal's VAT obligations, e.g., in "carousel fraud," missing taxpayer transactions.

9. Recovery of input VAT

9.1 Non-recoverable input VAT

Some input tax is specifically irrecoverable, for example:

- VAT paid on goods or services acquired for non-business use;
- 60% of the input tax from representation expenses (e.g., business meals, public functions, receptions and generally occasions that involve or include customers, clients, etc.);
- VAT paid on the purchase, lease and import of a luxury car with a value of more than EUR 75,000 (excluding VAT);
- VAT paid for fuel and running costs for luxury passenger cars for the first 60 months as of purchase. However, deductions are not denied if the car or truck is used for certain qualifying purposes, e.g., transportation, vehicle hiring, emergency services or a car sale or hire purchase business;
- 50% of the VAT paid on passenger cars (except for businesses which primarily use cars, e.g., taxi services, car rentals and emergency vehicle services) and related maintenance services and costs, including fuel;
- VAT paid on items relating to a business's sales of goods or services that are exempt from VAT.

9.2 Excess input VAT

When input VAT exceeds output VAT, overpayment VAT is reflected in the VAT return. Overpaid VAT is evaluated on a monthly basis and refunded into the taxpayer's bank account within 30 days of the submission of the VAT return to the SRS.

The claim should be filed on paper, in Latvian or English. The applicant should either send the application by post or file it personally at the following address:

Latvian tax authorities.

Electronic filing for such an application is not possible, as original supporting documents must be filed to the

with the UK is in process.

VAT is only refunded to non-EU taxable persons if a reciprocity agreement exists. Currently, Latvia has concluded reciprocity agreements with Switzerland, Iceland, Monaco and Norway. Reciprocity agreement

9.5 VAT refunds to non-EU taxable persons

Detailed information can be found on the official Latvian tax authorities' website: <https://tinyurl.com/8wicdkey>

included in a tour package.

- expenses incurred by a tour operator acting under the tour operators margin scheme for its services
- expenses for goods and services received for personal use – catering and use of cars; and
- used for transactions where the recipient of the services is liable for payment of the tax);
- for goods or services related to immovable property located in Latvia (unless the received services are
- for a transaction that has not happened;
- requirements set out by the VAT law;
- for tax amounts included in an invoice issued by the taxable person that does not conform with the

The VAT incurred for the following expenses is not refunded:

sending the decision via electronic systems is considered the date of receipt.

the claim (depending on the number of additional information explanation requests). If the tax authorities' decision is negative, the appeal should be filed within one month after the receipt of the decision. The date of the refunded amounts are transferred within 10 working days but no later than 6 or 8 months after filing

decision is 8 months.

months after filing the claim. If additional information is requested for the second time, the time limit for the decision on a refund is 4 months. If additional information is requested, the refund decision is issued within 6 expenses and additional explanations. Sometimes the authorities request originals. The time limit for a accepted. When considering the refund claims, Latvian tax authorities often request invoice copies for the The claim should be filed by 30 September of the following year. Claims filed after the deadline are not

claims for a shorter time period are accepted. Maximum period is one calendar year.

The minimum period for claiming a refund is 3 months, except the last months of the calendar year – then

months is EUR 400.

EUR 50. The minimum interim limit for claims that are made for less than a calendar year but at least 3 The minimum limit for claims that are made for a calendar year or the remainder of a calendar year is

established.

The claim should be filed electronically with the tax authorities of the country where the taxable person is

9.4 VAT refunds to EU taxable persons

Latvia does not have an adjustment period for services.

- Movable property – 5 years (if the value without VAT exceeds EUR 70,000).
- Immovable property – 10 years;

The Latvian VAT Law provides the following adjustment periods:

9.3 Adjustment periods

As to obtain a refund, provided an audit has not begun or carried out in connection with the relevant period. A taxpayer can make corrections to submitted VAT returns up to 3 years after the date when the tax was due

The claim can be signed by the authorized signatories of the taxable person or authorized persons (an original power of attorney is required).

The application form can be downloaded at: <https://tinyurl.com/mv7m846n>.

The minimum limit for claims made for a calendar year or the remainder of a calendar year is EUR 50.

The interim minimum limit for claims made for less than a calendar year but at least 3 months is EUR 400. The maximum period for making a claim is one calendar year.

The minimum period for making a claim is 3 months, except if the claim is made for the last months of the calendar year – then claims for a shorter time period are accepted.

The deadline for making the claim is 30 September of the following year. Claims filed after the deadline are not accepted.

The following supporting documents are required:

- original invoices for which the VAT refund is claimed;
- original importation documents if the refund is claimed for the import of goods;
- payment documents (bank orders of payment, cash receipts);
- original VAT registration certificate, valid for 12 months from the date of issue; and
- original power of attorney if the claim is filed by an authorized person.

The tax authorities will decide on the refund within 4 months. If the tax authorities request additional

information, then the deadline for the decision can be extended up to 8 months. The refund is processed within 10 working days after the decision is taken but no later than within 4 months from receipt of the claim (or 8 months if additional information has been requested).

The appeal of the tax authorities' decision should be filed within one month after the receipt of the decision.

VAT is not refunded for the following expenses:

- for tax amounts indicated in tax invoices which do not satisfy the requirements of VAT law;
- for transactions which did not take place;
- for goods or services related to immovable property located in Latvia (unless the received services are used for transactions where the recipient of the services is liable for payment of the tax);
- for goods or services received for personal use (car expenses, catering, entertainment); and
- for goods or services supplied to a tour operator applying the tour operators margin scheme.

10. Administrative obligations

10.1 Invoices

Latvian VAT-registered businesses must supply VAT invoices to VAT-registered customers for all their taxable supplies (including zero-rated sales, but not exempt sales without input credit) and may incur a fine if they do not do so when requested by a VAT-registered customer or the SRS. Invoices or other supporting documentation containing necessary information are required for VAT accounting purposes and to support input VAT deductions. As an anti-fraud measure, certain types of taxpayers are required to use cash registers. Taxpayers such as restaurants, shops, etc. who accept cash payments are obliged to use cash registers. The cash registers must meet certain technical requirements, among other things, to issue VAT invoices. Some taxpayers (e.g. private doctors, lawyers, craftsmen) are allowed not to use cash registers, but should issue an e-receipt.

There are certain circumstances in which a supplier should not issue a VAT invoice (e.g., suppliers that are not registered for VAT or for certain special billing schemes). In addition, invoices do not need to be issued for supplies made under the One Stop Shop (OSS) unless specifically requested by the customer.

10.1.1 Invoice content

A VAT invoice must contain the following information:

- date when the invoice was issued;
- sequential numbering of the invoice, which provides a unique identification of the invoice;
- name (natural person - given name, surname, personal identity number) and legal address (natural person declared place of residence) of the supplier of the goods or the services;
- VAT registration number of the supplier of the goods or provider of the services;
- name (natural person - given name, surname, personal identity number) and legal address (natural person declared place of residence) of the customer;
- VAT registration number of the customer if the customer is liable for VAT and for intra-Community supplies;
- date of the supply of the goods or date of the provision of the service if such differs from the date of issue of the invoice, or the date when a payment has been received in advance if such date is known and it differs from the issue date of the invoice;
- description, amount (volume) and unit of measurement of the goods supplied or services provided;
- price (value of one unit without VAT) of the goods supplied or services provided;
- discounts applied if they are not deducted from the unit price;
- VAT rate applied;
- calculated amount of VAT payable;
- the total of the transaction without VAT;
- in case of self-billing a corresponding reference "pašapzīmējums" is required;
- the information necessary to determine whether there is a new means of transport;
- special wording or reference to the VAT law or the directive, if 0% VAT, reverse charge, or another special regime applies, for instance:
- recipient of goods or services – nodokļa apgriezta maksāšana;
- special procedure of paying the tax and deduction of input tax is applied (cash accounting) – naudas līdzekļu uzskaitē;
- intra-Community supply – preču piegāde Eiropas Savienībā;
- export supply – eksports;
- margin scheme – second-hand goods – peļņas daļas režīms lietotām precēm;
- margin scheme – works of art – peļņas daļas režīms mākslas darbiem;
- margin scheme – collector's items and antiques – peļņas daļas režīms kolekciju priekšmetiem un senlietām;
- tour operator margin scheme – peļņas daļas režīms ceļojumu aģentūram.
- if the authorized representative is responsible for making the tax payment – the registration number of the representative in the SRS VAT payer register, a name of legal person (name and family name of a natural person) and legal address (declared residence for a natural person); and
- if the fiscal agent is responsible for paying the VAT – the registration number of the representative in the SRS VAT Payer Register or in a taxpayer register of another Member State, a name of legal person (name and family name of a natural person) and legal address (declared residence for a natural person).

10.1.2 Time limits

For domestic supplies, an invoice should be issued within 15 days after the supply or receipt of the advance payment. For continuous domestic services, an invoice should be issued at least every 6 months. For EU supplies of goods and services taxable according to Article 44 of Directive 2006/112/EC, the invoices should be issued by the 15th day of the month following the supply. For continuous (longer than a year) services subject to reverse charge according to Article 44 of Directive 2006/112/EC, the service received and VAT calculated should be reported at least once at the end of each calendar year.

10.1.3 Language

There are no official requirements for the language or currency of invoices, however invoices in languages other than Latvian must be translated on request.

10.1.4 Conversion and exchange rate
Foreign currencies should be converted to Euro using the official exchange rate by the European Central Bank on the date of the issue of the invoice.

10.1.5 Self – billing
Under Latvian VAT law, self-billing is allowed in case there is an agreement between the two parties (for instance a contract or written agreement).

10.1.6 Simplified invoice
A registered taxable person is allowed to issue a simplified invoice in the following cases:

- for an inland transaction the value of which excluding tax is less than EUR 150; and
- in case of amendments made in the initial invoice. In this case the simplified invoice must indicate the identification number and date of issue of the initial tax invoice, as well as the particular data to be amended in the additional simplified tax invoice.

A simplified invoice consists of the following information:

- date of the invoice issuance;
- the name of the legal person (for natural person – name and surname), address of the supplier of goods or services, as well as the registration number with the SRS VAT register;
- the name of the legal person (for a natural person – given name, surname), legal address of the recipient of goods or services, as well as the registration number with the SRS VAT register or register of taxable persons of another Member State;
- the name of the goods or the type of the services as well as quantity;
- the price of goods or services (including tax or excluding tax) and the total amount of the transaction (including tax or excluding tax); and
- the tax rate and calculated tax amount.

10.1.7 Storage of invoices

Invoices, and other relevant documents for VAT compliance, must be stored for the minimum period of 5 years, unless otherwise stated in the law (i.e. 10 years under OSS schemes).

Invoices must be stored in the same form as they were received or issued i.e. received paper invoices must be stored in paper form and electronically received ones must be stored in electronic form. For electronic invoices, the authenticity of origin, integrity of content and readability must be guaranteed during the storage period.

Original paper invoices must be stored at the premises of the business. Electronic invoices can be stored elsewhere, even overseas. However, in such cases, the tax authorities must have the right to access those invoices, and to download them in a usable format, and within a reasonable period of time.

10.1.8 Electronic invoicing

Invoices can be issued electronically and must contain the same information which is required on a paper invoice. Both parties involved in the transaction must agree in writing as to the form of an acceptable electronic signature that will be used to authenticate the invoice (it may be included in the agreement on the supply of goods and services).

The “Law On Accounting” also provides that the electronic invoice is accepted as a supporting document if the transaction and the accuracy of the information in the invoice is confirmed by the responsible person of the recipient of the document (this person should be specially appointed by the management of the recipient company).

As of 2025 it is mandatory to use e-invoices with public entities. Electronic invoices to public entities can be transmitted using the PEPPOL network, a third-party invoicing provider, or via the Latvian government's eAddress platform. It is envisaged that e-invoicing will be mandatory in domestic B2B transactions as of 2026.

Electronic invoices to other recipients may be transmitted via any practical methods. There are no specific validation or reporting requirements.

10.2 Compliance

10.2.1 VAT return period

The VAT return reporting period is monthly for all VAT payers newly registered in the VAT register and remains so at least 6 consecutive months from the VAT registration.

The reporting period changes to quarterly if the VAT taxable person does not exceed EUR 50,000 threshold for VAT taxable transactions, does not perform intra-Community supplies or acquisitions of goods, does not provide services taxable pursuant to Article 44 of the Directive 2006/112/EC.

If a taxable person performs EU supplies or acquisitions and has to submit European sales listings, monthly filing is always required.

VAT returns should be submitted electronically via the Electronic Declaration System (EDS).

10.2.2 Filing of a VAT return and payment

As of 2021, the VAT due is payable by the 23rd day of the month following the VAT return period. The VAT returns are still due on the 20th of the month following the VAT return period. The deadline is transferred to the next working day, if the due date is during the holidays.

To submit a VAT refund application addressed to another Member State, the Latvian taxpayer must be registered as an EDS user. In order to fill in the refund application form, the EDS user in the document group "Outgoing documents for VAT refund in European Union" chooses the document "VAT refund application" and enters data in accordance with the criteria indicated by the EDS. After filling it in, the document must be signed in accordance with the general requirements of the EDS.

Please note that the tax authorities only accept returns filed via the EDS.

10.2.3 European sales listing

Registered taxpayers must file an ESL if they engage in any of the following activities:

- zero-rated intra-Community supplies;
- transferring goods from the taxpayer's activity in Latvia to an activity it undertakes in another Member State;
- selling services VAT-free to a trader who provided a VAT registration number in another Member State; or
- supplying goods in connection with call-off stock transactions.

Taxpayers must comply with recapitulative statement reporting obligations in order to obtain a zero rate on intra-Community dispatches.

The ESL must provide details of each customers' residence and VAT registration in an EU jurisdiction outside Latvia. The list must also include the aggregate value in euros, of the supplies made to each customer in the applicable taxable period.

The ESL must be filed with the SRS's EDS on Form PVN2 or using the agency's e-service or file transfer service, no later than the 20th day of the month after the expiry of the applicable reporting period. An ESL for services only must be filed quarterly and an ESL for goods, or goods and services, must be filed monthly.

10.2.4 National recapitulative statement

There is a form of national recapitulative statement in Latvia. With the taxable person's monthly or quarterly VAT-declaration, an attachment to the declaration (Attachment 2 "PVN 1 - I") must be filed. It must detail each purchase and sales transaction over EUR 150.

10.2.5 Tax assessment period

The tax assessment period in Latvia is 3 years following the day the VAT becomes payable.

10.3 Penalties

Various administrative penalties can be applied for failure to comply with reporting, accounting and administrative requirements. The amounts of the penalties vary depending on the particular violation and the status of the person who has committed the violation.

Penalties can also be assessed for the underpayment or nonpayment of tax due as well as for obtaining incorrect refunds of overpaid tax. The penalties range from 20% to 50% of the tax liability assessed, under Articles 32-34 of the Taxes and Duties Act.

10.3.1 Default penalties for late registration

If a natural or legal person, who has registered as a performer of economic activities, performs an economic activity:

- without registering as a payer of VAT; or
- within 30 days after the term determined by the tax administration:
- does not submit the tax declarations provided for by tax laws, and
- also does not submit the business and accounting records requested by the tax administration,

then the tax administration assesses and enforces:

- the tax for the taxation period from the date on which the person had an obligation to register as a taxpayer;
- late payment penalty; and
- a penalty at 100% of the underpaid tax.

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

For failing to file a VAT return or a European sales listing within the required time or with incomplete documents, a fine of up to EUR 700 can be imposed on individuals and legal persons, depending on the period of delay. For not filing the required documents at all, a fine of EUR 700 can be imposed.

10.3.3 Default penalties for not paying VAT on time to the tax authorities

If the VAT is not paid on time, penalties in the amount of 20%, 30%, 50% or 100% of the VAT payable depending on the VAT amount not paid, can be applied, as per Article 32 of the Law on Taxes and Fees. Late payment penalties of 18.25% per year (0.05% per day) on the VAT amount due also apply for each day of the delay.

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

If the VAT is not paid up to the correct amount, the VAT authorities can also impose a penalty of 20%, 30% or 50% of the VAT payable depending on the VAT amount not paid.

10.4 Intrastat

In Latvia, separate monthly Intrastat returns must be submitted to the Central Statistical Bureau of Latvia. No Intrastat return for distance sales should be submitted.

The administrative penalty for not filing the Intrastat reports or missing the filing deadlines might be imposed - minimum EUR 50, but depending on circumstances up to EUR 10,000 (but please note that it is rarely exercised).

10.4.1 Intrastat threshold

In 2025 the Intrastat threshold for arrivals is EUR 350,000 and for dispatches the threshold is EUR 200,000. Detailed returns are required if the special thresholds are exceeded: EUR 5,000,000 for arrivals and EUR 7,000,000 for dispatches.

10.4.2 Intrastat data to be reported

The information which needs to be reported for both the arrival and the dispatch statistics is:

- 8-digit commodity code of the goods;
- invoice value of the goods in EURs;
- net weight of the goods;
- supplementary units;

- EU Member State of origin/destination;
- nature of the transaction;
- mode of transport;
- delivery terms;
- statistical value;
- country of origin;
- VAT ID of partner.

10.5 Additional compliance requirements

There are no additional requirements.

Information received from:

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